

MSTC (MSTCLTD)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

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MSTC/CS/SE/357

1. The Dy. Manager (Listing)

BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001.

(Scrip Code: 54259711 8th August , 20ZZ

2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Ptaza, Bandra Kurta Comptex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCLTD)

Dear Sirs,

Sub: Transcript of Conference Call with the Investors/ Analvst

The Company had organized a conference catt with the Investors / Anatysts on ThursdaY, 11th August, 202? at 04:00 p.m. IST. A copy of transcript of conference catl hetd with the Investors/ Anatysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is atso hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfutly,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Enct: as above

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"MSTC Limited

Q1 FY 23 Earnings Conference Call"

August 11, 2022

MANAGEMENT : M R. SURINDER KUMAR GUPTA - CHAIRMAN AND
MANAGING DIRECTOR , MSTC LIMITED

MR. SUBRATA SARKAR - DIRECTOR OF FINANCE ,
MSTC LIMITED

MR. AJAY KUMAR RAI - COMPANY SECRETARY ,
MSTC LIMITED

MODERATOR: M R. DEEPESH KASHYAP - EQUIRUS SECURITIES
PRIVATE LIMITED

MSTC Limited

August 11, 2022

Page 2 of 12 Moderator: Ladies and gentlemen, good day and welcome to th e MSTC Limited Q1 FY23

Earnings Conference Call, hosted by Equirus Securities Private Limited. As a reminder, all participant lines will be in the 'listen-only' mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deepesh Kashyap from Equirus Securities Private Limited. Thank you and over to you, sir.

Deepesh Kashyap: Thank you, Ranju. Hello everyone. On behalf of Equirus Securities, I welcome you all to Q1 FY 23 Earnings Conference Call of MSTC Limited. From the management we have with us today- Mr. Surinder Kumar Gupta, Chairman and Managing Director; Mr. Subrata Sarkar, Director of Finance; and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks on the management, and then, we can open the line for Q&A.

I now hand over the call to Mr. Surinder Kumar. Over to you, sir.

Surinder Kumar Gupta: Yes, good afternoon everybody. Before we come to the financials, I would like to share a very good news with all the participant investors here. MSTC has successfully concluded the 5G spectrum auction for the Department of Telecom. So, this has been an event which has gone very smoothly and our honorable Minister, as well as Secretary, DOTC have been very appreciative of MSTC's role in the whole auction process. The complete auction strength went to 40 rounds, and it went on smoothly without any problem. So, that is a good achievement for MSTC and they have kept faith in the capability of MSTC and we are sure that we will be able to; we have the capacity to conduct any such critical event for Government of India.

Regarding the financials, our

DF will tell in more detail, but we have kept our growth trajectory as compared to the Q1 of last financial year. Profit before tax has zoomed from INR 37.17 crore to INR 66.11 crore, and profit after tax has increased from INR 21.20 crore to INR 43.84 crore. So, that is a good growth from quarter-to-quarter. Basically, if we make a comparison from Q4 to Q1, that would not be a correct comparison because, there we had some extraordinary income in the form of dividend from our subsidiary company, which is not in this Q1 quarter and we always keep in mind that Q4 quarter of any financial year is always the best quarter and we get business of almost two quarters in last one quarter.

So, from that front also, our earnings have been quite good. If we start from our main vertical, that is the e-commerce vertical; so there, our revenue from operations has increased from INR 64.96 crore to INR 83.36 crore. So, that is a good jump from Q1 to Q1. And, if we compare from Q4, it is slightly down from INR 90.97 crore to INR 83.58 crore, but that is understandable; as I explained that Q4 is always the best quarter for the financial year. So, with this growth trajectory, we are hoping to achieve very good results in the current financial year. Apart from the spectrum auction, there are many other good projects MSTC is doing. We have entered into a number of agreements with large number of principles in South India. For Bihar, we are engaged in selling the auction vehicle by excise department and we have been able to sell around 4,000 vehicles in two to three months and we are sure that we will be speeding up that process, in line with the Bihar government requirements.

In Karnataka, in Chennai, we have entered into an agreement with the temple trust for sale of their assets and for e-procurement requirements also. So, we are entering into the new areas, new frontiers and new kind of clientele. We are not limiting ourselves to the scrap sale. We are entering into new kinds of things, new kinds of business. So, that is the brief opening remark.

Now, I hand over to our Director Finance to give you further update on the financials.
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Subrata Sarkar: Good afternoon to everybody. So, before I start, if you look at, it is a very remarkable quarter, and for the concern of our investors, when the provisioning will come to an end. So, if you see the first quarter, you can see that we have no data on that particular

line item; that means no provisioning for standalone financial statements. And, now I come to the quarter one financial statement. So, if you compare to quarter one to quarter one of the previous year, the total revenue, although has declined from INR 17,125.51 lakh to INR 9,385.90, that is by 45%. Marketing is down by 90%, that is from INR 11,207.51 lakh to INR 1,019.26 lakh. E-commerce grew from INR 5,911.30 lakh to INR 8,358.38 lakh. And others are of course minimum amount and EBITDA provisioning has gone up by 42.70% from INR 4,748.32 lakh to INR 6,775.73 lakh. PBT has gone up from INR 37.17 crore to INR 66.11 crore, and PAT has grown from INR 21.20 crore to INR 43.84 crore. Cash profit from INR 29.97 crore to INR 45.39 crore.

And, if you go by the Segmental Analysis, so you can see that, this E-Auction/E-Sale revenue has grown up by 39% and E-Procurement, of course, there is a lesser revenue and of course, other income has gone up also. And if I go to the group financials as a whole, total revenue is a little bit lesser from INR 268.68 crore to INR 194.81 crore. And of course, major contributor is 'Marketing', where the revenue has gone down from INR 112.07 crore to INR 10.19 crore and 'E-Commerce' of course, grown up from INR 59.11 crore to INR 83.58 crore

and 'Scrap Recovery and Allied Jobs' is basically the segment of our 100% subsidiary company from INR 97.43 crore to INR 100.96 crore. EBITDA has also gone up from INR 68.55 crore to INR 86.85 crore and PBT has gone up from INR 53.80 crore to INR 80.53 crore and PAT has gone up from INR 33.55 crore to INR 54.29 crore and basically, this is all the details that are already there. So this is all from our side. I hand over to you.

Moderator: The first question comes from the line of Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: Congratulations on a fantastic quarter and wish you all the best for this financial year too. Sir, I had a couple of questions. My first question is, could you please provide a status on the FSNL disinvestment? My second question is, could you please provide some information on how many vehicles have been scrapped in this quarter?

Subrata Sarkar: Okay. So far as FSNL disinvestment is concerned, DIPAM has taken that thing and you must have observed that UIE were invited that is in that particular state. So, as and when this finalization will be there, so it will be of course in a public domain. So, that is the status. It is UIE status is there. So afterwards, basically UIE and everything will be whatever is there that will be taken care of by the DIPAM only, the process is being handled by the DIPAM only. So as and when that final outcome will be there, we will always update you. So it is in the UIE stage.

Vikas Kasturi: Sure sir. And vehicles scrapping, number of vehicles?

Subrata Sarkar: So our CMD will take over.

Surinder Kumar Gupta: Yes. As far as the vehicles are concerned, up to June, we have got just a second total of 1,459 vehicles. 1,459 so that is, 1460 vehicles we have got in the first quarter, that is again, I do not have the exact quarter figures for last financial year, but if we take the complete financial year 2021-22, there we have got around little less than 4,000 vehicles in the complete financial year. So, that is around 1,000 vehicles per quarter. So, in that comparison, we have got around 1,459 as I have said, so that is around 50% growth of the vehicles, that is what we have got as compared to the last year.

Vikas Kasturi: A follow up question on that, sir. So last year, the government had said that all government vehicles would have to be scrapped by a certain date. I forget the date now.

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Page 4 of 12 So has that been implemented and forced, and are you seeing any good number of government vehicles coming for scrapping?

Subrata Sarkar: That date has been extended for the time being, the date has been extended to October.

Vikas Kasturi: Okay. But are you seeing any good number of inquiries, sir?

Subrata Sarkar: Yes, we are getting a good number of inquiries and soon, we are going to launch a

portal for scraping of such end of life vehicles also. So, which would be exclusively for such kind of vehicles, where buyers and sellers both, will be onboard.

Vikas Kasturi: And just one small request, sir. So, in your presentation, if you could provide more details about the nature of the business. So for example, when it comes to auctions, the number of vehicles that you have scraped and whether they were government vehicles or commercial vehicles or private vehicles, and likewise, when it comes to your e-auction business, if you could provide some more colour in terms of how many auctions were conducted and so on. So that would be very helpful.

Subrata Sarkar: Okay. We are noting your concerns, so we will try to see what breakup we can give you in the next meeting.

Moderator: Next question comes from the line of Keshav Garg from CCIPL. Please go ahead.

Keshav Garg: Sir, I just

wanted to understand that we did around INR 88 crore e-commerce revenue last quarter, which was the highest ever. Sir, so now with the fall in steel prices since around half of this division revenue comes from steel scrap sales, prices of which also follow steel prices, which are now down. So, do you think that we can hold onto this INR 88 crore quarterly revenue of the e-commerce division going forward?

Subrata Sarkar: See the figures we gave you; I gave you the figures for Q1 to Q1 and Q4 to Q1 also. So, if we say, I mean, Q4 of last year that was around INR 83.36 crore, total revenue from operations in e-commerce. So, that is basically compared to total -- sorry, I am using the total of e-commerce. If I talk about e-commerce last year, it was INR 80 crore last quarter and this year INR 72.63 crore, right? So, that is the kind of e-commerce income. So if we, as you rightly said, there will be around 20% drop in the prices of steel as well as scrap. Still, we have been able to keep very robust performance. So that really has not reduced our income by that much percentage. So that means we are getting the additional business and we are hoping that we will be able to maintain the growth trajectory, but of course it has that 20% price increase been there. So we could have surpassed that INR 80 crore figure for the last Q4 also. So all these factors taken together, our Q1 figures are quite handsome, that is what we believe.

Keshav Garg: Okay sir. The Company, does it have any synergy with our scrap business? I mean, the scrap that we are auctioning, does that subsidiary buy from us or is there no relation whatsoever and both companies are totally different?

Subrata Sarkar: You are talking about our 100% subsidiary Ferro Scrap Nigam Limited?

Keshav Garg: Yes.

Subrata Sarkar: Basically, it is in the scrap recovery and analysis job. It does not buy or sell scrap. It is a service company. It does the scrap recovery and a analysis job for the steel company. Okay. So by its very nature, it does not buy or sell scrap and hence the question of buying from MSTC does not arise at all. Okay.

Keshav Garg: Okay, sir understood. So basically what I am trying to understand is that post the disinvestment of this subsidiary, there will be no impact whatsoever in our 'standalone'.

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Page 5 of 12 Subrata Sarkar: No, no. Let me get very clear for your understanding. Sir, we are selling the scrap through e-auction. So, it is an open e-auction and it has nothing to do with our subsidiary per se and subsidiary disinvestment has no bearing per se, on our scrap e-auction disposal.

Surinder Kumar Gupta : So if you see basically as far as the business is concern, we both are having quite distinct business and one is not dependent upon the other. It is only if we see our related party transactions, that is very meager, so that is a bit of scrap for our, let us say, FSNL which were old equipment or something. So that is a very meager amount. So as such the disinvestment of FSNL per se will not have any effect on the financial or e-commerce income of our company MSTC.

Keshav Garg: Yes, sir. Understood. Sir lastly, I just wanted to understand that Coal India has announced that it will start its own portal for scrap sales and sir, other big PSUs might also follow through because this is an ongoing; scrap generation is an ongoing thing, so in that case then where do, I mean, what will be our role if this goes in house?

Surinder Kumar Gupta : No, let me correct you; what Coal India has announced is that they will be selling their coal. We are selling some part of the coal of Coal India, right? So for that, they have developed their portal, got a portal from NIC, but that portal has not started. But,

what

has happened is that Coal India has announced the new policy for sale of coal. For that, they requested MSTC only to make a platform for the same. So, we are in the advanced stage of development of that portal. In fact, we have done our work and Coal India is testing that portal.

So there we are expecting that, there will not be any impact and NIC will be taking till whole years to make the portal as per that. So therefore, we do not expect any significant revenue loss. And further, another thing I would like to highlight is, as far as coal is concerned, we say quarter-to-quarter, the earnings are around very less, total earning will be around from the coal sector, for the quarter to quarter financial, it is going to be INR 12 crore - INR 13 crore.

Subrata Sarkar: That is there, but, let me supplement CMD sir. So, volumes are not going down that way and second, that you told, Coal India as CMD sir has explained, Coal India is still in a very nascent stage and they are still utilizing our portal and for their new policy also, our portal will be utilized for sale of coal. So in the near future, we do not see any per se, threat to our current year. So we will review it in the next quarter also, what is happening and what is the development.

Surinder Kumar Gupta : And further revenue from Coal India is very insignificant. If we talk about the total e-commerce earning; so that may be less than even 10% . So that will not really, even if it goes out, that will not really affect us and we do not expect it to go very soon.

Moderator: Next question comes from the line of Srinivas Reddy an Individual Investor. Please go ahead.

Srinivas Reddy: I have two questions. Sir, regarding this other income, which has consolidated other income in the consolidated balance sheet; it has abnormally increased. I mean, from the earlier year by around INR 9 crore, I think. So can you throw some light on that number? Because most of the profits now in the last quarter, I mean on a consolidated basis, have come from this other income; increasing . And regarding the provisions of earlier year sir, you were telling us that from this year the provisions requirement will not be there of the Standard Chartered and other cases and so this is my second question. So, the third and final one, what is that you are trying to do for the B2C business? I mean, the loans, bank loans, all those, property auctions and other things. So for that have you come up with any sustainable business plan for the B2C e-commerce business? So these are my queries.

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Page 6 of 12 Subrata Sarkar: You have been always a very guiding factor for us as an investor. So first let me tell the major chunk of other income has come from. One is some kind of provisions written back. So, in case of MSTC, it is around INR 4.25 crore that we have. The old provisions that we have realized through MSTC process. So that is a major chunk. Our other portions are of course little bit of rise in the interest rate and etc., that is why we have realized from that. But major is like provision written back that is the one question that you asked. Second, regarding provisions, this is the first quarter as I earlier announced also that we did not have any provisions and of course, in the consolidated accounts, we have a little bit of provision for the income for our subsidiaries. So it will remain in that particular range only. So major provisions are not expected in the coming future as we can still stand right now because mostly, all the marketing provisions have been taken care of. Regarding the third- business prospect, I will hand over the mic to CMD sir.

Surinder Kumar Gupta : Yes. Regarding your query about this B2C, I mean, I will admit

that we do not have that good presence in the B2C segment. As far as the property is concerned, yes, we are in B2C. We have an agreement with, as we have already telling that for the sale of assets of the public sector banks, we have a centralized agreement with them. We are selling the properties under SARFAESI Act for banks, and there are quite a good number of properties and the sale of properties is increasing quarter-to-quarter, year-to-year and banks are getting good dividend out of that.

Regarding the properties, we have sold the properties for Hyderabad city and there are similar number of properties for Air India and other organizations are being regularly sold on our portal and we are getting number of other queries from lot other state government and central agencies where we hope to get additional business for the property sale. So that is also in the coming year that is also going to give us good amount of revenue from the property sale. So, that is what I can update regarding the bank loan and all that, I will admit that we are not into that area of concerns.

Srinivas Reddy: So one clarification sir, regarding debt. I mean, when can we expect our company to operate as a zero debt company, because now marketing is reduced, marketing working capital requirement, marketing sector, the business. So company is more into e-commerce now. So when can we expect it to having zero debt after this FSNL sale it is possible with that additional amount of budgeting?

Subrata Sarkar: Mr. Reddy, I am getting back to your question right now. So, if you think, basically if you look at our annual balance sheet, so the debt right now basically is only the disputed debt that MSTC had denied and disputed and protested and made that of Standard Chartered Bank, basically. So virtually, we are right now a zero debt company, virtually we can call. There was a very little amount of term loan of SBI. So, which will be taken care of, but virtually if we can for all practical purposes, it is a zero debt company, except that is an entry is appearing for which we have protested, denied and disputed, and the case is -- so we are unable to comment on that. Otherwise it is a zero debt company.

Moderator: Next question comes from the line of Dixit Doshi from Whitestone Financial Advisors Private limited. Please go ahead.

Dixit Doshi: Congratulations on good numbers. Sir, my first question is regarding the JV with Mahindra. So, you mentioned about the number of vehicle scrapped, my question is once they scrapped the vehicle, the scrap generated was auctioned by us or they themselves dispose it off?

Surinder Kumar Gupta : We auction the scrap. Normally, MSTC auctions the scrap. For the spare, they have a separate portal, but as far as scrap is concerned, it is primarily sold on MSTC platform.

Dixit Doshi: Okay. And my second question is regarding this e-commerce segment. So, you likely mentioned that, even though the steel scrap prices have come down, our revenue has
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Page 7 of 12 not come down so much. So on a let us say, medium term basis, two-three year perspective, at what rate our e-commerce business can grow?

Subrata Sarkar: It is very difficult to comment at this juncture, because the scenario is changing so rapidly and it is a mixed bag of services that we give in the e-commerce, supposedly scrap sale is there, e-sale, we are trying to mix. It is mixed bags of things. As our CMD has already said, we are going to enter into a lot of areas. So revenue is of mixed type and what will be the scenario in the next year is very difficult to say. But as of now, the growth of the company is primarily dependent of e-commerce and it will be e-commerce based growth only though.

Surind

er Kumar Gupta : And if you see I will supplement to what Director Finance said. If you see the last few quarters, you will see there is good growth, and we are hoping to maintain the growth trajectory. So of course, the other factors, which may not be in our control. Another thing that I like to supplement, there was a time in e-commerce also, where the majority of our income was from scrap sales. Now, we are basically; there also, the revenue from the e-commerce scrap sale is going down and a percentage revenue. I am not saying in absolute terms, but because percentage contribution to our revenue are

basically coming down and we are basically diversifying our brackets business segments.

So there, if there is a downfall in one particular segment, so we hope to insulate ourselves from the total results and also make good growth in different other sectors. So there, I think we are slightly better off from all these market fluctuations. Of course, we are living in this world and will be unaffected, I cannot say that, but our effect will not be that large for that one particular segment going down, that is what I can assure the investor community.

Dixit Doshi: How much percentage of revenue from scrap this quarter?

Surinder Kumar Gupta : Less than 50%; slightly, less than 50%.

Dixit Doshi: And how much it would have been in Q4?

Surinder Kumar Gupta : Similar level. I mean, it does not, I mean that diversification does not vary significantly from one quarter-to-quarter, but we see from let us say couple of years back when it could be 75% or 80%, now it is less than 50%. So that is basically year-to-year, there is some change.

Dixit Doshi: Okay. And my last question is now that, we have scaled down and almost our marketing business has been over. So is there any scope for rationalization in the employee cost, like, there will be some employees who were dedicatedly for the marketing business. So is there any scope of employee cost reduction?

Surinder Kumar Gupta : As we have decreased the marketing, we have increased the e-commerce and we have opened offices in almost all major states, and we are working with a very thin manpower. In marketing, only couple of people are engaged now, so there is hardly any scope. So as when we went down on marketing businesses, the people were taken out and they were reapplied in the e-commerce; so we cannot expect a basically downturn or any reduction in the staffing after the discontinuation of or decrease of marketing business. So that factor has already been taken care of. I hope I have answered.

Dixit Doshi: Yes. And last question from my side is, the sale of FSNL is basically government is doing for disinvestment purpose. So, is it fair to assume that whatever proceeds will come from the FSNL, majority of that will be used to pay the shareholders in terms of say, dividend?

Subrata Sarkar: Yes. It is quite premature, the sale is yet to take place and every quarter we are meeting you. Okay. So let it take a shape, then we will get back to you on this particular issue.
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Moderator: Next question comes from the line of Abhishek Kale an Individual Investor. Please go ahead.

Abhishek Kale: Sir, my questions- are there any timeframes that we have received from the Government of India regarding the disinvestment of FSNL because it has been in the last quarter when we spoke about that the EOIs were submitted and that part was taken care of. So when is the likely date of announcements? Could you please comment on that?

Subrata Sarkar: Yes, this is being done basically on behalf of Government of India, DIPAM, Department of Investment and Public Asset Management and basically, it depends upon a lot of factors-

the response, the approvals, etc., etc., and it is very difficult to comment upon any kind of fixed timeframe per se; when it will happen, but as and when it comes and the developments are there, we will let you know sir.

Abhishek Kale: Sir, if I may have a follow up on this, do we have any idea of the timelines or right now you will not be able to comment as to when it is likely to happen? Because you might have received some fillers from the government as to how and when this divestment is likely to take place.

Subrata Sarkar: It is difficult at this juncture to tell, because it is a process being handled by DIPAM only, okay. So as and when that approvals etc. and all the procedural aspects are there. So we will from time to time let you people know.

Abhishek Kale: Sir, the joint venture with Mahindra, right? How much; if I'm not mistaken; it has contributed very little to our top line and the bottom line. So, I mean, could you please ask/ specify exact numbers in terms of percentages and what are the plans that we have along with Mahindra, in order to have this business start contributing a bit more? Or is it not in our hands; we are solely dependent on how the government enforces those directives of scrapping old vehicles?

Subrata Sarkar: First of all, let me tell you, if you look at our consolidated financial statements. Okay. So that the figure is already there, the share of profit from the JV, it is a very; of course very insignificant figure, that we have pointed out, but you know, that you would appreciate couple of things. When a project takes off, it takes a little time to generate a fair amount of profit, right, number one. Number two, the policy has yet to take a shape and take its full form. So once when this couple of things happen, so then only the profit will start coming and it will contribute to our; of course in the group income and of course, it will contribute to our bottom line. So that is the point.

So it is all disclosed and it will take a little bit of time because until and unless this policy takes its full form and it is in full gear, the profits, high level of profits is little bit less that it will take some time.

Surinder Kumar Gupta : I will supplement it here, that after the issue of policy by the government, because this is the state subject basically, I mean, most of the states are in the advanced stages of finalization of their own policies on the line of the policy issued by MoRTH. So as and when that policy is announced, this policy invests and we say certain incentives and disincentives. So those will come on ground. Then only we will be able to make basically use the full our capacity. Presently we are working below par capacity. I mean, whatever, we have the installed capacity, we are not getting competitive enough vehicles. So as the policy gets traction in the state government, then the vehicles will increase and basically the top line for the company on MMRPL company will increase and similarly where it was in loss, so it may start making good profits.

So we are hoping that now very soon. Assam has recently announced the policy. Other governments are in advanced stage. So we are hoping that in current year number of
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Page 9 of 12 states will announce their policy and implementation will start and this business will get good traction.

Abhishek Kale: Okay. Sir, if I am correctly summarizing it, for both the questions that I have asked, the FSNL and the MSTC, we are kind of or rather we are mostly dependent on the government policy to take effect and that is when we will see movements in these two things, right?

Surinder Kumar Gupta : Yes, to some extent that is right. We are making effort from our side also. We are enga

ing a dialogue with the state government and a part from that, we are increasing our recycling facilities also in the anticipation of issue of policies. So we are quite proactive on that front.

Moderator: Next question comes from the line of Harshit Jain from RAH Investments and Advice. Please go ahead.

Harshit Jain: I would like to know in Q1, what is the kind of revenues we did from scrap business? Like last year we did INR 6,000 odd crore, what is the revenue this time?

Subrata Sarkar: INR 6,000 odd crore that you most probably are talking about the volume and etc., basically as just now pointed out by our CMD sir like, basically if you take somewhat around 40% to 50% is coming out of from this scrap business so that is the ratio.

Harshit Jain: No, I am talking in terms of number and how much sales volume we did on the scrap side in Q1?

Surinder Kumar Gupta: Around the, if you can take it is around INR 2,500 crore.

Harshit Jain: INR 2,500 crore

Surinder Kumar Gupta: Around approx.

Harshit Jain: Okay. And one more thing in investor presentation, you have mentioned that you have signed ESL Steels, Arcelor Mittal, so are we enjoying the same kind of margins, which we were used to or?

Surinder Kumar Gupta: Yes, that is for the iron ore, for Arcelor Mittal we have done it for the iron ore. We are having same kind of margins that with other iron ore sellers we were getting.

Harshit Jain: So it would have been in a range of INR 2.15 to INR 2.55?

Subrata Sarkar: No, no it keeps on varying.

Surinder Kumar Gupta: So that depends upon business to business. So we cannot give the, basically, customers to customers; it is not proper for us to diverse that kind of commercial information.

Harshit Jain: But can you give me a ball pass figure? Is it around 2% on iron ore sales?

Surinder Kumar Gupta: No, please, excuse us; we cannot give that definite figure; that may affect our business process and customers.

Harshit Jain: Sure. And one more thing would be, I was checking your website and there are certain auction OMDC, Orissa Mineral Development Corporation and some of the auctions get repeated. So can you guys, just a small suggestion from my end, that if an auction repeats itself, can you mention that it is re-auction because people get confused that you have got a new auction, but that is the same old auction?

Surinder Kumar Gupta: Okay. First let me go back to your old question. I will tell you that we have a different business model for different kind of commodities. Somewhere we charge in the range
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Page 10 of 12 of percent, somewhere we charge this like on the event charges and all that. So there cannot be any thumb rule that we charge and pricing can vary from commodity to commodity, right? So there, I mean it is very difficult. It is not rather possible to give a figure on that how much percentage we charge. This is one thing. And second that you said that whenever the auction is repeated so that is a nice suggestion, we will look into this possibility and we will try to incorporate it. Yes, that is a good suggestion you have given.

Harshit Jain: Yes, sure. Because...

Surinder Kumar Gupta: That's a good suggestion for us. Yes.

Harshit Jain: If a lot of auctions are repeated then sometimes as an investor or as a person.

Surinder Kumar Gupta: I know that is an issue I can feel that if the auction is getting repeated, we can tell the people who are interested that it is an old auction, which could not be sold.

Harshit Jain: Yes. And one more suggestion would be, can you guys also give, how much percentage of auction are getting successful on your portal?

Surinder Kumar Gupta: Pardon, How much percentage?

Harshit Jain: How much percentage of auction are successful?

Surinder Kumar Gupta: Okay. Okay. So...

Subrata Sarkar: Okay. We will think of course; you have got two good suggestions. So of course, if feasible, we can, let us see, how could we do this.

Harshit Jain: Yes. Because if there is more transparency and more fairness from your side then, investor would interest and it will be good for the company in the long term.

Surinder Kumar Gupta: Yes, we have noted it. Yes, we will see.

Harshit Jain: And my last question would be regarding Standard Chartered case. So, I just want to know that properties are attached since past 15 years. So if you guys pay INR 143 odd crore, so will our properties be returned back to us or will it be taken by Standard Chartered Bank along the money?

Subrata Sarkar: Let me tell you very clearly that this matter is subjudice and we have denied, disputed and done all the denials in the post court defense forum. So, question of paying does not arise at all and as and when this outcome of the cases are there, we will let you know, sir and we will pass it at different forums.

Harshit Jain: No, I just want to know that do we need to pay INR 143 odd crore or do we need to pay 18% interest for past 15 years as well?

Subrata Sarkar: From where we got 18% interest?

Harshit Jain: Like if income tax penalty is...

Subrata Sarkar: Can I have that document or so some kind of...

Harshit Jain: I'm just asking you that.

Subrata Sarkar: From where, I could not...

Harshit Jain: I am just asking you.

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Page 11 of 12 Subrata Sarkar: Anyway to be very precise on this particular issue, this is subjudice, it is, will the outcome of the court that will decide whether we have to pay or we do not have to pay. Right now, we have denied and disputed and for us, from our side, it is not payable.

Harshit Jain: So maximum outflow will be INR 143 odd crore, right?

Subrata Sarkar: Again, I am telling you again, I'm telling you, right. It is subjudice, it is a matter of the court. So I am restraining myself for commenting on this because we do not, we are saying it is not payable, a single penny is not payable on this account and we have denied and dispute the full amount.

Moderator: The next question comes from the line of Pradeep Jalui, an Individual Investor. Please go ahead.

Pradeep Jalui: Hi. So my question is regarding the cash equivalents which the company has, right? So it is almost around about 50% of the market cap right now. So is the management thinking of doing share buyback right now? And if not basically what is the cash utilization going to go towards going forward?

Subrata Sarkar: I mean, right now we have not published our balance sheet. It is not in the public domain for this quarter. So let us discuss it about in the month of September, sir.

Pradeep Jalui: So, yes, so from basically the March quarter, obviously we have the balance sheet, right? So it's more than INR 800 odd crore.

Subrata Sarkar: We will, of course come to your place and we will reply to your question in the month of September, when our balance sheet will be there and when fresh assessment of the cash and cash equivalent is there. Of course we will reply and what we are doing with our cash.

Moderator: The next question comes from the line of Keshav Garg from CCIPL. Please go ahead.

Keshav Garg: Sir, I wanted to understand that since we have competition from GEM portal and you had mentioned in one call previously that ITI and one more company is also basically doing the same kind of business that we are doing auction or making software for auction. So basically, sir what is the competitive scenario, like, are you seeing more participation by these competitor

s in, let us say, auction of bank properties or coal mine, or telecom spectrum auction, are these parties also competing with us over there?

Surinder Kumar Gupta: You see, it is not that these are entities except GEM. GEM has come couple of years back. Most of the entities whatsoever are the players in e-commerce we are always in competition with them and we are basically with the trust, people have put in our capabilities. The government sector, as well as now you are seeing that private sector people like Arcelor Mittal and Reliance and ESL, Indus Towers all these people are giving business to MSTC despite all the competition.

See, I mean, in the competitive environment also, we have survived and MSTC has grown. This is one thing. And we hope to continue our growth trajectory and provide the robust services and what we say, we pay you the best value. Whatever scrap or any product the people are offering us, the government agency as well the private agency because we offer them the best price. If somebody is selling iron ore, our portal vis-a-vis our competitor's portal, so the price they are getting worth the basically, so that they get the best price that is why they come to us. So we operate in competitive market. That is one thing.

Second, some of the projects like mines auctions that is given to us by Government of India. So, that is a sure kind of business as of now, because there the MSTC like this mine auctions, there are some of the business which are basically given to us on nomination basis, there is no competition. For other majority of items, there is

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Page 12 of 12 competition, but we are surviving because of our good services and we have a large outreach, where our bidders community is very large. So that is why we are able to give very good prices. So we do not have such fierce competition and we hope to survive and grow in the competition and that is how we reward is all about it is.

Keshav Garg: Sure, sir. And sir, also, would you like to give us some idea that where are we in terms of penetration, that if you take scrap, only then we are doing mostly steel scrap. So, how many large size PSUs are there, which still now we are not catering to or we are in talks or there are chances that in future, we might start offering our services to them similarly in the private sector? So similarly, let us say for medical waste or for many other scrap items since its ongoing generation of scrap, so can we be some kind of an aggregator?

Surinder Kumar Gupta: You see, I only partially agree with your statement. It is not only ferrous scrap on MSTC platform, we sell each and everything. I mean, it may be human hair, it may be non-ferrous, it may be aircraft. It may be aluminum, it may be batteries. So it is all kind of scrap whether it is ferrous, whether it is non ferrous, whether it is the commodity, so all kind of things are being sold on our platform. And another thing I would like to say that we are continuously engaging all our branches are there spread across the country. They are continuously engaging with the stakeholders, the government sector, the public sector there, the major private sector there and we are increasing our outreach and we are entering new and new MoUs with various principles. So that is why we have grown all these years by adding more number of sellers on our portal and we hope to maintain that growth factor and add more number of important customers.

Keshav Garg: Sir sometime back, you had mentioned that we have got into some kind of agreement with MIDC or basically industrial development corporations of states to dispose off their scraps. So any progress on that front and how many states have we signed such kind of agreements with

that and what is the scope for future?

Surinder Kumar Gupta: We are still, we have done it with Daman, so there we are now with that experience, we are engaging with other state governments, but still we have not finalized any other agreement and we are basically pressing upon the governments also to help us in that

regard. So, as and when something major happen, we will definitely inform you.

Moderator: As there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Surinder Kumar Gupta: So thank you everybody and all our investor community who have spared their time to participate and listen to us very patiently. From the management side, we can assure you our investor community, that your investment is in safe hands and we are striving hard. Our small team of 300 people is working hard for the growth of the company, so that our investors get good returns of their investments. So that is what we believe that will happen. That is happening also. We are more than double the IPO price and we are hoping to gain further traction. Thank you.

Subrata Sarkar: Thank you all that is all from our side, sir.

Moderator: Thank you. On behalf of Equirus Securities Private Limited that concludes this conference. Thank you for joining us. You may now disconnect your line.

Call: Nov 2022

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MSTC LIMITED

(A Govt of India Enterprise)

CIN : L27 320WBI 964GOI0262lle-assuring

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1. The Dy.Manager (Listing)

BSE Limited

Phi rozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 5425971

Dear Sir/Madam,14th November,2022

2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCLTD)

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/Analyst on Wednesday, 9th

November, 2022 at 12:00 PM IST. A copy of transcript of conference call held with the

Investors/Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Enc: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office : Plot No. CFldlz, Street No. 175, Action Area IC, New Town, Kolkata-700t56 \ry.B.

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"MSTC Limited

Q2 FY '23 Earnings Conference Call"

November 09, 2022

MANAGEMENT : M R. SUBRATA SARKAR – DIRECTOR OF FINANCE –

MSTC LIMITED

M R. AJAY KUMAR RAI – COMPANY SECRETARY –

MSTC LIMITED

MODERATOR : M R. ANSH MANEK – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the 2Q FY '23 Earnings Conference Call of MSTC Limited, hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance, during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ansh Manek from Equirus Securities. Thank you, and over to you, sir.

Ansh Manek: Thank you, Rutuja. Hello, everyone. On behalf of Equirus Securities, I welcome you all to Q2 FY '23 earnings conference Call of MSTC Limited. From the management, we have with us today, Mr. Subrata Sarkar, Director of Finance; and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks on the management and then we can open the line for questions and answers.

I now hand over call to Mr. Subrata Sarkar. Over to you, sir.

Subrata Sarkar: Very good afternoon, dear investors, and happy Dasara and Diwali. So, it is all along the results you have already, I think, it has been published and you are all aware of the results. So the result, what I want to say it is two basic highlights. One, as promised earlier, it is based on the like E-commerce-driven growth, number one, and number two, of course, as E-commerce earnings are on a steady path right now, as we compare with the quarter one. And if we compare H1 of earlier year, of course, it is a very, very good robust growth that can be seen by the numbers itself. Now I'm going to the details of the results. So, if you go by the revenue part, so the revenue has, of course, dipped a little bit from INR 312 crore to INR 277.25 crore. And particularly it's Marketing i.e. INR 176.36 crore to INR 92.40 crore. E-commerce of course has gone up from INR 124 crore to INR 167.70 crore, a robust growth of 35% and others has also gone up a little bit. So...

Moderator: I'm sorry to interrupt you, sir, but you are not clearly audible.

Subrata Sarkar: So, right now, is it audible? Okay. So, again, I repeat that the total revenue has taken a little bit dip, but basically due to the Marketing i.e. from INR 176.36 crore to INR 92.40 crore, that is a dip by around 50%, which is in the expected line as we have commented earlier also.

And the E-commerce, there is 35% growth from INR 124 crore to INR 167 crore. And others, of course, has a insignificant role in this whole episode. So, EBITDA has grown from INR 102.44 crore to INR 225.83 crore at a robust growth of 120%. Provisions and write-offs and that's almost not there and profit before tax has gone from INR 83.23 crore to INR 145 crore and PAT from INR 52.59 crore to INR 115.32 crore, a growth of 119%. And cash profit has also gone from INR 69.39 crore to INR 196 crore, a growth of 182%.

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If we go by the segmental part, so total value of goods traded at MSTC's ecosystem is INR 919.62 billion as compared to previous H1 of INR 710.36 billion, a robust growth of 30% of revenue traffic. Goods traded traffic. And accordingly, it is reflected in the profit part also. If we go by the Group part also, the revenue has taken a dip of around 7% from INR 501.92 crore to INR 463.72 crore.

And of course, the Marketing has gone down, as was explained earlier. And Scrap and Allied Recovery Jobs, which is basically a part of our subsidiary group company, FSNL i.e. Ferro Scrap Nigam Limited, it is on a flatter trajectory from INR 201 crore to INR 203 crore, which is almost on a flatter trajectory. So PBT of the Group as a whole has gone from INR 99.44 crore to INR 154.53 crore. And PAT, of course, has almost doubled from INR 61.85 crore to INR 1

17.96
crore.

So summary, PL statement are also enclosed. So, this is all about our financial performance. And so far, I would like to add like we are trying our level best to diversify in the field of E-commerce and trying to work on two-pronged strategy; trying to strengthen our existing business lines of scrap and others and going to diversify in others. So with that, we expect that the third quarter will also could be going on the same philosophy and same path.

Thank you very much. I hand it over to you.

Moderator: The first question is from the line of Dixit Doshi from Whitestone Financial Advisors.

Dixit Doshi: Congratulations on a good performance. My first question is regarding the standalone numbers.

So, there is other income of INR 103 crore and there is a provision and write-off of INR 77-78 crore. So, is there any correlation? And what is this regarding both, if you can answer for both the entries?

Subrata Sarkar: Thank you, Mr. Doshi, for your kind words and the praise for our results. So, you're absolutely right. I say a very, very experienced reader of the financial statement, it is absolutely correct. So, we had made around INR 77 crores of write-off this quarter. So, it is appearing on the both side, Provision no longer required written back, as it is part of the other income and the same charging into profit and loss account as a bad debt written off. So, it is setting off. So, nothing to do with our profitability. So, to be very precise and clear. Only a miniscule amount of INR 0.95 crore,

that is, almost if you can take it as INR 1 crore has been made a provision against the bad debt. So, that era of making provisions for bad debt is over right now that we can say, as of now it can persist.

Dixit Doshi: Now if I net off the INR 78 crore provision, despite that, our other income will be, let's say, if I remove INR 78 crore from INR 103 crore, still our other income is almost INR 25 crore. So, does that include any other one-off or that's a pure treasury income or something like that?

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Subrata Sarkar: So, basically, if you see, it is basically investment income and it is basically some dividend we have received from our subsidiary. So, it comprises of both. So, that is there.

Dixit Doshi: Now my second question is, so I'm asking through standalone numbers only. So, our trade receivable is now INR 350 crore. Can you just break this up into marketing business and E-commerce business?

Subrata Sarkar: So it is basically the old trade receivables. Am I audible?

Dixit Doshi: Yes.

Subrata Sarkar: So, that's INR 300 odd crore, that is our trade receivable that we have our E-commerce trade receivables fixed at around INR 60 crore, balance pertains to marketing, but maximum of this is backed by 110% BG, almost 99.9% is the sales and requires no provision that much we can tell you, sir. It is basically, maximum is backed by 110 % BG and other things i.e. others and associated model. So it requires, as of now, no provision, and we do not envisage any provision against this trade receivable, except from the E-commerce, where a miniscule has been made that I mentioned to you earlier. So, that is there, sir.

Dixit Doshi: Now my third question is also regarding the balance sheet. So, on the liability side, we have two big items. One is INR 145 crores of trade payables and INR 909 crores of other financial liabilities. So, what is both this comprised of? And if you can break that also in terms of marketing and E-commerce?

Subrata Sarkar: So basically, the trade payables maximum is marketing. So, we have got a both sides, trade receivables and trade payables in the associate model. Already, we have explained that here also.

We have got an agreement with our creditors that once we receive it from our debtors, we will pay them. It's a back-to-back arrangement. So, it is like that. So, once

it has got nothing to do

within our PL part. We cannot write it back or we cannot write it off from the ledger also. So, it has got nothing to do with our profitability. Balance, certain payments are coming and going like post office and all these things. So, the balance is that type of liability. So, it has got nothing to do with our profitability as such. So, that much we can assure you sir.

Dixit Doshi: And about this INR 900 crores of other financial liabilities?

Subrata Sarkar: So, these are the certain payables that are there we have collected and generally, it is a temporary phenomena which on a particular balance sheet, it remains. So, it will go off and come in like that. So, it has nothing to do with our profitability and trading business.

Dixit Doshi: But that's also include majority from the marketing business?

Subrata Sarkar: No, it has nothing to do with it. The majority is not for the marketing business. It's basically, it is around INR 78 crores around audits for some other things. But basically, it is not from marketing business. You can see that our annual report. I would like request you to see our

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annual report where the total is anyhow our breakup is there and nothing major has changed out of that as on 30th September, sir.

Dixit Doshi: One last question, so, let's say, this trade payable of INR 145 crores and INR 900 crores of other current liabilities, that's around INR 1,050 crores. And on the asset side, we have a INR 350 crores receivable. And also our cash balance is more than INR 1,000 crores, almost. So, if I net it off, is it fair to assume that our own cash, not against the advances or not against any payable, but our own earned cash is almost INR 300 crores, INR 350 crores?

Subrata Sarkar: So, that's a matter of mathematics, you can yourself calculate it, we are not in a position to check that at the moment. But when you have checked, and the mathematics comes out of that, so we have nothing to say. We have disclosed everything in the balance sheet.

Dixit Doshi: And one last question. So, how do you see the momentum of e-commerce business from last couple of quarters, we are doing INR 80 to INR 80 crores plus revenue. How do you see the momentum going forward? And is there any highlights? Because this time on the presentation, we have not given any highlights like we usually give that which are the major project behind that?

Subrata Sarkar: Basically we thought that whatever we did we did very good, that this numbers are telling, but you see it is basically the events that were repetitive in nature. So, that's why we thought let us not repeat that every time, same type of things in the presentation. That's why we skip that thing. And basically, that momentum is there as we can see from the figures. And so long as that atmosphere, industrial atmosphere is also picking up. So, we expect that e-commerce oriented growth may sustain, it may sustain which, of course, that is very difficult to say for the last quarter and all. So, coming quarters also, the momentum may be maintained.

Moderator: The next question is from the line of Harshit Jain from RAH Investment and Advisor.

Harshit Jain: First of all, many congratulations for great set of numbers. So, my first question would be regarding, in this particular quarter, we can see that there is a decline in the employee cost from Q-o-Q basis and on a Y-o-Y basis. So, can you please clarify? And will this be the same run rate going forward, INR 18 crores to INR 20 crores per quarter?

Subrata Sarkar: Jain, what is happening over here. So, if we take like it is a very miniscule decrease so it is not around even tune of INR 1 crores. It is not even in percentage is per se. So, it's keeps on little bit of fluctuating. But if we can go by the H1 basis, H1-to-H1, of course, the last quarter, that last H1 was marred by COVI

D. And we had to spend lot of money on health issues of our employees.

That was important at that time. So, that was some kind of expenditure that we made. So, but you see that around what we have told right now, if you see our total overhead, if you compound it on an annualized basis, it will be in the range of INR 100 crores-plus, around INR 100 crores.

So, we know, with this employee kept we will be able to meet around INR 100 crores, around of MSTC Limited

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overhead this way. That may lead to sometimes INR 1 crore less, sometimes INR 2 crores plus, that way.

Harshit Jain: And my next question would be regarding our Marketing segment. So, can you please provide a guidance that how much will be your Marketing segment on a quarterly basis going forward? Because last quarter, it was around INR 10 crores and this quarter because of provisions and entries, there is no clarity. So, what will be the growth rate going forward?

Subrata Sarkar: Marketing, you see, we have already tapered down on ly our one segment 110% BG backed business is going on. So, that is the force cut and that is a philosophy that is the thing that we are maintaining in the near future, we are not going to have this kind of risky business. And the second thing that we told about the provision. So, it is not the provision. We have made a provision of only INR 0.95 crores, that is INR 95 lakhs only.

It's a very miniscule, not in the marketing division. It the old e-commerce receivable. So, it is on both sides. It is on the other income side, and we basically, have written it off. And what you can see that we have taken a tax advantage. The tax is a little bit low. By writing it off, we have taken the tax advantage of that. So, Marketing now, of course, is a very-very least priority segment in our company. So, we are now focusing on the e-commerce right now, as the outlook is there.

Harshit Jain: And my last question would be regarding our e-commerce segment. If it's possible, can you provide a little bit guidance that what is the kind of percentage growth we are targeting in this current financial year for e-commerce?

Subrata Sarkar: So, you see that, what you can see from the market and the overall thing, there, although we are on a flatter trajectory so far income is concerned. But you see, as a perspective, we see it as a growth because you see, the prices which are scrap and other things have gone down. So with that pressure, we have maintained the same revenue level. So, that is the goal, Number one. Number two, we see that there will be a constant competition and there will be a price pressure. And of course, that will have a bigger impact on our growth number. So, we are trying our level best, but we feel that we can maintain the trajectory as I said earlier in the another question also. So, we can maintain this trajectory so for current quarter is concerned. But the retail market as you are all aware, how it happens we do not know. The world is now interrelated. So that is there.

Harshit Jain: So, around INR 80 crores to INR 90 crores per quarter?

Subrata Sarkar: Now it is a constant first quarter, second quarter will make it. So, we are expecting that it may happen in the third quarter. But what about fourth quarter I mean it is very difficult to say because longer predictions right now is a very difficult proposition. But of course, we have time and we hope that e-commerce oriented growth is driven in this company.

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Moderator: The next question is from the line of Srinivas Reddy, an Individual Investor.

Srinivas Reddy: This is regarding the other income. Earlier, we had also gone through this cycle of abnormal increase in other income. And then that obviously is continuing. When can we hope that there is a normal business income will overcome that abnormality of the other income rising part at least

the next few quarters, we can expect a regular trend, non-linear growth we are seeing right now, but the regular income? Yes. So when can we expect the linear growth for our company from the business growth, actual business growth excluding the other income part?

Subrata Sarkar: So, let me clarify you, sir. So, you see that, if you can deeply analyze our financial statements, standalone or consolidated whatever maybe you are looking at. So there is, of course, other income, but there you see the provisions and write-off. It is basically a compensating entry of around INR 77 crores that we have written off this quarter, which is appearing on the top and this is appearing in the bottom, it is just basically an accounting entry.

It has nothing to do with the profitability. We are writing on our operational part only. And if you can see from that operational income, operational part, let me explain you clearly, if you can see I'm just explaining one quarter, H1 only, if we can see that, H1, let me explain you for you.

So, if you see that our revenue from operation this H1 is INR 163.3 crores, it is standalone basis, okay. And if you reduce the INR 70 crores part from that other income, the other income is INR 43 crores. And total income is around INR 200 crores, and if you reduce the overhead of INR 50 crores. So, PBT and EBITDA comes to around INR 150 crores. And after provision, it comes to only INR 148 crores and profit before tax is INR 145 crores. So, you see that INR 145 crores, mainly is derived from INR 163 crores minus INR 130 crores is coming out of INR 145 crores. So, you just rethink and go through it sir. My submission is like that we are earning from our operational part, other income are separate to this and we are not dependent upon that. And that to other income comprises mainly of the dividend. So, we are not basically dependent. We are earning out of our operational income. And from INR 145 crores, we have earned and if you reduce the expenses around INR 53 crores and INR 50-odd crores, so INR 110 crores. So, almost 70% is coming out of operational income only, sir. So, you please, I mean, go through it, my humble submission, so that it will be very clear to you, sir, on a deeper note. So, we are on the operational income part only, sir.

Srinivas Reddy: Regarding this future prospects for that company momentum of mix of e-commerce business versus our marketing, what is the ratio you are expecting? Present ratio to continue? Or you are expecting e-commerce to increase or marketing to increase in the future?

Subrata Sarkar: Let me tell you and let me make it very clear right now, the philosophy of the management is not to have any, expect any growth in the marketing. Only we are hurting on the scrap segment, 110% BG segment, that is also getting very miniscule, very miniscule. So that is there. And so

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far, we as concerned, e-commerce, our main thrust is right now on the e-commerce, and we'll keep on going through that e-commerce business only.

Srinivas Reddy: One more request, sir. Regarding the change in this result date and this con call date, sir, your - the last two, three occasions, you are changing this thing frequently. Please make sure that these things are not going to happen in the future. So, sir, we are missing out on these things, because for that.

Subrata Sarkar: First of all, we seek our sincere apology to our investors. You are our earliest one of the investor that we have, regularly, but sir, you will appreciate that right now, our CEO is unable to attend the con call because of business reason only. He is attending an NITI Aayog, busy on certain things, that is good for our business. So, like it is happening some while frequent and we have got government nominee Directors and we lot of, we have lot of diversified field from where the Directors are

choosing. So, sometimes these type of problems occur. So, we hope that it will not occur in a frequent manner.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investment Managers.

Pritesh Chheda: Sir, could you help us know what is the scrap volume trajectory volume growth Q-o-Q, Y-o-Y?

Subrata Sarkar: So far, the scrap volume is concerned, we are basically if you ask me, so H1-to-H1, if you see we are on the higher path. And quarter-to-quarter also, we say on the flatter trajectory because the rate of the scraps are a little bit now cooled, scrap, iron ore that, as you can see from the market. So, with the same amount of disposal, we are having same around. So, it is on a flatter trajectory, nothing significant. So far, these volumes are concerned.

Pritesh Chheda: Sir, has scrap volume grown in on a Q-o-Q basis or it has not grown on a Q-o-Q basis?

Subrata Sarkar: Of course, it has not grown. I'm saying, flatter means, it is not growing.

Pritesh Chheda: And has it declined? And how much has it declined?

Subrata Sarkar: So, that particular figures are generally not captured in our accounting system. We go by the income. So, income almost approximately that figures are available with us. So, almost the same trajectory, almost on the same trajectory.

Pritesh Chheda: For scrap income is flat Q-o-Q?

Subrata Sarkar: Yes, it is flat.

Pritesh Chheda: So, there is a fall in the scrap realization then volume should have gone up, right?

Subrata Sarkar: Of course.

Pritesh Chheda: You do not have the scrap volume for H1, right, handy with you.

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Subrata Sarkar: Handy, but we do not capture firstly, because the financial system captures certain billing and all these things. So, it is basically that way, so we just make a rough estimate come out of that.

So, with that calculation I can tell you that the income is on the flatter path, but I would say it is a growth, because prices have gone down and we are trying to be on the flat trajectory. So, of course, it is a, I would take it as growth.

Pritesh Chheda: So, what percentage of our revenue now is scrap revenue?

Subrata Sarkar: It is almost what we have told earlier. I think almost more than 50% we are deriving it from the scrap.

Pritesh Chheda: So, if it is more than 50%, then it has gone up from 44%, 45% to 50% now?

Subrata Sarkar: No. Others, we have got other segments. Now, right now, we have diversified into a lot of segments, not only scrap. We have got our mineral blocks, we have got our linkage auctions, we have got our coal auctions, we have at our iron ore auctions. So, a lot of happenings are going on. New happenings are going on. So, it is a lot of things. We cannot survive in an environment only through depending upon the particular segment. So, I'm trying to tell here, which is everything what is available to it.

Pritesh Chheda: Sir, I am specifically asking about scrap sales. What is it as a percentage of revenue now? I can understand that mineral block and all, which go either in e-procurement or it goes in e-sales, right?

It's not a part of scrap sales perfect. I am looking for what is scrap sales now as a percentage of revenue. And has it gone up?

Subrata Sarkar: Again, I'm repeating, when you are saying I'm repeating, it is on the flatter trajectory and percentage is around 50% to 60% going on. It is the revenue only, and it is on the flatter trajectory, it has not increased on a quarter-to-quarter basis, of course.

Pritesh Chheda: And on Y-o-Y? I'm asking on Y-o-Y?

Subrata Sarkar: Y-o-Y. So, Y-o-Y, of course, scrap has gone up because it is growth of around 20% to 30%.

Pritesh Chheda: And what is the progress?

Subrata Sarkar: H1-to-H1, if you compare from H1-to-H1, it has gone up.

Pritesh Chheda: That answers my question, sir. What is now the private business as a percentage of our e-commerce business now? So, we u

sed to be 90% government or more than 90% government-dependent.

Has there been any progress on the private business?

Subrata Sarkar: No, we are steady with that. So we are steady with that only. We have got good clients in the private. So right now, there the diversification will happen because that Iron Ore is now open.

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So, we have tried to go in private players. So, from next quarter onwards, that ratio will obviously change. A little bit increase in the ratio of course will be there.

Pritesh Chheda: So, what happened with those MOUs with Larsen and Reliance and all which we had announced and they had talked about certain scrap to auctioned from...

Subrata Sarkar: We have not, I mean more private clients than names. So right now, we have got an opportunity and we are trying to rope in certain private miners so that we can sell their produces.

Pritesh Chheda: When you are saying that you will maintain your top line on a Q-o-Q basis, are you seeing even more visibility on scrap volumes because the scrap prices are continuously coming down?

Subrata Sarkar: So, again I'm telling you like that I already explained, yes, you are absolutely right, the scrap prices are coming down. So, we are trying to get some other business also in the mineral sector and other sectors also. So that way, we are trying to maintain our e-commerce steady income.

That's why there's no growth. It is in a flatter part. So, as far as Q1 and Q2 is concerned.

Pritesh Chheda: Sir, lastly, in our e-commerce business, I know what scrap sales, which is purely linked to the revenue number or the scrap realization number, right? You have another business within that, which is called as e-sales. Is e-sales a fee-based business or e-sales is also linked to certain revenue

number or milestone number or it's just a fixed fee business?

Subrata Sarkar: First let me explain it is basically a mix of technically. Some kind it is milestone base, some places, it is event-based, they get a fees, fees based that you rightly said and some place like scrap where we get income as per the outcome of the auction. It is a mixed bag but maximum thing which is growing right now is basically on a fee base or event based.

Pritesh Chheda: In the e-sales business, right?

Subrata Sarkar: Right.

Pritesh Chheda: So, your entire fluctuation in number in revenue has to do with scrap sales and scrap realization and scrap volumes, right?

Subrata Sarkar: Not necessarily, sir, if you are talking only about the financial terms. I'm looking it as a business term, so, you know, if I say supposedly, I say more business is scrap, I would tell you our prices, we can have a good volume. On the vis-a-vis, if we go to that e-comm or e-sale business, where we can get more business with more fees, we can compensate that. So, like these are the two, I mean, parts. So, these fluctuations can happen at any segment. It can happen in the infill also, it can happen with the scrap also. It is of course in a fluctuating environment. But what we can see from the trends that we are able to maintain the same trajectory in the last three quarters.

Pritesh Chheda: Lastly, have you formalized your dividend payout plan now?

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Subrata Sarkar: Formalized means we have got a dividend policy backed by the guideline, it is 5% of the net worth or 30% of the PAT, whichever is higher. So, we are sticking to that, last year also, it is a minimum of course dividend. So last year also, we had the same dividend and doing our thing. And this year, this first interim is on the path. So, that is the policy we follow, the DIPAM guidelines.

Moderator: The next question is from the line of Parimal Yash Mithani from Credential Investments.

Parimal Mithani: Congratulations on good set of numbers. So, I just wanted to know about the provisioning, you have provided

as well write back. So, is it safe to say that you are done with the more of the provision than the write-backs now and the book is clean?

Subrata Sarkar: Sir, could you repeat your question? I was not able to get you.

Parimal Mithani: Sir, in the cash flow, you've done a write-back of INR 88 crores versus bad debt write-off of INR 76 crores. So can you explain that in the first half? And is it safe to assume that most of the write-offs as well as write-backs have we done with?

Subrata Sarkar: Sir, first let me explain you about the both side entries, which is common, like INR 76 crores and INR 79 crores, both are common. It is compensating entries for this probably taking the benefit of the tax. So writing off, provision no longer written back and writing off. And balance is, of course, we have realized a little bit of money in this H1 from the previous provision that we made in the marketing, of course that is very miniscule. So, that's the thing. So but if you can see that the net result is plus only, not a minus. So, that is, yes, No.1. And No.2, this provisioning part, of course, we have gone away with that and there will be very-very miniscule thing, a normal in a particular business.

Parimal Mithani: So, can you give what will be minimum amount will be if you can provide that for your contingency that's a fair estimate for us to know.

Subrata Sarkar: Pardon, sir.

Parimal Mithani: You said there will be a little provision there. So can you give an estimate around, what last year, you have done almost INR 228 crores, sorry, INR 280 crores, INR 260 crores of provisions?

Subrata Sarkar: Again, you are not able to understand. That's the major part was that both sides entries. You see that there was debit, there was other income and there was a provisioning. If you minus that, the last year figure, last year around figure will be INR 50 crores, INR 60 crores and odd. So, we will not repeat that figure that we are repeating, keep telling. So, we maximum in this quarter, we have made a provision of only INR 95 lakhs. So that is there.

Parimal Mithani: In terms of second question, can you give figures in terms of e-commerce, how do you see going forward the next three years to five years?

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Subrata Sarkar: Sir, the basic phenomena is like that we depend upon the market on the two things. No. 1, for scrap disposal how the industry performs. So, here that although the industrial growth and output has increased, but the scrap prices are not coming up. It is going down. So, we expect actually although we generally we made scrap generation, but there will be a lesser realization. So, in some businessmen, they are also complaining, they are also holding up the scrap. So, it will be

for better prices in the future. So, it will be a better trajectory and other segment also. So, we feel that it will be a better trajectory in the coming third quarter also.

Parimal Mithani: And sir, can you provide the company's cash as of 30th September on the balance sheet?

Subrata Sarkar: Pardon.

Parimal Mithani: The cash that belong to the company as of 30th September?

Subrata Sarkar: 30th September that we have disclosed in the balance sheet, sir, it is there in the balance sheet.

Parimal Mithani: Net cash I'm talking about. Net cash that is available, sir, if you can give that.

Subrata Sarkar: Net cash isn't there. Minus the liability is the net cash available. And you see that basically, if you see that our net worth, it is a INR 584 crores now right now, we are there in the H1, and if you go by, if you would compare with we are almost net worth are backed by taxes. But we have to do the mathematics. Right now, I'm unable to do the mathematics for you because it is cash balance is around what we can see, around INR 900 crores, there is a liability, there is something. So, you can still well spell out from the

re, sir.

Moderator: The next question is from the line of Mayur Patwa from Sahasrar Capital Private Limited.

Mayur Patwa: Sir, I have only one question. In your consolidated balance sheet in the segmental results, you have shown INR 26 crores as un-allocable expenses. Whereas in the standalone, it's not there.

So, what is that? What expense is that?

Subrata Sarkar: That relates to, if it is in consolidated, that relates to our FSNL business, sir.

Mayur Patwa: FSNL, but FSNL has actually shown operating profit of INR 12 crores.

Subrata Sarkar: Yes. That can be there.

Mayur Patwa: Was there a profit or...

Subrata Sarkar: Expense wise you are talking about un-allocable?

Mayur Patwa: Yes, un-allocable. So on FSNL, you have given INR 12 crores operating profit.

Subrata Sarkar: I'm here with the consolidated results, first, your segment revenue and segment tax. So, where you are coming out with the expenses?

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Mayur Patwa: In your segmental results, in your segmental results in the consolidated side.

Subrata Sarkar: Unallocated INR 26.78 crores. Okay?

Mayur Patwa: So, what is that?

Subrata Sarkar: Just a minute. And you see the standalone, let me have the standalone figures. The standalone, it is INR 26.82 crores to other, unallocated, correct, right?

Mayur Patwa: Correct. INR 8.87 crores. I'm looking at segment profit before tax.

Subrata Sarkar: You see what happens here, you see the trend over year, so, over the year, what happens, our salary, wages and certain overheads cannot be allocated between the marketing and the e-commerce segment. So, that's why it is unallocated part is shown there only, nothing else. If you see in totality it matches. So, in the coming days, when that marketing segment will be wiped out, so this confusion will go away and everything will be dedicated to e-commerce. So, this type of confusion will not also be there with you.

Mayur Patwa: So, by when you think this marketing segment will be wind-out?

Subrata Sarkar: So, it is not in our hands. So long as we have made a very stringent business condition like getting, we are doing only piggybank transactions. So, so long as this comes in, we will not deny. But once it is fizzled out, we will not go for further ventures, which is all only that bank guarantee that we will do.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors.

Dixit Doshi: Sir, one question is, so regarding this marketing business, a couple of years back when we started reducing that business, we were of the opinion that we will discontinue this business. I understand that now whatever we are doing is 100% BG backed business. But are we going to discontinue this as well? Or we will do this 100% BG backed business?

Subrata Sarkar: Right now, sir, right now, we have a mandate like and we are doing with 110% BG. So whatever it goes on. So, it is a very safe and sound and time tested. So, we are not in averse of doing, discontinuing with this business. Of course, it is in a very-very small segment. And our whole focus is on, of course, e-commerce. So, if it comes on its own, we will not deny, but in fact 110% reserve.

Dixit Doshi: And is it fair to assume that, that business will not lose any money?

Subrata Sarkar: Right now, the trend is like that and we have it is backed by BG, you can see in the BG. It is one of the most secured instrument that at least in the Indian financial system do have. So, we have taken that. So, that is our way, that and let us hope and we are very much hopeful that scheme will not lose any money on that with this type of security.

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Dixit Doshi: And lastly, on the FSNL stake sale, any update you can give? Like will that happen this financial year or anything you have update?

Subrata Sarkar: Basically, you see it has been ha

ndled by DIPAM, s o under Ministry of Finance. So, it will all depend how the progress happens, it is all factors. So, they are handling all these things. So, we are only facilitating the whole process. So, it is very difficult right now, sitting today itself so t o tell, that what will happen this year or next year. But if anything substantial happens, of course, we'll get back to you. So hopefully, in the next qu arter, when we meet, we will be able to throw some more light on this particular issue.

Moderator: The next question is from the line of Harshit Jain from RAH Investments and Advisor.

Harshit Jain: My final question would be regarding the DRAT case , which is scheduled to auction our properties on 14th of November. So, any update you want to share with all your stakeholders and investors?

Subrata Sarkar: Sir, we hope by today is the order date. So, we ho pe that we will get the order by this evening. So, we will be uploading that in the website, sir. We are waiting for that order.

Harshit Jain: So, any update you can share right now?

Subrata Sarkar: Right now, it is very difficult to share because u ntil unless the order is getting, I have been told that order will be uploaded very soon. Just people are waiting there. So, it is there, we will certainly keep you apprised, sir. It's very importa nt thing and we will certainly update immediately to the stock exchanges.

Moderator: As there are no further questions from the partici pants, I would now like to hand the conference over to the management for closing comments.

Subrata Sarkar: Thank you all. It was a very interesting and learn ing session for us. So, we tender our sincere apology that our CEO could not attend this importan t investor call because his other meetings with the Ministry. So, we hope that you will keep o n reposing faith on the company. Thank you very much.

Moderator: Thank you. On behalf of Equirus Securities, that c oncludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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DearSir/Madam,

Sub:Transcript ofConference CallwiththeInvestors/Analyst

TheCompany hadorganized aconference callwiththeInvestors/Analyst onMonday, 13"

February, 2023at12:00NoonIST.Acopyoftranscript ofconference callheldwiththe

Investors/Analysts isenclosed herewith foryourinformation andrerecords.

Copyofaforesaid transcript isalsohostedoncompany's websitewww.mstcindia.co.in.

Thanking you,

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(AjayKumarRai)

Company Secretary &Compliance Officer

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"MSTC Limited

Q3 FY '23 Earnings Conference Call"

February 13, 2023

MANAGEMENT : MR. SURINDER KUMAR GUPTA - CMD

M R. SUBRATA SARKAR – DIRECTOR OF FINANCE

M R. AJAY KUMAR RAI - COMPANY SECRETARY

MSTC LIMITED

MODERATOR : M R. ANSH MANEK – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to th e MSTC Limited Q3 FY 23 earnings Conference call hosted by Equirus Securiti es. As a reminder all participants are in listen only mode, and there wil I be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signa l an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Ansh from Equirus Securities. Please go ahead, sir.

Ansh Manek: Thank you. Hello, everyone. On behalf of Equirus Securities, I welcome you all to Q3 FY23 Earnings conference of MSTC Limited. From the management we have with us today Mr. Surinder Kumar Gupta, Cha irman and Managing Director, Mr. Subrata Sarkar, Director of Finance a nd Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with rema rks from Management and then we can open the line for the question and answer. Now, I hand over call to Mr. Surinder Kumar Gupta. Over to you sir.

Surinder Kumar Gupta: Good morning, everybody. All our investors who are present in investor call. Your company is doing very good and the performance is also satisfactory. overall performance for three quarters of current financial is better than the last financial year. Our total revenues have grown from INR 185 Crore to INR 202 Crore, I'm talking about the standalone basis and our profit also before tax has increased from INR 142 crore to INR 206 crore. In e-commerce, the company is increasing its footprint and trying to add in more customers. One very good development that has taken place which will benefit MSTC in two ways is about the recycling sector. Government of India has issued a notification that all vehicles, whether the central government, state government, Panchayat or any public sector units, vehicles which are older than 15 years will be compulsorily de-registered and those vehicles will be sold on MSTC portal only. So this will give us good market for the MSTC for sale of ELVs. Apart from that, our joint venture company MMRPL, which was working below capacity because of the non-availability of end of life vehicles, those units will get sufficient feed stock for processing, so I'm sure this development will benefit MSTC directly in their e-commerce revenues as well as it will benefit our joint venture company MMRPL to have more vehicles and not only break even, but even earn profits in the next financial year. So, this is one very positive development for us. Another thing that investor community is always anxious just to know about the FSNL. So, I want to inform all that the disinvestment process, which is being carried out by DIPAM is progressing well and now it is basically having at very definite level and number of meetings have been held and DIPAM wants to close this deal as soon as possible. So could be in next quarter or next to next quarter you will get some news on that front. We are not still sure about the timelines that the total process is being steered by DIPAM and we are giving

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them all the support which is required. So, with this, I will hand over the call to our Director Finance who will tell you more about the financial figures. Thank you.

Subrata Sarkar: Good afternoon to everybody and just as our CMD has briefed it was a very robust nine months performance. So, we are going by that volume part, during nine-month 2022-23 company crossed volume in the e-commerce INR 1602.66 billion in terms of value of goods transacted through its marketing and e-commerce vertical, which is 52.16% increase over value of goods traded during the same period in 21-22. So far consolidated revenue of the group is concerned, it is INR 646.79 crores during nine months of FY 22-23 vis-à-vis revenue of INR 699.48 crores in nine

months of FY 21-22 on

the same trajectory but the PBT is INR 218 Crore as compared to INR 167.63 Crore after last corresponding period increased by 30% and PAT, it is INR 165 Crore as compared to INR 103 Crore, increased by around 60%. So, it is a robust growth in the group as well as in the standalone driven mainly by our e-commerce growth. Now coming back to standalone financials, as you can see that this total revenue, although it has shown a dip from INR 409 crore to INR 367 crore but that EBITDA pre provisioning has gone up from INR 169.79 crore to INR 289 crore and profit before tax has grown from INR 142.51 Crore to INR 206 Crore, and profit after tax, PAT, has grown from INR 88 Crore to Rs.163 Crore and EPS from INR 12.61 to 23.18 and the cash profit INR 11349.20 crore to INR 24548.86 crore, so it is a growth of around 50% plus. If we go by the segment wise, we can see that e-commerce revenue has grown by 19% from INR 205 Crore to 244.85 Crore and marketing revenue has shown a dip from INR 185 crore to 97 Crore. So, with this the profit after tax has grown from INR 88.74 crore to INR 163.17 crore. Now, the Consolidated group wise revenue almost remained on the flatter trajectory, dip of around 7% from INR 699.48 Crore to INR 646.79 Crore and EBITDA made quantum jump from INR 210.99 Crore to INR 314 Crore and provisions write off etcetera, taken care of. The profit before tax has gone from INR 167.63 Crore to INR 218.09 Crore, profit after tax, INR 103 Crore to INR 165 Core. So accordingly, the group earning per share has grown from INR 14.65 to INR 23.44. That is a jump up around 60%. And so far, PL is concerned, you can see that the total revenue although has gone down in

the standalone basis and in the consolidated basis but our profit before tax on a standalone basis is up from INR 142 Crore to INR 206.70, which is 45.05%, and PAT from INR 88.74 Crore to INR 163.17 Crore. In the group in the consolidated basis, PBT has grown from INR 167.63 Crore to INR 218.09 Crore, up by 30% and PAT INR 103.15 Crore to INR 165 Crore up by around 60%. So that is all from our side. Now, we hand it over to you for your feedback. Please, sir. Hello. Now we can go for questions and answer session.

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Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press '*' and then '1' on your Touch Tone telephone. If you wish to remove yourself from the question queue, you may press '*' and then '2'. Participants are requested to use handset while asking the questions. Again, if you would like to ask a question, please press '*' and then '1' now. The first question we have is from Mr. Nikhil Chandak from JM Family Office. Please go ahead. Nikhil Chandak: Hi. You know my question was if you could share more details, granular details on the Scrappage business, what exactly is the business plan, you know, the company is investing roughly INR 1.5 Crore is what I read from the press release to the TV, is that amount sufficient to get up for the opportunity which is coming up in scrapping over the next few years, you know from like how many centres you have to... how many centres do you target to go to, you know, the competitive intensity. What is the EBITDA you make per scrapped vehicle? I think if you can share some more granular details about this leg of the business, that'll be very useful.

Surinder Kumar Gupta: Right now, we have six plants in operation and few more plants are coming. That will be, we are targeting our operation in the current financial year. What was actually this INR 1.4 Crore that we are basically investing more, so that will be basically whatever was the authorized share capital that will be fully subscribed, that is one reason, and as far as our company MMRPL is concerned, they have funds at their command because we have

invested

INR 30 Crore each. So, they already have funds so that there is no constraint as far as the capacity addition is concerned. Basically, we were very cautious in expansion because the number of vehicles were not coming from the public as well as the government also. And now government has realised that some with the sort of incentives and the policy initiatives government has taken, you see, when the policy was announced in September 21, right, since this is a basically state subject, RTO is a state subject, states were taking some time in understanding the implications of this policy, and there were certain incentives, in terms of reduced road tax concessions. So, what has happened is the states were initially not coming forth, they were not so ready to come out with their own policy notifications to give effect to these guidelines in their states. But Central has been very clear on this, that this is basically a benefit which will accrue to states in terms of more vehicles will be registered in the states. Apart from that Central announced total grant of INR 2000 Crore with respect to the state size. Some states getting INR 300 Crore, some states getting INR 50 Crore, that kind of.... all these states were categorized based on their sizes. So, the Central laid down the guidelines that if you do these, these things, then this grant will be released. So, there were three main points in that, one was that you issue your policy notification so that you can license the RVSF. Second was you allow the road

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tax concession and waiver of the pending dues. And third was you take the decision about the scrapping of Government vehicles. So, with that, now 16 or 17 states have already announced the policy guidelines. Number of states have announced the Road tax concessions. Six states have announced as on date that they have issued notification for government vehicles scrapping beyond 15 years to RVSF only. So now these states are coming in a very big way for implementation of policy in their states. So with this in mind, we are

open to basically, and we will be always looking for the opportunity to open more plants. Apart from that, because the vehicles were not coming, so we were doing basically the setting of the plant on a very frugal budget. I mean, we were not spending too much because we were getting certain losses from the JV because we were not getting the adequate number of vehicles, we were working below the capacity. So now we hope with these developments we will be starting to get government vehicles and as we see that period for setting up a new plant is not very large, so it is three to four months. So as and when we see some traction up, we will be adding more plants. Apart from that, I mean it is not only the plant, we have had the collection centres also. So near a plant in 200 - 300 kilometres range. We have basically tied up all the collection centres where the vehicles are collected and when the sufficient load is there, those are transported to these facilities. So wherever collection centres are there and we see that there are different number of vehicles. So that gives a good data plan to set up a plant there only. So, by the end of this financial year, we will have total eight or nine plants. And in next year depending up on how the total things go, we can open many more plants and we are very open to infuse further equity also. So, there is no ambiguity on that.

Nikhil Chandak: Sir, How much CapEx per plant do you need to put in for one scrappage plant?

Surinder Kumar Gupta: That figures cannot be given because every plant will need a different kind of facilities. Depending upon the number of vehicles we are getting. A plant may have INR 70 crore, INR 80 Crore Capex also, a plant may be with a very less Capex also. That's not the issue. What we see is, as when the things become clear, we are

ready to infuse more funds into the company. That's what I can answer.

Nikhil Chandak: Last question is if you could even broadly share the revenue metrics or the P&L metrics for say, you know, if one car is scrapped at your facility, you know, what is the revenue you earn out of that, just the act of scrapping and what is the margin you really make on that? I'm leaving aside the sale of scrap, just the scrappage, what revenue do you make and what margins do you make on scrapping, say one car, for example?

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Surinder Kumar Gupta: You see, I say, It may not be a very straightforward answer I can give you; it depends upon the kind of vehicle I get. Like, if I get a vehicle in good condition, then I may be able to sell some certain spares also. Right? It's not that you melt the whole thing and that is not the purpose of any policy. You can always reuse certain spare parts and whatever is not usable, that must be basically recycled. So, there are twin purposes of that. So it is, I mean, a vehicle may give me 30% return, a vehicle may give me a 10% return. So, very definite figure, it is very difficult, and one vehicle can give me a return of 50% also. So, there is not basically definite, I mean, on the average, it's a good business. On the average, if we get the sufficient capacity, it's a very good business proposition. That is what I can assure.

Nikhil Chandak: Say based on the cars you would have scrapped so far; I'm just looking for an average number. Like what is the average revenue per car scrapped you make, for example?

Surinder Kumar Gupta: It's not possible to say this figure because there are a number of fixed costs, the labour costs that you apply, whether you process 40 cars in a month or you process 400 cars, so that will be distributed over them basically. Similarly, my lease rent, my security charges, all these charges will be adding up to the vehicles I process, isn't it? So, the more vehicles I get, the more profit I will get in that. So very difficult to say a number, definite number on each vehicle or even an average figure on each. Let us reach some capacity of say 50, 60, 70%, then we will be able to say something with certainty.

Moderator: Thank you. The next question is from Mr. Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: Hello. Good afternoon, sir. So, I had a couple of questions. The first one is does our e-commerce business have a realistic chance of touching the INR 300 Crore mark this year, I think we are at about INR 240 Crore – INR 250

Crores, so would we likely to touch INR 300 crores or go beyond that this financial year?

Subrata Sarkar: Another question, sir?

Vikas Kasturi: So, the other question is on slide five of the presentation under e-commerce, there is other income within e-commerce right on slide five of the investor presentation. So, could you please shed more light on what is this?

Subrata Sarkar: Yeah. So first, you have rightly pointed out it's 245 Crore this time. It all depends upon what happens. We have seen in the past also, like in the year, if you can recall, in the year 2020, everything was going very fine, suddenly in the month of March Covid came, and everything was spoiled. So, it is all depends upon the situation, if the circumstances remain as it is. Altogether

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saying, right from the IPO in the last three years, we are keeping on saying, like it is an e-commerce related growth, and it has happened, e-Commerce has grown by leaps and bounds. So, it all happens if the circumstances remains positive. So I think we will be able to land up in a very positive result so far when we meet you people after the final result for FY 2022-23. And regarding your second question, so, we as an e-commerce operator, sometimes we derive some indirect revenue also, like the other fees etc. This is all about that only, no

thing special though. It is not directly because of the service charge, some other revenue fees etc. So, it is all about like that only.

Vikas Kasturi: Sure. Thank you, sir. I would just like to also place my request before the management. Sir, my humble request is that right now the investor presentation is the same as what you have in your quarterly filings. It's pretty much the same numbers presented in a presentation form. And I am sure myself and a lot of other investors would like to know more about the nature of the business. So, for example, what are the growth drivers in each of the lines of business? So, in the case of, so for example, the previous speaker, he asked the questions about the scrapping, and I had made similar notes. So, these are the kind of things that we would like to know more about, say the scrapping business. In the e-commerce business we would like to know what are the growth drivers? What is the different kind of auctions that we conduct, the number of auctions that we conduct. So, we would like to know more details about the business and the more you tell us the more we will be educated. So, my request to use to please make the presentation more detailed and more granular and so I have placed it before you, sir. Thank you.

Surinder Kumar Gupta: We understand your concern. We will see how we can address your concerns in the next presentation.

Vikas Kasturi : Thank you, sir.

Moderator: Ladies and gentlemen, participants are limited to two questions at a time.

The next question we have is from Mr. Dixit Doshi from Whitestone Financial Advisor. Please go ahead.

Dixit Doshi: Thanks for the opportunity. So, my first question is about this, first in opening remarks you mentioned about the notification that all the 15 years or old vehicles will be sold on MSTC platform of all the PSU and government vehicles. So, this above 15 year will be sold on your platform or It will be scrapped?

Surinder Kumar Gupta: Please repeat your question, sold on platform or...?

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Dixit Doshi: or it will be scrapped? All 15-year-old vehicles will be scrapped or it will be sold, let's say second hand market on our platform?

Surinder Kumar Gupta: Both Mr. Doshi. All will be scrapped, and it will be sold on our platform. And one more thing, it will be sold to only RVSF, the people who are authorized to process these vehicles under the central notification. So, it will be sold to only those people. So, they will be compulsorily scrapped. They will be sold through our portal, and those will be sold to only RVSF.

Dixit Doshi: Okay. So basically, let's say our JV with Mahindra wants to scrap this vehicle. They will also participate on our platform's auction, and they can then win there and scrap?

Surinder Kumar Gupta: Exactly.

Dixit Doshi: Okay, understood. And is there any rough estimate that how many vehicles would be there right now above 15 years old? Only the state government, government and PSU?

Surinder Kumar Gupta: Yeah. What the government figures we are getting is around 15 lakh, we are getting estimate of around 15 lakh vehicles or more.

Dixit Doshi: Okay. And this auction, this will be like, let's say, whatever we will be selling, it will be on a percentage of fee of the value, or it will be like a coal auction where we get some fixed fee for making the portal?

Surinder Kumar Gupta: It will be a percentage. What we have said is that up to March we will not charge any percentage, we will be charging zero so that the sector get impetus, but beyond March we will charge 3% on the whatever the value of transaction. This information is available on our website also.

Dixit Doshi: Okay, so 3% of value from 1st April, like let's say from FY24 onwards. That's very helpful. My second question is, you mentioned that our Mahindra JV is operating at a very low capacity utilization. So can

you just broadly say at

what capacity utilization it would be currently?

Surinder Kumar Gupta: You see, our plans have come in operation at different points of time, right?

So this figures will be able to perhaps share during the next investors' concall but, I mean, that computation becomes slightly complex. It will be different for different plans. So that figure, ready we don't have but we will try to address this thing in next call.

Dixit Doshi: And if you try to address that then together, if you can broadly, let's say when you will post the MARCH numbers, if you will be able to do, let's say, revenue of the JV and the number of vehicles sold, scrapped for the FY23, that will also be helpful if you can get those numbers also in the next conference.

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Surinder Kumar Gupta: We will see how best we can give you more information on that.

Dixit Doshi: Okay. Now, coming to our e-commerce business, so, this quarter the revenue has seen some drop from year-on-year also and the quarter-on-quarter also. So is it fair to assume that this entire drop is predominantly due to the reduction in the scrap prices or is there a decrease in the revenue from any other business also?

Surinder Kumar Gupta: You see there are two things in that when you rightly said, one is the slight decrease/slight dip in scrap price because there we get the percentage as our service charge. So the price of commodity decreases my revenue decreases. That is one factor. Second factor is in every quarter there some gain, which is some, like say if I sell power plant and if I sell a power plant for INR 300 crore, so that INR 7 Crore - INR 8 Crore revenues could be added there in my revenues of that quarter. So, in the last corresponding quarter last year, there were a few plants there, which gave me good revenue last year, which were not there in this quarter. We are expecting in next quarter. So, it's not basically something that the people have gone out of us and they are not doing the auctions. So, it's largely robust but these are some, I mean, I will say that a slightly exceptions because this is normal market basically, normal market scenario, nothing unusual about this slide downward.

Moderator: Thank you, Sir. Ladies and gentlemen, just a reminder, if you would like to ask a question, please press '*' and then '1'. Participants are also limited to two questions at a time. You may rejoin the question queue once your two questions are done. The next question we have is from Keshav Garg, Counter Cyclical PMS. Please go-ahead sir.

Keshav Garg: Just wanted to understand that we have been constantly mentioning that the provisions and marketing division are behind us, but if we see for the nine months, then again, the provisioning has gone up year-on-year. So, from around INR 26 Crores last year nine months to INR 80 Crore in first nine months of this financial year. So, going forward, how confident are you that this is the last of the provisioning losses that we are seeing and also is there any scope of the write back in future?

Subrata Sarkar: This is basically, let me clear very clearly everything, this a figure is provision/write-off, so this INR 80 Crore is nothing, but it is appearing on both sides. If you see the other income, you see it has gone up like anything, you see. It is only INR 95 lakhs of provisions has been made during this nine-month period. Provision is INR 95 Lakhs; Balance is on both sides because we are writing off certain old Provisions. So it is because of that it is appearing on the income as well as the expenses side, number one. Number two so far write back is concerned, this year we have already written back around INR 4.5 crore and INR 5 Crore, although very meagre sum, but they

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are written back. So, we hope that in the next results also we will be able to tell you something positive about

this. But again, I repeat in this year the fresh provisions is only INR 95 lakh, as far as standalone financial is concerned.

Surinder Kumar Gupta: And I will add. You can be rest assured that there is no further provisioning as far as the marketing is concerned. We have provided for everything and this INR 95 lakhs about for the e-commerce only, that's a very meagre sum for a figure of around INR 250 Crores to INR 235 Crores, INR 95 Lakhs like very meagre sum as far as provision for e-commerce is concerned. So, marketing provisions are behind us as of now.

Keshav Garg: Absolutely, well understood Sir, and thank you very much for that clarity. Also, as far as, this vehicle Scrapage is concerned, you mentioned that the old government vehicles will be scrapped through your portal and only the qualified bidders can bid in that, and our JV with M&M is also one such party. So who are the other prominent people? Is TATA steel also participating or they also have that kind of business? Are they present in the scrapage business? And so, who are the other competitors in the same business?

Surinder Kumar Gupta: You see the RVSF are coming up and basically, it's a very, very vibrant market and states are basically giving the licences for setting up the plants, I mean, approvals for setting up the plants. The complete information about this is available on the MORTH (Ministry of Road Transport & Highways) website, that how many RVSF are there? So, any RVSF who comes, who is approved in MORTH Portal, they are eligible to apply to us and get registered. So, I mean, as of now, the players are not very large, but I'm sure with the policy initiative and government sincerity, more people will come. Right now, the competition is not that good. I'm not sure about the name of parties because individual departments will deal it, and we in management never tend to know who the people are. So that's e-commerce operation, which is basically a separate thing. And our JV is a separate thing. So, we don't basically gather that kind of data. Also, it may be available with our system, but that's not really required.

Keshav Garg: Right, sir. Well understood and lastly, if you could just tell us something about the litigation with Standard Chartered that, where are we currently and how much money we have already deposited and in the worst-case scenario, if we lose the litigation, then how much more money do we need to provide?

Subrata Sarkar: Let me answer you one by one. First, as we have seen through our declaration in the stock exchange and our financial results, the note has been given. So, our appeal has been restored by Hon ourable Bombay High

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Court and it is now lying with the DRAT. So, the outcome of the appeal, of course will decide the fate of this case, number one. Number two, we have already deposited INR 90 Crore with DRAT as a pre-condition to this appeal. Number three, we do not envisage any further maturity at this moment, the condition as is there, and as far as provisioning is concerned, so, total amount that has been demanded by the standard charter through this order has already been provided for in the workbooks of accounts. So, nothing about the profitability and as far as litigation is concerned it will sub judge,

so it will all depend in the future, what happens afterwards.

Moderator: Thank you, sir. The next question we have is from Harshad Jain from RAH Investment. Please go ahead.

Harshad Jain: Hello. Very good afternoon. My first question would be regarding that in this particular quarter we had a dip of around 9% in our e-commerce segment. One is the lowest scrap scrappage price. But the other thing that in this quarter we have sold a Hyderabad plant about INR 500 Crore and even Hyderabad Plots about INR 600 Crore. So may I know the specific reason that why there was a dip in this current

quarter on e-commerce segment?

Subrata Sarkar: Yeah. Let me address.... HMD is in last financial year. You see what happens, It is a mixed bag of everything. So one single plan or one single big event cannot boost or fill it like a big revenue out, it comes after a lot of like a beehive structure. Lot of activities, lot of e-commerce is peculiar, is all about like the revenue are in parcels. So, it is a combination of all the parcels that gives us the relief and whatever dip is there, it is not that very significant. As already explained by our CMD earlier in the answer to earlier questions also, it is a common phenomenon which keeps on fluctuating during quarter to quarter. And it all happens at the end of the year. We hope and you see the nine months figures, nine months we are already ahead of last. So, that is the trend, and we hope that we will be able to match at least last year's figure. So, one single, that we want to emphasize, one single event or couple of events does not give that much of relief, it is a combination of lot of things. You will appreciate the fact. So that's the point.

Harshad Jain: Exactly. And, and as for the past record, track record of last three years, our Q4 is predominantly very heavy and considering the scrap prices has recovered, Iron ore how much it has recovered, almost 35% from the lower end from three months. So can we expect a massive Q4 in terms of sales?

Subrata Sarkar: Yeah, again, I'm telling you, you see there are two things. One, like the price of the thing, second, the person who wants to sell and you know that already it has been announced that Iron ore now is not under the Supreme Court judgement. It is now open. Okay. So, people are having a thinking of a lot of opportunities. So, if at all, all the sale that used to happen through us

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comes to us, of course there will be a good revenue out of that. So again, it is a matter to watch and see let us hope for the best, but we must watch and see what happens next in the month of February or March. February is now going and March, March is of course, as you said, is a good month. But let us see what happens. If some unusual thing does not happen, it will be of course, a good and robust thing that will happen.

Moderator: Thank you, sir. Ladies and gentlemen, just a reminder, if you have any follow up questions, please press '*' and '1' to join the question queue. The next question is Rahul Shah, an individual investor. Please go ahead.

Rahul Shah: Hi, sir. My question was on the similar lines to previous one, just any guidance going forward for the next financial year in terms of revenue and margins for the business on a consolidated level would be nice, thank you.

Subrata Sarkar: Yeah, you see first what we have kept on telling, like for the couple of years, of course the focus is on e-commerce. And what we are trying to do is like to expand our horizons in the different fields of the e-commerce. So, we will be mainly, so far, if anything does not go unusual, we will be mainly guided by this e-commerce and driven by this e-commerce related revenue for the next financial year, number one. Number two, if it all depends on.... these are all ifs and buts because, you know, we are basically a service provider, if industry does well, we follow the path. So, it is all about how the industry behaves and everything goes in the market. So accordingly, our results go up and down like that only. But the focus will be on the e-commerce related revenue only. As far as current projections are concerned.

Surinder Kumar Gupta: I'll add to that, I mean, apart from that, we are basically diversifying also in e-commerce. Previously, scrap used to be major factor, now scrap gives 50% revenue and 50% are coming from other commodities. So, we are spreading our basket and we are looking for more and more commodities. We are looking

for more and more sector where our e-commerce system can be expanded. So, if there is some downward cycle in one commodity, we are sure that will be tied over without much of hiccups. It may be some downfall here and there, but overall, the growth trajectory, I mean we are working with such a focus that our growth remains intact.

Rahul Shah: Sounds good and all the best.

Moderator: Thank you. The next question we have is from Krishan Kothari, an individual investor.

Krishan Kothari: Sir, I have a question regarding the GeM portal. Just want to know as far as competition is concerned the government has, kind of passed the circulars asking most of the government departments to auction their scrapped

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vehicles, property, land, etcetera through the GeM portal. So, how do you see this? Do you see that a big competition to you?

Surinder Kumar Gupta: As of now GeM, very few people are using GeM Portal and our are far superior to the GeM Portal. They just give a portal service and we are doing the complete end to end, basically sale operation for many products. So, our services are far superior than GeM. And some people who had gone to GeM, they are coming back to us because they are not getting the kind of rates for their products there. So, we are sure that we will be able to, we are working hard to tide over this as far as the sale part is concerned.

Krishan Kothari: So what if tomorrow the government mandates that all government departments have to do their auctions only through GeM?

Surinder Kumar Gupta: You see, we cannot speculate on what government orders will be there. So as of now, we don't see any possibility of that kind into that because that will decrease the, I mean, they will not be able to sell their product at the market rate by using GeM. And many of the people don't have the organization to do all these kinds of work. So, definitely and another thing is that our business is, not only government, I mean central government department, our business is many PSC, our business is with state government, our business is with the many private houses and not only scrap, so many kind of things. So, I don't see really that the kind of affect it might have on our portal, even if something is mandated, although I don't think it is a possibility as of now. I don't see it. We don't know about if government does it, but as of now, we are not seeing any visibility of that, or we have not heard anything on that.

Moderator: Thank you. The next question have is from Piyush Shah. Please go ahead.

Piyush Shah: Yeah. Thanks for the opportunity. Sir, I have one very basic question. I am attending the call first time. Just wanted to understand the business model.

When we say e-auction that we do, how is our revenue model? So just, is it like, in stock broking, when a broker executes his trade, he gets a commission on the value of the trade. So, is that, that when we earn our revenue, is it connected to the value of the auction that is one? Or is it like somebody who gives a marriage hall where he gets fixed rate. Irrespective of the type of wedding which happens, he gets a fixed rent on the hall, which he gives. So, for us, which is the revenue model, is it like the broker link, which is connected to the value of the auction, which happens or is it like a fixed revenue, which we earn when we provide our platform for auction? Could you please help me understand this better?

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Subrata Sarkar: Yeah. Thank you very much. Your question is full of answer itself. You have explained the answer in a very good manner that we have to tell you because it is a mixed bag of revenue model. One is the value based, where we do the auction, we get a percentage of value, and another is an event based. We do the event, and we get event-based charges, irrespective of the volume credit to that event, whether

either the auction is successful or not, we get our service charges. So, like it is just a mixed bag of everything. So, it depends upon the situation and depends upon the client and the person who needs what type of revenue model. It's both the revenue model in our

e-commerce business segment.

Piyush Shah: Okay. So, when we say about scrapping of vehicles, I believe there it is going to be 3% of the value of the vehicle, which is scrapped. So, there could be percentage linked. Is that, is that correct understanding?

Subrata Sarkar: Yeah. Actually, our CMD, in the previous question has told like that up to March it is available in the public domain also and there will be no service charge, just to promote this kind of environment friendly thing and have a right... just to popularise the thing, it has been done. And from April onwards that is FY23-24 there is service charge that you mentioned which will be applicable on scrapping of the vehicles, which is being auctioned through our portal to RVFS, means certain restricted population.

Moderator: Thank you sir. Ladies and gentlemen, just a reminder, if you have any follow up questions, please rejoin the question, press '*' and then '1'. In the next question we have is a follow up from, Dixit Doshi, Please go ahead.

Dixit Doshi: My two more questions. Firstly, if you see our other income was almost INR 20 Crore this quarter. And in this if I go to the segment revenue of the standalone numbers then there is some INR 5 Crore in the marketing revenue, INR 8 Crore in the others, and maybe let's say INR 7 Crore would be in e-commerce. So, can you mention about the nature of this other income, INR 20 Crore?

Subrata Sarkar: Yeah, we just now talked about the e-commerce nature. Apart from getting our service charges, we derive certain fees, other fees, registration fees, etc. So that is booked in the other income from this e-commerce business. And you know, as far as others is concerned, we have got the dividend from our subsidiaries, that is here in the miscellaneous and in the marketing we derive certain interest over the amount, that is there in the marketing, that is part of these things. So that is broadly the nature. It covers a lot of miscellaneous items also. And of course, certain interest amount also is there in the other income also.

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Dixit Doshi: Okay. And my last question is, we in last couple of years, we did partnership with, let's say Reliance, L&T, Bharti Airtel and many more in the private sector but I think the volumes have not picked up. So, what are the difficulties we are facing and let's say out of the current total revenue of e-commerce, how much will be from the private sector?

Surinder Kumar Gupta: We don't maintain this kind of data that how much is from private or government. You see, I mean, scrap is one thing, which continuously is arising from the principles and the arising unless, I mean, that depends upon their business operations. So whatever the volumes are arising, they will give it to us only. That is what we can assure. So, what is their generation, we are not very sure about that.

Dixit Doshi: Okay. And if I could ask just one more question. So, in terms of the e-auction of the properties held by the banks through there in NPA, how is the traction there? I mean, are we getting the volumes there also?

Surinder Kumar Gupta: Yeah, there we are getting good volumes. I mean, and now the success rate has also increased.

Dixit Doshi: And it's on the value, right? Percentage?

Surinder Kumar Gupta: No, there we don't get in the terms of percentage, there we get the revenue per property sold. So that's the kind of model and I think that is a quite good number of properties now we are selling there. I don't have the figures, but the number of properties sold are sufficiently good to give us a robust revenue on that.

Mod

erator: Thank you, sir. The next question, we have is a follow up from Keshav Garg. Please go ahead.

Keshav Garg: Sir, wanted to understand that sometime back last year, there was a new item that the public sector banks are making their own portal for this auction of these properties instead of using MSTC and Coal India was also planning in house scrap disposal portal. So, have you seen any movement on any of these trends and has our business from Coal India or from public sector banks decreased?

Surinder Kumar Gupta: First thing about the public sector banks, there is no progress on that and we are selling their properties as usual and there is no news on that front. As far

as the Coal India is concerned, we are doing our obvious business with Coal India. In fact, Coal India has recently got a new portal developed from us. There is a basically policy change by the government as far as the coal auctions is concerned. And as per the new policy, we have already developed a portal for Coal India. Coal India doing the auction from their own portal, we don't think a real possibility in a very near term.

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Keshav Garg: Great. Sir, also what is the net cash that we are having on our books as of now?

Subrata Sarkar: Sir, please wait for certain time, 30th of September, we have already declared our balance sheet and everything. So please just wait for a couple of months, we will be ready with all the balances and all these things, but I can assure you, like, with that provisioning things are gone, and we are realizing almost a very good status. So, it will be a good position. As far as, our earnings are there, they are converted into a cash in a very good ratio, right now that much we can say. Please wait for couple of months when our March figure will be ready, and we will be ready with your answer. Nothing to hide from you, you have got every right to get this figure, sir.

Moderator: The next question we have is from Harshad Jain, a follow up. Please go ahead.

Harshad Jain: Yeah, considering our last quarter balance sheet as on September 30th, we were holding around cash balance of around INR 1000 Crore. So any plans to distribute the same via special dividend or through buyback or through a bonus option, also something else because that is on our book?

Subrata Sarkar: We have already given a good dividend, Sir. We will appreciate 63%. So, we are already on the level of last year. Already. So, we are always thinking as far as shareholders are concerned to appreciate their values as well as to make them those who have shown loyalty. So, it is their only, we are thinking, we are not sitting on the balances. We will utilize it in a proper way. We have certain liabilities that must also be met. So that is the answer. You must think in totality, not directly on the asset part, sir.

Harshad Jain: Sure. And my last question would be regarding the scrappers front, as Mr. Surinder Kumar Gupta mentioned that we would be having almost eight to nine plants by end of this financial year. So, from Q1 FY24 onwards, can we expect a 100% capacity utilization of all the plants?

Surinder Kumar Gupta: Very, very difficult to give so definitive figure but you see there are two parts of it. Let us understand it, one is the government vehicles, right? And then the second is the private vehicles also, the private vehicles also must come in a big number so that the capacity is fully utilized. But I can say whatever vehicles coming with the drive, the seriousness of the government will have the sufficient vehicles, so that we will not only break even, but we also earn some profit. If we get a 100%, definitely, we would like to reach 100%, before we reach 100%, we will expand the capacity. So, it's our intention to always be above the market, so that we are not lacking in the capacity when the vehicles come to us. So that

it is what our total strategy has been there and we want to encash on the first mover advantage, we want to

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maintain that advantage and so that we are ahead of our competitors whenever they come up with their plans. So, we want to have the footprints, which covers most part of the country. That is what our strategy is.

Harshad Jain: Okay. And my last suggestion would be one very good thing started by you, not on stock exchange side, but on Twitter side, that you provided a monthly update on January front. So, can we do it on regular basis? A monthly update on stock exchange update?

Surinder Kumar Gupta: Okay. We will note this suggestion.

Harshad Jain: Because investors would come to know that what exactly our company is doing, what is a growth roadmap.

Surinder Kumar Gupta: Okay. We will see more in detail, and we will try to address the interest

shown by you. We will incorporate it suitably.

Harshad Jain : Sure, sure. Thank you so much.

Moderator: Thank you, sir. The last question we have is from Krishan Kothari.

Krishan Kothari: Mr. Gupta, this question is again regarding the scrappage policy. You

mentioned that Central government vehicle must be sold on the MSTC

portal to RVSF. Does this also hold through for state government vehicles?

Surinder Kumar Gupta: Yeah. This holds good for State government, this holds good for all the

public sector vehicles, this holds good for even the vehicles up to the

Panchayat level. So, where all the government has ownership, all those

vehicles are included in the estimate of these 15 Lakh vehicles.

Krishan Kothari: Okay. And all of these have to be auctioned only through the MSTC Portal?

Surinder Kumar Gupta: Yes.

Krishan Kothari: Okay. One last question. What is the current capacity for dismantling that

MMRPL has over the six centres put together?

Surinder Kumar Gupta: I think this information is something which normally we don't make it public

because it is basically business confidentiality, basically as far as the

competition is concerned, for that business information normally we are not

diverging. Please excuse us for this.

Krishan Kothari: Okay. Thank you.

Moderator: Thank you sir. Ladies and gentlemen, that concludes our question-and-

answer session. I will now hand over back to management for any closing

remarks. Please go ahead, sir.

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Surinder Kumar Gupta: So, before I hand over to our director Finance to sum up, I can only say that

the e-commerce market is very promising market and we are sure that we

will be able to achieve good results and will be able to fulfil the aspirations

of our investor community. Second thing is the kind of emphasis that

government has put on the circular economy because of this G20 summit,

so, we are seeing more traction in this rapid policy. So having the first mover

advantage in the vehicle scrappage, so definitely our company will be

beneficiary in the total government schemes for that. Subrata, you want to

say something.

Subrata Sarkar: Just going by our CMD sir's closing remarks, it will be an e-commerce driven

growth in the coming quarter and of course, as far as vehicle is concerned,

we will keep it at bare minimum. Thank you very much for your cooperation

and continuous support to the company that we have made it. Thank you

again.

Moderator: Thank you gentleman. Ladies and Gentlemen that concludes today's

conference. Thank you for joining us, you may now disconnect your lines.

Call: May 2023

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MSTC LIMITED iNDIA (A Govt of India Enterprise)

CIN : L27320WB1964G01026211

MSTC/CS/SE/439 30" May, 2023

1. The Dy. Manager (Listing) 2. The Manager, Listing Department

BSE Limited National Stock Exchange of India Limited

PhirozeJeejeebhoy Towers, Exchange Plaza, BandraKurla Complex

Dalal Street, Mumbai 400 001. Bandra (E), Mumbai 400 051

(Scrip Code: 542597) (Scrip Code: MSTCLTD)

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/Analyst on Wednesday, 24%

May, 2023 at 12:00 Noon IST. A copy of transcript of conference call held with the

Investors/Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

% MstCLID.

% A s For MSTC Limited |5 5 _ Gres 5;

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area 1C, New Town, Kolkata-700156 W.B.

"MSTC Limited

Q4 FY '23 Earnings Conference Call"

May 24, 2023

MANAGEMENT:

Mr. Surinder Kumar Gupta – CMD – MSTC Limited

Ms. Bhanu Kumar – Director Commercial – MSTC Limited

Mr. Subrata Sarkar – Director Finance – MSTC Limited

Mr. Ajay Kumar Rai – Company Secretary – MSTC Limited

MODERATOR:

Mr. Ansh Manek – Equirus Securities

Page | 2 Moderator: Ladies and gentlemen, good day and welcome to M STC Limited Q4FY23 Earnings Conference Call hosted by Equirus Securities Private Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call? Please signal an operator by pressing star and zero on your touch tone phone. Please note that this conference is being recorded. I now handover the conference over to Mr. Ansh Manek from Equirus Securities Private Limited. Thank you and over to you Sir.

Ansh Manek : Thank you. Hello everyone. On behalf of Equirus Securities, I welcome you all to the Q4FY23 Earnings Conference call of MSTC Limited. From the management we have with us today, Mr. Surinder Kumar Gupta, Chairman and Managing Director, Ms. Bhanu Kumar, Director Commercial, Mr. Subrata Sarkar, Director Finance and Mr. Ajay Kumar

Rai, Company Secretary. We will begin the call with the opening remarks from the management and then we can open the line for question and answers. I now handover the call to Mr. Surinder Kumar Gupta. Over to you Sir.

Mr. Surinder Kumar Gupta: Good morning, everyone. Our financial results are out in yesterday's board meeting and I am very happy to share the company results with you, with all our investor community. We have achieved the couple of main highlights. As far as the total volume of business is concerned, we have a growth of around 120% against 1,36,000 crores. We have achieved the total e-sale, e-commerce business of more than 3,00,000 crore in financial year 22-23. As far as our revenues from e-commerce is concerned, it's a growth of around 18.66% from 294 crore to 348 crore.

There is decent growth in the profit also. Profit before tax (PBT) has increased from 220 crore to 313 crore. That's rise of more than 42%. Profit after tax has increased from 200 crore to 239 crore. That's a growth of more than 19 %. And one good thing that should be reassuring to all of you and of course it is reassuring for management also, that we have done all the provisioning and now it will be a history. Last year we had done a provision of around 38.54 crore and this year there is no provision. That is a very good sign for the company's fu

ture results. That is why our profit before tax and profit after tax in consolidated terms also has risen quite handsomely.

We have done various flagship projects in last financial year. Some of which we have been always sharing with you during our quarterly interactions. Some of which like-spectrum auctions, we have already shared with you.

Apart from the spectrum auction, we have done large number of mines auction this time. So, total mines auction in the last financial year was 86 coal mine blocks have been successfully allocated and 94 major mineral blocks have been sold through our portal. Another thing of interest to all our investors will be that this ELV policy has gained lot of traction and more than 17 states have already announced their policies about as far as the ELVs condemnation and the ELV rules are in place. And MORTH has nominated MSTC for launching a portal for disposal of all central and state government ELVs. So, all these vehicles are being sold now on MSTC portal, where we are earning service charges.

Apart from that, all the RVSF including RVSF of MSTC joint venture company MMRPL So, they are also getting the vehicles through this route. Last year we sold around more than 2000 vehicles, central-state government vehicles. This year again this speed has picked up and at the end of first quarter we will be able to give you a very handsome figure for the sale of government vehicles. So, this is all in brief I wanted to review before I hand over to our Director Commercial and then Director Finance for give you slightly more detailed analysis of the finances. Ma dam.

Page | 3 Ms. Bhanu Kumar: Yes, Good afternoon to everybody. As our CMD has already highlighted, the volume this year has been phenomenal and major contributor to this volume has been the coal block allocation, that has been done through our portal. So, that has contributed significantly to the volume, apart from the spectrum and other mineral blocks.

Apart from that, the major highlights of the performance have been that we have sold lot of power plants, redundant power plants of state utilities and DVC. That has actually, given the volumes as well as good earnings for the company. These power plants belong to DVC Uttar Pradesh Rajya Vidyut Utpadan Nigam, Telangana State power Generation. And the total volume from these plants sale is about 1100 crores. Then the coal that is sold through our portal, it is sold in two different models. One is called the linkage model, where it is sold to some specified sector of users and other to the open public at large. So, this specified linkage option as we call, that also had a significant increase in volume and it was sold to the tune of about 4400 crores in the last year. Then we have signed agreements with some private sector big entities for sale of their iron ore continuing with what we had done last year also. So now more and more private sector entities are also reposing their faith in our portal and the transparency and features built into that.

And for the first time, we have sold some intangible assets like- technology transfer and trademarks and this we have done for some sick PSUs like- Bharat Thomson Compressors and Scooters India Limited. So, this again holds lot of potential for us in the future. We have also successfully sold some small aircrafts for the Airport Authority of India. And we have associated with certain small software companies and going forward, this holds large potential for our key solutions for various clients.

One of the works that we have done which I would like to highlight here is a billing software that we had developed earlier that now we have enlarged with scope to include having a GPS system integration with the existing software that our clients had and access monitoring and sort prevention also built into that. We are also in the

process of adopting some new technology

es, probably in the near future that will also pay good dividends. Now as far as financial highlights are concerned, I would hand over to Mr. Subrata Sarkar.

Mr Subrata Sarkar: Good afternoon to everybody. So that the snapshots are already there. And we have also seen the results. So let me repeat, like this year that total revenue as you know stand-alone basis is lower than corresponding financial year. But here I would like to emphasize that net revenue has increased. Because this year we have done away with the purchase and associate model. So, then we are based on the service charge model only.

So, EBITDA is at pre provisioning is little bit down but PBT has gone up. It is gone up from 220 to 313 crores. Profit after tax has also gone up from 200 to 239, EPS has gone up from 28.42 to 33.98 and cash profit is also there. In the segmental part, if you can see that e-commerce is the major segment and it has contributed 348 crores in the revenue and Rs 115 crores from the marketing. So total expenses is around 185 crores and profit before tax is of course 313.47 crores and after tax is 239.22 crores. And it is a growth year to year growth of 19.58% in case of PAT and PBT is 42.46% year to year growth. And in the consolidated results also, again the consolidated revenue is little bit drop but of course in the net part it has increased and EBITDA is little bit lower, but the profit before tax has also gone up from 232 to 329, rise on year-to-year basis of 41% and profit after tax is 241.95 as compared to 199.09, rise of 21.53%. Of course EPS is also up. So, if you go by the summary P&L statement it is a replica of that, and which explains that our revenue from operation is little bit lower. But if you go by the net revenue, we

Page | 4 have seen, we have increased in the standalone basis, as well as in the consolidated basis also. Due to the lesser employee benefit expenses and lesser provisioning as CMD has already highlighted, PBT has gone up from 220 to 313.47 and PAT from 200 to 239.22. So that's all from our side. Handover to you.

Moderator: Should we open for questions?

Management: Yes please.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session. Anyone wishing to ask a question may please press star and 1 on your touch tone telephone. If you wish to remove yourself in the question queue, you may press star and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants in order to ensure that the management is able to address questions from all participants in this conference, we request you to limit your questions to two per participant only. The first question is on the line of Prakash Bhuvra, an individual analyst. Please go ahead.

Mr Prakash: Yeah. Hello. Good afternoon to everybody. I would like to know how many centres we will open in different parts of the country. So that we can get maximum number of vehicles for scrappages and what will be the provision for realization of scrap, steel and rubber and other important material from the components? Apart from the Commission of 2.5%, what will the sharing basis of other realization and components of the vehicle? So, and how many centres will open in the year? Thank you. That's all.

Management: Yes Right now we have 6 centres we had already last year, 3 more centres we have opened, out of which one at Guwahati has already got the approval. As far as the Karnataka, Bangalore is concerned, it is under advanced stage of approval. Then the third centre in Fatehgarh Sahib in Punjab will take some time. But we have already on way in setting up the centre that may take a couple of more months. So three more centres. So total 9 centres as of now and we are planning to have couple of more centres in the current financial year.

ial year.

The second part is, whatever the material that we derive from the dismantling of the vehicle, there are basically two parts. One is the scrap and second is the spares. So, scrap is sold in the open auctions in the open market and the spares again we have a portal where the spares are sold. And spares, whatever the sale or revenue vehicles for MMRPL are, spares are good, good percentage of that. So that is basically two door classification, scrap as well as the spares, that we sell from these vehicles.

Mr Prakash: Yeah. How many vehicles we plan to scrap in a year? Can you give some rough idea?

Possible idea from Karnataka is having 88 lakh vehicles I think so.. 80 lacs Karnataka only. So could you give some idea as to what the process of disposal will be. How many centres will open in India? At Pune and other places how many centres will be open? See Guwahati is opened I think I have said, I have seen in the presentation, so how many more centres you will open, so that work will speed up. As our minister Mr. Gadkari has

said, they have to expediate process of scrapping and more and more vehicles will come.

Management: That's right. You see we are planning to open multiple centres. I cannot give you the figure.

Mr Prakash: Can you give some idea, some color on that? Actually, some color on number of things we looking say 30, 40, 50?

Management: No, No, No, we are basically planning to set up the centre in almost all major states. So that could be around 25 centres in a couple of years, right. But much will depend upon

Page | 5 how much vehicles we are able to source. Right now, people are not coming forward to sell their vehicles to RVSF, because of the price difference which RVSF can offer and which normal Kabariwala can offer. So, for that one, I mean for to plug that gap, there is a one very positive development. CPCB has issued the guidelines for this scrapping and processing of ELVs. So, one major difference for this price was the engine. The unorganized player, used to recycle that engine and sell it at a higher price. So that engine can no longer be recycled. So that will give us some push and as we get more vehicles, we are open to basically a more number of centres. So basically, we are watching the current situation.

Another aspect of this policy is not only RVSF Centre, second is ATS (Automatic testing centres) means testing stations that have to come over the state where the public will go for testing the vehicle as per the policy laid down by the various states. Commercial vehicle and passenger vehicle. So unless the ATS are in place, the vehicles will not come to RVSF. So, this is again going to take a year or so before sufficient number of ATS are in place and we get these vehicles in large number. So as and when the vehicles come, we are ready to set up more and more centres. And we are in a couple of years we are planning to have 25 centres covering Pan India. I hope I have answered your question. Definite number cannot be given at this day.

Moderator: Sorry to interrupt Mr. Bhuva. May we request that you return to the question que as other participants are waiting for their turn. Thank you, Sir. The next question is from the line of Pratesh Chheda from Lucky Investment Managers. Please go ahead.

Mr Pratesh: Sir, can you share the progress in the e-sales scrap sales basically in FY23? What would be the growth there and what is it as now as a proportion of your e-commerce revenue?

Management: okay, In the year 2022-23, the scrap played a major role in the e-commerce revenue. It was more than 50% as against slightly less than 50% in the last couple of years. The volume from scrap total ecommerce revenue was about 288.60 crores. Out of which about 168 crores was from scrap alone.

Mr Pratesh: What will be the growth YoY?

Management: See e-commerce overall growth we are expecting and then what

we have witnessed in the last couple of years.

Mr Pratesh: No, ma'am, my question is 158 crores was the scrap sales number in FY23, right? What is that growth, 158 versus what number?

Management: No, there cannot be any number as such. See, the thing is scrap, it arises and it is linked to the ferrous market as such. It depends on the steel prices.

Mr Pratesh: Ma'am I understand that I am asking 158 crore in FY23, what was the same number in FY22?

Management: Just a second. Last year it was 135 crores, this year 168 crore, that's a growth of around 25%. That was because of plant sale. So that doesn't happen every year.

Mr Pratesh: Yes, you have moved your number from let's say the e-comm business has now moved from 290 crores in FY22, to about 348 crores now in FY 23. What is the growth now do you expect on this number?

Management: Yeah, it's very difficult to give basically the future projections, but as the things stand lot of government sectors, private sector is relying and such is and with the Government of India policy, clean-up policy, lot of scrap is coming to us. So whatever growth momentum has been there for last couple of years, we are hoping to maintain that. So, we are working hard to maintain that at least.

Page | 6 Mr Pratesh: My second question is Ma'am, when you look at the balance sheet, there is increase in the other financial liability and there is a corresponding increase in the cash. Can you explain what is this? And second, if I have to understand your balance sheet, what actually will be the net cash in your balance sheet? Will you have net cash and what will be that number?

Management: Yes. Can you hear me Sir? Yes, so it's very simple. First, I answer to your second question that is very relevant to that is what your net cash is. So, look at our balance sheet, our tangible net worth is coming out to around 420 crores. So, you can equate less certain receivables. So, it is around 400 crores. We can say that we have a tangible net worth

and that is our own cash, that we can say. Very precisely in accounting terms what we can say as an accountant, okay. And coming back to your first question like there are certain temporary inflow outflows in our business. So that is there in the happening in so that the cash and tax receivables has also increased as well as like the other financial liability has also increased. But what you rightly pointed out, what is our net cash, it is around 400 crores.

Mr Pratesh: What is the progress on the private customer side if you recall?

Moderator: Sorry to interrupt Mr. Chheda. May we request that you return to the question queue.

There are participants waiting for their turn. Thank you. The next question is on the line of Dikshit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Mr Dikshit: Yeah. Thanks for the opportunity. My first question is related to the end-of-life vehicle business, which we started this quarter. So, you mentioned that in the previous call you mentioned that the end-of-life vehicle of only the government part would be around 15 lakh and we have sold around 2100 this year. And I think the deadline was 31st March, I mean next year. So do you expect that significant part of that 15 lac can come up in FY24 and related to that is, you also mentioned that till 31st March that portal will be on a fixed fee and from 1st April it will be on a percentage basis. So just to confirm that.

Management: Yes, that's right. I mean up to 31st March the number of vehicles were because it was just the beginning of the policy. So, as I had already given you this figure around 2000 vehicles were sold in the last financial year. I mean these are the government vehicles I am talking about, right. As far as the, I mean one part of it is 15 lakh government vehicles. So, it's very difficult to estimate the vehicles, the count of vehicles, so we

are

getting so many figures, so we are not hazarding any gaps. But now what the traction we are getting from most of the department, most of the state government are now in touch with us either they have offered us vehicles or they are in the process of offering vehicles. So, I can give you a very rough figure. Around 10,000 vehicles are already there in pipeline which are under sale or under auction, right. So, this is gaining more and more traction and we are hopeful that this year good part of the government vehicles will come to our portal. It will have two benefits for us. So, it will earn us a service charge and RVSF in which we are also a partner, so they will also get their much-desired raw material.

Mr Dikshit: Okay. And so just to mention, let's say we have sold 2100 vehicle last year, what would be the rough per vehicle sale price?

Management: Very, very difficult to say. It's such a unique mix from two-Wheeler and defence vehicles. Defence vehicles many times are very heavy vehicles. 4 Wheelers, 3 Wheelers. So, all kind of vehicles are there.

Mr Dikshit: A broad range would also be fine.

Management: Could be around 30-40 thousand.

Page | 7 Mr Dikshit: Okay, 30-40 thousand. Okay. And right now, this regulation is only for the government vehicles. The private vehicle, they are not mandated. They can do on their own, but they are not having any deadline.

Management: This as I explained you see there are two parts of it. I explained it that for private also the government has laid down that after so many years you will have to get it tested before it gets de-registered with RTO, right. So, for that one mandatory requirement is automatic testing center. So those testing centres are still being set up by various states, by various private entrepreneur. So that is likely taking more time as compared to the setting up of RVSF. So once that system gets into place it is getting again like RVSF, it has taken a couple of year. ATS also is now getting traction. Governments are also setting up under JV or PPP mode. Private investors are also setting the ATS centre. So once the ATS centres are in place for the private vehicle after passing the life which has been mandated, will go to ATS and if it fails then it will automatically come to RVSF. So basically, that will be the turning point when private vehicles will actually start coming to RVSF. This is one thing.

Second thing is we have opened our portal also for selling this private vehicle. In our same portal, even a person like I and we individual person who has got a single vehicle, he can post his vehicle detail and RVSF will contact him, will pass on the information to RVSF. They will contact him for buying that vehicle. So that facility also we have given to the general public, and we are popularizing this policy, this portal. All investors can popularize this policy it's mutually beneficial. So that is what appeal from our side to all of you.

Moderator: Thank you. The next question is in the line of Keshav Garg, from Counter Cyclical PMS. Please go ahead.

Mr Keshav: Sir on 20th of April a news item appeared that coal India's e-auction platform will go live on May and within three months all the transactions will, all the auctions will, move

there from MSTC and M junction. Also, Sir on 20th April 2023 in Economic Times news article came that public sector banks are launching their own E auction app to sell approximately 5 lakh realty assets, which are currently being sold through MSTC. Sir, so I hope you are at least aware of these developments and sir what is your comments on the same?

Management: okay, 1st question is regarding Coal India. With this announcement we are very much aware. In fact, they had asked all their existing bidders to register on their portal. But thereafter, there was a new policy which is called the new agnostic policy for coal-sale. That Act

usually is meant for you know not linking the customers to any particular collieries. It is more of an agnostic policy where any bidder can take material from anywhere. So, after that there was lot of customization that we had to do in the portal. So whatever work was done by Coal India with NIC for coal sale that had to be abandoned and fresh, you know development had to take place.

Now this is going to, as we understand, from the inputs that we are getting from Coal India and other sources, this is going to take some time. So, for this year, we are hopeful that coal business will continue. And as far as the NTA auction for the nationalized banks is concerned, the IBAPI portal, we are aware that alliance has floated a tender and they are in this process. But what the message is coming out is that they are going to have a new system. All these nationalized banks already have a portal called IBAPI, where all the MPAs are first listed. All details, all branches. They are all linked and mapped to that. What we are offering is only an extension of that for the bidding process. Now the new portal that these people are planning to develop is to replace the old IBAPI portal. It's a whole new portal itself which will be having these activities also included in that. As far as bidding is concerned, nothing is mentioned regarding this

Page | 8 activity in their portal. So at least for this year, we are hopeful that this IBAPI business is also with us.

Going forward, this is definitely going to take quite some time. Because this portal has been mandated by the Department of Financial Services. And for, you know, getting that kind of credibility and for certification and all it is going to take some time. So, till such time MSTC is going to offer the services.

And our supplement here we are always, I mean wherever any such development is taking place, we are always in touch with the principal. So that any new development that takes place, MSTC is a part of it. So that is our continuous endeavour in that direction. Yeah, please.

Mr Keshav: Sir, I hope that this trend does not activate and accelerate because since scrap is an ongoing thing, then each big customer can eventually come out with their own portal and I don't know where MSTC will be left. But I think at least for this year we are fine. And Sir, my second question is that Sir, our e-commerce revenue went up by 19% year on year. From 294 to around 349 crore last year. But Sir, if you look at consolidated cash flow statement, then the operating profit before working capital changes is 279 crore versus 271 crore last year. So which means the measly growth of less than 3% in our operating cash flow, if we take out all the one of income, Sir, so what are your comments on the same?

Management: Yes. So, when you are comparing that, you are taking the figure from that segmental reporting. Correct.

Mr Keshav: No. I am talking about consolidated cash flow statement, which is the next page from your consolidated balance sheet.

Management: Yes, there are two things. One is the standalone performance, one is the consolidated, okay. So consolidated comprises of our subsidiary FSNL also. So, when you look at both in that way, so of course this operating profit has gone up by very major percentage. You cannot compare. I mean it's a group you are comparing. So, if you let us go by the standalone also. So, in the standalone part also we have included but of course not that so but there is a growth. There is not that key, there is not a growth at all. So consolidated of course there is not that much of growth as compared to MSTC. So, in the overall view it has gone down. That's the point.

Moderator: Sorry to interrupt Mr. Garg, may we request that you return to the question queue, that a participant is waiting for their return. Thank you, Sir. We will move on to the next question that is on the line.

Mr Viraj Mahadevia, an individual investor. Please go ahead.

Mr Viraj: I noticed that there is so much working capital release in the current financial year and the consolidated cash flows. Generating and operating cash flows of 886 crores. Is this sustainable? And what has happened with other financial liabilities going up so much? They spiked from 787 to 1350 crores.

Management: Yes. So just now, before I was talking to you, I answered another question also. Like you see these are some phenomena are very temporary in nature like. But our actual, if you go by the liquidity position, our actual standalone basis, our actual cash tangible net worth is around 400 plus crore. So that is the cash that we have. Our own cash. Sometimes temporary part is there. That's why our cash and cash equivalent also gets increased. Vis a vis that other liability that you are talking about that also gets these are temporary flows within the course of our business. So that is not that like is the permanent feature. Permanent feature is our own cash. So that is around 400 to 500 crores. That's the position Sir. That you can easily derive from that net worth part.

Page | 9 Mr Viraj: Right. So, you know I see 1500 crores of net cash on books or 1500 crores of cash including bank balance on books with the market cap of 2200 crores. And you made FD investments of about 600 crores in financial year 23. Why isn't the company considering doing a buyback or paying out higher dividends with such kind of cash flow? Especially when you're generating 200 odd crores of free cash flow every year?

Management: Look, just now I had answered. So right now, this year also we had almost distributed dividend, 50% of our PAT of that what you can see, yeah 100 plus is fine 50%. And balance of course is there, and we are looking for certain growth prospects. So of course, that much of cash should remain with the company. So that is the point. And when you are looking at the consolidated position, there is two companies involved there. One is FSNL and another is the MSTC. MSTC is having cash as I told you around 400 plus own cash. Likewise, FSNL. FSNL has got his own cash flow requirements because it is looking at the servicing industry and giving services to the steel plants for scrap recovery.

So, then if we leave the part, the temporary part. So, we are planning, we are having certain amount of cash that we are planning to have some certain growth. For that requirement, certain cash should always remain with the company. That we will appreciate.

Mr Viraj: Right. OK. I mean it doesn't sound like you need to maintain such a large cash balance, but the point accepted. Thank you.

Moderator: Thank you. The next question is on the line of Vivek Ganguly from Nine Rivers Capital. Please go ahead.

Mr Vivek: Thank you for the opportunity. We are new to the company. So, with your permission I would like to you know ask a couple of basic questions. So, in marketing for the year 23, would it be fair to assume that these are purely the 150 not crores of revenue that you'll booked is purely service income and there is no purchase and sales of any, you know, transaction that has gone through your books?

Management: Yes, this is completely only service income.

Mr Vivek: Okay. And this service income is again on a percentage basis of a GVT or is it on a fixed fee basis?

Management: Percentage basis of the revenue transaction. Let me explain you very vividly. The marketing that you are talking about like that it comprises of that segmental revenue from 115 crores that you have seen. That it comprises certain write back etc. So, we charge in the marketing on the fix percentage basis on the amount of volume credit. That's the answer. Percentage on the amount credit. Percentage basis.

Mr Vivek: And one request in, you know if you look at the e-commerce revenue, it looks like everything w

hatever you all book flows down straight to the bottom line, while in the case of other there are unallocated expenses and so on and so forth. So going forward if you all can do the, you know the revenue booking and the expense allocation better, it will be helpful from the investor's perspective. Thank you.

Management: Yes. I just answer you. So going forward that if our trading's are very bigger amount, so going forward we may allocate that our expenses, re allocate the expenses that could be depending upon the requirement of the accounting standards.

Moderator: Thank you. The next question is on the line of Srinivas Reddy, an individual investor. Please go ahead.

Page | 10 Mr Srinivas: Good afternoon. Thanks for the opportunity. Regarding this FSNL disinvestment, what is the progress you have made for at least this financial year? You are hopeful that it will be done.

Management: You see DIPAM is driving that process. So, they are taking all the calls after doing all the due diligence. And we cannot as such give a timeline for when, when it will be done. But I will just inform you that DIPAM is taking whatever necessary action is required for the disinvestment. So, no timeline can be given as such at this point of time.

Mr Srinivas: But what you meant to say, I mean the plant visits and all those things were there in the newspaper, Sir, reporting that prospective buyers are visiting the plant. Last quarter

there was some news.

Management: Yes, we have also read it. So, the process is ongoing. Some part has been completed; some part is yet to be done. So, DIPAM is taking care of all those things.

Mr Srinivas: My second question is regarding this scrappage vehicle, Sir. So, what is the margin mode of calculation? Is it percentage basis of the value or fixed per vehicle which is occurring to the MSTC?

Management: This is on percentage basis. And we have started charging from 1st of April whatever transactions we are doing from 1st of April on that there is some percentage basis charge.

Mr Srinivas: What about ecommerce margins? Because they have been stagnating for many years. I mean, we are unable to scale the ecommerce business because other private enterprises are growing 50%, 40% and we are growing in low terms and high terms only.

Management: No, that's not right. Last year we grew our ecommerce income by around 30%. This year also is a growth of around 18-19%. So that's a quite handsome growth for any standard.

Despite the downtime, downward trend in the scrap price and iron ore price, that in coal prices also were a bit down. And volumes, Sir. Volumes actually, if you see, we are probably transacting the highest volume in the country, 3 lac crores plus.

Mr Srinivas: Okay, thank you.

Moderator: Thank you. The next question is from the line of Harshit Jain from REH Investment Advisory. Please go ahead.

Mr Harshit: Yeah, Hello. Thank you for the opportunity. My first question would be regarding the Hyderabad plots which are coming for sale and you guys are targeting Hyderabad and specially Telangana. Any plans for some other cities like New Delhi, NCR, Bangalore? And what kind of margins do we enjoy?

Management: Can you repeat your question? It wasn't clear.

Mr Harshit: Yeah. My question is regarding Hyderabad and Telangana plots are coming to our portal and we have been selling that. And firstly, I want to know that what kind of margins are we enjoying on this? And secondly, any plans to fall into some other states like Punjab, Delhi, NCR, Mumbai?

Management: Yes. Actually, we are in touch with many of the development authorities for sale of plots and everything. But what happens is in many states they have the government portals and they mandate that you know these transactions should happen through that portal. However, we are still trying to expand this line. And as far as the revenue that you were

talking about it is on fixed basis. This is on per event basis. So as and when we have an event, we charge some event charges.

Mr Harshit: So, what kind of margin? Is it 1 or 2, 3%?

Page | 11 Management: No, it is not percentage at all. Sometimes you know they may be transacting just about 100 crores and we get say 20 lacs or 25 lacs or 30 lacs. And whether they transact 100 crores or thousand crores or 15,000 crores we get only that sum. So, it's not linked to the volume. And if there is no case then also, we get some revenue. So, it's either way.

Mr Harshit: Sure. And my second question would be regarding on the scrappage front. So whatever government vehicle, PSU vehicle comes, it must come to our portal only?

Management: Yeah, it has to come to MSTC portal only.

Mr Harshit: So, 27 lacs vehicles would come to our portal and we will be charging 3% on every vehicle, whatever vehicle is sold to RVSF, right?

Management: Yeah. We will be charging 3%, but we are not sure of how many will come to us although government has mandated. So, but the count is not still very clear. There are few figures floating around. So, this is because the RTO process is not automated online data with both of the states. So, there is a discrepancy in the figure. But whatever government vehicle will be sold that will be on our mandated, mandatorily to be sold on our portal.

Mr Harshit: OK. And just like previously you mentioned that almost 10,000 vehicles are in pipeline to be scrapped. So, can we expect a good revenue for Q1 onwards from this front?

Management: Definitely.

Mr Harshit: OK. Thank you so much.

Moderator: Thank you. The next question is on the line of Vikas Kasturi from Focus Capital. Please go ahead.

Mr Vikas: Yeah, thank you. So first, thank you Sir and Madam for, you know adding more details to your presentation. This was a request last time and thank you for taking it in. I have one more request to you. If you could just, please present the numbers in crores and not lakhs, it would just make it more readable. Sir.

Management: We will do it.

Mr Vikas: Thank you. That's a request. I have one question on the balance sheet, on the consolidated balance sheet. We said that our provisions have gone down in the P&L,

but when you look at the consolidated balance sheet, the provision has gone up from 62 crores to about 70 crores. So, what am I missing here, Sir?

Management: Yeah, You see these are the two different figures. When we talk about the provision, what we do in the P&L, it is on the trade generally we make the provision. Okay, So and the provisions that you are looking at the balance sheet, these are the provisions for the expenses. So, like it will go up because certain benefit expenses such as actual valuation things that must be added up on a consolidated basis. Because, you know it is combination of MSTC and FSNL both and both have different dynamics. So, like that is the two different aspects, Sir. That I want to tell you. So that's the point. You cannot correlate both because there are two different things altogether.

Provisions there are there trade receivable, as they appear as the make of provisions in the balance sheet. The provision that we are seeing is the provisions for generally for expenses.

Mr Vikas: Alright, Sir. One second, very quick question, Sir. The 110% bank guarantee that we get. So, I am assuming that does not go through the books of MSTC?

Management: No, It doesn't. Only the service revenue.

Mr Vikas: Alright, okay. Thank you. Thank you very much. Yeah, that's it.

Page | 12 Moderator: Thank you. The next question is on the line of Prateesh Chheda from Lucky Investment Managers. Please go ahead.

Mr Prateesh: Yeah, I wanted to check on the progress of the private customers on your portal. Some years back you had given to the exchange, your tie ups with Reliance and Larsen

and all

these and given out some numbers. So, what is the progress now of these customers on your portal?

Management: Yes. Actually the number of private sector clients is increasing from day-to-day. Reliance is transacting a little less volume. But as far as L&T, Tata Power, Vedanta, these people are concerned, the volume of scrap trade is also quite good through our portal, Bharti Airtel, Indus Towers, and all. They are our main customers as far as scrap is concerned. Now for iron ore also we have roped in JSW, Arcelor Mittal, Vedanta Group. So, they are selling their iron ore through our portal. So, the number of products that we are selling for the private sector is also going up. Apart from these then we also have lot of you know, confiscated goods by the customs of the clearing agency CSS units. All over India we are selling material for them. So that also gives some good volume for us.

Mr Prateesh: So private is what portion of your e-commerce revenue now, contribution?

Management: We are not maintaining basically figures like that as of now. So, we will take it as a suggestion and see whether we can have our accounting where we can have that kind of estimate.

Mr Prateesh: But any guess that you want to share, is it 5%, 10 percent, 2%?

Management: No, we don't we don't. It's not a very major sum.

Moderator: Sir there are participants waiting for their turn. Thank you. The next question is on the line of Dikshit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Mr Dikshit: Yeah. My first question is regarding this trade receivable. If we see on a standalone balance sheet. It is around 333 crores. Can you just break it up between the e-commerce and the marketing?

Management: Yes, so likely yes I am giving you that breakup. Like if we go to the that day before Publication. So, our e-commerce is around 50 crores. The balance is in our associate model and 110% BG model and all are secured that much I can tell you. Because our trade receivables have shown a consistently decreased value as on 31st March 22 it was 407. Now we are at 333. So even in the marketing it is secured and required no provision at this juncture. Because basically it comprises mainly of the 110% BG.

Mr Dikshit: In terms of marketing business, so you know couple of years back we were thinking that it will completely go out of the balance sheet. But now I think what we are doing is, we are continuing with the 110% guarantee back businesses. So, this we will continue to do or is there any plan that we will completely exit the marketing business?

Management: We definitely would like to continue and expand this to the extent possible because that's completely secure. We are quite sure of the receivables. So, definitely we would like to continue and maybe you know expand it to the extent possible.

Mr Dikshit: Okay. So, it will continue at let's say currently whatever run rate we are having. It will continue at that rate.

Management: No. As of now, in fact we are doing very minuscule volume. So, we would like to expand this.

Moderator: Thank you. The next question is on the line of Sanjay Naik, an individual investor. Please go ahead.

Page | 13 Mr Sanjay: Hello. What will be the revenue growth for the next three to five years for MSTC in a percentage wise?

Management: We cannot give a; I mean basically figure like that. We will, we are definitely targeting for very high growth. But the growth depends upon so many factors. I mean some of the factors may not be intrinsic to us. It may be some external factor. So, what we can assure everybody is that we are expecting and working for the healthy growth. That's all and the diplomatic answer only we can give. We cannot give the definite figure as of now.

Mr Sanjay: To your that agriculture portal, Jaivik Kheti and all. Is there any new developments on that?

Management:

Not: No actually, this is acting more like a knowledge management portal now. So we keep updating the data from time to time and we are maintaining the portal. The transactions aren't happening, and the ecosystem is not mature enough to have transactions on that as of now.

Mr Sanjay: Like postal department for delivering the goods and all that.

Management: Yes, we did that. But somehow, it's not really taking off in a big way. I mean there are lot of ground level issues. And we don't see it happening soon also in the near future.

Because the entire ecosystem, it's not just about you know picking up from somewhere and delivering somewhere. You need to have proper packaging, you need to have you know picking up from the farm gate, you need to have assaying facilities, testing facilities. So, these are not there as of now. So, this is going to take quite some time for the ecosystem to be developed. On supplementary, what Madam is saying is basically MSTC presence is in B2B market. So, it's a basically B2C business. So our focus is on the maintaining the portal and as far as the end customers are concerned, so that is basically our reach is not basically, I mean the organization that way is not very large to reach the individual or end mile customers. Like these FPOs and all will be at a very distant places and villages and all that. So that's why it's not basically getting that kind of question. But I hope with this government ONDC and all that models could be, we are able to ride that platform and do some business. We will get in touch with that, ONDC for that the Jaivik Kheti get some traction on that.

Moderator: The next question is in the line of Miraj from Ariham Capital. Please go ahead.

Mr Miraj: Yeah, Thank you for taking my question. I just had one clarification doubt. Earlier you mentioned that the cash balance is close to 400 crores. But if I am looking at the balance sheet standalone, it is cash plus bank balances is a lot higher than that. Can you explain what am I missing here? If I am reading something incorrectly here?

Management: Yes. some interpretation there was like which is our own cash, which is for the cash in transit. So, our own cash, if you go by our tangible net worth, our own cash, MSTC own cash in the standalone balance sheet. It is around 400 plus crore. It is our own cash that we own. Others are the cashes that are temporary in nature because of our nature of the business. Some cash remain in transit in and out. That's why there is a equivalent amount of liability, you see, like in the financial liability that has also gone up, as the cash and cash equivalent and the other bank balances are gone up. So that is the clarification. 400 or odd is our own tangible net worth, that we can tell that it is our own cash and that is a floating cash that keeps on moving up and down in the growths of business.

Mr Miraj: I understood. Thank you so much. If I have any more questions I will get back. Thank you.

Page | 14 Moderator: Thank you. The next question is in the line of Keshav Garg from Counter Cyclical PMS. Please go ahead.

Mr Keshav: Sir, you mentioned that we had done auctions worth 3 lakh crores last year. And our income in e-commerce was 349 crores. So which means that we are basically getting 0.01% of the auction proceeds. But despite that our customers are making their own dedicated portal. So that can only imply that I don't think they are much interested in saving that 0.1%, but mostly that they are not satisfied with our portal. So, what are your comments about this?

Management: Actually, you are I think interpreting it in different way. I would like to put across that 3-lakh crore worth of goods got transacted through our portal. But I also said that majority of it is the coal blocks and the mineral blocks that added to the volume. So here we are getting on per event basis, per block basis.

asis. So, if you analyse the

ecommerce revenue section wise, we have got about 8 crores from the coal business, iron ore is about 37 crores, scrap is about 168 crores, e-sale is about 70 crores and so on E-procurement of course is almost insignificant. So, the revenue is coming from

scrap sale where we are enjoying the numbers, you know, position in the country and most of the clients that we have, have not shown any inclination to move away from our portal, even in the near future.

As far as the natural resources are concerned. From the Government of India side, again we are the chosen service provider. There will be some movement here and there as far as Coal India or somebody, but then we are roping a new client on a daily basis. So that is going to take care of the loss of revenue from people who go away from our portal and that is few and far between. It is not a phenomenon that everybody is going away from us. So, most of the business especially in the scrap sector is still with us and with new private sector clients coming up in a big way to us. Definitely We have proved our worth in the market and that is why they are coming to us. So at least we are not, I mean seeing any loss of business especially in the scrap business soon in the near future. So that is going to augment well for the e-commerce revenue.

Mr Keshav: OK, Madam, thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Management: You see one concern of everybody will conclude with this that, in every business you lose few customers, you gain more customers. So, it is always a continuous change and churning. And as far as the MSTC is concerned with bouquet of service is quite large, the bouquet of customers is quite large. So, and most of the principals, the departments have full faith in the MSTC capability and the value MSTC brings.

So even if some person charges very less percentage but they insist with MSTC because we give a very good price, very fair competition and second the procedure, the security, safety, transparency are unparalleled. And we are meeting all norms of government procurement, government sale. So that is why the customer are having the full faith in MSTC capability. Of course, some business might come, some business might go, but we are maintaining a decent growth in e-commerce after the marketing business is more or less apart from under 110% business. So, our sole focus is on e-commerce, and we are constantly upgrading ourselves, our team, our resources, our portals so that the customers get much better experience.

So, that is our continuous process that we are continuing. So, with this I will say that as far as the investors are concerned, I can assure from MSTC management that, I hope the investors have been suitably rewarded with the increase in share prices with the handsome dividend that company is paying to the investors. And those who had

Page | 15 faith in MSTC they have reaped rich dividend and I believe that I mean, and we are all working hard with that assurance I can say that MSTC strength is intact and of course it is bound to grow. With that I will conclude. Thank you. Thank you everyone.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Equirus Securities, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting etc., that it should not result any edit to the content or discussion. The audio recording of transcript is

available at website of the company, viz.,

[www. https://www.mstcindia.co.in/.com](https://www.mstcindia.co.in/.com). This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

Call: Aug 2023

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MSTC LIMITED INDIR (A Govt of India Enterprise)

CIN : L27320WB1964G01026211

MSTC/CS/SE/459 24™ August, 2023

1. The Dy. Manager (Listing) 2. The Manager, Listing Department

BSE Limited National Stock Exchange of India Limited

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Dalal Street, Mumbai 400 001. Bandra (E), Mumbai 400 051

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Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/Analyst on Friday, 18% August,

2023 at 12:30 P.M. A copy of transcript of conference call held with the Investors/Analysts is

enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

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BBy For MSTC Limited

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(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area 1C, New Town, Kolkata-700156 W.B.

"MSTC Limited

Q1 FY '24 Earnings Conference Call"

August 18, 2023

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MSTC

MANAGEMENT:

Mrs. Bhanu Kumar, Director (Commercial) - MSTC Limited

Mr. Subrata Sarkar, Director (Finance) — MSTC Limited

Mr. Ajay Kumar Rai, Company Secretary — MSTC Limited

MODERATOR:

Mr. Ansh Manek - Equirus Securities

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Moderator: Ladies and Gentlemen, good day and welcome to MSTC Limited's Q1-FY24

earnings conference call hosted by Equirus Securities Private Limited. As a reminder,

all participant lines will be in the listen-only mode, and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing star then

zero on your touch-tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Ansh Manek from Equirus

Securities Private Limited. Thank you and over to you, sir.

Mr. Ansh Manek: Thank you. Good afternoon, everyone. On behalf of Equirus Securities Private

Limited, | welcome you all to the Q1-FY24 earnings conference call of MSTC Limited.

From the management, we have with us today, Mrs. Bhanu Kumar, Director

(Commercial), Mr. Subrata Sarkar, Director (Finance), and Mr. Ajay Kumar Rai,

Company Secretary. We will begin the call with the opening remarks from the

management, and then we can open the line for questions and answers. | now hand

over the call to Mrs. Bhanu Kumar. Over to you, madam.

Mrs. Bhanu Kumar: Thank you. Good afternoon to all of you and thank you for giving us this opportunity

to talk about our Q1 results for FY 23-24. The key highlights of the performance

during Q1 is the revenue from operations which is about Rs.193.64 billion INR in

terms of value of goods transacted through e-commerce and marketing. Marketing

is, of course, a very, very minuscule percentage of this. This is on a standalone basis,

and as far as consolidated basis, the revenue is Rs.199.76 crores. This, if we compare

with the Q1 of last year, 2022-23, then there is an increase of 2.53%.

And similarly, PBT of Q1 is Rs. 82.56 crores in comparison to Rs. 80.55 crores during

Q1 of 2022-23. Now, the highlight here is that last year during Q1, there was an

abnormal increase in the rates of iron ore and scrap assets, which had fallen during the year, and now it is more on a steady platform. In fact, the iron ore prices have fallen by almost about 20% or so during the year. So, in spite of it, we are able to retain almost the same level of PBT. So, that is quite an achievement for us. Now, regarding the other highlights, we have successfully hosted the UDAN version 5.0, fifth tranche of the initi

ative by the Ministry of Civil Aviation for connecting all the underserved airports. So, that has been very successful. And MSTC has been awarded the most efficient and profitable Mini-Ratna of the year in the non-manufacturing PSU 2022 Dalal Street Investment Journal. We have also done a lot of major mineral blocks, coal block auctions and major mineral block auctions in the Q1. So, major mineral blocks, we have successfully sold about 27 of them. And many major mineral blocks are in the pipeline as of date. Coal block also successfully sold 6. And many more, I mean, the repeat auctions are also being conducted now, and it will be done during the year. Now, as far as the financials are concerned, I will hand over the call to Mr. Subrata Sarkar. He will talk in detail about this.

Mr. Subrata Sarkar: As you have heard from our Director Commercial, it was almost a flatter trajectory. So, basically, in spite of reduction in the prices, with the higher volumes, we were able to manage that trajectory. So, on standalone basis, it is total revenue has grown from Rs. 93.86 cr to Rs. 100.63 cr, a growth of 7.22 %. And EBITDA has grown from Rs. 67.76 cr to Rs. 72.27 cr. PBT has grown from Rs. 66.12 cr to Rs. 70.56 cr. And profit after tax is almost on the same level, it is like from Rs. 43.85 cr to Rs. 44.57 cr. Accordingly, EPS shows a miniscule growth of Rs 6.23 to Rs 6.33.

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And so far, consolidated financials are concerned, the total revenue has grown from Rs. 194.82 cr to Rs. 199.76 cr. EBITDA has almost remained the same from Rs. 86.85 ar to Rs. 86.02 cr. And profit before tax is almost remaining the same on consolidated basis from Rs. 80.54 cr to Rs. 80.56 cr. And PAT is down a little bit from Rs. 54.29 cr to Rs. 50.61 cr. And accordingly, EPS on consolidated basis is from Rs. 7.71 to Rs. 7.19. And the cash profit is also a little bit down from Rs. 60.52 cr to Rs. 56.08 cr. So, it is all about from our side. Handing over to you for Q&A session.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-answer session. Anyone who wishes to ask a question may press star then 1 on the touchtone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Before we take the first question, I'd like to remind all participants to please limit your question to two per participants only. You may rejoin the question queue if you have a follow-up.

We start with the first question from the line of Yash Dantewadia from Dante Equity Research. Please go ahead.

Mr. Yash: Good afternoon. So, my first question is, could you give us the revenue mix for the e-auction in terms of product break-up? For example, coal or mineral for FY21, FY22, FY23, all the three financial years?

Mrs. Bhanu Kumar: Product mix, especially of the e-auction, e-sale you want, right?

Mr. Yash: Yes, whether it's coal or whether it's iron ore or whatever separate it is, but I want the product mix for all three years.

Mrs. Bhanu Kumar: Right now, I don't have it, but one thing I can confirm is from the scrap sale, it is about 52% of the total revenue. I don't have the break-up immediately.

Mr. Yash: Could you give me the break-up offline, possibly, later?

Mrs. Bhanu Kumar: Yes, you can send a mail, we will definitely address that.

Mr. Yash: Okay. So, what is your Coal India revenue percentage? What percentage of your revenue comes from Coal India?

Mrs. Bhanu Kumar: It's not on percentage basis, it is on event basis.

Mr. Yash: No, I mean, for FY23, for example, what was the total revenue that you got from Coal India?

Mrs. Bhanu Kumar: See, I can't give you the exact numbers, but coal, as such, the number of events is going down because the policy has changed to some ex

tent. Now, it is not mine

specific or Coal India specific. So, because of that, the number of events that we used to carry in the past few years and what has happened now is definitely on the

downward trend. So, the revenue is coming up, the exact numbers and all, I won't be able to give you.

Mr. Yash: So, basically, you are telling me that the number of blocks of e-auction mines that are going to come on MSTC for auction is going to keep going down?

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Mrs. Bhanu Kumar: No, you are actually confusing between issues. For Coal India, we are selling their mined coal, right, for the blocks that are being mined by their subsidiaries. Coal block auctions, we are conducting for Ministry of Coal. There is a nominated authority who is conducting these coal block auctions.

So, there again, whenever there is a successful auction of a particular block, then we get on the basis of that per event. So, that obviously depends on the market conditions, whether a particular block will actually be sold or not.

Now, as far as Coal India is concerned, we are selling their coal through various schemes, through some linkage schemes and through normal spot auctions, forward auctions and all. So, that is again on event basis.

Now, because of the change in policy, earlier they were doing these spot auctions on certain criteria, now there is a change in policy because of which there is an aggregation of coal in any one particular event. And the number of events that we carry out in a month has decreased. Earlier, we were carrying out, say, about 6 to 7 events in a month. Now, it has come down to about 4. But that again is seasonal because depending on the supply-demand conditions for the country and especially the power sector, the coal under the linkage scheme can be increased or decreased and the rest, whatever is not sold through linkage, that only comes through spot auctions.

So, there are a lot of factors. You cannot actually simply say that whether it is going up or coming down. These are things that cannot be predicted at all.

Mr. Yash: The reason I am asking you this question is, in a recent statement, Coal India said that the e-auction is going to go up. That's what Coal India gave in their guidance. That is why I asked this question, madam.

Mrs. Bhanu Kumar: Now, what they mean is the quantum of coal that will be sold through auction is going up. But that doesn't mean there will be increase in the number of events. We charge on the basis of events. Suppose I am selling only about 1000 tons in one particular event. Suppose they want to sell 3000 events; my charges are the same.

Mr. Yash: Okay, it's a fixed charge.

Mrs. Bhanu Kumar: It doesn't actually affect my earnings.

Mr. Yash: Okay. Madam, although it is coming down, but could you please quantify as the e-auction volume would be largely constant on your platform? Or if the prices change or if the prices don't change, for example, if coal prices change or if coal prices don't change, does that affect the amount you charge on that particular event?

Mrs. Bhanu Kumar: It does to some extent, but we are not so much dependent on only the coal auction. So that is probably just a very small percentage of our total earnings.

Mr. Yash: Okay. Ma'am, last question before I come back in queue. Would you be able to give any guidance as to how this is going to pan out? Because basically now, Coal India does all their auctions through you, right? Exclusively through MSTC? Or they use other platforms also?

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Mrs. Bhanu Kumar: No. They have two service providers. And in fact, we are not getting majority of the auctions. The other service provider is getting about 60% of the auctions. So that has been the case for the past 4-5 years.

Mr. Yash: So, the other service provider is a private or a PSU?

Mrs. Bhanu Kumar: It is a private party.

Mr. Yash: So basically, al

I the government companies are not obliged to go through MSTC, right?

Mrs. Bhanu Kumar: No, there is no such mandate that government companies have to come to MSTC for all their requirements of e-commerce. Based on our credentials, we go, we market ourselves, we go and tell them that these are the features and facilities that we have.

And these are the governing agencies who constantly monitor all the activities.

Because of that, they are a little more comfortable with MSTC. It is not that people are bound to give their business only to MSTC. It is not like that.

Mr. Yash: Understood, ma'am. I will come back in queue. Thank you so much.

Moderator: Thank you. Before we take the next question, I would like to remind participants again to please limit your questions to 2 per participant only. You may rejoin the queue for your follow-up. The next question is from the line of Prakash Buva, an individual investor. Please go ahead.

Mr. Prakash: Good afternoon, everybody. I want to make certain general suggestions. Because we are very, let's say, new to a government company, the setup and the organization, which is 2,000 kilometres away from Bombay. One small, very special request to you, all the board of directors, chairman and directors, is that you make an investor presentation one or two days before the con-call, not half an hour before the con-call.

It is most inefficient and unprofessional to give the information just half an hour before the con-call. And the attention, the respect and the guidance given by the company secretary, Mr. Ajay Kumar Rai, is very pathetic and poor. He cannot reply with arrogance with our shareholders.

See, I am a senior citizen and we have dealt with very great people like P.C. Alexander and great people. See, so you should not consider yourself above law. This is in general I am talking to you. And provide the address of every director on the board so that we can ask them the questions on email. We don't want anything special. And secondly, we are very sorry for the lack-luster performance of the company, flat performance of the company for the last quarter. Very bad it is. Secondly, can we know how many centres we are going to open? Scrapping centers all over the country and region-wise or east-west, north-south or state-wise. This is very important for the information of the shareholders. In the next three months or in the next six months. And what is the cost of opening every centre? This is very important. We do not have the basic information which is not available at the branch level also. So, this is my question. Secondly, how many vehicles are going to be scrapped in the next three months or six months? You may not have statistics, but can you give us some idea? So that we don't get a lag-luster performance of the company.

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Secondly, subsidiary companies sale. You always say that things are under discussion, things are under progress. Every report says that. Every quarterly report makes a statement like that. But what exactly is the status now? Is the sale already up now? Because the process is going on for the last more than one year. So, we would like to know. Is there likely to be a special dividend to the shareholders from the company? After sale of the subsidiary company is over. And secondly, I would request every director to provide the email address so that we can address our queries to them personally. And thank you, sorry.

Mrs. Bhanu Kumar: Okay. First, let me assure you that whatever information is to be given is generally provided by the board of directors. It is not that we don't want to reply. And anyway, however, your suggestion that you want the presentation to be given well in advance, that is well taken. And we'll see to it that this is done for future.

Regarding the email address and the contact details, these things are very much available in public domain in our company website.

te. So, you can reach us any time over phone, over email. And we always answer each and every phone call. And each and every email is replied. So, that definitely for future. I'm sure that specific queries you can address there.

Now, as far as regarding the FSNL case is concerned, you also may be aware that we may be holding the shares. But all the decisions are taken at the highest level by the Government of India. And most of those decisions, even we are not privy to such decisions. And we are not even present in those meetings. So obviously, we are not in a position to reply to investor queries on this. And as far as the other centres are concerned, I would request my colleague director to reply on the MMRPL centres.

Mr. Subrata Sarkar: Good afternoon Sir. It is in the last concall also, and the earlier concall also, it is very difficult to tell how much expenditure we have incurred in setting a scrapping collection and dismantling centre. Because at different locations and at different places, the cost remains fluctuating. Somewhere we can have a lesser cost, somewhere we have a bigger cost, more cost. Further, we decide upon the number of vehicles, what type of equipment has to be installed at that particular scrapping centre. Now, it is known as RVSF, Registered Vehicle Scrapping Facility. So, depending upon the regulations and all these things, to get a certificate and all these things, to comply with the regulations, equipment that are required to be kept there,

so it keeps on increasing or decreasing our cost as such.

So far, there are two types of things. One, at our scrapping facility, and there you must be knowing that government vehicle scrapping has already been mandated and it is being done through MSTC portal. So, right now, it is, as per our estimate, around 4000 plus vehicles are coming up in the forthcoming auction to be sold. And total vehicles, since March, have been sold, is 8586 to the Registered Vehicle Scrapping Facility, RVSF. So, that is the figure of the government vehicle that is being scrapped. And, yet to be scrapped, I have given around 4000 plus. It will be there and it will be auctioned. So, I hope I was able to satisfy your question, sir.

Moderator: Thank you. The next question is from the line of Harshit Jain from RAH Investment. Please go ahead.

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Mr. Harshit: Thank you for the opportunity. Firstly, I would like to know, as per Mr. Nitin Gadkari, a statement came that there is total 31 centres which are currently open and current capacity is 9,30,000 cars. So, as per the comment given by Mr. Subrata Sarkar, we only auctioned 5000 vehicles and almost 4,000 to 5,000 vehicles are under pipeline. So, is this scrapping working on just 5% to 6% capacity utilisation?

Mrs. Bhanu Kumar: Actually, what we are talking about here, the figure that we have given is based on the government vehicles only. See, MSTC has been mandated to sell all the government vehicles. So, the figure that we are giving is what is there, what has already been projected to us for sale. Now, such vehicles are just about 15,000 to 20,000 within this current financial year. It's not going to be anything more than that. What the honourable minister has talked about is the capacity of all the RVSF put together. Obviously, for that, there has to be a lot of feeder stock from the private industry as well as individuals. For individuals, we have already launched a portal and we are conducting a lot of awareness campaigns and advertisements for individuals to approach and give their vehicles for scrapping.

The issues that are faced by RVSF in respect of ATA centres not being there, a complete ecosystem is not available. It is not just about setting up the RVSF. You also need to have the automatic testing stations and you also need to have, especially for the government vehicles, there has to be a budget approval for replacing the vehicles

for scrapping by new vehicles. Now, there is a mandate for going for electric vehicles. That kind of supply chain is again not available in the country.

So, it is not just about demand and supply. It is also creating the entire ecosystem. So, those things are still at quite a nascent stage and unless we achieve some better facilities, this thing is going to take some time. I hope I was able to clarify your query.

Mr. Harshit: Through our portal, are the private vehicles also coming on our portal where we are earning 3% per vehicle?

Mrs. Bhanu Kumar: For private vehicles, we are not earning on those charges. We are just charging on some listing facility. It is more like almost a free service for the individuals of the country. Now, if it is going to be some institutional seller, yes, there we will be getting some charges. But as far as individuals are concerned, you and I, we can just go and there will hardly be any charges for that.

Mr. Harshit: Okay, thank you so much. My other question would be a very humble request from my end, just like the previous participant and all other PSUs have been sharing their updates regularly with their investors, stakeholders on a regular continuous basis. But as in our case, you guys are not being investor friendly, not sharing any update. I have already given suggestions in 2-3 conference calls that can you please share monthly updates that what actually you guys are doing. Even we are working in a duopoly business, we are just MSTC and M-Junction are the sole platforms which are auctioning everything in India. But still, you are not able to leverage our company. So, may I know that what actually is hampering this and what actually is preventing you from sharing updates to investors as a whole?

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Mr. Subrata Sarkar: I mean, which type of updates you are looking for, if you can guide us so we can consider or we can take it in step further again.

Mr. Harshit: Yeah. Because just now like, if you search Google, you will come to know that Hyderabad authorities sold somewhere around 7000 crore worth of lot through our

portal. But you guys are not sharing. What actually you are doing? Spectrum auction you did it, and number of auctions, you are doing auctions for Unitech Group as well, more than 500 crore property. But you have been not being sharing any kind of update. | even requested Mr. Surendra Kumar Gupta two conference call back, that you can please share updates on a monthly basis.

Mr. Subrata Sarkar: Please try to understand MSTC conduct auction on daily basis all the auctions are fall within the purview of ordinary course of business. SEBI has clearly mention that what information need to be provided so the normal auction and those auction for which information already been provided earlier are not being uploaded or provided on stock exchange sites,. So, whatever you are mentioning these things are normal for our operation. We cannot update each and every auction on the investor portal.

Mr. Harshit: No, my only concern is that we are a good e-commerce company, we are almost a monopoly business, but we are not able to leverage our company. Nobody knows about our company, what MSTC is doing, what MSTC does. We are basically a scrap company as per investors. And secondly, whenever you deliver quarterly results, you show other income 18 crores, you show e-commerce 84 crores. When you go down, when you go to segment revenue, there e-commerce is mentioned 94 crores. So, why there is a mismatch?

Mr. Subrata Sarkar: Which one, which one just tell me, where is there a mismatch, you tell me.

Mr. Harshit: You can check these quarterly results, and in current results, in the standalone basis, you have mentioned Rs. 82.33 cr is your revenue from operations, and other income is Rs. 18.29 cr. But when you go to segment revenue, there you have mentioned from e-commerce, you have Rs. 94.05 crores, and from

marketing you have Rs. 6.41 crores.

So, we have been earning Rs. 94 crores through our operations, and you are showing Rs.18 cr from other income. Why there is a mismatch?

Mr. Subrata Sarkar: Yeah, look, when we go for segmental reporting, you see that is for the total income. Here there is a break-up, revenue from operations and other income, when you report for our quarterly results. So, there will be a mismatch. There will be always a mismatch, because here the break-up of total income is given, here the break-up of only revenue from operations, and other income is given. There will be a mismatch. So, it is nothing to hide, or nothing to hide from the investor.

Mr. Harshit: No, but | think this can be done in a more efficient and transparent manner, so that investor community as a whole can understand your results, because right now nobody is able to understand results, because everybody thinks e-commerce businesses are showing degrowth. But on the other hand, if you check segmental revenue, we have grown 12% from last year.

Mr. Subrata Sarkar: Okay, your suggestion is well noted. If it is feasible as per our disclosure norms, obviously we will look into the suggestion.

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Mr. Harshit: And secondly, | just want to know that why are we paying 37% tax rates, because if we are paying more tax rates, next quarter you will again show an entry, so that you can adjust the same taxes again. So, what exactly is happening, because | am not able to see, | have been an investor in your company for 3-4 years, but this is a certain lag-luster performance, and no commitment given by your end, by management, by board of directors. Investors are just sitting idle. They don't know anything about your company, whether you can check books, whether you can check entries. Nothing comes up. And secondly, your answers are very vague. | am not able to get any clarity. Even | asked you, in the previous quarter, you were not able to provide me satisfactory response.

Mr. Subrata Sarkar: You asked about the commitment from the management. So, what type of commitment do you want from us, so that you will be confident?

Mr. Harshit: Yes, to be more transparent. You need to show your books clean, because right now our books are not clean. Every quarter you show some entry. Every quarter you pay, some quarter you pay 9% tax, some quarter you pay 37% tax.

Mr. Subrata Sarkar: Just a minute. To be very frank and precise with you, whenever there is a write-up, then there is a tax rate that goes down. And write-ups are based on certain parameters. Every quarter we cannot make write-ups. Every debt cannot be written up, until and unless each and every hope is gone down.

We have made provision for all the bad receivables that we have. We have cleaned up our books. Everywhere it is done. Now it is the point when we write-up and when we do not write-up. Write-up has got certain norms, until and unless we expect and hope that everything has gone out of this particular data. We cannot write it up from

the books of account. You will also appreciate, like an analyst. So, that's the point. So, whenever the write-up occurs, we get a tax benefit. So, if you feel more clarification, you can go for the mail channel and we reply on the mail also, detail reply. We can reply also through mail. Because one hour, I feel little time to just satisfy the investor queries.

Moderator: Mr. Harshit, I am sorry to interrupt, but may I please request you to rejoin the queue for your call.

Mr. Ajay Kumar: Mr. Jain, I would like to comment on the previous queries also, that he has raised certain queries that information has not been provided to him. I will request all the investors to understand that when the trading window is closed, we, the company secretary, cannot entertain the investor / shareholder or provide any information, the fact has been informed on various occasions. During the course

of board

meeting call from shareholders cannot be received or answered. Notice, regarding the board meeting is already hosted on stock exchanges as well as investor portal yet if any shareholders want to get information about why the financial has not been uploaded or when the same is going to be uploaded is according to me should not be asked and that to on the financial declaration date. The financial information is price sensitive information and the same will not be discussed with any shareholders/investor till the time trading window is closed. Similarly, if investment meet has been postponed, there must be some emergency, there must be something. We are all human beings, we are all running through a lot of problems,

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so every time for every small things such as why the investor presentation has not been uploaded, why it has been postponed, when you are going to upload, when your board meeting is going to be finished off, this question cannot be answered. Investors and shareholders also must understand this small thing, they also need to have patience and check investor portals instead of calling company secretary for each and every small issues.

Moderator: Thank you. Mr. Harshit, I would request you to rejoin the queue for your follow-up. The next question is from the line of Mr. Shriniwas Reddy an individual investor. Please go ahead.

Mr. Shriniwas: Good afternoon, everyone. Regarding, the suggestions by the earlier person, I think it is better instead of the company management, answering on individual basis, you can in your website, investors relations, put all these questions and then answer, so that everyone of us will be on the same page, instead of trying to repeat the same answer for the different investors from the company management perspective. So, all the previous, whatever the questions or emails you will be receiving from the investors, if you can answer them in a transparent way for the benefit of all the investors.

It will be good for the company, brand building, for the valuation as an e-commerce company, for the company, because as the earlier spokesman has clearly stated, I have been asking this from past 10 years, as a shareholder, so before the listing has happened also, I have been a shareholder of your company, so the problem is that you are still working with the mindset as if it is a scrap company itself, and the market is also giving you the valuations of a scrap business only, with less than 10 PE or around 10 price earnings multiples only, but other e-commerce companies are getting 40-50 price earnings multiples, so the perception change is required sir. I hope that you will be considering this, and the accounts from the past 10 years, I have never understood, because every time there will be some contingency planning or some provisions and next year some adjustments and all those things, so you better look into it, get a consultant and try to provide the accounts as other PSUs are providing, not the legacy system, so it will be transparent and beneficial for all the shareholders in the future.

As far as the second question, my second question goes sir, regarding this disinvestment, FSNL you already spoke about that you are not in control of anything, but at least you should be able to tell from your end, whatever the previous surveys which the people have come and then checked it is completed or not yet completed, because there were some earlier reports that some employees were not willing to allow them into the plants for doing the due diligence part, so secretly or whatever it is, hiding the data and you are trying to do it, that was the news flow, so you can tell at least is it that completed or not, that was the local FSNL plants and all the due diligence by the buyers. And this consolidated numbers, your de-growth is clearly

visible, so we want to know the reason and the future line for the

scrap business

growth also, if you can give it, it will help us a lot to stay as an investor in your company, thank you.

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Mrs. Bhanu Kumar: Mr. Reddy. Thank you for your very valuable suggestions regarding investor relations portal, your suggestion is very well taken, we will definitely work on it and all your queries will be replied there so that all investors can go through that and the queries are there in the public domain. Now regarding FSNL status, Subrata, you want to say something?

Mr. Subrata Sarkar: Yes, so Mr. Reddy, you asked about that process is still on and it is being followed up by DIPAM, Department of Investment and Public Asset Management. So, that process is yet to get completed but it is on the process only, various steps are being taken and it is in the various process, so it is still going on, for regular update, you can visit the DIPAM website where in a public domain it is totally visible in what stage it is, if you check FSNL status, it is there, it is regularly updated, so last that some call from the prospective bidder, it is already there in the portal.

Mr. Shriniwas: ~ Sorry to interrupt you sir, from the past 3 years | have been asking the same FSNL news is going on but see the problem is | am visiting that site, investors are visiting but due diligence process is being taken into almost like 2 years now for the plant due diligence. So, | just wanted to know, is the due diligence completed or it is still pending from the prospective buyers?

Mr. Subrata Sarkar: The process is still going on yet to get completed, whenever there will be a second stage of asking for bid will open, certainly it will come into the website and it will be in the public domain only, that much we can assure you but still it is going on.

Mr. Shriniwas: Your consolidated numbers of profits are showing a degrowth and EPS is also showing a degrowth, standalone is almost same.

Mr. Subrata Sarkar: So, Sir there are 2 things, the consolidated accounts provides for performance of our 100% subsidiary Ferro Scrap Nigam Limited and of course what we can see there is a one-line item that is visible, that is the major cause of you see that degrowth like Rs 21.99 lakhs loss incurred by joint venture company. This quarter there was a loss from the joint venture of Rs 1.22 cr. This is basically because of some centres has taken but we have to fly off and generate enough revenue to have that thing. That is the one cause and FSNL performance it is also on a fatter trajectory. Both the factors have made to have little bit of degrowth in the consolidated numbers.

Moderator: Thank you. Before we take the next question, | would like to remind participants to please limit your question to 2 participants only. The next question is from the line of Mustafa Arif from NRC. Please go ahead.

Mr. Mustafa: Hi Sir. So, | would like to know that on the marketing business what would be the revenue on a steady state and also how do | see the cost of goods line item in a BG model? Does that go to zero?

Mrs. Bhanu Kumar: As far as the marketing business is concerned you all are probably aware that we had three models earlier and we have discontinued two of them. There is a BG that model is available but there also it has not taken much traction because most of our clients are finding it difficult to provide the BG because of stricter norms and limits by the bank. A lot of due diligence is being done by the bank so this is more or less stable and we don't envisage that this is going to grow in the future. So, the revenues

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are going to be flat whatever it was in the last couple of quarters is going to be more or less the same.

But as far as e-commerce is concerned definitely it is on the growth trajectory and especially since the iron market has stabilized now and it is expected to slightly go up, we expect th

at our revenues will also be going up and we are in talks with various government departments for further more projects and in the coming next quarter there will be some update as soon as we finalize some contracts or something. As far as our recycling is concerned our JV company is expanding its operations so obviously in the initial stages there will be a lot because each centre as soon as it is set up is not going to make profits. So, definitely this may be there for some more

time but we are on the right path to expand its operations so that all the raw material that is available is converted to scrap and is given as a feeder to the industry for secondary steel manufacturing.

Mr. Mustafa: Okay. And another question is what is the current status of the Standard Chartered litigation, a few days earlier you had provided an update?

Mr. Subrata Sarkar: Let me explain to you that of course we have seen the update that DRAT in that Rs. 222.51 crore demand matter has given that, we have made an appeal to DRAT and, DRAT has set aside the order of DRT in our favour. So, that's now so we are in a favourable position accordingly.

By its oral order also that DRAT has ordered for the refund of 90 crores and the recovery proceedings by oral order has already been, we are waiting for the written orders for both the things, the recovery proceedings have been dropped so we are waiting for both the written orders like refund order and all these things we are waiting for as soon as we get the refund, we will update you but the news is good like we are on at DRAT.

Moderator: Thank you. Before we take the next question, I'd like to remind each and every participant to please limit your question to 2 per participant only. The next question is from the line of Mr. Chirag Singhal from First Water Fund. Please go ahead.

Mr Chirag: Thanks for taking my question. Just two questions from my end. First, how much of the revenue comes from a static business with minimum volatility where you're not dependent on any one-off event such as auction of any mining blocks or so? I'm just trying to understand the consistent stream of revenues in the e-commerce segment.

Mrs. Bhanu Kumar: Is that all? See, as far as the revenue in e-commerce sector is concerned, about 50% comes from scrap, which is more or less stable, and it has been the case for the past many years.

Regarding other products, the prime products, which we call mineral sale or some waste raw materials and all and properties, there it is on a growth trajectory, and we don't see any threat as of now as far as that business is concerned. That comprises of about 20 to 25% of our revenue.

The rest is what is one-off kind of a case, but there again, say, mineral block or coal block. Now, a lot of blocks are given to us for auction, but everything doesn't get sold at the same time. So, this is a very long process, and if you have seen, every year

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we are earning some revenue from the block sale itself. So, this is going to be there for at least a couple of years more.

Apart from that, we are giving some value-added services to our clients, especially in the minor mineral blocks, like integration with their state portals and all. So, that kind of comfort and that kind of transparency and ease of doing business, since we are able to give. Because of that, the clients are more or less happy with our services, and we don't envisage that they will go away from us for at least a couple of few more years.

Mr Chirag: Got it. So, 25% of the overall e-commerce segment, that came from the auction of the blocks, is what you are saying. And the rest is more or less kind of constant, the balance 75%, which is again growing.

Mrs. Bhanu Kumar: 25% includes actually the blocks, the minerals that are mined, then the forest agro-produce that we sell, then some waste material like fly ash, which actually goes as a raw mater

ial for the cement industry. All that put together is about 20 to 25%. Or you know, customized models that we prepare for government or the private sector. So, the rest of 25% is what is on a case-to-case basis. And that also is not under very severe threat as of now.

Mr Chirag: So, is it possible to share only for the auction of the blocks, how much came from auctioning of the blocks?

Mrs. Bhanu Kumar: That will be very difficult to say, because every time we put up, say, around the last time we had put up about 90 coal blocks for auction, and eventually only six were sold. Now when it is sold and finally when we get the result in that quarter, we reported up 6 blocks. And previous, last year, we were able to sell about 20 blocks.

So, I'm not really sure. And per block, I get some revenue. So, I cannot foresee as to how many blocks will be sold in a particular year. So, it's very difficult to predict.

Mr Chirag: Yeah. So, my second question is on the growth guidance for this particular segment.

So, based on the visibility of events and the inclusion of the new categories and product types that you've been doing on your portal, what kind of growth do you see for this particular segment, for this fiscal as well as next fiscal?

Mrs. Bhanu Kumar: See, as I said, last year was very good in terms of the prices. Because we have Revenue is actually a mixed kind of model that we have. We have on event basis as well as on percentage basis. So, when it is on percentage basis, when the market goes up, obviously our revenue goes up. But if it is on event basis, it has a very flat trajectory. Since it is a composite mix of both these models, I would say it will not be an exponential growth, but there will be growth.

Mr. Chirag: So, can we take a range of 10 to 15%? Assuming that the current commodity prices stay as they are for the rest of the year as well as next year.

Mrs. Bhanu Kumar: Based on past performance, definitely you can take that figure. But then the market conditions will always not remain the same. So, if something unfortunate happens, if there is a sudden drop in some kind of sector, then it is going to affect. Otherwise, this is a reasonably good estimation, I think.

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Moderator: Thank you. The next question is from the line of Mr. Keshav Garg from Counter cyclical PMS. Please go ahead.

Mr. Keshav: So, firstly, I want to understand in your investor presentation on page number six, the total value of goods traded through MSTC ecosystem has reduced by 18.5% year on year. So, sir, what is the reason for this?

Mrs. Bhanu Kumar: So, you are comparing Q1 of last year and Q1 of this year, right? This is mainly the coal and iron ore that we were selling last year. As I said, the iron ore prices have fallen quite significantly in comparison to Q1 of last year, almost by around 20%. And coal, it doesn't actually matter as to what is the volume, because we charge on event basis. So, there also, based on the policy of the government, whether it has to go to a particular sector, the volume that is offered for sale on open market, that is also from time to time, that changes. So, because of that, you can see, but mainly I think the contributory factor is the iron ore.

Mr. Keshav: Sure. And, madam, we have around Rs 1,600 crore of cash with us and net cash is around Rs 1,475 crore, which is 55% of our market capitalization. And still we aren't doing any share buyback, even though the government has repeatedly directed PSUs to go for share buyback. But I don't know why we are very comfortable sitting on cash, which is hardly giving shareholders any return in case of adjusted. So, please consider a share buyback.

Mr. Subrata Sarkar: Sir, your suggestion well taken. So, from where these Rs 1,600 crores came, I do not know. So, this quarter we have not published any balance sheet and all these things.

So, of course, we will review the situation

on 30th September. If that part, actually the buyback norms are governed by the reform. Reform is clearly stated at which position this buyback will occur. So, of course, your suggestions are very prime importance to us. So, we will look into that and we will discuss internally on that particular position. Of course, after reviewing the 30th September situation, see how much cash is with us from this. Okay, rightly, your suggestion is taken at a very positive note from our side.

Moderator: Thank you. The next question is from the line of Mr. Raghav Agarwal from Trident Family Office. Please go ahead.

Mr. Raghav: Hi, thank you for the opportunity. So, I basically want to understand your end-of-life vehicle business model. So, I heard you say that the private vehicle listing on your portal would be free. So, is there a difference between MSTC portal and your subsidiary with Mahindra for the scrapping centre?

Mrs. Bhanu Kumar: Yeah, actually, what we are talking about here is MSTC has been mandated to auction all the end-of-life vehicles of the Government of India and the advisory has been given to the state government for channelising all their ELVs through our portal.

Now, as far as private sector is concerned, there is no such mandate. And obviously, a large chunk of ELVs are with the private sector and private individuals. For private individuals, we are just charging some very nominal a few hundred rupees as listing fees, because we are just giving them a facility of access to all the registered RVSF and RVSF are supposed to actually bargain with them and then take the vehicle. So,

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there's no actually role of MSTC. We are just providing a platform for ease of doing business with the RVSF.

Now, MMRPL is one of the RVSF. They are one of the bidders who take vehicles from our own portal. They also compete with other RVSF. They do the bidding. Once they become H1, they take the vehicles and then they do the scrapping. So, here, as MSTC, we are offering e-commerce services for sale of ELVs and our JV company is doing the scrapping business along with 30 more RVSF in the country as on date. So, they are facing severe competition and through competition, they are getting the vehicles and they are dismantling and producing the raw material for the secondary steel sector.

Mr. Raghav: Can you tell us something about your market share right now in the RVSF segment through your JV? | mean, are you the market leader or are there many more competitors? And any timeline of how much scrapping you are going to do to the RVSF in the coming year?

Mrs. Bhanu Kumar: See, we definitely had the first mover advantage and as on date, also the maximum number of channelized vehicles that are going to our portal is going to our JV company. But it depends on the location. See, if in a particular location, there are a large number of vehicles, then obviously, it is going to be distributed amongst various RVSF, like the case of NCR. There are about three or four full-fledged RVSF and some of the RVSF have invested heavily, including a shredder and everything. So, obviously, the volumes get distributed between multiple RVSF. Where we are the only RVSF, obviously, all the vehicles that are scrapped in that area go to our facility only. So, it depends on the location. But as far as the market share, if you say, nobody has done this analysis. But we can safely say that we are getting the maximum number of vehicles and we are having the presence in largest number of shredders.

Moderator: Thank you. The next question is from the line of Mr. Maanvardhan Baid from Laurel Advisory. Please go ahead.

Mr. Manvardhan: Good afternoon, everyone. Thank you so much for giving me the opportunity. I just wanted to know the average age of employees that we presently have.

Mrs. Bhanu Kumar: It is, as of date, about 37 to 38. | don't have the numbers ready. From the past data and memory, I'm actually recalling and telling you this. And we are in the process of some more recruitment at the entry level. So, average age is likely to go down further.

Mr. Manvardhan: Okay. And sort of in terms of recruitment, where are we doing our recruitment from, especially in terms of engineers etc.? What kind of institutes do we recruit from?

Mrs. Bhanu Kumar: Our recruitment at the executive entry level is through a pan-India competition, competitive examination and a group discussion. And we have already advertised for various platforms. We meet people in the tech field, the systems department, and HR, the finance, the operations, MBA, marketing. So, from all kinds of fields, we are doing the recruitment. All these details are available in our company website as well as the public domain also. Our advertisements are there.

Moderator: Thank you. The next question is from the line of Mr. Yash Dantewadia from Dante Equity. Please go ahead.

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Mr. Yash: What percentage of your revenue is coming from private players as of today in your e-commerce business?

Mrs. Bhanu Kumar: Actually, the private player business has started very recently. You are aware probably that only the last four or five years we have done some business. So, we have not done any estimation like that. But | think we can take it as about 10%.

Mr. Yash: Yeah. And also, in your previous con-call..

Mrs. Bhanu Kumar: | don't have any data to support this. I'm just making some mental calculation and I'm telling you this.

Mr. Yash: Understood. Madam, in your previous con-call, you gave us 15 lakh figures. That 15 lakh cars have to be scrapped, right? Scraped, basically. So, Madam, since the government has mandated for these vehicles to go through you, to MSTC, so these 15 lakh vehicles, what will be the timeline for this? And what is the ballpark transaction value for these 15 lakh vehicles? And the number of years that you think you will take to process this transaction? Because right now, you're at a very low run rate. You're doing, | think, 8,000 vehicles or 10,000 vehicles, right? Is what you said. So, this 15-lakh vehicle, how real is it? I'm like, how much time do you think it's going to happen? And if it happens, can you give us a brief understanding?

Mrs. Bhanu Kumar: | replied in the earlier query also that MSTC has been mandated to auction only the government vehicles, okay? And advisory has been sent to state governments for framing policies so that the ELVs can be channelized through our portal. Now, many of the states are still making those policies. It's still at a very nascent stage. Now, the

3 lakh vehicles or 2.5 lakh vehicles, whatever figures you are quoting, is not just the government vehicles. It involves the other vehicles also. Now, for the government to scrap their vehicles, they need to have a replacement for which a budget is required. So, those things have to be in place for these vehicles to come to us for scrapping. So, this is going to take some time. So, obviously, it will be in thousands as of date. And going forward, once the older vehicles get replaced in a phased manner by various government departments, all these vehicles will be coming for the scrapping. So, budget is a very major criteria for acquiring new vehicles. Once that is done, all these vehicles, you can see the numbers going up.

Moderator: Thank you. The next question is from the line of Mr. Harshit Jain from REH Investment. Please go ahead.

Mr. Harshit: Actually, I want some more clarity on Standard Chartered dispute. So, I just wanted to know that whether we'll be receiving Rs 90 crores paid to them or we need to pay Rs 222 crores to them?

Mr. Subrata Sarkar: No. So, let me clarify two things. First, the Rs 222-crore order has been set aside by the DRAT, and they have also ordered for the refund of 90 crores. As and when this requires certain process, as and

when the amount is credited to our account, we will let you know clearly. So, it is for sure, as of now, that the refund order has already been given by DRAT and because of that order in our favour. So, no Rs 222-crore payment right now. Rather, the Rs 90-crore deposit will be refunded to us. In addition to that, the recovery proceedings have also been dropped and we are waiting for that written order also.

Mr. Harshit: Okay, so after this is done, our books will be clear, no long-term borrowings and liability will reduce by Rs 142 crores?

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Mr. Subrata Sarkar: But this is, of course, subject to certain regulations and regulatory authority. Right now, I cannot comment on this particular aspect. Let us examine the orders. Our legal person will examine the orders and that thing. And accordingly, whatever is required as per the law, it will be done.

Mr. Harshit: Thank you. And my last question would be regarding, I just want to have some more clarity that how easy it is for us to change from event basis to percentage basis because we are doing big volumes lately. So, if we can change from event to percentage basis, this will have a massive impact on our financials and we can grow in big numbers. So, how easy it is for us?

Mrs. Bhanu Kumar: No, it is not at all easy. In fact, wherever we have agreed on event basis, the numbers actually is not of big material to us because here we are talking of, say, coal block. If it is going to be 1 lakh crore kind of a coal block and I cannot be asking for percentage out of it because the process for a smaller coal block and a bigger coal block remains the same. So, nobody is going to pay me on the basis of percentage for such events. So, it is almost impossible to switch from event basis to percentage basis, at least in such auctions. So, wherever it is possible, we are already on percentage basis.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for closing comments.

Mrs. Bhanu Kumar: So, today we had a really good brainstorming session and we have noted down a lot of suggestions that have come from the investors. Thank you for taking so much interest in our business and the financials and your suggestions are always welcome. Thank you. All the best.

Moderator: Thank you. On behalf of Equirus Securities Private Limited, we conclude today's conference. Thank you for joining. You may now disconnect your lines.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz. www.mstcindia.co.in. In case of discrepancy, the audio recordings available at website of the company shall prevail.

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each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

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Call: Nov 2023

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MSTC LIMITED e-assuring

(A Govt of India Enterprise)

CIN : L27320WB1964G01026211

MSTC/CS/SE/485

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 542597)

Dear Sir/Madam, 13" November, 2023

2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCLTD)

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/Analyst on Monday, 6

November, 2023 at 12:00 P.M. A copy of transcript of conference call held with the

Investors/Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

s For MSTC Limited MSTCLTD. S.; f;'

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(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area 1C, New Town, Kolkata-700156 W.B.

"MSTC Limited

Q2 FY '24 Earnings Conference Call"

06 Nov 2023

MANAGEMENT:

Mr. Surinder Kumar Gupta , Chairman and Managing Director, MSTC Limited

Mrs. Bhanu Kumar, Director Commercial, MSTC Limited

Mr. Subrata Sarkar, Director Finance, MSTC Limited

Mr. Ajay Kumar Rai, Company Secretary, MSTC Limited

MODERATOR:

Mr. Ansh Manek – Equirus Securities

Page | 2 Moderator: Ladies and gentlemen, good day and welcome to MST C Limited Q2-FY24 earnings conference call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opp ortion for you to ask questions after the presentation concludes. Should you need a ssistance during the conference

call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is now being recorded. I now hand the conference over to Mr. Ansh Manek from Equirus Securities. Thank you and over to you, sir.

Ansh Manek: Thank you, Rohit. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to the Q2-FY24 earnings conference call of MSTC Limited. From the management, we have with us today, Mr. Surinder Kumar Gupta, Chairman and Managing Director, Mrs. Bhanu Kumar, Director Commercial, Mr. Subrata Sarkar, Director Finance and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks from the management and then we can open the line for questions and answers. I now hand over the call to Mr. Surinder Kumar Gupta. Over to you, sir.

Mr. Surinder Kumar Gupta: Good morning, everybody. We are with you all today for our second quarter results, that is the first half year of current financial year 2023-2024. I would like to inform all our investors that our main e-commerce business, we have got a growth of around 10.33% in our e-commerce earnings. Last year in the corresponding period, it was 167.71 crores, this year it is slightly more than 185 crores, so that's a growth of around 10.33%. And our profit before taxes, around 159 crores against around 145 crores last year, that's a growth of around 9.60%.

One sector I would like to bring to the investors is that this growth is despite the decrease in commodity price, like scrap is one of our good revenue sources, main revenue source, which contributes significantly to our income. Currently the prices were down around 15-20%, presently also they are around 10% down from the corresponding period of last year. Similarly, the iron ore prices were also substituted, they have just shown a reverse trend now. And despite that downward trend in prices, we have been able to maintain

good growth.

I can assure all our investors that in the second half year, as the commodity prices are going up and the worldwide scenario also, with this increase in prices, MSTC will show a significant growth in the revenues as well as the profits in the full year this year also, that is what I believe. My Director Finance is there with me, he will also brief about certain financial highlights and our Director Commercial will be joining very soon, she is in some urgent meeting, important meeting, she will also be joining and she will also be giving the remarks.

Mr. Subrata Sarkar: Good morning, everybody, so like before we go to the financial highlights, I would like to advise our investors, like what discussions we are going on for last, after the IPO for around five years. So, like this time we are in a very comfortable position so far, the Standard Chartered Bank case is concerned, and first time we have also noticed that you have seen our financials, our balance sheet is there, our assets, fixed assets that were attached by DRP that has been released by DRP and we were able to get refund of 90 crores that was deposited for the appeal and appeal has been allowed in our favor. Right now, it is open for only through original application with

Page | 3 ally, with against us. So, right now it is a very positive news that I wanted to share before I go to the financial highlights.

So, the financial highlights are like its basically growth, I would say it's growth although the figures say it's a flatter figure, but as our CMD advised, like despite the reduction of the commodity prices, we are able to maintain the same line of growth this quarter also as well as this half of this financial year also.

So, during this financial year, so far volume is concerned, we have crossed 626.03 billion and PBT is of course on a consolidated basis, it is up by around 3% from 154.54 crores to 158.56 crores. And so far, these business updates are concerned, MSTC has successfully completed the sale of Barytes on behalf of APMDC, it has also conducted the e-auction of Bluestone on behalf of HSIIDC and Coal linkage was one of the great earners, so 2.42 million MT coal has been sold by the Coal linkage auction. And in the state of Madhya Pradesh, 36 Sand Groups have been successfully auctioned because it is almost the second replica of what we had done in the UP which has made a large, large gain to the UP state.

So, going by the highlights of the standalone, so total revenue in H1 is little bit lower, of course in the profit terms EBITDA, Profit After Tax. PBT is higher, 145.07 to 158.99 crores and PAT they are almost on the flatter trajectory from 115.33 to 113.08 crores and of course EPS is also showing the same type of result, that is 16.06 as compared to 16.38.

And now if we go to the segments, you see like the total revenue from E-commerce has grown from 167.71 to 185.03, For Marketing its down and it is a conscious decision and Profit Before Tax has gone up from 145.07 to 158.99 crores and Profit after Tax is almost on the linear trajectory, that is 113.08 as compared to 115.33. On

consolidated basis, PBT has almost, it is almost flat but a little bit growth, 158.56 from 154.55 crores and Profit After Tax little bit lower, 117.97 to 105.95. EPS is showing the same thing, so that is the scenario on the consolidated part. So, I would now like to hand over for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask questions may press star and 1 on the touch tone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants in the conference, please limit your questions to 2 per

participant. The first question is from the line of Mr. Aman from Aman Investments. Please go ahead.

Mr. Aman: Yeah, sure. Thank you, sir. First of all, Congratulations for a good set of numbers in high margin. Sir, if you can just be comfortable with sharing, where is our trajectory going forward in terms of e-commerce and in terms of marketing because we have seen a huge dip. Are we seeing recovery over there? And also, on the scrap sale side, we can see that there is a lot of demand for e-commerce. Are we seeing a lot of demand for e-commerce? On the scrap sale side, because we have added some verticals as well because of vehicle scrappage policy, how is it turning out to be? And

Page | 4 also, any other allied industries which we are supporting through our platform? Thank you. This is one after I join.

Mr. Surinder Kumar Gupta: You see, regarding your question about e-commerce and marketing, let me very clear that our main focus presently is on e-commerce only. So, marketing is a very small segment of our business, that is also a piggy bank scheme. And we are not able to, I mean, we are not basically, as a matter of policy, as a matter of decision, we are, our focus is entirely on e-commerce. And if you see, in last couple of years, we have got good growth in e-commerce. And we are maintaining that. And we are adding the new portfolios, new customer, new businesses, new types of commodities, continuously in our e-commerce portfolio.

Regarding the vehicle scrappage policy, I can say that now many states have implemented that policy. And lot of people are showing interest in that. But because of the complete ecosystem is yet to take roots, so the business per se is right now hasn't good basically profitability. But in future, for the time to come, it will be a very big business. And MSTC is always looking for entering into the new areas as far as this recycling is concerned. We are exploring possibilities in other recycling industries also. Thank you.

Mr. Aman: Sir, if you can just comment on one last question. If you can just comment on circular economy and how are we seeing opportunities over there because there is certain requirement of scrap being again and again used and the demand is there but the supplies are unable to meet it. If you can just comment on, how are we going to structure it going forward in one or two years? What is our role as MSTC, not just being a platform but also a service provider as in what will our role be in the whole chain of circular economy? Thank you, sir.

Mr. Subrata Sarkar: Right. It's a very pertinent and very relevant question that you have asked. Thank you for that. Like so far circular economy is concerned, we have taken a role of like you can say the three-tier role. First, like we were there as a big catalyst so far circular economy is concerned because a lot of scraps were being auctioned through our portal. Afterwards, when that vehicular scrap policy came into picture, so we had worked side by side along with MORTH, NITI Aayog and our Ministry to formulate a very very conducive type policy for the facilitation of these type of vehicles and that it goes to the economy like in a green steel manufacturer in future. So, far this year in the MORTH that this vehicular policy is concerned as CMD sir was explaining, the complete ecosystem will take little bit of time to set in.

Once at least set in, so it will be a good thing and the whole cycle will be completed. And we as a role of auctioneer, we are already doing auctions for the government vehicles and we have already opened the roles for portal for private vehicles also. So, once the ecosystem is built, this auction will also take place. The second role that we through our JV, Mahindra MSTC Recycling Private Limited we are doing, we have already had a big presence in whole country as a recycler of these type of vehicles. So, that

is our second role.

And third, we time to time are having discussions with respective ministries and all these things, giving our inputs from what is it we are getting from our stakeholders

like our bidders, like recycler to the ministry as a bridge between them so that a

Page | 5 proper policy framework and ecosystem takes place. So, what we have as of now, we feel that it will take little bit of time before it sets in a typical structure and system.

Mr. Aman: Sir, the time if you can just be more clear, is it beyond six months or these takes two, three years' time?

Mr. Surinder Kumar Gupta: Basically, you see it is very difficult to give a timeline because in a financial projection, generally we have a project report in place, GPR in place and we can say, we can tell you as an investor, as a stakeholder like look this is the projection sequence because there are lot of stakeholders are involved, in part icular state governments are involved, central government is there. So, it is ve ry difficult but that much one we can tell you, it is in the top priority of governme nt of India and of course, MSTC is on the job, so it will take up, it has already take n up, lined up, so it will be in a very soon or later you will see, once the state governme nts are also roped in, so it will be a total ecosystem for the whole country as well.

Mr. Aman: Sir, last question I have.

Moderator: Sorry to interrupt you sir, may request you to re turn to the question queue.

Mr. Aman: Okay sure, okay, thank you.

Moderator: The next question is from the line of Mr. Miraj f rom Arihant Capitals. Please go ahead.

Mr. Miraj: Thank you for taking my question. Sir, in the ope ning comment, you did mention that the commodity prices were down, mainly scrap b eing lower. Sir, you mentioned a couple of figures, could you please reiterate, is it 15 to 20% down in the previous quarter and 10% down in the current quarter Q3 or i f you could just clarify, I got it in that manner.

Ms. Bhanu Kumar: Good afternoon, I am Mrs. Bhanu Kumar, Director Com mercial. Sorry, I couldn't join earlier, I just joined. So, I will address your que ry. What has happened is scrap prices were a little down in the first quarter, now it is picking up. Post July-August, the monsoon session, it is now picking up by around 8 t o 10%.

The main issue that we have faced is in respect of prices of iron ore. Last year, iron ore prices were really, really up and thereafter fr om third quarter onwards, it was showing some drop and now though it has stabilized, but it has not reached the levels of last year. The last year, first H1. So, b ecause of that, because our revenues are as a percentage of the volume, so that also get s affected. But now that it has stabilized and it has been witnessed that the secon d half is generally a very good period for such kind of sales, so we anticipate tha t there will be some more increase, though maybe not to the extent of 20-25%, but anothe r 5-10%, we can estimate that there will be an increase.

Mr. Miraj: Okay, so you mentioned ma'am, the revenue is a pe rcentage of volume or percentage of total value?

Ms. Bhanu Kumar: Value, value-wise.

Mr. Miraj: Value, okay. And my last question before I get back into the queue is what the current opportunities are available in the e-commer ce sector, because as we mentioned at, that is our main focus. So, any new b usiness avenues or products that

Page | 6 we are currently mainly focused on which could come up in the next, one to quarters or in this current financial year?

Ms. Bhanu Kumar: See, as far as scrap and minerals and other produ cts are concerned, where we are already operating, on a daily basis, we are having new sellers, very small volumes, but by drop by drop, it is increasing, the number o f, the clients that we serve to. In terms of asking for new products or new projects , immediate future, there may

not be a substantial growth, but I think we had tal ked about this in the last year also. We are now in the process of engaging with other so ftware developers and SaaS companies, and with their association, we are now p lanning to pick up bigger projects for the government.

E-commerce, as the whole potential has never been m apped, so there is a wide opportunity awaiting. It depends on being there, do ing the right thing at the right time. We are exploring all the opportunities, but t he results will come over a period of time. This cannot be that we get a project and i mmediately we start earning from that. These are things that we have to do in associ ation with other companies. These are long-term projects, so that will give revenue i n the future, but not in the immediate future.

Mr. Miraj: Understood. Okay. I'll get back in the queue for follow-up questions. Thank you.

Moderator: Thank you. The next question is from the line o f Mr. Abhishek Kale. Please go ahead.

Mr. Abhishek Kale: Yeah. Sir, question regarding FSNL disinvestment. I t's been one and a half years since

the EOI was floated. Where are we with the FSNL dis investment? That's the first question. I have a follow-up. I'll ask that once I hear the answer.

Mr. Subrata Sarkar: Yeah. So, for as FSNL disinvestment is concerned like DIPAM is looking after it, so time to time you can get an update in the DIPAM web site, but as of now, as of now nothing – we have not have nothing at our – MSTC is concerned in our knowledge that specific something concrete has been finalized, but I can tell what Transaction Advisor and LA has been done, and certain intereste d bidders are also being shortlisted, but so far other things are concerned like price, etc., etc., that is in the purview of government of India. So, as and when the y will be invited and they are opened and some results are there, so it will be on the DIPAM website, our website, and of course, we will also let, and there will be, of course, certain formalities for the company's law, so you all be made apprised on that.

Mr. Abhishek: So, this was Chairman Sir, right? Sir, this has b een the consistent answer from the management regarding FSNL disinvestment. This, as a n investor to me, doesn't give me anything. I mean, neither we are on this side, i t's like a cat sitting on the wall situation, but which side it would jump, can't say. I mean, how, as an investor, do you expect us to continue to share this update, right? That's the first comment, okay? And second thing, as an organization, do we think t he FSNL disinvestment is in our interest or whether it is not in our interest? Beca use if I'm not mistaken, they contribute to about 30% in our topline and about th e same in our bottom line, right? So, then whether it is in our interest to divest th at stake or – I mean, we will part

Page | 7 ways with FSNL, so whether it is in the long-term i nterest of the organization? I would like to hear the management's views on this.

Ms. Bhanu Kumar: You see, we have made it categorically clear that FSNL disinvestment is being done by the government of India itself, DIPAM specifical ly. This is not a decision that has been taken by the company, MSTC, and none of the ac tivities are also done by the company directly. So, we are also just a party to t he entire process, and when we are not in a decision-making position, there is no poin t in saying whether it is good for the company, bad for the company, only time will te ll. But if the government has taken a decision to disinvest certain PSUs, and the y have already made a roadmap for this, as a company, definitely we are not going to question the decisions of the government of India or start analyzing their decisi ons.

Mr. Abhishek: Okay, Bhanu ma'am. So, basically, it's just we ar e party, since we are party to what the government does, we will have to go by what the y are because they are a

PAC.

Am I right in saying that, ma'am?

Ms. Bhanu Kumar: Absolutely. Absolutely. You are right.

Mr. Abhishek: Okay, ma'am. I will come back with my questions in the queue. I will join back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Mr . Raghav from Gradient Family Office. Please go ahead.

Mr. Raghav: Thank you for the opportunity. So, I noticed that o ur total value of goods traded has nearly doubled quarter on quarter in the e-commerce business, but our revenue has not really gone up in single proportion. So, can yo u shed some light into it, and how can we, as investors, estimate for ourselves how th is translates in the future as well?

Ms. Bhanu Kumar: You see, right from the beginning, we got ourselv es listed. We have been stating that our e-commerce services, the service charge re venue that we earn is not actually directly related to the volume. Some of it is relat ed to volume. Most of it is not related to volume. It is on event basis. So, the vo lumes that we are talking of, last year we did more than 3 lakh crores through our e-c ommerce portal, and the year before that we did something like 1.5 lakh. This ye ar, again, it is likely to be in the range of, just over one and a half, two. We may not be able to do 3 lakhs, but that doesn't mean that we are earning less. Here, there is no correlation between the volumes and the value for majority of the activitie s that we do in e-commerce.

Like, I'll take an example of spectrum auction or t he coal block auction. If a major coal block is getting auctioned, the annual revenue that accrues to the state, that is accounted for in our sales volume figures. Now, in a particular year, it may happen, in another year, it may not happen, but the revenue that I get for carrying out that event is constant. So, the volumes actually don't h ave any impact, so there is no point in analyzing the volume. Just go by the servi ce charge revenues, the potential that we are talking about, and based on that, you c an have your fair estimation.

Mr. Raghav: And one more question that I had was in the finan cial liability. So, the other financial liability has come down to around 452 crores since March, and there is still about 924 crores left. So, can you please shed some light into it, because that's affected our net cash position as well. So, how do we, kindl y shed some light on that?

Page | 8 Mr. Subrata Sarkar: Right. Well-analyzed, gentlemen. But one thing I must tell you, before I answer, I am giving you another input. If you see, this net of liability, our cash position, so it has grown up as compared to 31 st March. Now, coming back to your question. So, this type of liabilities, these are sometimes what we have already explained, some money comes and some money goes through our portal, so it keeps on fluctuating. So, what we have to do, we have to analyze through our net cash position. So, net cash position has already increased, and it is a comfortable position. That much I can tell you. It will keep on fluctuating. Sometimes lesser, sometimes higher. So, because of that factor that is all, as on cut-off date, what is the position there. So, that is the point.

Mr. Raghav: And can you clear some, like, what is the other financial liabilities, and you still have 924 crores left. So, will that also get cleared up?

Mr. Subrata Sarkar: Yeah, actually, what happens, like, some kind of payments that has to be passed on to the principles, and that remains in our books. So, that is the main type of thing. So, that keeps on fluctuating. So, as on date some kind of payment that is not being passed on, that remains as a liability on that particular financial liability. But, if you see, you have to weigh it on the basis of net cash basis. You see the cash balances and minus it and see the net position.

Mr. Raghav: Okay, thank you. I just had one last suggestion to make.

So, in the last quarter, you all had put up a slide, about the RVSF business with the joint venture that we are in, but this quarter it was missing. So, my suggestion as an investor is, can you please give us an idea of the number of centers that you all have opened, the opportunities and the quarterly progress that you are making. So, that will be really helpful in the end-of-life vehicle business, in the circular economy that we keep talking about.

Mr. Subrata Sarkar: Really, thank you very much for your suggestions. We have noted it down. And now, we will make a slide of that and in the next investor meet, we promise that it will be there for your convenience.

Mr. Raghav: Thank you. Thank you so much.

Moderator: Thank you. The next question is from the line of Mr. Srinivas Reddy. Please go ahead.

Mr. Srinivas: Yeah. Thanks for the opportunity. My question is regarding the non-scrap e-commerce business growth. What is the percentage at present for the non-scrap e-commerce business you are doing and what are the future prospects for the growth of that non-scrap e-commerce activities?

Ms. Bhanu Kumar: Almost 50% of our revenue is coming from non-scrap now. So, we will be maintaining that because there is growth in scrap business also. So, the growth happens in both the scrap as well as non-scrap business, which is, I think, a very healthy sign because, see, our core operations all throughout in so many years has been, mainly scrap business. That is the backbone of our revenues.

Over the years, we have just diversified to other products, other areas, and we are incorporating digitization in all the transactions. So, non-scrap is also important. Growth will be there. But scrap is something that we will always be pursuing very, very vigorously. We have a definitive advantage. So, we will keep continuing with that.

Page | 9 Mr. Srinivas: My second question is regarding your JV with Mahindra and Mahindra for the vehicle scrap business. So, what will be the future growth prospects for this company in terms of can you quantify regarding the near-term and medium-term growth possibilities?

Ms. Bhanu Kumar: If you have gone through the analysis in the last few quarters, there has been a scrappage policy. There has been a push by the government. A lot of institutional frameworks has also been set up to give an impetus to this area. But in ground reality, it has not taken that kind of growth that was envisaged. It is still taking time. And many of the states are yet to come up with some kind of facilities, infrastructures, and give an impetus to this sector. So, unless that happens, the raw material is not going to come for a JV company. And unless they are able to break even or see substantial raw material input, the performance is likely to be new. So, we are pursuing as a government organization, we have been pursuing with all the state governments, the central governments, MOR TH, to whatever help is required from our side, coordination we are doing. But finally, the decision makers are the state governments and the central governments, right? So, like the case of automated testing stations, that is the first thing that is required for declaring any vehicle as ELV. That infrastructure is not available in the country. And for setting up that, huge investment is required, new infrastructure is required. It has to be on a PPP mode or a private ownership mode. What is the kind of policy framework that

has to be prepared? All the governments are still deliberating on these aspects. So, it is expected that definitely, it will come together very soon. But it is a slow process.

Mr. Srinivas: Regarding this previous, yeah, provisions, provisions for the past, you have cleared all those pending provisions or there are any left for the future on the legacy provisions?

Ms. Bhanu Kumar: As far as trading is concerned, we have already pro

vided for all the receivables. As

far as e-commerce is concerned, there can be one or two, very small insignificant provisioning. So, that will always be there. When we do business, there will always be, some kind of a dispute as to whether the service charge is payable or not payable and things like that. So, that will be very, very miniscule. So, more or less, there will be no provision going forward.

Mr. Srinivas: Okay. Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Harshit Jain from Rah Investments. Please go ahead.

Mr. Harshit: Thank you for the opportunity. My first question will be regarding our cash balance.

So, as I'm able to see our cash flow statement, last year we made an FD of around 520 crore and this year, in the first half, we have made an FD of 240 crore. So, I just wanted to know that why we are putting almost 750 crores of rupees in FD and why not give the same amount of money either to investors or do a buyback just to improve return ratios?

Mr. Surinder Kumar Gupta: Right. Sir, when I think whether you are following up our previous conversation or not, right now, so, this cash balance has not to be seen in unison. It has to be seen with the gravity that we are having. So, right. But this quarter, of course, this quarter

Page | 10 or this half, this half, we have certain cash right now with us. First of all, we have brought back about this 90 crore deposit which tendered at our bank along with interest. So, that is the main thing and certain accruals were also there and certain realizations were also there. So, if you see that the net cash position is around the net of other financial liabilities around 260 plus. So, that is there and we have declared dividends of 55% also.

So, first part is that last year also we have declared a dividend of 150%. So, we are on the path what you have suggested. We are the, whatever we are generating, a good amount of cash is being distributed amongst our shareholders, number one. But certain things are there and we have got, we are already having, we are trying to open some good infrastructure and offices at different places so that we can run a good amount of business from e-commerce business from that particular place. But leave about those things. Around 250 or 230 crores of cash, I don't think net of net cash is too much of cash for this company and we will be certainly looking after, we are looking after certain business opportunities and certain plans are being constructed from those things. So, after that obviously it is of a certain level as per the guidelines. We will certainly share it with our shareholders and of course it will be distributed among the shareholders as per certain policy norms as and when it is decided. But so far dividend is concerned we are seeing is a consistent list of dividends paying companies right now sir.

Mr. Harshit: Okay. And my next question would be regarding our creator list. In our creator list I am able to see Jai Balaji industry standing around 81 point something crores. So, are we able to recover that amount because since the company passed two years performance has been amazing and company is in profit now. So, are we able to recover those 80 crore rupees?

Mr. Surinder Kumar Gupta: First of all, it is our creator list right now rightly pointed out sir. And we are taking all the necessary steps as per law to recover it. So, because that it is a legal process and as and when that things because you see what happened in case. It was a legal process; we went through legal process and we got our money back. So, here also it is a legal process as and when the court opens it is now the ball is in the court. So, how it is the matter. So, how and when it is being done it is of course the depending upon the court's proceeding.

But we believe as a management we can assure you we will need no ston

e returned

to realize the money from any source that is there and it is realizable sir. But we can assure from our management that we are already on the job through legal process sir.

Mr. Harshit Jain: Okay, thank you. And my last question would be regarding our joint venture with Mahindra. This quarter we have shown a loss of around 2.15 crore. So, any timeline for it to be at the break-even stage like probably this year or next year?

Mr. Surinder Kumar Gupta: So, like you see just now if you are calling the phone call our director has already explained because that is the major because joint venture first of all our trust was to spread out across the country to have our presence shown that phase is already on and we are there. So, but once this has been done, we are not been able to get that much of raw material for our, RBI set that we have set across all along the country.

Page | 11 So, that is the putting things because of that fixed cost that is the putting to our market. So, until and unless that infrastructure is set in. So, we will I think request you to at least wait for a year to see which way it goes. So, because government is putting lot of impetus we are also trying. So, what happens next? But I mean as a conservative estimate I tell you it is not I mean a year of time has to be given to see what happens and which way it goes sir.

Mr. Harshit Jain: Okay, thank you so much and all the very best.

Mr. Surinder Kumar Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Mr. Mustafa Arif from NRC. Please go ahead.

Mr. Mustafa: Hi, thank you for the opportunity. So, the first question is a book keeping question. So, on page 6 of the PPT where you have given the breakup of the e-commerce revenue. So, the total is up to about 165 crores. So, there is a 20-crore amount missing. So, what would be the contribution?

Mr. Surinder Kumar Gupta: Pardon, pardon.

Mr. Mustafa: Page 6 of the PPT. Revenue e-commerce 185 crores for the first half. Yes. So, e-auction other income and e-procurement that is about 165 crores. So, 20 crores what would be the source of that?

Ms. Bhanu Kumar: The revenue from certain projects that we are undertaking AMPs and other charges that we get. I think that is not counted in any of these three heads. That is what you are seeing a difference.

Mr. Mustafa: And this will be a one-time kind of amount or?

Ms. Bhanu Kumar: It actually is not a one time. See, we have development charges, we have AMP charges and it is linked to milestones. So, if the particular project is going for a few years, then it will be there for a few quarters. And if the project is just a one-time kind of an activity, then we get only in that particular quarter.

Like, I will give you an example of Udaan. So, we developed this portal say about four years back. But every second year there is some event going on, there is some patch up also going on. So, for that we earn some revenue. So, we can't say that it is one off kind of a thing. But it is definitely not a constant revenue stream.

Mr. Mustafa: I see. Okay. Thank you. And the second question would be regarding, so the earnest money deposit, the revenue that you earn, what would be the contribution out of e-commerce? How much would be revenue from earnest money deposit? And how does this sort of work, if you could explain that?

Mr. Surinder Kumar Gupta: There is no direct correlation. Because it comes on, goes out, comes on, goes out. So, we certainly, appreciably we do not earn that much. Basically, we earn, basically our main upgrade earner is our service charges, registration fees, other things. But it comes in and goes out, comes in and goes out. It does not give, basically it does not give a constant revenue stream. It cannot be a constant revenue stream. Our revenue stream is our service charge, our registration fee and other allied activities and all

Page | 12 these things, other transaction fees, other products. So, it of course adds to our top line. But not as a, we do not take it as a prime revenue earner.

Mr. Mustafa: Okay. Thank you.

Moderator: Thank you. The next question is on the line of Mr. Sanjay Nayak. Please go ahead.

Mr. Sanjay: I want to ask how many new scrapping centers open in Q2 FY24 and total scrapping, current scrapping centers with MSTC. Also request you to mention the investor presentation, whatever Mahindra MSTC recycling, private limited regarding objects of the new scrapping centers and what are the developments are over there.

Mr. Surinder Kumar Gupta: Yes. Your first, your second suggestion, that is we'll noted. Right now, just before you, some of your fellow investor has also said. So, we have noted it out. There will be of course a slide on that in the next presentation center. So, right now we have got our presence as a, the scrapping center is at Noida, Chennai, Pune, Indore, Ahmedabad, Hyderabad, Bangalore and Guwahati. Right. So, as of September. So, that is our presence over there.

Mr. Sanjay: Total scrapping centers, total scrapping and?

Mr. Surinder Kumar Gupta: Eight.

Ms. Bhanu Kumar: Eight. Actually, there are lot of collection units and units for these eight scrapping centers. These are the centers for which we have already obtained the licenses and

these are operating.

Mr. Sanjay: Okay. And new plant centers in next two quarters, is there any update on that?

Mr. Surinder Kumar Gupta: Yeah, we are exploring, but as of now nothing has been crystallized. We are exploring because just now we told that we have extended. Now there is a possibility of typical raw materials. We are looking for like where there will be, which state comes up to the policy. Depending upon that reaction of the state, we will go there because it is really now becoming a thing like we have to take a very good decision on that particular matter.

Mr. Sanjay: And present capacity of all the centers is around per annum. What is the capacity approximate? 15,000 vehicles or 20,000?

Ms. Bhanu Kumar: Taking it all together will be at least one lakh vehicles, but we are hardly getting even 10% of it. So, that is the issue we are with the challenge that we are facing. Capacity is more than one lakh vehicles per annum.

Mr. Sanjay: Per annum, that is including that total eight centers?

Ms. Bhanu Kumar: Yeah, eight centers so far. The biggest is in Noida.

Mr. Sanjay: Okay, thank you.

Moderator: Thank you. Before we take the next question, we would like to remind participants that you may press star and one to ask questions. The next question is from the line of Aman from Aman Investments. Please go ahead.

Mr. Aman: Yes, sir. Sir, I have just two questions and first question has two parts. I wanted to understand, this is regarding the coal auction, I just wanted to understand whether

Page | 13 we are seeing private participation also because the government has opened the sector to private people and communities as well. So, obviously participation there and secondly, I just wanted to understand on coal whether we actually require this amount of coal because the Coal India has told that we need one billion tons of coal. And how much percentage will we be routing through our platform and whether the requirement is correct and which industries do we see that this requirement will be going? And second, I will ask after the answer, sir.

Ms. Bhanu Kumar: Okay, as far as coal auctions are concerned, you see, I am not very clear as to what exactly is your question because you are asking of private parties.

Mr. Aman: Private people are also supplying you coal and keeping in our platform for auction or how are we seeing that environment building in private players as well?

Ms. Bhanu Kumar: No, no, no. As on date, it is mainly Coal India that is

s auctioning through our platform.

Then we are also catering to some smaller organizations like in the case of Jharkhand, Jharkhand State Mineral Development Corporation. We are doing coal auctions for the government of Meghalaya. Then we are also doing some coal sale for Orissa Coal and Power Company.

So, this way there are other organizations, but largely it is restricted to state government entities or the Coal India. And apart from that, the question that you asked regarding what is the percentage of the mined coal that will actually get auctioned, these are policy directives that are given by Ministry of Coal from time to time depending upon what is the demand supply condition, the international market condition, the grade of coal that is mined, where is the requirement, all those things are taken into account. And there are various schemes under which coal is sold. One is the retail sale which we call the spot auction.

The second thing is the linkage auction. All the user industries based on the sector in which they are operating, there is a linkage and based on the FSAs that they have, they have certain quota restricted and for these auctions are carried out by MSTC. So, this is basically something that is quality driven and this is done by the Ministry of Coal itself through Coal India.

Mr. Aman: Okay. And just to follow up, do we think are we in line with the target of Coal India is 1 billion or do we think bumpy roads ahead?

Ms. Bhanu Kumar: See, 1 million tonne mining may be happening but they already have long term commitments to many entities within the country. That doesn't come under the purview of auction. So, there is a certain percentage, 85%, 90% is given to these long-term clients. So, basically the left-off portion, as per time-to-time quality directive, it comes for auction. So, if the mining activity increases, there is a more output definitely, the volume that will come for auction will also increase in a proportionate manner.

Mr. Aman: Okay. Ma'am, can you just tell me from which mine are we using these on our platform? Is any particular mine of Coal India which we are using completely or proportionately? If you can just broadly give us the names of the mines or the sectors in which we are dealing with.

Page | 14 Ms. Bhanu Kumar: It doesn't operate like that at a particular mine. We are not looking for retail sale. No, it doesn't happen like that. Coal India also has about 7-8 subsidiaries who are doing these mining activities and they already have long term commitments to the state government generators and other ancillary units, different sectors, captive power plants. All these things are already there. These commitments are there for each of the collieries. So, whatever they feel is beyond these FSAs or the commitments they already have, that is coming up for the short auction.

Mr. Aman: Perfect. Ma'am, the second question I have to ask is regarding your experience in this financial year, any surprises have you seen because we are mostly a facilitator type of business. Any surprises have you seen in our value chains or in our business verticals which we had expected and it has come out to be very good or any and also surprises one part. Second part, any backdrops have you seen you were very optimistic about and but we had seen a backdrop going forward or is it ongoing? Any of your experience in both positive and negative side?

Ms. Bhanu Kumar: See, as far as e-commerce is concerned, nothing happens overnight. Yes, there can be some kind of a project that comes our way once in a while like the coal block auctions or the mineral block auctions and things like that. But there are not very big revenue earners for the company.

So, the revenues are actually coming from the e-sale of minerals, the forest produce, the timber and then, of course, the scrap. So, that has a steady growth. And of course,

we are trying to add new and new clients, those who have such material for sale. As far as we are, we can see that more or less the most of the state governments and the central governments have been onboarded. Now the volumes that they will actually transact through our portal is something that we expect to grow in the next few years. So, the volumes will go up, our revenues also go up because of these things.

From the private sector, last time also, as we had said, the iron ore auctions and sometimes even other minerals, people are trying out our platforms. But when they have their own internal consumption or requirement, obviously there will be not much sale.

The negative side of the surprise that you wanted to probably know is one thing I can give, iron ore prices. Not just the prices have come down since last year. Now in the recent past year, we have also witnessed that some of the private producers of iron ore, they have increased their consumption. So, whatever is coming up for auction has reduced. So, that is also something that is a one-off kind of a thing. So, as and when the production goes out, their consumption pattern gets somewhat stabilized. Definitely the things will come up for auctioning in a better way. Actually, all the organizations will do a balancing act. Obviously, they have to see their internal consumption, their growth in that sector, plus whatever surplus they have, whether they can mine more, whether they can adopt newer technologies so that the efficiencies are improved, so that they get better revenue by selling the material.

Mr. Aman: The second question was, ma'am, I wanted to understand the push from the government on this PSU, MSTC. How is this push and if the government is setting

Page | 15 targets for us, we have to achieve this. And going forward, how does the government support energy and confidence in our business going forward?

Ms. Bhanu Kumar: There are two aspects to that. The government, as on date, doesn't support or tell anyone that they have to go to MSTC platform. Whatever business we are getting is totally on the basis of our experience, exposure, our merits, the infrastructure, our credentials, our past, everything. We are on a daily basis competing with our private sector participants, private sector organizations. And we do not get any major advantage of being in that.

The only advantage is, yes, we have been in this e-commerce business for more than two decades now. So, that gives more credibility. Our credentials are improved. And the kind of, the statutory liabilities or the compliances that we have to keep in place for carrying out any of the activities, especially e-commerce of natural resources, that obviously we command a better position in terms of compliance-related matters, in terms of audit, in terms of, any issue that can be faced.

We have faced a lot of scrutiny in the past, and each and every time our stand has been vindicated. And because of these credentials, even the government of India, wherever they feel that they can ask us to develop this platform, they are giving us the business. But not because we are a government of India undertaking, but more because we have proven our track record has been good. We have proven our credentials in the past two decades.

Mr. Aman: Okay, sure. Thank you, ma'am. Thank you.

Moderator: Thank you. The next question is from the line of Mi raj from Arihant Capital. Please go ahead.

Mr. Miraj: Yeah, thank you for the follow-up opportunity. My question is regarding the scrapping business that we have. The JV that we have, I wanted to understand that the government has already put out notices and their push is going on from their side. But from our end and from the JV partners' end, what are our initiatives that we've taken or we are currently undertaking to increase the sales on that end?

Mr. Surinder Kumar Gupta: Right.

Right. Because, if you are following the whole series of conversations in this regard in this particular call, there are two things you might have heard. First of all, the government has put some initiatives. Now the initiatives are related to only the government basis. And for that we are getting a little bit of benefit.

But the second part, that is the larger part, that is the private basis. For that, the state has to come up with the policies and the infrastructure, in particular the APSF. And we are saying that we are taking the positive of the raw materials. From our side, we have increased our reach to each corner of the country in the form of setting up centers and the collection centers and the collection facility also.

So, from our side, we are fully ready for all efforts that have been made to get the things. But still the ecosystem is not mature enough to give us that much of raw materials, not only to our JV and other players in this field, they are also keeping the same kind of shortage. So, just now I answered to your fellow co-investor. I just answered, at least a year of time minimum is required to watch which way the things go, how the infrastructure changes, how the state government responds to these

Page | 16 centers' initiatives. Because of course vehicle is a state policy. And all the rules and regulations like RTO and all these things have to be amended and done from the state government only.

Mr. Miraj: Okay, thank you. Thank you for your time.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I would now like to hand the conference over to the management for closing comments.

Ms. Bhanu Kumar: So, it has been quite a good and engaging session as always. And the queries that all the investors have been asking have actually made us improve our processes, performances, and we know that we are all answerable to you at the end of every quarter. So, we are diligently following up on each of the suggestions. And suggestions even beyond these investor calls are always welcome. We look forward to them. Thank you so much.

Mr. Surinder Kumar Gupta: Thank you from my side.

Moderator: On behalf of Equirus Securities Pvt. Ltd., that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

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Call: Feb 2024

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"MSTC Limited

Q3 FY '24 Earnings Conference Call"

Feb 09, 2024

MANAGEMENT:

Mr. Manobendra Ghoshal, Chairman and Managing Director- MSTC Limited

Ms. Bhanu Kumar, Director of Commercial- MSTC Limited

Mr. Subrata Sarkar, Director of Finance – MSTC Limited

Mr. Ajay Kumar Rai, Company Secretary – MSTC Limited

MODERATOR:

Mr. Deep Modi – EQUIRUS SECURITIES

Page | 2 Moderator: Ladies and gentlemen, good day and welcome to MSTC Limited Q3 FY24 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listener mode only and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference call has been recorded. I now hand the conference over to Mr. Deep Modi from Equirus Securities. Thank you and over to you, sir.
Mr. Deep Modi: Thank you. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to Q3 FY24 Earnings Conference Call of MSTC Limited. From the

management, we have with us today Mr. Manobendra Ghoshal, Chairman and Managing Director, Ms. Bhanu Kumar, Director of Commercial, Mr. Subrata Sarkar, Director of Finance, and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks from the management thereafter we can open the line for questions and answers. I now hand over the call to Mr. Manobendra Ghoshal.

Over to you, sir.

Mr. Manobendra Ghoshal: Good morning, everybody. This is Manobendra Ghoshal. I am the Chairman and Managing Director of MSTC. Very nice to be talking to all of you. I would like to start with some initial key highlights of the quarter-Q3 and the last nine months of this financial year.

Operationally, we have, during the first nine months, crossed a level of 1178.23 billion in terms of the value of goods transacted through our e-commerce and marketing portals.

The consolidated financial performance for the first nine months has been at a level of a PBT of 233.37 crores, which is an increase of approximately 15 crores over the same y-on-y period of last year, an increase of 7.01%. Over the last quarter, some of the key areas that we have gone forward in, auction of critical mineral.

So, for the option of critical and strategic mineral blocks, we have 20 critical mineral blocks have been put up for auction. We have held roadshows for the first tranches of critical mineral block.

We have signed an MOU with the Government of Bihar for e-auction of major mineral blocks in the state and 77 blocks have been successfully auctioned so far. In November 2023, we have also held a real estate conference in collaboration with the CII.

So, basically, this was about exploring synergies in th

e real estate sector and finding

out areas where we can work with upstream and downstream players and leverage this sector. Many senior leaders from leading groups had participated, along with senior officials of the government.

A newly developed integrated web page for our various property auctions, which are conducted by MSTC, was also launched during this conference. Now, I would like to hand over the mic to Ms. Bhanu Kumar for her short update.

Ms. Bhanu Kumar: Good afternoon, everybody. I am really delighted that the investors have reposed their confidence in our company for quite some time now and the kind of queries that you all have been raising in this forum as well as in other forums are praiseworthy, which is what is driving us to keep our services at a very good level, probably beyond expectations sometimes. So, towards that end, we are in the process of consolidating business in various sectors and also going for more

Page | 3 automation, reducing human intervention and bringing in a lot of user-friendly features. So, that is where the focus is on right now. And all this will definitely help us in giving better performance year on year. Thank you so much. And I will be taking up all the queries as and when it comes. So, maybe we can have a detailed interaction at that point of time. I will hand over to Mr. Subrata Sarkar regarding the financials of the company.

Mr. Subrata Sarkar: Very good morning to all of you. So, let me start with the stand-alone financials highlight. Like, we are giving the first comparison of 9 months, 2022-2023 vs. 9 months, 2023-2024. Total revenue is down by 13% from 367.49 to 316.23.

And as you can see that the e-commerce has shown just a steady rate. It is supported 244.86 to 268.05. And of course, others, the remaining are better. And with that results, EBITDA pre-provisioning has come down from 289.12 to 221.76.

Profit before tax has come down, has of course gone up with a better net margin from 206.71 to 216.63. And PAT has gone down from 163.17 to 152.41 with higher tax rate. And EPS accordingly has gone down from 23.18 to 21.65. And the cash profit has also shown a declining trend to 157.54 from 245.49.

And so far, segment is concerned, the total revenue is 367.49 of the previous 9 months. And current year is 316.23. E-commerce revenue is 268.05 as compared to the same period of 9 months of the previous year, which is 244.86. The current year's break-up is from e-auction and itself comes from the major chunk of the e-commerce revenue, that is 203.43. E-procurement always small share here so it is 3.41. And other income, of course, 61.20. And the marketing has also declined. And the total expenses have also declined.

So, PBT therefore stands at 216.63 as compared to 206.71. And profit after tax has gone down from 163.17 to 152.41.

So, far, the consolidated financial highlights are concerned for the 9 months of 2023-2024. Total revenue has dipped from 646.79 to 615.41. And, of course, the other

elements remain the same for MSTC.

And so far, the segment from FSNL continuing to the consolidated revenue has gone up substantially from 304.31 to 324.78. EBITDA, of course, gone down from 255.29 to 172.44. Share of JV this year is -5.68 as compared to -1.65 previous year.

And, of course, PBT has gone up from 218.09 to 233.37. PAT has, of course, gone down with a similar reason from standalone, 165 to 155.92.

And EPS, constitutional effect in the EPS is also seen. That is 23.44 has come down to 22.15. And cash drop-in accordingly has shown a trend. It is from 202.59 to 135.87.

So, this is a summary of that is also present in the statement in our presentation.

So, this is all from our side.

You can have the question-and-answer session.

Moderator: Thank you very much.

We will now begin the question-and-answer session.

Anyone who wishes to ask a question may press star and 1 on the touch-tone telephone.

If you wish to re

move yourself from the question queue, you may press star and 2.

Participants are requested to use handsets while asking a question.

Page | 4 Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Our first question is from the line of Dr. Amit Vora from the Homeopathic Clinic.

Please go ahead, sir.

Dr. Amit Vora, Homeopathic Clinic: Good morning, all the dignitaries. Am I audible clearly?

Moderator: Yes, sir.

Dr. Amit Vora, Homeopathic Clinic: Yeah. So, my question is regarding the scrap dealers. I think our scrap business has increased from Rs. 101 crore or something to Rs. 252 crores or something. I am not sure of the exact figures. Am I correct in that?

Ms. Bhanu Kumar: Not really. I do not know from where you are getting the figures. Scrap sale has not increased.

Mr. Subrata Sarkar: Scrap, recovery, and allied jobs in our subsidiary company, that has increased. You are right on that particular thing.

Ms. Bhanu Kumar: So, yeah. This is actually an activity of our subsidiary company.

Dr. Amit Vora, Homeopathic Clinic: Okay. So, okay. Okay. I will just get back again after I find the exact figures in the line.

Mr. Subrata Sarkar: Fine. Fine, sir.

Dr. Amit Vora, Homeopathic Clinic: Yeah.

Moderator: Thank you. Our next question is from the line of Ayush Agarwal, an individual investor. Please go ahead.

Mr. Ayush Agarwal: Can you hear me?

Mr. Subrata Sarkar: Yes, sir.

Mr. Ayush Agarwal: Right. So, I wanted to know that we are looking at a decrease in year-on-year revenue for December 2023 and even if we look at the sequential nine months, there is a marginal decrease. What are the primary causes of that? Especially since it has also resulted in a reduced amount of profitability.

Mr. Subrata Sarkar: Pardon. Your last line was not clear, sir. Can you just repeat your last line?

Mr. Ayush Agarwal: Yeah. Sorry. So, I was saying that not only have we seen a reduced revenue, we have also seen reduced profits. So, what is the main cause for that?

Mr. Subrata Sarkar: Main cause.

Mr. Subrata Sarkar: It is a very pertinent question, sir.

If we talk about PBT, so overall PBT has increased.

But if you talk about PAT, which talks about the overall profitability, it has decreased, and you can see very well from that.

Last year, there was a taxation, less rate of taxation. Average rate of taxation was less.

And this year, it is higher because of the PAT. Last year, we had some write-off of bad loans. So, that gives us an income tax benefit. That was a taxation rate benefit.

So, for PAT is concerned. But you can see the PBT. It has shown a little higher trend.

It has increased. But of course, on a flatter trajectory, sir.

But here also, I can supplement, add one thing here. That e-commerce revenue, if you look at, it has also not shown that much of growth. Because our main bread earner is the e-commerce revenue.

So, if it shows a flatter trend, we also have a flatter trend, sir. So, that's the main reason for that.

Page | 5 Mr. Ayush Agarwal: So, when we talk about increasing e-commerce revenues, what are the steps that you need to take at the current situation to improve the profitability in that

segment?

Ms. Bhanu Kumar: Basically, e-commerce, we are always on the lookout for newer clients, adding the basket of our clients. And one major factor that has come across is the scrap rates that have gone down. If you see the year-on-year rates, it has gone down by almost about 10% or so.

So, that has reflected in this.

So, to compensate for that, we are always on the lookout for expanding the volume so that this reduction is arrested. So, we are in pursuit, and we are hopeful that in the last quarter, there will be some growth.

Mr. Ayush Agarwal: Okay. So, when we talk about scrap, I understand that scrap is not the only business vertical in e-commerce that you are currently working on. And you also have some e-marketplace

and auction level outside of the scrap trade. So, where are we standing on that right now?

Ms. Bhanu Kumar: In fact, for other areas, it is more or less, I won't say it is bad. It is not showing the downward trend. It is a little flatter.

One major thing that you have to see here is the iron ore, we are now trading bigger volumes, but there is some stress on reduction of the charges. So, that is also one of the contributors to the reduced e-commerce revenue. But there, we are sure that the volumes are really going to be so high that the reduction will be duly compensated.

Mr. Ayush Agarwal: Understood. And my last question is regarding your joint venture with Mahindra for vehicle scrapping. What is the status of this JV and what are we expecting going forward in the next 2-3 years?

Mr. Manobendra Ghoshal: I would like to take that one. Our JV has been in operation for the past 5 years on. And at this stage, it is in a growing phase because there has been a substantial amount of regulation which is coming in at this point of time as guidelines which have been set out by the Ministry of Road, Transport and Highways.

Now, different states are at different stages of implementing these guidelines as a policy framework and which is still happening. It is not yet complete. So, once that framework is in place, the incoming of end-of-life vehicles will get streamlined. So, we are at the consolidation stage. It is happening. There are challenges especially in terms of issues in the portal itself, pending dues on vehicles, challenges from the unorganized sector which naturally when we look at digitalization and putting the entire process on a digital framework.

So, these challenges have been coming up. Testing infrastructure is yet to come up in a lot of areas. So, all of these have been resulting in constraints in flow of vehicles. We have the capacities in place to cater for the flows.

We are very near to the breakeven points, and we expect that over the next 2 to 3 years, there would be a substantial settling down and therefore increase in the number of vehicles, number one.

Other than that, the government has also been considering the EPR policy which should also again change the overall outlook for the industry as a whole where definitely MMRPL would also be a beneficiary.

Page | 6 Mr. Ayush Agarwal: Right. So, just wanted to clarify when you say breakeven, do you mean that the venture is currently not exactly profitable, but you expect it to become profitable going forward?

Mr. Manobendra Ghoshal: That is very true.

Mr. Ayush Agarwal: Yes. And so, could you tell me what is the current capacity of your scrapping units and what levels will it go up when we go forward?

Mr. Manobendra Ghoshal: Look, it is not on a scalable model. So, it would not be correct to talk about exact capacities here. But yes, it is adequate for the load that is there at present and also for consumable load that we may get over the next 1 to 2 years.

Mr. Ayush Agarwal: But you could give me a sense of numbers like say 10,000 units a month or 100,000 units a year.

Mr. Manobendra Ghoshal: I am sorry. It would not be correct for me to talk about numbers at this stage. But may I again reiterate that we have adequate capacities for the vehicles that are getting generated at this point of time and also over the next 1 to 2 years of expected loads.

Mr. Ayush Agarwal: Okay. No further questions for now. If I have any follow-ups, I will join back in queue.

Mr. Manobendra Ghoshal: Thank you.

Moderator: Thank you. Our next question is from the line of Preetam from Veltria. Please go ahead.

Mr. Subrata Sarkar: Yeah, please continue sir.

Moderator: Hello, Preetam sir? The line from Preetam sir has been disconnected. Forwarding

for the next question. The next question is from the line of Mohit from Monarch Network Capital Limited. Please go ahead.
Mr. Mohit: Good afternoon, sir. Sir, my mai

n questions are pertaining to the vehicles scrappage policy.

There are two ways where MSTC can contribute to this emergency. One is through JV wherein we get vehicles to scrap.

The other thing that I can think of is the scraps that will flow from JV business to the MSTC portal where you can earn commission on the value-credit.

So, there are two questions. One, what kind of revenue we can think of when these vehicles come to our portal and the other registered scrapping vehicles that are there in the market.

Will the scraps from those RVSFs will also flow to the MSTC portal? Those are my questions.

Ms. Bhanu Kumar: Okay. So, the first question is in respect of scrap that is generated out of processing of the ELVs by the RVSFs, mainly the JV company, right. So that is definitely going through our portal. But the second part is not through the other RVSFs which are processing those ELVs and generating scrap. They have some tie-up directly with the melting units or the arc furnaces. So, that is not happening through our portal. But the main thing that you had started off your question was there are basically two aspects of this ELV business. The first is the auctioning of the ELV as such. MMRPL doesn't get all the vehicles, our JV company doesn't get all the vehicles directly just because MSTC is handling the auctions. They also participate in our bidding process

Page | 7 and only a fraction of the vehicles they are able to bill. So, MSTC is generating some revenue out of the auctioning process.

And definitely after processing in the JV, there will be some revenue to the JV company. But as I had said earlier, only the scrap that is generated through the JV company that is traded, that is auctioned off in our platform. The rest of the RVSFs are not auctioning or transacting any business through our portal.

Mr. Mohit: Understood. So, even in the future, there is no possibility of those RVSFs transacting through your portal. So, that you get directly merchant to merchant.

Ms. Bhanu Kumar: Yeah, most of the people are having some direct arrangements with the end users or the melters or the furnaces. So, I do not expect, in fact, some of the RVSFs like the big ones like Tata and all, they consume it directly. They have their own foundries and all. So, it doesn't come into the market.

Mr. Mohit: Understood. Just two follow-up questions. One, how much will be the recovery from scraps when a car or a vehicle is scrapped? How much can be recovered from that?

Ms. Bhanu Kumar: You mean to say the ferro scrap or? I can't get your question.

Mr. Mohit: When a vehicle is scrapped, how much recovery potential is there?

Ms. Bhanu Kumar: See, there are all kinds of scrap that can be recovered from a vehicle. And it depends on the kind of vehicle. There are 2-wheelers, 3-wheelers, 4-wheelers, trucks, commercial vehicles and all kinds of vehicles. So, it depends on the make, model, everything.

Mr. Mohit: I mean, just to clarify, you were talking about a 4-wheeler. That is scrap. Can we expect around 25-30% value recovery?

Ms. Bhanu Kumar: See, basically what scrap is, the metal content only has some value. The plastic and other things that are there doesn't have any value. So, whatever is the market price for the metal, that we are definitely getting.

Mr. Mohit: Thank you.

Moderator: Thank you. Our next question is from the line of Surbhi from Swisspeak Capital. Please go ahead.

Ms. Surbhi: Thank you for the opportunity. I have a couple of questions. The first one being, Sir, can you tell us when will the sale of your subsidiary Ferro Scrap Nigam Limited likely to happen? And what could be the range of valuation? At what stage the sale is right now?

Mr. Subrata Sarkar: Ma'am, let me clear that in our earlier call, it is being organized and managed by Departments of Investment, Public Asset Management, and that is under the Ministry of Finance. But any updates can be updated

in their website. So, as of

now, the company is a going concern, that much we can comment. So, for valuation is concerned, we are basically not going to comment right now at this.

Mr. Manobendra Ghoshal: It may not be appropriate for us to comment.

Mr. Subrata Sarkar: Okay. So, because, if we formalize the sale, whenever everything is there, updates are available, it is updated on the website. So, it would not be appropriate for us

to comment on anything on this issue at this stage.

Ms. Surbhi: Okay. Okay, Sir. Another question is that, will you be handling the sale of Spectrum, which is likely to be auctioned?

Page | 8 Ms. Bhanu Kumar: Yes, Spectrum auctions, we have been doing for the past three years. And today also, there was a news report that some more frequencies also will be auctioned.

That also will be carried forward by us.

Ms. Surbhi: Okay. And my last question is, can you explain the reason for increase in other expenses and employee expenses? For the quarter?

Mr. Subrata Sarkar: Yeah, it is, it has been negotiated with our section of the employees.

Ms. Surbhi: Sorry, Sir, for the interruption, but your voice is not clear.

Mr. Subrata Sarkar: Right now, can you hear me?

Ms. Surbhi: Yeah. Yeah, it's better now.

Mr. Subrata Sarkar: Yeah, so, basically, so far, it has not shown that much of jump. It is a simple, just a certain, our conference expenses and etc. that has been come up. But so far, employee expenses increased, right. It is there. Mainly contributed by certain equipment that we have extended with our employees.

So, one portion, it will be purchased for one time, and others will be some perpetual. But, of course, we are, as we are coming, we are trying to maintain it around, total overhead is around 110. Around, we are trying to maintain it. So, far, services will be around 110. That we are maintaining.

Ms. Surbhi: Sir, can you just repeat the amount of the overhead that you said? It was not clear.

Mr. Subrata Sarkar: Yeah, we are trying to maintain right from the day, one that we are telling our investor, it is around 100. So, with the inflationary pressure coming up, so it will be around 110 to 120. And now, it will be going. And that, however, we are trying to, with this scalable operation, with the operation that we are doing right now, we are trying to maintain that way. And the second, to supplement was due from 1-1-2017 to our succession of the employees.

Ms. Surbhi: Okay, sir. Okay, that was quite helpful. Thank you.

Moderator: Thank you. Hello. Hello, sir. From the management line, there is a little eerie sound coming.

Mr. Subrata Sarkar: Eerie sound? Right now, it is clear?

Moderator: Yes, sir.

Mr. Subrata Sarkar: Yeah, please.

Moderator: Okay, sir. Our next question is from the line of Miraj, from Arihant Capital. Please go ahead.

Mr. Miraj, Arihant Capital: Yeah, thank you for the opportunity, sir. I have a few questions. Firstly, I wanted to understand that you have taken part in the Real Estate Conference. I just wanted to understand what kind of scope is possible here and what are we planning over here?

So, exactly what will be the layout? Will there be estate properties or land plots coming up for sale to our website, our platform? And if so, then what would be the revenue model that we planned?

Ms. Bhanu Kumar: Okay. So, I will take this question.

As, we have been highlighting in the past also from time to time many of our clients both in the government sector and sometimes even in the private sector or post-monitored processes.

We have been approaching for a good and very dynamic auction platform for all kinds of immovable properties. So, about a couple of years back, about three

Page | 9 years back rather, we had an agreement with the Department of Financial Services and we created a dedicated portal for all the MPS of the banks.

Based on the success of that model, we wanted to enlarge that basket and

we

thought, we will be approaching the liquidators, the assets under IBC processes and then there are a lot of development authorities like Yamuna Express, they had participated in the DDAs and in fact, every state has its own development authority.

So, all these people are also having some kind of sale, some kind of auctioning, and there are requirements that come to us from time to time.

Apart from that, the government has also been focusing on monetization of assets of PSUs. So, we have been doing a lot of asset sales for big-time, big-ticket sales for Air India, BSNL and many big PSUs.

So, in order to bring all this to the knowledge of the public and also to take feedback on how we can improve our services, how we can automate it, how we can bring in more transparency and how we can expand the basket, we had

organized this seminar for real estate.

So, our focus so far has been only on B2B segments. Now, we would also like to be in the B2C segment. So, towards this end, it was more of an awareness campaign plus to, gauge the business opportunities that are available.

So, one of the series that we will be starting. In fact, a couple of years back, we did have a conference for the mineral sector. So, sector wise, we are now going to focus so that all opportunities can be trapped and we can grow our profits. That is the idea.

Mr. Miraj, Arihant Capital: Understood. So, now over here, just to sum it up, we are also focusing on the B2C segment in terms of sales and there has been positive feedback from PSUs as well regarding the sale for properties through IBC. The insolvency and bankruptcy versus what are the properties are there. There has been positive feedback from their side as well for sale of that.

Ms. Bhanu Kumar: I want their positive feedback but that is also from time to time, we are doing it.

But it is not in a very structured mechanism. So, we just wanted to showcase what kind of infrastructure we have so that everyone in this area looking for a good service provider is the way that we are there.

Mr. Miraj, Arihant Capital: Understood. Okay. My next question is regarding the vehicle scrapping policy and our role in it. I wanted to understand what kind of triggers are currently present because there are a lot of moving parts I believe over here. I wanted to understand what the main triggers and what kind of volumes we could do over here.

Mr. Manobendra Ghoshal: As far as the triggers are concerned, one of the major issues that any of the RVSS are facing of which MMRPL is one is the fact that there are still a lot of states which are in stages of implementing the policy framework which was visualized by the MORTH guidelines.

Now, the availability of vehicles then becomes dependent on that particular state having that framework in place and with the data also being populated in the Vahan Portal because as per the guideline now a vehicle can be accepted only if a certain amount of data is available on the Vahan Portal.

Page | 10 If it is not, then even if the vehicle is available, it cannot be accepted for scrapping. So, that is the constraint which we are facing at this point of time which is being sorted out state to state and once that is done and there would naturally be other smaller issues of pending views on end-of-life vehicles. So, that acts as a little disincentive because if a pending due has to be it is essential that it is to be cleared before it can be scrapped. So, that acts as a disincentive for the seller for the individual who is then handing it over to a registered vehicle scrapping facility.

Other than this, there is a major challenge from the unorganized sector which has been working in this area I mean they have been the people who have been working in this area for all this time and naturally since compliances are not so much of an issue in that sector. So, that puts an initial organized vehicle scrapping, scrapper at a di

sadvantage at least in the initial phase.

To take care of this, we have been trying to develop a completely digitalized platform right from the initial phase of when a customer logs in, gives us the vehicle details and then the entire process to be digitally seamless is what has been the challenge that we have been working on.

Apart from this, states are also putting up testing infrastructure which is a major requirement for being able to implement this policy. And the third thing which I had mentioned earlier is that the government is also thinking of coming in with an EPR policy which will also substantially increase the size of the market because that puts a substantial amount of responsibility on the OEMs for scrapping vehicles which they have manufactured at the beginning of life and using that scrap material for manufacturing their new vehicles.

So, once that entire process gets formalized, the policy gets formalized, it will be definitely of benefit to the organized and ethical players in this sector.

Mr. Miraj, Arihant Capital: Understood, understood. Just on the end-of-life vehicle part that you mentioned, from a previous conference, I believe that in FY25, we were supposed to receive a large chunk of government vehicles that were coming in for scrapping. So, can you just reiterate the number over there and is there any hiccups on that part?

Ms. Bhanu Kumar: See, these numbers were coming from different states at various points of time but as I have just now pointed out, these also have to follow this process only.

And the challenges of the ecosystem, the digitization, the issues and the uploading of details in the Vahan, the encumbrances on these vehicles, these

challenges will have to be addressed so that these vehicles can actually come for scrapping.

Mr. Miraj, Arihant Capital: Understood. Okay. Secondly, if you could just tell me what is cash balance currently on books?

Ms. Bhanu Kumar: Sorry, can you repeat?

Mr. Miraj, Arihant Capital: Is that the cash balance currently on books?

Mr. Subrata Sarkar: Yeah, sir, that much we can tell that like this time we have not drawn up the balance sheet for the limited regime so it is due for in the March. But the cash position is quite enough to run the day-to-day operations as well as for the future expenses.

That much we can assure. And we will come up with the exact balances as on 31st March that it starts today in the next conference, sir.

Page | 11 Mr. Miraj, Arihant Capital: Understood. So, in FY23, I was just checking the numbers. We had, from our portal, we had scrapped 2,000 vehicles and we had mentioned that we are expecting another 15 lakh vehicles to be scrapped in FY24. So, will that figure be coming in FY24 or 25?

Ms. Bhanu Kumar: It looks a little difficult even in FY25 because of all the reasons that we had just sent out a couple of minutes back.

Mr. Miraj, Arihant Capital: Okay. So, it looks to be difficult to be executed till FY25, right?

Ms. Bhanu Kumar: Yes.

Mr. Miraj, Arihant Capital: Okay. Perfect. No worries. And my last question before I get back in the queue, could you just help me with the guidance going forward? What is the guidance that we might give for FY25?

Ms. Bhanu Kumar: I think it is a little too premature to talk about that.

Mr. Manobendra Ghoshal: It would not be appropriate for us to talk about any numbers because that would be speculative. But yes, we are looking for consolidation in our existing areas of business as well as looking for new clients. As Ma'am has talked about a short while ago, that is a continuous effort to scale up the business that we have available with existing clients and to increase our basket of clients, particularly in the e-commerce sector.

Mr. Miraj, Arihant Capital: Understood. Okay. I will just get back in the queue. I have a few more questions. I will get back in the queue.

Moderator: Thank you. Our next question is from the line of R

ushabh Shah from Anubhuti

Advisors, LLP. Please go ahead.

Mr. Rushabh Shah, Anubhuti Advisors LLP: Thank you for the opportunity. Sir, my first question is basically we have historically seen our fourth quarter volumes to be significantly higher than the rest of the year. So, I just wanted to understand how have the trends been for us till date for fourth quarter and also how the scrap prices have moved around?

Ms. Bhanu Kumar: Can you repeat the last sentence?

Mr. Rushabh Shah, Anubhuti Advisors LLP: How have the scrap prices moved around as of now? Have they been on a better side? So, I just wanted to understand how has the e-commerce business been performing in the fourth quarter?

Ms. Bhanu Kumar: E-commerce business has shown slight improvement, but more precisely, it is on a flatter trajectory. The scrap prices, if you want us to analyze then on a nine-month basis compared to last year, it has shown a downward trend by almost about 10%. So, that has actually, made this e-commerce revenue a little flatter.

But as far as the other subsegments of e-commerce is concerned, there we have seen better revenue. Another thing that I had pointed out was regarding the iron ores. The iron ores volumes have gone up, but somewhere it has not translated to revenue mainly because we were stressed to reduce the charges.

So, the volumes have gone up, so it is a little flatter as of now. But as the volumes build up in the coming month, will also be a little better.

Mr. Rushabh Shah: Understood. And, going forward, which are the new areas that you are targeting to drive the e-commerce business? And, if possible, can you share a broader long-term guidance at which the e-commerce revenues could continue to grow?

Page | 12 Ms. Bhanu Kumar: Actually, we are working on a few things right now, it will be a little premature to talk about it. So, maybe in the coming months, we will be able to address this.

Mr. Rushabh Shah, Anubhuti Advisors LLP: Okay. But we are seeing the whole segment has been to go in double digits over coming, I think three, four years to release. That would be a correct interpretation.

Ms. Bhanu Kumar: The past trends have been like that. We also hope that it continues.

Mr. Rushabh Shah, Anubhuti Advisors LLP: Okay. Okay. I think that was all from my side. Thank you.

Moderator: Thank you. Our next question is from the line of Vinay from Hathway Investment,

Private Limited, please go ahead.

Mr. Vinay, Hathway Investment Pvt. Ltd: Yeah. Good afternoon. I just wanted to know the three segments that we have, the scrap, the vehicle scrap, and your e-auctions and marketing.

Now, if I can just get a fair bit of understanding in the e-auctions, you again have some of fiber auctions and spectrum auctions and various things. Do we have a... What exactly is the profitability model for the e-auctions? You get flat fee or you get a commission of the value traded or how is it?

Ms. Bhanu Kumar: Actually, it's a mix of both. We had the addresses in the past in which the con-calls also. So, in certain areas, we go on percentage basis, but in certain like spectrum or whole auctions, it is on event basis, even say mineral blocks.

So, it is a mix of models, and the revenue streams are also quite different. Sometimes we charge the seller, sometimes we charge the buyer, sometimes it is just a transaction cost. So, there is no one fixed model.

Mr. Vinay, Hathway Investment Pvt. Ltd: As an investor, how do I kind of understand what would be the sustainability of this revenue going forward?

Because this is one of your major businesses, right? If there is no figure I can go with, is there any ballpark figure that you look to say that at least this much is what the company is supposed to earn out of this?

Ms. Bhanu Kumar: See, if you have seen the sub-segments, we have scrap, iron ore, coal, e-procurement, etc. So, scrap is more or less, which is almost 50% of our total e-commerce revenue.

That is on a percentage basis. So, if that is up, then obviously the revenue is also up. As far as e-procurement or the goal is concerned, that is on event basis. So, right now we cannot say how many events will be carried out or how much coal will be traded or what will be the income stream from that. So, it is a mixed bag. See, when it is a mixed bag, it will be very difficult to say which particular sub-segment will do well.

Mr. Vinay, Hathway Investment Pvt. Ltd: And this e-commerce as a whole would be what, around 75-80% of your business? Even going forward?

Ms. Bhanu Kumar: Mainly, yeah, yeah. E-commerce is our main business. The trading, on which we are practicing only one particular model, there again, the volumes are not really coming up. So, the focus of the area definitely is e-commerce only. At this point of time, yeah.

Mr. Vinay, Hathway Investment Pvt. Ltd: Yeah, and that would be approximately what part of the business? Because in the segment revenue, I can see that. But is that likely to be the trend even going forward?

Ms. Bhanu Kumar: Yes. As of now, yes.

Page | 13 Mr. Vinay, Hathway Investment Pvt. Ltd: Okay. And then, on this vehicle scrap policy also, you have a center in Noida, right? Where you can, where you have this. Is there a location as one?

Mr. Manobendra Ghoshal: MMRPL.

Ms. Bhanu Kumar: The JV company has a center.

Mr. Vinay, Hathway Investment Pvt. Ltd: Yeah, yeah, yeah. That company where you have a JV. The only thing is, is proximity to various places important or how does this go? I mean, do we have to get all the vehicles to one place and get it here? So, transportation cost will get added. How competitive would you be in that sense, by having it so far?

Mr. Manobendra Ghoshal: Here, I would say that it is a general radius of maybe about 100 or 200 kilometers, which is a catchment area for a particular center. So, transportation cost within almost any distances within that is not substantially different.

Mr. Vinay, Hathway Investment Pvt. Ltd: Okay. And how many centers like this we have?

Mr. Manobendra Ghoshal: At this point of time, I think we have 7 centers and 7 centers at this point.

Mr. Vinay, Hathway Investment Pvt. Ltd: And all of them are equally, what is it ?

Mr. Manobendra Ghoshal: 41 collection centers.

Mr. Vinay, Hathway Investment Pvt. Ltd: 41 collection centers. Okay. And in this case, the modus operandi is you have to pay something to the, I mean, how is the profitability model here? How does this work? Like you said in scrap, it is percentage of-. Here, how does this work? The profitability?

Ms. Bhanu Kumar: This is completely, that is an independent thing that is being done by the JV company. It is, we are not actually involved in the day-to-day operations of this company.

Mr. Vinay, Hathway Investment Pvt. Ltd: Okay. But you get 50% share of that?

Ms. Bhanu Kumar: Yeah, because we have the management. That's it.

Mr. Vinay, Hathway Investment Pvt. Ltd: Okay. And I would not know how exactly is that valued because that is going to be a major stay going forward?

Mr. Manobendra Ghoshal: That would be a significant part going forward over the, as I mentioned, that the industry is still recent. The guidelines and framework is coming into place. So, we definitely have hopes of this area becoming a very significant area for us in the future.

Mr. Vinay, Hathway Investment Pvt. Ltd: So, as an investor, would I know what kind of profitability model that significant portion will have going forward? Is it percentage? How is it? I mean, I just can't understand how that works.

Mr. Manobendra Ghoshal: I would not like to talk about numbers. That would be speculative.

Mr. Vinay, Hathway Investment Pvt. Ltd: No, not numbers, not numbers. I just want, I mean, is it, how do I put it? How do you value that business?

Mr. Subrata Sarkar: Let me supplement, sir. Like you are talking about the profitability

and the revenue

model. We have a simple, like you buy a scrap vehicle, generate and segregate scrap out of that, sell that in the market, purchase, and sell price difference.

Simple manufacturing where we can come in. It's like a pseudo-manufacturing activity, not just getting scrap out of that junk vehicle and selling it to the market.

So, that is the model.

Mr. Vinay, Hathway Investment Pvt. Ltd: I got it. I got it. So, it is basically, you buy the vehicle, scrap it and sell the scrap, that's it.

Page | 14 Mr. Subrata Sarkar: Scrap and allied things. Scrap and allied things, of course.

Mr. Vinay, Hathway Investment Pvt. Ltd: Fine, fine. Thanks a lot. That's all from me. Thank you very much.

Moderator: Thank you. Our next question is from the line of Bharat Shah from ASK Investment Managers Limited. Thank you.

Mr. Bharat Shah, ASK Investment Ltd: Yeah. This is in. Sorry. Sorry. This is in line with the previous questions. Can you draw up a conceptual map of the predominant business today of e-commerce, the kind of opportunity, long-term kind of evolution of that activity, the challenges and the positives that you see?

Along with that, again, a conceptual map of many new opportunities which are either at the drawing board or which reasonably are conceptualized and we can think of what it can represent.

I'm not necessarily seeking any precise numbers, but I'm seeking philosophy, thought process, and how you are conceiving the overall opportunity set for your business, both your existing as well as the ones which are kind of, which are being done but work in progress and the new opportunities that are being conceptualized. If you can present a picture of that in broad details with possible size of opportunities you can throw in, that will be very helpful.

Ms. Bhanu Kumar: See, as we have said earlier, the focus is on expanding our e-commerce business portfolio. And for this, at least in the last 4-5 years, you can see that scrap has been the main focus area. More than 50-55% of our revenue is coming from sale of scrap. Now, whatever scrap we are selling is more from the government sector. We have in the past also talked about our foray into the private sector scrap and we have been adding almost all the big names in our portfolio and that is our focus area.

We will definitely be handling more scrap from the private sector. That is an untapped area. Second thing is digitizing any commercial transaction.

That obviously has been the strength of this company. And because of these strengths, we command fairly good credibility in the market and we are getting opportunities.

So, we are now actually working on various models because each and every model cannot be translated to business immediately. So, we are still contemplating as to which are the focus areas that we need to work on. So, maybe after a couple of months, we will have a clear focus on where we want to be and what we don't want to do.

Mr. Bharat Shah, ASK Investment Ltd: I am sure, given the fact that it is an operating business and some part of it is fairly clear and obvious and concrete, why is it that our roadmap ahead is something which is still something to be drafted? Why are we not able to articulate on that?

Ms. Bhanu Kumar: See, we can articulate once we are very clear in our minds. We are working on various models, as I said very clearly. Let us all come to a consensus internally. After that, maybe I can spell it out to you. But right now, it is a little premature to talk about this.

Mr. Bharat Shah, ASK Investment Ltd: Okay. On the existing activities, can you, by segment-by-segment, can you throw light on opportunities and challenges on each of them and the potential size of opportunity in that area?

Page | 15 Ms. Bhanu Kumar: I would take some more time to answer this query. Maybe I won't be able to answer it today. Maybe in the next con-call, we will have some clear in

sights in that area.

Mr. Bharat Shah, ASK Investment Ltd: That would be helpful because the earlier participant also was raising questions. How do we get a picture into the glimpse into the future? One is not looking at numbers, but one is definitely looking at the thought process and opportunity mapping so that we can formulate our own view as to how that may happen, what can be a potential roadmap on that. But if that is something not very articulated, then it becomes very difficult to formulate a view on the business.

Mr. Manobendra Ghoshal: I understand. At this point, what we would like to say is that, of course, e-commerce is an area which is our core area of operations at this point of time. So, scaling up as well as looking at different sectors where e-commerce is not the norm at this point of time would be a large part of the way going forward.

Apart from this, for exponential growth, we have been examining multiple other scenarios internally. But we would definitely not come to a final conclusion about the three or four particular sections that we would like to go forward in. And that is something which is in process at this point.

Mr. Bharat Shah, ASK Investment Ltd: May I request and expect that when we have this call again, say in three months' time, can we have a more meaningful and detailed discussion on existing activity and mapping? Is there a potential roadmap on the new opportunities? Even if they are at a conceptual stage or a thought process stage, if you can articulate, that will be helpful.

Mr. Manobendra Ghoshal: We will certainly try to do that.

Ms. Bhanu Kumar: We will try definitely.

Mr. Bharat Shah, ASK Investment Ltd.: Thank you.

Moderator: Thank you. Our next question is from Dr. Amit Vora, the homeopathic clinic. Please go ahead.

Dr. Amit Vora, Homeopathic Clinic: So, my question is regarding the segment results, the segment profit. So, the first marketing, e-commerce and others and then there is the scrap recovery and allied jobs. Wherein this quarter we have shown a result of 25.87 crores as compared to last year's 10.98 crores and the preceding quarter, that is September quarter, 10.94 crores. So, what has led to increase in business in this part of, or is it seasonal?

Mr. Subrata Sarkar: Yeah, let me explain, Dr. Sir. Like here, scrap and allied recovery jobs, it is basically from our subsidiary, Ferro Scrap Nigam Limited, right? So, this year, this quarter has done better results because of this operation. So, that's why that thing has gone up. That's your first question, right? So that has gone up.

Dr. Amit Vora, Homeopathic Clinic: Okay, so can I repeat one thing? It is because Ferro Scrap has done better, that's why this quarter is showing better results.

Ms. Bhanu Kumar: Scrap recovery and allied jobs is mainly done by the JV company and because of their increase in revenue, the figures are reflecting that.

Dr. Amit Vora, Homeopathic Clinic: JV company is one with Mahindra, the same JV company you are talking, no?

Ms. Bhanu Kumar: No, no, no. This is Ferro Scrap Nigam Limited.

Dr. Amit Vora, Homeopathic Clinic: Okay, got it, got it. One more question. We had recently read in the newspaper that the Government of India is planning to remove some 8 lakh

Page | 16 old buses and replace it with electric buses. So, can we see the operating business of those 8 lakh buses which are regular buses, diesel or petrol buses to be scrapped?

Ms. Bhanu Kumar: Which particular news report are you talking about?

Dr. Amit Vora, Homeopathic Clinic: It was in Economic Times around a month back that the Government of India is planning to remove all the state transport buses which were of petrol and diesel and replace it with around 8 lakh electric buses, e-buses.

Ms. Bhanu Kumar: Yeah, that is definitely an opportunity but then this is just at the planning stage and you will appreciate that replacing such a large volume of vehicles will

not happen

overnight. So, this will definitely be coming in a phased manner over a few years.

Dr. Amit Vora, Homeopathic Clinic: Five years or something, definitely I agree with that. But as we see that now gradually buses are being replaced by e-buses. So, do we see opportunity in the old buses for ourselves?

Ms. Bhanu Kumar: Yes, yes, definitely.

Dr. Amit Vora, Homeopathic Clinic: In terms of scrap and other businesses?

Ms. Bhanu Kumar: In fact, all the road transport corporations, the end-of-life vehicles that we are selling and the vehicle scrap also, we are only selling. So, that is an opportunity for us.

Dr. Amit Vora, Homeopathic Clinic: Okay, even the other parts of the vehicle like the mirrors or the

FM radios and that also, if we auction, we have a margin there also.

I read somewhere on MSTC that we can have, if we get that option, if we are getting that option, then we can have a margin somewhere around 25 to 50% apart from the scrap.

Ms. Bhanu Kumar: Yeah, see there are two aspects of vehicle sale. One is the vehicle being sold as ELV. So, there it is sold through our platform to the RVSFs.

Now RVSFs are the dismantlers of those vehicles who are removing those parts and which can be sold in the spare market. So, this basically is an activity of the RVSFs and one of those RVSFs is our own JV company.

Dr. Amit Vora, Homeopathic Clinic: Okay.

Ms. Bhanu Kumar: The parts are not auctioned in our platform directly. So, this is actually a product that comes out when the dismantling happens.

Dr. Amit Vora, Homeopathic Clinic: Okay.

Ms. Bhanu Kumar: So, the JV company, whatever parts are there, so it is an activity that is being done by them and they of course do sell all these parts in the market.

Dr. Amit Vora, Homeopathic Clinic: Yeah, apart from this metal part, the remaining parts also have good margin value around 25 to 30-40% margin.

Ms. Bhanu Kumar: It depends on demand supply conditions. If some vehicle which is really obsolete and those parts are not at all required by anybody in the market.

Dr. Amit Vora, Homeopathic Clinic: Yeah, definitely.

Ms. Bhanu Kumar: The inventory just lies there.

Dr. Amit Vora, Homeopathic Clinic: Okay. Anything else that you see future business opportunities?

If you can discuss anything apart from whatever you mentioned from e-commerce and scrap. Anything else that you foresee?

Ms. Bhanu Kumar: We have been mentioning that the e-commerce, nobody has actually mapped the potential that is there in the market. So, anything, any transaction can be converted to an e-commerce activity. So, as and when we come across any activity that can be digitized, we are focusing on that area and developing a software or doing

Page | 17 transactions in that area. So, that is why it is very difficult for us to make a strategy for one sector and then go ourselves full throttle in that sector only. We are seeing all the opportunities and whatever is possible immediately without much of, developing that entire sector, that we are able to put in our fold. But going forward, the opportunities are infinite and we would definitely want to tap each of these opportunities that come our way.

Dr. Amit Vora, Homeopathic Clinic: Thank you so much. One last question about the Standard Chartered Bank. We got some refund of around 90 crores. Can you elaborate on that, if possible?

Mr. Subrata Sarkar : Yeah, yeah, yeah. Actually, we have told in the earlier conference that in order to revise our DRAT appeal, so we had to deposit that 90 crores in the DRAT. So, consequence upon the DRAT order, accepting our plea, we own the case against the bank and the 90 crores were refunded along with interest. That is appearing in other income in our books and it is appearing in the notes accompanying our financial statement that we have put in the second quarter and the third quarter as well, sir.

Dr. Amit Vora, Homeopathic Clinic: Any further amount to be re

covered from that case?

Mr. Subrata Sarkar: Yeah, it was not, per se, it was deposited and the whole amount that was deposited, that has been recovered right now.

Dr. Amit Vora, Homeopathic Clinic: So, 90 crores has been recovered. How much extra is expected?

Mr. Subrata Sarkar: Yeah, it is the case of juries at this time with different forums like that we have mentioned in the Honourable High Court of Mumbai and DRT and of course at Calcutta Courts. So, we cannot comment right now on any further gain out of that case.

Dr. Amit Vora, Homeopathic Clinic: Okay, got it, got it, got your point. Thank you so much, thank you for all the answers, really obliged. Thank you.

Moderator: Thank you. Our next question is from the line of Guru Indra Singh. Please go ahead.

Mr. Guru Indra Singh: Thank you, sir. I have a quick question. Strategically, I wanted to understand why would you be wanting to sell Ferro Scrap Nigam Limited which is in the same business as your core business. I am unable to picture the strategy behind that same process being initiated.

Mr. Manobendra Ghoshal: As I mentioned earlier, this is a decision which has been taken by the government, so it is not really appropriate for us to ask us to comment on that issue.

Mr. Guru Indra Singh: Okay, thank you very much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to management for the closing comments.

Ms. Bhanu Kumar: Thank you for the such incisive questions on our results and some of the questions

that you people keep raising from time to time have actually given us some direction into how we should work and what are the areas that we should concentrate on. So, please continue supporting us like this and thanks for the continuous patronage.

Mr. Manobendra Ghoshal: Thank you very much. And as we discussed during this conference, there would be a lot of areas where we need to really crystallize what is the way forward for us. And it is discussions like this which actually push that agenda forward and put it on the front burner. So, thank you very much for that.

Mr. Subrata Sarkar: Thank you from our side. Thank you.

Page | 18 Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Mr. Subrata Sarkar: Thank you. Good day.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015 For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., [www. https://www.mstcindia.co.in/.com](https://www.mstcindia.co.in/.com). In case of discrepancy, the audio recordings available at website of the company shall prevail. This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and can may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and

should make

such other investigations as they deem necessary.

Call: Jun 2024

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MSTC LIMITED

(A Govt of India Enterprise)

CIN : L27320WB1964GOI026211 e-assuring iNDIA

3rd June, 2024

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 542597) 2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCL TD)

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/ Analyst

The Company had organized a conference call with the Investors/ Analyst on Tuesday, 28th May, 2024 at 12:00 Noon 1ST. A copy of transcript of conference call held with the Investors/ Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website [www .mstcindia.co. in](http://www.mstcindia.co.in).

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area IC, New Town, Kolkata-700156 W.B.

"MSTC Limited

4QFY24 Earnings Conference Call"

May 28, 2024

MANAGEMENT:

Mr. Manobendra Ghoshal - Chairman and Managing Director, MSTC Limited

Mrs. Bhanu Kumar - Director Commercial, MSTC Limited

Mr. Subrata Sarkar - Director Finance, MSTC Limited

Mr. Ajay Kumar Rai - Company Secretary, MSTC Limited

MODERATOR:

Mr. Deep Modi – Equirus Securities

Page | 2 Equirus Securities : Ladies and gentlemen, good day, and welcome to Q4FY 24 Earnings Conference call of MSTC limited, hosted by Equirus Securities. As a reminder, all participant lines will be in the listen only mode and there will be a n opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by press ing star, then zero on your touchtone phone. Please note that this conference i s being recorded. I will now hand

the conference over to Mr. Deep Modi from Equirus Securities. Thank you, and over to you.

Mr. Deep Modi : Thank you. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to Q4 FY 24 Earnings Conference call of MSTC Limited. From the management we have with us today, Mr. Manobendra Ghoshal, Chairman and Managing Director, Mrs. Bhanu Kumar, Director Commercial, Mr. Subrata Sarkar, Director Finance, and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks from the management and then we can open the line for questions and answers, I now hand over the call to Mr. Manobendra Ghoshal. Over to you, sir.

Mr. Manabendra Ghoshal: Good Morning, everybody. It's a pleasure being connected with you here today. FY 24 has been a steady year for MSTC. Business volumes have remained largely similar to the previous year in the major sectors like coal. There has been an increase in iron ore, a marginal decrease in scrap, E sales have had its cyclical dip due to the absence of spectrum auctions during FY 24, which had pushed up the volumes in FY 23. Revenue was also flat lined, with revenue from scrap being adversely affected due to fall in both volumes coming up for disposal, as well as average market prices having gone down over the year, and therefore auction revenues were also down in this segment by about 10%. Coal block auctions were about half the number as of FY 23. And also, as I mentioned, the fact that there was no spectrum auction in the year caused a dip.

On the positive side, Iron ore auctions, ELV auction volumes, property auctions. All of these showed significant gains. Revenues were maintained generally around the FY 23 levels, there have been increase also in employee benefit costs, w

hich were

higher on account of industry wide wage revisions. So, looking at consolidated financials, it's been a reasonably good year for the group with FSNL's performance being, standing out the group revenue levels as well as PBT showing an increase of about 4% year on year for consolidated basis. A similar trend has been there in the year on year for Q4 results for the entire group, though, the revenue was largely flat. We intend to use FY 25 as the year for consolidation of our traditionally strong areas, and to reach out into sectors where we haven't yet ventured into, mainly with respect to more comprehensive bundled offerings. We have also embarked on a very ambitious plan for building and enhancing capacity in terms of domain expertise, both in terms of manpower and in technology. We are quite confident that this approach shall show tangible results, tangible benefits, in Q3, Q4 of FY 25. I'd like to hand over to Mrs. Bhanu Kumar, Director Commercial for her remarks.

Mrs. Bhanu Kumar: Yes, Good afternoon, everybody. The key highlights of the performance for the year 2023-24, more or less, our CMD has already touched upon, the operational

Page | 3 performance volume wise, if we see we have done about Rs. 1, 41,586 crores of business, that is the value of goods that has been transacted through our portals and our financials if you see, then we have done about Rs. 961.37 crores as revenue, vis a vis the revenue of Rs. 879.17 crores in 2022- 23. This is on a consolidated basis, and the PBT has been Rs. 340.18 crores in 2023-24 vis a vis Rs. 329.18, in 2022-23, that is about 3.34% high. For Coal mines we have done about 20 coal mines blocks which have been successfully allotted through the auction for commercial mining. For major mineral blocks also, it has been quite a successful year as far as this sector is concerned. And very recently we have signed the agreement for major mineral block auctions in the state of Bihar and Uttarakhand. We are expecting that these will culminate to business in this financial year.

The Ministry of Mines had, ambitiously hosted the auctions for critical mineral blocks. So out of the 18 blocks that were put up in the first tranche, six blocks were successfully sold off. We expect that, in this year, we will be able to sell the remaining blocks. The highlight of the performance has been the NPAs of the various banks that are being sold to our portal. More than 10,000 nos. properties have been sold, which is quite a record by itself. In properties, we have witnessed another big tranche of events for the Hyderabad Metropolitan Development Authority. Almost Rs. 7500 crores worth of, the properties have been sold in our auctions. In Udaan also, we had successfully conducted three rounds of auctions for the regional connectivity scheme. Plantation lease is something that we have been embarking upon for quite a few years, and, new addition to that is the Odisha State Cashew Development Corporation have successfully allotted about 4000 acres of cashew plantation on lease. Regarding financials, I will request my colleague, Director Finance to speak

about, Thank you.

Mr. Subrata Sarkar : Good afternoon, everybody. As our CMD and Director Commercial explained, it was a flatter trajectory. But before I explain the financials, I would like to say that this year we have gone for a new tax regime with 25.168% of effective tax rate instead of 34.944%. Due to this, we have to restate the deferred tax asset and accordingly, the effect of this on PAT is Rs. 37.06 crore. So effectively, if we nullify this effect, our PAT is around Rs. 208 crore, as compared to Rs. 239.23 of last year. So far as revenue is concerned, total revenue has grown from Rs. 498.01 crores to Rs. 519.28 crores. In this marketing part is Rs. 123.89 crores and e-commerce is Rs. 364.09 crores and others is little bit lesser i.e. Rs. 31.30 crores from Rs.

33.58 crores. And with that PBT is down by 9% from Rs. 313.48 crores to Rs. 284.44 crores. PAT is Rs. 171.91 crores. But as I already explained, because of that Rs. 37 crore adjustment, this has happened. Otherwise, it would have been Rs. 208 crores as compared to Rs. 239.23 crores of last year. EPS is Rs. 24.42 as compared to Rs. 33.98. In the consolidated part, our revenue has gone up from Rs. 879.17 crores to Rs. 961.37 crores. And, this is mostly, powered by the growth, of course, from, our 100% subsidiary FSNL, where, you can see the scrap recovery and allied job has grown up from Rs. 414.16 crores to Rs. 467.73 crores. JV has suffered a little bit of loss because of low intake and availability of the vehicles for scrapping. And, with that, the consolidated profit, has gone up from Rs. 329.18 crores to Rs. 340.18 crores. And, the PAT of course if you add that Rs. 37 crore odd, it is almost on the flatter side.

Page | 4 But now the figure is Rs. 204.37 crores as compared to Rs. 241.96 crores of last year. EPS is Rs. 29.03 as compared to Rs. 34.37 of last year.

And so far, the P&L is concerned our revenue from operations in a standalone basis it is down from Rs. 324.72 crores to Rs. 316.25 crores. Other incomes are up from Rs. 173 crores to Rs. 203 crores. And in the expenses part also, a major increase is in the employee benefit as our CMD has explained earlier. This is because of industry wide wage revision, but we expect that afterwards there will not be that much of fluctuation. It will be a normal increase due to certain increase in the inflationary part. And the provisions and write offs, basically it has a both way effect on the other income also and write up also. It has got no effect bearing on the P&L, and this year no provisions has been created. Again, I repeat, no provision has been created from, bad and doubtful debts and advances. Other expenses have shown little bit of increase from Rs. 32.03 crores to Rs. 36.41 crores. And with that, total expenses comes to Rs. 234.85 crores to Rs. 184.52 crores. And profit before tax is down from Rs. 313.49 crores to Rs. 284.44 crores and with that tax expenses gone up by around, 50%. So it is because of that Rs. 37 crore effect on deferred tax, PAT Rs. 239.24 crores to Rs. 171.91 crores.

In the consolidated part, we are of course on a flatter trajectory, so far revenue from operation is concerned i.e. from Rs. 750.82 crores as compared to Rs. 720.97 crores increase because of the increase mainly in the revenue from operations in our 100% subsidiary FSNL. Other income has shown a little bit of increase. And, with that, expenses, our PBT has gone up from Rs. 329.18 crores to Rs. 340.18 crores. A little bit of increase because of that FSNL affect. And PAT, of course, is down from Rs. 241.96 crores to Rs. 204.37 crores, again due to that Rs. 37 crore effect on deferred tax.

And in the way forward, MSTC will enhance the user experience by automating the processes offering value added services. New business models will also be developed to cater to the market requirements, with focus on private sector using latest technology. So now I would like to hand over the call to Equirus team for further queries and answers.

Equirus Securities : Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on the touch Tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We'll take a first question from the line of Rushabh Arsha from Anubhuti Advisors LLP. Please go ahead.

Mr. Rushabh Arsha: Thank you for the opportunity. Sir, my first question is, with respect to the recent, I think, amendment in the object clause wh

ere you even inserted objectives like data center and, I think, fintech and recycling business. So what exactly are we planning in those segments, can you throw some light on that?

Page | 5 Mrs. Bhanu Kumar: I'll take that question. Regarding the focus on recycling and data center business, what we intend to say is, we want to, you know, utilize the state of the art data center technology that we have. And we do have some surplus capacity, which can definitely be monetized. And given the experience that we have gained in the past, about 2 to 3 decades, we would like to offer infrastructure as a service. So towards this end, we are already as in his opening remarks, our CMD has said that we will be having state of the art technology, technology upgradation and probably expand our focus on, the, you know, the infrastructure that we have, hardware and software both. So, you know, we would like to, monetize the surplus capacities and efficiencies that we have in the system. That is as far as data center is concerned.

Then, regarding recycling business as, see, we have two, revenue streams in from the recycling of ELVs. One is by way of, our, you know, partnership in the JV with Mahindra where the recycling activity actually happens. But then we have also launched a portal for sale of all ELVs in the country that hasn't seen much traction, though the trend is quite good, and we expect that this will grow many fold in the coming years. So here, once the system is accustomed to recycling the ELVs, we would see more traction happening in this area. Apart from ELVs, we would also like to focus on other materials that can be recycled. We are still in very nascent stage working on all those proposals. So maybe in the coming, meetings/interactions, we will be able to update you in a more specific manner.

Mr. Rushabh Arsha: Okay, So just wanted to add on to this thing. So I think for financial year 24, if I see the Cash flow statement, you have done, CapEx of roughly Rs. 132 crores. So, is this regarding the whole, this data center, capacity expansion, you needed this extra slippage.

Mr. Subrata Sarkar: So regarding Cash flows, capital expenditure is a big, outflow, of course. It is partially, yes. We are trying to have some offices, somewhere else, other than our main data center. So, we can utilize that space for future expansion in this particular business. Of course, the space will be utilized for the business augmentation and marketing purposes also. So not directly as such, in the true sense, in the hardware and software particularly that amount has been spent, rather it is being spent on other infrastructure. And, we will be gradually spending in the coming years to augment that. Meanwhile, we have spent on strengthening our Calcutta data center also, with some latest equipments which were required and software. So, it is a mixed bag, sir.

Mr. Rushabh Arsha: Okay, So, just a final question on this part. So, from when can we actually expect some sort of revenue inflow from data center business. Can we see some part of this in FY 25 itself?

Mr. Manabendra Ghoshal: May I take that one! You see, it would not be very fair to put an exact time or exact prediction as to because it is a revenue stream, which is, in any case, already there to a certain extent. There would be naturally, the more capacity gets built up, the more, physical infrastructure keeps getting supplemented, So revenue streams then starts increasing on those areas. But this is as, we pointed out, that this is, a sector where we have seen a lot of promise and possibility, and which is why we, have intended to go into this in a bigger way than we are doing at this point.

Page | 6 Mr. Rushabh Arsha: Obviously, I think being an only PSU which has expertise in this space, I think you can very easily capitalize on this. And Sir just on the last final question from my side

, I think we heard from Railway Ministry that they will be scrapping out a large number of trains, basically, which will be replaced by Van de Bharat series. So are we by any chance, working on, railways on scrapping of those old trains? And, if it is, then how much revenue potential can we see from that space going ahead?

Mr. Manabendra Ghoshal: That is something that the railways would be able to better answer because, you see, the railways have their own, disposal systems in place. So that is not really a question that we would, you know, that you should ask us.

Mr. Rushabh Arsha: But by any chance, are we working with them on any space?

Mr. Manabendra Ghoshal: We would be open to looking at all kinds of possibilities of collaborating. As of the moment, no, we are not in that space.

Rushabh Arsha: Okay, Sir. Thank you.

Equirus Securities: Thank you, before we take the next question, we'd like to remind participants to press star and one to ask a question. The next question is from the line of Anant from Mount Infra Finance. Please go ahead.

Mr. Anant: We charge revenue on percentage of value basis for scrap and iron ore. Are there any other commodities where we charge revenue on value basis and not event basis? Because, for example, for mineral blocks or coal blocks you are charging revenue on event basis.

Mrs. Bhanu Kumar: So if you see our e-sale revenues a part of it is on percentage basis and a part of it will be on event basis. Basically, what happens is, other minerals apart from iron ore and coal, we are giving it under the head of e-sale and all the forest produce like timber, teak wood, red sandals, all of it is on percentage basis. Now, as we had clarified earlier also the percentage depends on the scope of services and the volume of business. So, we for each client and each kind of product, we do have a different model, different revenue stream.

Mr. Anant: Okay, My next question is, you said you saw some traction in the ELV business. Could you quantify that? The number of government vehicles coming through your portal, or the average price and the percentage charge on each vehicle?

Mrs. Bhanu Kumar: You see, scrapping of vehicles is not totally in our hands. The government has made a formal policy, and they are, you know, pushing it to the extent possible. But it doesn't happen overnight. When you scrap a vehicle, you need to have the budget to acquire a new vehicle. So, apart from that, for scrapping, you also need to have good infrastructure, good ATS facilities all across the state. And, you know, a lot many factors are involved in scrapping a vehicle. So as and when this entire ecosystem gets developed, we will be having more traction in the ELV recycling business. Now it is only having a very steady flow. Though exact number that we can say, there are so many vehicles which will be coming in this year or so, and so there must be, you know, millions, at least 2 million vehicles, as on date, which are ELVs all

Page | 7 across the country. But definitely all of it is not going to be or cannot be scrapped overnight. So, it's going to take a few years at least.

Mr. Anant: No, ma'am, that wasn't my question. My question is the government vehicles which have been, portrayed as scrap. How many of those vehicles have come across to you up to date? You would have a number because over 15 years, as the government has made a rule, all vehicles are supposed to be scrapped to your portal. So, I'm just trying to understand the number of vehicles till date that has come to your portal. As of last year, I remember it was around 2000 odd. So, I just want to understand that number and the average price and the percentage you are charging.

Mrs. Bhanu Kumar: As far as the numbers are concerned, I do not have it readily. As far as the percentage is concerned, it is on a percentage basis. But there again,

you know, there are different ways in which we are scrapping something that is coming as a ELV that is, going into our ELV portal and that is how we are, auctioning it. But there are some parts and there are some obsolete material of scrap.

Mr. Anant: Ma'am any average percentage would be, any average percentage, just a rough number.

Mrs. Bhanu Kumar: It was very difficult for us to spell out the average percentage. As far as the numbers that you were talking about, total number of vehicles sold is about 37,000. Government vehicles mostly. Out of this, the central government vehicles is about 21,000 and state government vehicles is about 15,000. There are some transport corporations which are dismantling the vehicle and selling only certain parts of the

vehicle. So that is not added to this.

Mr. Anant: Okay and could you give me just a figure of how much of these Vehicles have come through to the JV with Mahindra, say out of 37,000, just a rough number.

Mrs. Bhanu Kumar: It is of about 250-300 crores or so, averaging it out would not be fair because, there will be a lot many two wheelers, a lot many will be busses or cars or something. So you can't simply be averaging out the number, Right ?

Mr. Anant: I'm just asking you the number of vehicles that have come through to MMRPL, because I understand that they have to bid as well, because it's a RVSF.

Mrs. Bhanu Kumar: MMRPL is also getting vehicles through auction system through our portal. They are not getting any vehicle directly apart from the tie ups that they have with automakers or the test vehicles or 1 to 1 tie up with some institutions. Apart from that, they are procuring mostly from our portal, from the retail segment also, i.e. the Mahindra vehicles, the channels that they have. So apart from that, major procurement is happening through our ELV portal only. They are competing with other RVSF and they are getting the vehicles.

Mr. Anant: Okay, ma'am, Thank you so much.

Equirus Securities: Thankyou, We have a next question from the line of Bhavesh Kanani from ASK, please go ahead.

Page | 8 Mr. Bhavesh Kanani: Ma'am, In the last quarter's earnings call, you had promised us that you will share details regarding the size of opportunity in various segments we are operating in. And you had mentioned that in the next call, that is this one, you will help us understand various business opportunities available to you in better detail. Can you please share that?

Mrs. Bhanu Kumar: Of business opportunities as we have spelt out in our MOA. That has been, recently we talked about, first thing is we would like to offer infrastructure as a service, monetize the assets that we already have. Second thing is we would like to augment on the property sector that we have recently entered just a couple of years back, we had entered the sector and we see good promise in this area. Then of course, minerals, we have been the biggest player for quite many years. So all the mined minerals, we would definitely not just in the government sector but also in the private sector. We would like to sell through our portal and we would also like to give value added services, not just auctioning it off. Maybe, something like logistic arrangements, insurance, actual door delivery, sampling, all those things are there in our mind and these are areas in which we will work upon. Apart from that, our traditional scrap business, we do have lot of scrap coming through from the public sector and the government sector, but the private sector is still an untapped area. And the concern in that area is mainly the systems and processes that we have for the government sector probably doesn't suit them. They want quicker the timelines and the milestones will have to be a lot quicker than what we have. So maybe we are thinking of having new business models for them. So, these are areas that we are

working upon right now and any other opportunities that comes our way, definitely. And apart from that, the government projects that are there, where we may customize softwares for them. That is, again, a very focus area for us because that is how we are going to learn and adopt new technologies.

Mr. Bhavesh Kanani: Ma'am related question is if you can share what kind of revenue mix we may be looking at, let's say three years down the line.

Mr. Manabendra Ghoshal: May I take that one? We were talking about, essentially a kind of revenue mix in terms of, the way forward. So at the moment we have, somewhere to the tune of maybe 45 to 50% of business from scrap, maybe about 30 to 35% of E-sales, E-procurement and others. And the balance would be made up by minerals. So this is the kind of product mix that we are working in at this point of time. We would be looking to add certain other products. Once the pie increases, that, part of the scrap would get supplemented by other product, new areas, which what we had talked about, for example, data center, virtual data services, as well as other software offerings, which we would be looking at as a supplementary upstream and

downstream activities to the basic options.

Mr. Bhavesh Kanani: This last one from my end. Given the revenue mix you have shared, clearly scrap business is the largest segment for us. And as Ma'am was saying, we want to tap the private sector clients as well. Ma'am, alluded to a few things related to turnaround times, which are demanded by the private clients. But other than that, what are the steps we are taking so that the scrapping related business growth can be accelerated.

Mrs. Bhanu Kumar: Basically, the business model itself, we are planning to have a new product for the private sector. We don't have anything, any ready-made solution where the turnaround time will be much less and a lot more activities can be done by the seller

Page | 9 himself rather than being dependent on us. So for that, we have to enhance our capacities as well as give lot more facilities and access to the portals. So that we are building upon. Definitely, with that, we are hopeful that the volumes will also increase and the revenue stream also from the private sector, we will see quite a good growth.

Mr. Manabendra Ghoshal: I'd also like to add a little bit here, like I talked about in my initial speech, when I mentioned that we are embarking on a major capacity building exercise. So that is both in terms of manpower as well as in terms of technology. So, this is the kind of technology that would make user interfaces easier.

Mr. Bhavesh Kanani: Any more details you can provide on the, let's say, human resource side, the team would have built for tapping the private clients.

Mr. Manabendra Ghoshal: As far as the marketing part of the interface with clients, is concerned that we have a very strong team, which has built up MSTC's reputation, till all this time. We are supplementing in the areas of newer technology, which is where we intend to build up a base so that we can offer customized solutions to the client as per their requirements. So it's not going to be something that this is the kind of product that we have off the shelf. And, that is the standard offering that we would like to give. We would like to go to a client with a customized solution, understand his requirements, develop the solution in-house to the extent possible and supplement with partnerships and give it to him as a very user friendly, usable product. That is the approach we have.

Mr. Bhavesh Kanani: The last bit on the cloud, Ma'am mentioned that, you know, we have spare capacity there and we would like to offer that to, you know, external entities. How big, you know, is the spare capacity and what kind of revenue we can generate out of that.

Mr. Manabendra Ghoshal: You ask us to put numbers to it. But

as I said, capacity of hosting, users requirements and users data on our website, It is a continuous process that is a model we have been working on. And naturally, as you go down the line, you enhance your capacities, you strengthen your own systems, So that is a part of it. Suffice to say that we have adequate capacities for our requirements at this point of time, and we have been adding on to the extent that we anticipate additional requirements coming in from clients.

Mrs. Bhavesh Kanani: Wonderful, sir. Thank you, Thank you for all the responses.

Equirus Securities: Thank you, ladies and gentlemen, to ask question. Please press star and one on your phone now. We'll take our next question from the line of Atreya Pal, an individual investor. Please go ahead.

Mr. Atreya Pal: Yes, My question is, I understand that there is quite a lot of penetration of e-commerce in government, B2B sales, and we are seeing that in the growth of financial numbers. But can you give us a sense of what is the share of e-commerce in total government B2B sales, and is that growing over time?

really there in the public domain as to what the extent of our total government business which is there, this is not something which is generally been compiled.

Mrs. Bhanu Kumar: No one has done this kind of a study as to what is the total potential of e-commerce business, especially government business that was transacted on paper can definitely be done through e-commerce. So that kind of resource mapping has never happened. It's very difficult for us to put a number to the what is our share.

Mr. Atreya Pal: Understood as we are deeply entrenched in this segment. So, can you give us a, I just wanted to know, I just wanted you to give us a sense of share of e-commerce growing over time?

Mr. Manabendra Ghoshal: It is definitely the way forward because that is the direction over the last 15 years that not only government, but in general business has shifted over from the physical format to the E format in a lot of areas, such as particularly procurement, auctions. So, as far as, these two activities, these two major activities are concerned, over the next ten years, we would have a substantial part of the business being transacted electronically.

Mr. Atreya Pal: Understood, Thank you. I have one more question. Can you give us a sense of who you are competing with, for the auctions that you are participating with and what competitive advantage does MSTC bring to the table?

Mr. Manabendra Ghoshal: I'm glad you really asked that question. As far as competition is concerned, I would say that as far as the PSU space is concerned, we are probably the only people who, offer this, major e-commerce as a service. And as far as, competition with everybody else in the market is concerned, there is almost a nobody who offers the full gamut, the full range of services that is offered by MSTC. Most of our competitors would offer basically just the auction as a service, not the upstream and downstream parts that go into making it a complete service for the customer, right from building up their requirements, helping them create the auctions and right up to the final last mile points.

Mrs. Bhanu Kumar: We do have some advisory role as far as the scrap disposal is concerned, or even minerals and other materials. But, I would like to point out that now the government is thrusting for use of GeM, especially for procurement. Of course, it has become mandatory now. For forward sale GeM has come up with a standard portal. So we'll have to see how much of business actually gets transacted there, but the kind of services that we are offering that is not available with any government or with any, private sector portal.

Mr. Atreya Pal: Thank you. And

is the business growing in the private B2B e-commerce segment as well? What has been your journey there?

Mrs. Bhanu Kumar: Absolutely! We started off with sale of scrap for some big entities in the private sector. But now we are in a position to sell their iron ore and other minerals. So going forward, we definitely expect that the sale from auctioning, especially from the private sector, will go up.

Page | 11 Mr. Atreya Pal: Okay, Thank you. I joined the queue for further questions.

Equirus Securities: Thank you, we have a next question from the line of Kethan Atole from Robo Capital. Please go ahead.

Mr. Kethan Atole: Hello Sir. Thank you for the opportunity. I wanted to know what is our scrappage capacity currently. And do we plan to commission, new capacities any time?

Mrs. Bhanu Kumar: I think you are referring to our JV company MMRPL, which is actually into the scrapping business.

Mr. Kethan Atole: Yes

Mr. Manabendra Ghoshal: So at this point of time, the JV that is MMRPL has seven RVSFs and which is adequate capacity for, in fact, the current load that we, anticipate as well as for the

anticipated load for maybe the next couple of years and as and when the capacities get saturated, setting up further facilities would be a continuous process.

Mr. Kethan Atole: Got it. And can you give a revenue and margin guidance for next, FY 25 and 26?

Mr. Manabendra Ghoshal: I'm sorry. Could you repeat that, please?

Mr. Kethan Atole: Can you give revenue and margin guidance for FY 25 and 26?

Mr. Manabendra Ghoshal: It is not really fair to talk about numbers, but we are looking at growth naturally. And, we, with the kind of the capacity building that we have been doing over the past some time and the outlook for the market itself, we would expect there to be a healthy growth in all the parameters.

Mr. Kethan Atole: Okay and just last question. So, if you can give how much commission did we earn on the 37,000 vehicles that we sold through our portal? So, can you give that number?

Mrs. Bhanu Kumar: See, as I said, it's a mixed bag. So it depends on volume, the kind of services that we give. So we can't be giving any kind of numbers as to what we earn from the sale of 37,000 vehicles. All this is in a clubbed format.

Mr. Manabendra Ghoshal: Let us say that it was as per the industry norms. In fact, we are very competitive in that sphere.

Mr. Kethan Atole: Okay, Got it. Thank you so much.

Page | 12 Equirus Securities: Thank you, ladies and gentlemen, to ask a question, please press star and one on your phone. Next question is from the line of Rakesh, an individual investor. Please go ahead.

Mr. Rakesh: Hello, sir. You recently made a few changes in the MOA relating to e-commerce and fintech. So, what exactly do you plan to do? As far as these things are concerned.

Mr. Manabendra Ghoshal: Rakesh, we started off basically as a canalizing agency for scrap. So, the MOA, which had been there, was essentially designed as a physical auction agency and a canalizing agency. Now, over a period of time, MSTC has morphed into an e-commerce platform, and that is what we wanted to bring our MOA and AOA in line with the kind of work that we have been doing over the last 10-15 years and not legacy prior to that. And also, since we are delving more into e-commerce and associated bundled value-added services. So, to enable ourselves to be able to do that. That was the purpose of the change, the modification and amendments that we, put in in our MOA and AOA.

Mr. Rakesh: Great! Sir, regarding fintech?

Mr. Manabendra Ghoshal: Fintech is, of course, an area that all services do have an upstream and downstream, additionality. So, these are also areas that we will evaluate when we look at other offerings.

Mrs. Bhanu Kumar: Some kind of fintech is already clubbed in our services for implementing the kind of activities that we are undertaking. So maybe going forward, we can offer that as a service also. So as of now, we are using fintech technology for our own activities, for our own e-auction services.

Mr. Rakesh: Okay, Regarding the data center, you mentioned that there is excess capacity and which you want to offer as a service or infrastructure as a service. So, the plan, of the company was to get into this business only because you had spare capacity.

Mrs. Bhanu Kumar: No, that was during our interactions with our various clients, especially the smaller and medium sized clients, we saw that they didn't want to invest heavily on the

infrastructure, you know, buying servers and keeping their data. So that is one opportunity we thought will definitely be bringing some revenue for us as well as we will be able to utilize our excess capacity.

Mr. Manabendra Ghoshal: And apart from this, MSTC has built up a reputation for transparency and data safety, which is an area where there are a lot of our clients, particularly government clients who are very concerned about. So that is why we saw an opportunity, because that is where we can leverage the fact that MSTCs systems are considered very strong. They are certified as strong, and therefore clients are quite comfortable placing their data on our servers, this is something that we should leverage.

Page | 13 Mr. Rakesh: Okay. So, in the data center business you'll be competing with the likes of AWS, Microsoft Azure. These are global players in billions of dollars of investment.

Mr. Manabendra Ghoshal: Our capacities are much, much smaller. And, this as I said, we would be basically leveraging the fact that MSTC systems are considered very strong and transparent. So those kinds of clients who would have data which have, optimum sensitivity, there would be certain government clients who would not be comfortable having data in any other third-party servers. So those are the kind of people that we would cater to in the initial stage.

Mr. Rakesh: Got it. So, regarding scrap income, what percentage is generated through customers in the private sector?

Mrs. Bhanu Kumar: It depends on the scope of services. If somebody is offering scrap just to find out the rate from the market and we do have value added services, we do handle this business up to delivery. So based on what is our scope of services it varies from client to client. And of course, the volumes also. Somebody is giving me just two crores worth of scrap and somebody is giving 200 crores, obviously, I will have to have different slabs for different volumes.

Mr. Rakesh: Got it. So, madam, my question was that out of the total e-commerce revenues generated. So it is, 314 crores this year or 306 crores, one of these figures. So what percentage of that was scrap? So, which is normally around 45 to 50%. So let's assume around 50% of scrap, Yes, So say around 150 crores were generated through the scrap income. And what percentage of that comes from the private sector.

Mr. Manabendra Ghoshal: So we are looking at somewhere around maybe 10 to 15% at this point of time.

Mrs. Bhanu Kumar: Yes, about 10, 11%.

Mr. Rakesh: Okay Sir, one last question was regarding the steep increase in the employment costs. It has gone up by 27% from 69 to 88 crores. So, any particular reason, although you did touch upon, that there was increase, industry wide increase, but can you please share more details?

Mr. Subrata Sarkar: If you look at the financials, so you will see that last year there was we had written back one provision of around five crore. So, the comparison is not that steep if we add that thing. So, the increase is around 13 to 14 crore of course. And industry wise now means there were some wage revision spending that was already available in the annual report that we had given a note under the balance sheet, t

he wage

revisions of the non-executive employee and of course, some facilities given to the executives were under revision. So that has been implemented.

Page | 14 So, we hope afterwards there will not be this type of jump, but the jump will increase on two things. One is the inflationary pressure on the basis of which the day rates are divided. Again, the discounting rate through which the retiral benefits are decided. These two factors will decide the future increase. But of course, that will be normal. And, of course we have a wage revision due in 2027, because every ten years government, revises the wages. So that effect will also come into subsequently.

Mr. Rakesh: Okay, Thank you. Thank you so much.

Equirus Securities: Thank you. We have a next question from the line of Satish Kumar from Wealth Aggregator Financial Services. Please go ahead.

Mr. Srinivas Reddy: Yes, Good afternoon. I'm Srinivas Reddy, So, regarding this, as you remember, I am old shareholder more than ten years old, and I need a few clarifications regarding these provisions and write offs are, we have been informed earlier that the last two year's concalls that they are done with. But again, this year, they have crossed 100 crores. Can I get a clarification on that?

Mr. Subrata Sarkar: Yes, I am just clarifying it. It is basically we have written off bad debt this year of around 100 plus crore. So, it is the provision even you see that other income part also that has been increased because of that and for that it is a two way entry. No effect on the profit and loss account. There is no effect. We again say, there is no provision charged on P&L this year. It is merely a book entry because we have written off one bad debt for which provisions were created earlier in the year, and this year no provisions has been created.

Mr. Srinivas Reddy: So we can expect these things are done with or in the future again this write offs might be there in the future.

Mr. Subrata Sarkar: First, Reddy sahab, let me explain you that Write offs have no effect on the profitability of the company right now, number one. Number two, apprehensions regarding charge on P&L due to bad debts, provisions, so that much I can say that the marketing part is already over. That part has been done away with. There will be, of course, very minuscule provisions because in a business environment where you generate a revenue of 300 crores around, there will be some minuscule provisions. We have got a provisioning policy in place. So we make conservative thing, but that will be very, very minuscule and will not have major impact on the profitability of the company. So, this year we do not have any such provisions. So accordingly, trends will go, but even if it is there, it will be very, very minuscule. I repeat, very, very minuscule.

Mr. Srinivas Reddy: Okay. My second question is regarding this FSNL disinvestment. So, what is the progress? And, are you expecting in this financial year at least, to be happening?

Page | 15 Mr. Subrata Sarkar: Let me answer your second question first. So, this is all dependent upon the government of India, which is being taken care of by DIPAM. DIPAM is the wholly and solely deciding authority on this matter. Second thing, if we look at the DIPAM website, so UI has already been finalized. So that is the progress that is available in the site and that is in the public domain. You can also access and see from that. So, we have got that much of knowledge available with us also sir.

Mr. Srinivas Reddy : Okay! But regarding the other most important, in the last few years, our both revenue and sales are getting stagnated. There is no structural growth, whereas other e-commerce companies are growing at much faster pace of 30%, 40%. But we are not able to scale our business in terms of profitability or the sales revenue also, either one thing go

es up or the other one will go down and, marketing and other things. So is there any long term, structural plan, I mean, path, the management has for the secular growth possibilities .

Mrs. Bhanu Kumar: So, you are talking of, you know, 30%, 40% growth in e-commerce, mainly in the B2C sector, where, you know, the consumers are now largely using these facilities rather than going to the shop and buying in person. But as far as government business is concerned, it is mainly the natural resources that are getting auctioned. So, there are lot of policy directions, a lot of procedural aspects that have to be taken care of. So that kind of growth can never happen overnight as far as government business and in B2B scenario, especially . Again, if you see, in the year 2019-20 our e-commerce revenue was in the range of about 183 crores, 20-21 it showed a steady increase to 202 crores and in 21-22 there was a jump by about almost 30%. Mainly because of this major mineral block, coal blocks and, lot of iron ore that got sold. So, when the policies and the market conditions favor these volumes and the revenue streams go up. It cannot happen that every year you see a growth of 30% to 40% in this type of business, especially B to B. So, 8% to 10% is

something that we have been witnessing which is average and which will we expect to continue.

Mr. Srinivas Reddy: Okay, Thank you.

Equirus Securities: Thank you, We have a next question from the line of Kamlesh Jain from Lotus Asset Managers, Please go ahead.

Mr. Kamlesh Jain: Yeah, thanks for the opportunity. Just one on the part of the presentation

Equirus Securities: May I request you to use your handset mode, please.

Mr. Kamlesh Jain: Yeah, I'm on handset only, Am I audible now?

Equirus Securities: Yes, please go ahead.

Page | 16 Mr. Kamlesh Jain: Yeah, So just on the part of your results, like if we see the presentation and the clarification which you have provided on the other income and the provision side But if I go through the presentation, it's just a statement of facts. No clarification, no other information has been provided how the earnings have moved. Like if I see the marketing revenue, it has gone up from 455 crore to 107 crore. But if I see the EBIT, it has fallen from five crore to four crore and same way e-commerce like say, there is no explanation how the earnings move, how our business model is panning out. What is our like, say, in the last quarter You are guiding that You are focusing on the infrastructure, on the real estate business, how we are focusing on different businesses, how our earnings trajectory would be going forward. There is no clarity on that, that particular part. Even on the presentations on the historical data as well, it's very difficult to culminate that how the earnings are flowing through by on the basis of the, your reporting, like the data as well. So how we are going to place our entire business model going forward? Because honestly, over the last three, four years, it's very difficult to take a call how our business is going to flow out in the coming years.

Mr. Subrata Sarkar: Sir, question is well taken because, you see, it is very difficult so far, we are basically e-commerce service provider with different kind of segments that we are working on so far, If we book a revenue from operations, so, only one source of revenue is the service charge that we earn from our customer. And time and again, we explain to our esteemed investors about the way that we are going on. In every investor call we are saying this, but the basic still that you have rightly pointed out like, in the past years, we are basically e-commerce service provider and basic rate earner is of course, we are dependent upon the scrap revenue and other e-commerce thing. And just now our director commercial explained like there were some growth in between, when we

get some windfall because of certain e-auction that is being allotted and some scrap prices get spurred in the scrap prices, so that is the point. But even it is not possible for giving explanation in the financial statement to each and bit and bit of our because it comes to us from our e-commerce segment. B2B also, it comes from our number of customers. So, it is very difficult for that way to explain, but so far future outlook is concerned, we are talking about in this investor call also. So, I will now hand over to our CMD to talk about some future outlook that is happening.

Mr. Manabendra Ghoshal: One thing I wanted to say is that when you look at e-commerce as a business, it is necessarily sector agnostic. So, there would be some sectors which would be performing differently year on year. And, as far as e-commerce opportunities in those particular sectors are concerned, they can vary widely. What is important is that we are able to look at opportunities in terms of the type of e-commerce product that we offer and categorize those types into segments, which is why, I mean, at some point of time, there might be a major increase in property sales in some other year because of regulatory differences there may be a lot of, let us say, mineral blocks coming up for auction. So those kinds of changes are always going to be there. But it is the kind of product categorization which we can do, which is what our reporting is always going to be. It is not necessarily going to be the same sector year on year. Well, that is one part of it. Now, as far as the way forward is concerned. The basic product that all e-auction or e-commerce platforms provide has been basically either

Page | 17 E-procurement or E-auction. To be able to enhance the overall, business scenario, it's essential that we add on services which are prior to the point of either procurement or auction and also, post the process add in components like the fintech, the deliveries and the downstream activities which would enable the customer and the buyer and the seller to basically interact only at a single platform at a single point of time. So those are the kind of value-added services and offerings that we are looking at, talking to other people who are experts in those particular domains, and then trying to deliver a product which would be an amalgamation of all of these.

Mr. Kamlesh Jain: What we can do one thing like in the presentation for our clarity, you can at least provide your revenue breakup from different sectors, because that would give much more clarity to us that how a particular sector is important for us. Because honestly, this presentation doesn't add any value to us because the data which you provide is data on various websites.

Mr. Manabendra Ghoshal: As I said, this also is not something which reflects an e-commerce platform's performance, because an e-commerce platform's performance is a reflection of how the particular sector is performing, and those sectors can vary from year to year.

Mr. Kamlesh Jain: But at least we can provide a sector breakup for each quarter or yearly because it would give much more clarity to us. Because honestly, like how your marketing revenue pans out e-commerce, it doesn't add much value to our thought process because over the last five, three, ten years, like the way our revenue has been out, like from March 2014 from 55,200 crore revenue, we are at like say around 316 crore revenue for the year as a whole.

Mr. Manabendra Ghoshal: In fact, a kind of product that the company has shifted from.

Mrs. Bhanu Kumar: Vertical in fact. The business vertical itself has changed. If you see, about 10-12 years back in our financials, we have been reporting a lot of revenue from our trading segment, and probably e-commerce was almost non-existent, except for some scrap sale that was happening here and there. But, because of the in

herent risk in the business model and the kind of huge provisions that we made about five years back, we had to slowly withdraw ourselves from that business vertical. And today we are focusing only on the e-commerce business vertical. So, if you see our presentations, we have categorically stated that these were our business verticals and this is what we are going to do. We are going to have more focus on the e-commerce sector and probably some focus on the recycling sector. But trading, definitely we are not pushing and we are not going to do any transactions under that vertical. So, if you compare ten years back and now there is probably no reasonable comparison.

Mr. Manabendra Ghoshal: Because the kind of businesses are totally different. May I ask the director finance to take further.

Page | 18 Mr. Subrata Sarkar: If you have a part of our IPO presentations, during our presentations in the IPO, we categorically promised our investor that this business we have already decided to leave away. And right now, while answering the question to one of our esteemed investors, we categorically said, this is foregone. And all the provisions has been done away with. Now if you can go through the last few investor meetings where we have categorically told, the only segment in the marketing is left is that the business backed by guarantee. So, whoever provides us the bank guarantee of a schedule bank, we do the business with that particular customer. So, it is 2019 when we went for an IPO, that is a paradigm shift in the focus. So, that is already been explained number of times. If you can see the annual reports also if you see the chairman's speech also, Sir. But your suggestion is well accepted and of course we will from the next presentations we will also clarify that the marketing business has been tapered down for the sake of clarity and the transparency to the investor. Sir, well accepted suggestion, sir.

Mr. Kamlesh Jain: Yes, thanks for that. And lastly, can you provide, sector wise breakup of e-commerce revenue?

Mr. Subrata Sarkar: Right now, basically we do not, as in my opening remarks, for us it is basically, we capture it as a service charge. So, for us it is a client wise, not sector wise. We tap suppose let us take an example, I have a client X, he has got mineral, he has got scrap, he has got something different product, he comes to us say I want to dispose of. He wants to dispose of some bulk goods, he wants to dispose of his scraps. We do the jobs and services as per our model. And we record the revenue as a service charge. It is very difficult that way to predict accurately what minerals fetched what amount of service charge. It is very difficult so far as accounting is right now. But going forward, as we have said, if our business grows and it grows beyond a certain limit, obviously we will look at capturing those data also in our accounting system.

Mr. Kamlesh Jain: Okay, Thanks a lot, sir.

Equirus Securities: Ladies and gentlemen, we'll take that as last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Mr. Manabendra Ghoshal: At the end of this, call, I would like to express our gratitude to all the advice, all the questions which has given us a set of guidance for the way forward, advices on how else and how better we can take our company forward, your company forward, for performing even better over the coming quarters. And, also a very hopeful prognosis that over the next few quarters we should be able to see a healthy growth in all the parameters. Thank you very much.

Equirus Securities: Thank you, on behalf of Equirus Securities. That concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEB

I (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file

Page | 19 for grammatical, punctuation, formatting, others etc., that it should not result in any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., [www.https://www.mstcindia.co.in/](https://www.mstcindia.co.in/). In case of discrepancy, the audio recordings available at website of the company shall prevail. This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

Call: Aug 2024

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MSTC LIMITED

(A Govt of India Enterprise)

CIN: L27320WB1964GOI026 211 e-assuring iNDIA

MSTC/CS/SE/560 22nd August, 2024

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 542597)

Dear Sir/Madam, 2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCL TD)

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/Analyst on Wednesday, 14th

August, 2024 at 12:00 Noon. A copy of transcript of conference call held with the

Investors/ Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Encl: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area IC, New Town, Kolkata-700156 W.B.

"MSTC Limited

1QFY25 Earnings Conference Call"

August 14, 2024

MANAGEMENT:

Mr. Manobendra Ghoshal, Chairman and Managing Director- MSTC Limited

Mr. Subrata Sarkar – Director (Finance) – MSTC Limited

Mr. Ajay Kumar Rai- Company Secretary – MSTC Limited

MODERATOR:

Mr. Deep Modi – EQUIRUS SECURITIES

Page | 2 Moderator: Ladies and gentlemen, good day and welcome to MSTC limited Q1 FY24- 25 conference call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Deep Modi from Equirus Securities. Thank you. And over to you, sir.

Mr. Deep Modi: Thank you, Good afternoon, everyone. On behalf of Equirus Securities, I welcome all to Q1 FY 24-25 Earnings Conference Call of MSTC limited. From the management we have with us today, Mr. Manobendra Ghoshal Chairman and Managing Director, Mr. Subrata Sarkar, Director (Finance) and Mr. Ajay Kumar Rai, Company Secretary. We

will begin the call with the opening remarks from the management, and then we will open the line for Q&A and I now hand over the call to Mr. Manobendra Ghoshal, Over to you sir.

Mr. Manobendra Ghoshal: Good morning, everybody. Welcome to MSTC. In the consolidated figures for this quarter, there has been a slow but steady increase in overall revenue and the PBT there in as far as MSTC standalone performance is concerned. The volume of business excluding E-procurement had shown a 15% increase year on year over the same quarter. However, total operating revenue on a standalone basis for MSTC has dropped by about 15% year on year, mainly on the e-commerce front. Income from marketing and other income has remained largely flat. Total expenses have also remained consistent and flat, considered year on year or sequentially, and total PBT has therefore been lower as proportional to the operating revenue. Since we have shifted to the new tax regime with effect from FY 24. The total tax impact has been reduced, and the PAT is therefore at almost similar levels, in fact marginally lower than the same levels of the previous year on year quarter despite a weaker revenue stream. Now, as far as the revenue stream is concerned, this has been impacted mainly because CIL that is Coal India Limited, which was hitherto a major client for us, has now shifted its entire coal auction and linkage auction work to its own portal. This has impacted our revenue stream. However, alternate revenue streams are vigorously being followed up and we expect t

o see positive results from Q3 onwards.

Apart from this, I am glad to share that MSTC was asked by the Ministry of Steel to develop the 'SIMS' The Steel Import Management System, version 2.0. The previous version had been developed by DGFT and NIC. Now this was a 100-day agenda item of the government. Despite the fact that normally such projects gestation period is about 9 to 10 months to one year, MSTC could develop this and bring it online in two months. This was inaugurated by the Honorable Minister of Steel at the end of last month. Similarly, another portal for auction of timber has been developed for Chhattisgarh State and inaugurated day before yesterday. This should also have a significant impact on the entire process of physical auctions going over to the digital form in forest produce and timber in a very major way. Now for a brief rundown on the financials, I would request Mr. Subrata Sarkar our Director Finance to brief.

Mr. Subrata Sarkar: Good afternoon, everybody. So, as already mentioned by our CMD sir, it was little bit down as our revenue stream is concerned and almost flat in the PAT. So let me give

Page | 3 you the snapshot on quarter-to-quarter basis, quarter one to quarter one of last year.

So total revenue is Rs. 86.01 crores as compared to Rs. 100.63 crores, that is down by 14%. So the main impacted area is the e-commerce, which is down by 15% from Rs. 94 crores to Rs. 79.46 crores and EBITDA, of course, has come down from Rs. 72.27 crores to Rs. 56.87 crores, and PBT from Rs. 70.56 crores to Rs. 54.48 crores, and profit after tax from Rs. 44.57 crores to Rs. 40.46 crores, and of course, EPS from Rs. 6.33 to Rs. 5.75. And in the segmental part, what we can say there is a breakup of E-commerce part, so this Rs. 79.46 crores comprises of, E-auction/E-sale of Rs. 58.75 crores, E-procurement Rs. 2.80 crores, and other income is Rs. 20.04 crores. Last year E-auction/E-sale was Rs. 71.22 crores, so that's a decline of around 17%. And with the expenses remaining on the flatter side, profit before tax came down from Rs. 70.56 crores to Rs. 54.48 crores and PAT from Rs. 44.57 crores to Rs. 40.46 crores. The consolidated forms a very good performance coming out of FSNL. They have compensated that part of MSTC, and the revenue has gone up from 199.76 to 208.53 crores, and you can see that Scrap recovery and allied job, which pertains to our 100% subsidiary FSNL, from 99.12 crores it has gone up to 122.53 crores. So, EBITDA has gone up from 86.02 to 88.71 crores, and PBT has gone up from 80.56 to 81.97 crores, and PAT has gone up from 50.61 to 61.90 crores, a significant increase of 22.31% on a group as a whole basis. Although the JV company which is a part of MSTC consolidated figures has incurred loss. And so far as breakup is concerned, revenue from operations in the standalone basis, it is 69.04 from 82.34 crores. Other income remained flat at 16.96 crores as compared to 18.29 crores. Employee benefit, of course, not a significant increase from 20.82 to 21.72 crores, and with that total expenses remained at 31.53 crores as compared to 30.07 crores. And of course, with that effect, the carry forward of that, decline in the 16% revenue, so PBT has declined from 70.56 to 54.48 crores and PAT from 44.57 to 40.46 crores. And in the consolidated form, of course, total revenue has gone up from 199.76 to 208.53 crores, and total expenses has gone up from 117.98 to 125.36 crores, marginal increase. And PAT has gone up from 50.61 to 61.90 crores. So that's all from our side, thank you

very much, and over to you.

Mr. Deep Modi: Thank you very much, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on your touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use headsets while asking a question. Ladies and gentlemen, we will w

ait for a moment while the question queue assembles. The first question is from the line of Mr. Saurabh Ginodiya from SMIFS Limited, please go ahead.

Mr. Saurabh: Yes, very good afternoon to the entire team. Sir I have three questions from my side. First is like we have made certain amendments in our object clause where we have inserted certain objectives like data center and recycling. So just wanted to understand what exactly are you planning to do in those segments. If you can throw some light on that? And when can we expect some kind of revenue inflow from these verticals? And what are the Capex requirements in these new segments? This is my first question. Should I ask my second question, or you want to reply on this first please?

Page | 4 Mr. Manobendra Ghoshal: Yes, you can ask, Please ask your questions and then I'll like to take it one by one.

Mr. Saurabh: My second question is to Mr. Ghoshal Sir, you had joined this company sometime in January, so it has been now seven months since you are looking into the business of MSTC, So just wanted to get your sense, how has been the experience and what is your 3-to-5-year vision for MSTC? And third point is a suggestion from our side that if we go to the presentation, honestly speaking, this presentation doesn't add much value to us because the kind of data which one requires to make an informed decision and investment in the company, that kind of data is not available on the presentation. So, we would request the management to give certain more backup in terms of different sector wise revenue on your e-commerce vertical, so that we can have some more clarity on the business and better understanding of the business, so this is my suggestion.

Mr. Manobendra Ghoshal: Right, So if I can take the questions one by one, we had some time ago, in fact, about a year ago, thought that there would be certain areas of new business where we would be constrained unless we had a broad enough mandate through our articles and memorandum of association. So data center is a logical extension because we already have our own data center. And therefore, there would be possibilities that may come up for organic growth of adding on to the work that we already have of hosting our different client's data on our own servers. So putting that in as a part of our MOA was essentially considered as an enabling provision. Now, as far as Capex is concerned, we have traditionally been an asset light company, and that is the way that we are going to be. But as far as expenditure on either hardware or software of this nature is concerned is not particularly asset heavy. So yes, it would not be significant. It would not be significantly higher than what is the normal level of Capex investment that we are going in, going through at this point of time and, looking at, additional business coming in from things like virtual data rooms, data centers would be something that we would examine in the future. But as far as, opening that door is concerned to have an enabling provision, yes that was the underlying thought of changing it in the MOA. Now, as far as the recycling part is concerned, that is something that we are already into through our joint venture. And again, this is an enabling provision which if an opportunity, suitable opportunity comes up in the future, this would enable us to have a quick mover advantage. And therefore, that was considered a wise thing to also have in our MOA. As far as the experience of the first seven months is concerned, it has been a great learning experience because this is a sector which is very different from the nuts-and-bolts sector that I have worked in for a large part of my career. It is, It gels in very well with the fact that we, even in our traditional brick and mortar businesses, are substantial part of the work has been, going on to digital platforms. So as far as the digitalization is concerned, that has g

enerally been embedded into whether it is transport, whether it is engineering. And this is a company which essentially works in transforming physical processes into digital processes. That's what the entire development of this company over the

last 20 years, has been about. And this is an area where we need to leverage not only in standalone processes, but basically developing portals, which integrates multiple services for people. So that is the plan for the next 3 to 5 years, and we are looking at a substantial multiple increase in our overall turnover, operations revenue streams

Page | 5 and over the next five years or so. As far as sector wise revenue, I would request our DF to respond to that.

Mr. Subrata Sarkar: So like we always endeavor to and try to improve our presentation. It is like but so far, this more information are concerned. We will always try to explore, and your suggestion is well accepted. Let us see what we can do within the regulatory framework, in the future days ahead, so of course your suggestions are well accepted, and we appreciate the concerns of our investors. So, whatever will be done, we will explore it under the regulatory framework.

Mr. Saurabh: Yes, thank you sir. Just wanted to have some follow up, follow up thoughts on what you just mentioned on the data center part. So what kind of expected revenue one can expect from this business over the next 2 to 3 years?

Mr. Manobendra Ghoshal: You know, for me to talk about numbers at this stage. But this, as I said, is an area that we are examining as to the possibilities and whatever possibilities would come up would naturally be taken forward. Now, putting numbers to it at this stage is not really appropriate.

Mr. Saurabh: Understood and sir, one last question from my side. Sir, if we just look at the e-commerce vertical growth over, let's say, the last 3 to 4 years, in FY 22, this vertical grew by about 33%, FY 23, the growth was 19%. Thereafter, the growth rate moderated to about 4% in FY 24. And in this quarter, there is a De-growth of about 16% Y O Y. So just wanted to understand what kind of targets you have set for e-commerce vertical for this year and maybe next year.

Mr. Manobendra Ghoshal: Our overall targets would naturally be, you know, ideally a double-digit growth, that is of course becoming more and more difficult because of the increase in competition and the increase in number of players, but what we are looking at is trying to increase the pie itself.

Mr. Saurabh: Understood, Thank you Sir.

Mr. Deep Modi: Thank you, Ladies and gentlemen, just a reminder anyone who wishes to ask a question may press star and one on the touch tone telephone, I will repeat, anyone who wishes to ask a question may press star and one on the touch tone telephone. The next question is from the line of Mr. Prakash, an individual investor, please go ahead.

Mr. Prakash: Hello, I want to refer to the AGM questions last year. The shareholders have raised very important questions about more information on the portal and I think Mr. Ghoshal will take care of giving more transparency and much more information to all the shareholders, which is not at all done being a public sector. You follow a light type of secrecy and remain tight lipped. You are not open to the public. Don't reply on the scrapping centers that we have, the scrapping center speed is very very slow.

Page | 6 Now there have been rampant rains in the whole country, and I feel because of rampant rains in all the states and villages of the country, minimum 2 to 3 crore more vehicles will be scrapped and will be ready for scrapping with our speed of work is very, very, very slow and they are giving no indication as to what is happening to the company and to the volume. This is what I want to say. The second thing is about the dividend. The dividend must be increased for the remaining part of the year because the taxation

has been streamlined. So we expect better returns from the dividend.

What about the alternative source of income? The raising of income, E e-commerce business, what is the development there? What are the options that we are developing? And selling of that subsidiary, FSNL is the subsidiary and booking the profit and distributing that profit to the shareholders by a large dividend one time. It is very essential. Every year the provision is given, Next six months, Next six months union will look into it will come to know when you will do but there is no transparency. I think the chairman and the new team, Mrs. Bhanu Kumar, will take

some action and give some indication. They are tightlipped and they are not answerable to anybody. If I think, is it that you are not accountable to even President of India to that extent, who knows what in this country, shareholders are at the mercy of a public sector undertaking for years together, 15 years and 20 years is a big part of life in individual human life, not country life, but individual human life. So you have to show now the performance. And the scrapping centers, how many open, are not. You are very tired from that last 2 or 3 quarterly calls also, which is not correct. I feel so. So you must give what is happening now to the scrapping centers and the scrapping speed so that we can increase the opportunity and new vehicles are coming, and there is no indication given from the management of the portal as to what is happening to the company, Thank you.

Mr. Manobendra Ghoshal: Right Prakash ji, as far as transparency is concerned, it is always our endeavor to be maximum, to give the maximum amount of transparency that is possible. But I think you have been a little confused about now as far as the scrapping centers are concerned. They are a unit of MMRPL, not of MSTC. So, if you go to the MMRPL website, you will be able to find the details of the scrapping center. That is a joint venture, and it is not a part of MSTC directly so that is where you will be able to get that information.

Mr. Prakash: Can I know how many established centers are going to open in the next six months?

Mr. Manobendra Ghoshal: That is not something that MSTC would decide. That would be decided by the management of MMRPL. It has its own completely different management as far as MSTC is concerned, MSTC is a shareholder in the company MMRPL.

Mr. Prakash: You don't make any investment in the scrapping center at all.

Mr. Manobendra Ghoshal: MSTC, as I said, the scrapping centers are not owned by MSTC, they are owned by a different company in which MSTC has a stake, so I think it would be better if you go to the website of MMRPL, where you would be able to get much fuller details about this.

Page | 7 Mr. Prakash: Can you throw some light and give some color as to what is happening? Because our revenues are not increasing because of rain, the number of vehicles being scrapped.

Mr. Manobendra Ghoshal: That is true, So there has been a policy framework which has been given by the Government of India. All those policies framework has to be implemented by the different states which are now at different stages. So that is one of the reasons why the numbers of vehicles being scrapped through the registered vehicle scrapping facilities has not increased to the extent that all I mean, as you would yourself have expected, these are all the issues which are being followed up by the Union government with the different states, and there is progress. And over the maybe next one, one and a half years, we would expect to see significant progress in this aspect.

Mr. Prakash: So, the progress of how much? About at least 50-60% in volume and revenue.

Mr. Manobendra Ghoshal: That is something that the management of MMRPL would be able to indicate, Prakash Sir.

Mr. Prakash: Why don't you give some interview to the TV that your subsidiary company also have the

knowledge of public investors?

Mr. Manobendra Ghoshal: Prakash sir, it is not a subsidiary company. It is a joint venture between us and Mahindra Auto Limited.

Mr. Prakash: Okay.

Mr. Deep Modi: So sorry, Sorry to interrupt, Mr. Prakash. May we request that you return to the question queue for the follow up question.

Mr. Prakash: Okay okay, Thank you.

Mr. Deep Modi: Thank you, the next question is from the line of Mr. Vinay Nadkarni from Hathway

Investments, Please go ahead.

Mr. Vinay: Yes. Thanks for the opportunity, sir. I am a bit new to this company, so could you just take us through the three revenue streams that you have marketing, e-commerce and scrap recovery? I can understand scrap recovery and allied jobs, but that is your subsidiary company that you have. But e-commerce and marketing, what exactly is the revenue stream?

Mr. Subrata Sarkar: Yes, So thank you very much for showing this eagerness to know about our company. Like, traditionally we had two major wings, one is marketing, that is the trading, trading business. So generally, now it has been tapered down. And you can see from the data, that we have almost come out of that segment, except for certain business, which is happening traditionally, and it is backed by, any trading is backed by 110% bank guarantee. And to make it as secure as it can be and have no impact on the

Page | 8 financials of the company in the near future as far as realization is concerned. So, it is very small and insignificant part of our revenue as well as in the volume of the business. Now our main foray is the e-commerce segment. So basically, if you can see, like in the e-commerce segment, we basically are a platform, basically, we develop a platform to provide the E-auction services to various Governments, PSUs, and of course, the certain private sector players. Of course, the private sector players are not that much in number, but we are trying to open to them also and we are also pioneers in e-procurement solution. And what you can see that some of the flagship projects of the Government of India, like, mines and natural resources auction, allocation auction, and of course spectrum recently, which has happened. So that is our main business so far, E-commerce is concerned. So here we can we do, develop this E-auction platform and facilitate the e -auction of different things like scrap other e- materials like Mineral resources. Timber forest produces and other like spectrum, etc. Recently we are developing a dedicated platform, what CMD sir has told in his opening remarks that SIMS for Ministry of Steel, So we are into that also, So basically it is the mixed bag in the e-commerce part, So I hope I will be able to brief you. And in brief, I was able to explain to you the nature of the business that we are.

Mr. Vinay: Yes, yes, I got it. So, this e-commerce revenue that you are getting is the revenue from whatever auctions that are carried out on the site, Right? So therefore, whatever you will get some percentage of the volume traded.

Mr. Subrata Sarkar: Not always, we have got different revenue stream. Also, sometimes we get on one time basis. Sometimes we get on the volume traded basis, sometimes we get on the turnkey basis. So, different revenue streams are there.

Mr. Vinay: Is it for this quarter, it has got reduced because of the election and what they call the code of conduct that was in place that you didn't have too many options. Why has the e-commerce, because that seems to be the biggest, other than scrap recovery, that is the bigger chunk of your revenue, right?

Mr. Subrata Sarkar: Yes, partially, very, very partially, yes. Because of certain logistical and lifting because the vehicles were used in there, but partially but some part is of course, that CMD has explained that couple of revenue stream that we have lost, like Coal India, which has been now develop their own portal and do

ing this. So, this is a mixed effect. But obviously, certain customers we have lost. And for that we are trying and striving hard and of course, as explained, quarter three we expect that revenue streams should come back on line and more than make up for this by quarter three and onwards.

Mr. Vinay: Okay, and Coal India was what part of your revenues in FY 24 last year?

Mr. Subrata Sarkar: Look actually by percentage, which is very difficult to quantify because a lot of we are doing the whole auction and some kind of specialized auction on behalf of Coal India. But like with the customer left, so some percent obviously it has impacted.

Page | 9 Mr. Manobendra Ghoshal: It was a major customer. So yes, that has had a significant impact, but we should be able to, hopefully, make up that impact in the next couple of quarters.

Mr. Vinay: Okay. Thank you. Thank you.

Mr. Deep Modi: Thank you. Ladies and gentlemen, just a reminder. Anyone who wishes to ask a question may press star and one on your touchtone telephone. I will repeat, anyone who wishes to ask a question may press star and one on your touchtone telephone. The next question is from the line of Mr. Miraj from Arihant Capital, please go ahead.

Mr. Miraj: Hello, Thank you for the opportunity, Sir, Good afternoon. Just a couple of clarifications, because while I was on the call, my line got disconnected twice or thrice. So, I just want to clarify what you mentioned if it's right or not. First thing is that, regarding the slowness in business right now, one of the reasons is that Coal India, Coal India has now opened up their own portal, as they were mandated, and the business coming from them has stopped. This is the first thing, right?

Mr. Manobendra Ghoshal: Yes, that is true.

Mr. Miraj: And the other thing, regarding one of the changes in MOA that you mentioned, that, regarding data centers and recycling. On the data center front, you are saying something that it is an asset light aspect only. Can you just repeat that part as my line got disconnected at that point.

Mr. Manobendra Ghoshal: So, what I was saying is that traditionally MSTC has been an asset light company. So, it is not that there is any kind of plan to have very massive CapEx inputs into any kind of, we would prefer not to, invest in major Capex unless it is something which, makes a huge amount of business sense or the returns are substantially, justifiable. So as far as data centers is concerned, we in any case, as a normal case of maintenance and expansion, we have our own data center. Obviously there is an element of Capex in terms of software and hardware, which has to be constantly upgraded and so on. So as far as data center, it is the enabling provision of, you know, data centers. Also, being a part of our MOA and as a service itself is something that we enabled so that if an opportunity comes across in the future, we would be well positioned to take it. That is what I was referring at.

Mr. Miraj: Okay, perfect. Thanks a lot for that. Just a question regarding our e-commerce business now. So since Coal India is now they started their own. So we have actually been trying to get a lot more accounts. I believe for the last 4 or 5 quarters we've been talking about adding more accounts. And I think in one of the quarters we did add a few accounts as well. Can you explain that what pillars, what verticals are we looking at to add more accounts? So is it regarding, you know, nationalized banks somewhere where, you know, we can have the auctions of the properties that real estate properties that they acquired.

Page | 10 Mr. Manobendra Ghoshal: We have been doing the auctions of properties for nationalized banks. So basically, the kind of growth that one looks at is related areas. So it would not be really fair to ask me to specify what is the sector of the client, because that would, you know, put us at a competitive dis

advantage. But basically, any company would want to leverage the kind of strengths that it already has, So there would be multiple sectors that we are already working in in terms of minerals, in terms of stressed assets. And it is a question of finding out which are other entities who would basically be looking at, you know, disposal of these assets and want to use a digital e-commerce platform for it. So that is the general direction, So that is the organic growth of, finding more clients or finding more entities, who are into e-commerce of the kind of things that we already are doing. And apart from this, we have also been working at integrating services. So that is a separate line of business, which would be a somewhat inorganic growth, which would build upon what we are doing and are developing more upstream or downstream activities. So that's two ways that one thinks of growing, which is what MSTC has also been.

Mr. Miraj: Perfect, Perfect. Understood. And so, as you were talking that a lot of competition has actually come in. Could you let me know who the current competition is, current competitors that we are facing stiff competition from. So, any like, like peers that we can name.

Mr. Manobendra Ghoshal: It's not really, you know, very fair to ask me to name, but yes, there are at least 2 or

3 major entities, in the private sector or in the joint sector, which also work in a similar way that MSTC is, and of course, there are multiple players who deliver the vanilla auction services. Of course, what we would like to think is that the total bouquet of services that is delivered by MSTC is not really matched by almost anyone else in the business.

Mr. Miraj: Okay, and just lastly, before I get back in with you, if you could let me know our net debt or current net debt as of Q1, and what do we plan to do with the cash that is available, Almost 1100 crores as of FY24.

Mr. Subrata Sarkar: Yes, just now we will get back to you on the cash front because it is basically, we have not drawn our balance sheet as far as this quarter is concerned. So because it is required in the half yearly basis. So obviously, we will let you know about the cash and equivalent in the Quater 2 call, and by that time this year, will also get matured, and we will have enough opportunities for the utilization of the funds and all these things. A clearer outlook would be available. So we will be able to give you a clearer picture at that particular point of time.

Miraj: Perfect, So okay. And we will converge again in Q2. Thank you so much and all the best for the future.

Mr. Manobendra Ghoshal: Thank you, Thank you very much.

Mr. Deep Modi: Thank you, the next question is from the line of Mr. Ananth from Mountain for Finance, Please go ahead.

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Mr. Ananth: Hello.

Mr. Manobendra Ghoshal: Hello, Good afternoon.

Mr. Ananth: Good afternoon. Can you hear me? I just need to confirm some data point. You said your e-commerce segment had increased 15% in volume. However, it decreased 15% in value. Am I correct?

Mr. Manobendra Ghoshal: That's right!

Mr. Ananth: And are we concentrating more on the E-procurement version because I think I heard someone say that procurement we are pioneers, but predominantly our vertical has always been e-auction.

Mr. Manobendra Ghoshal: In fact, e-procurement in terms of revenue stream has been, even though volumes have been increasing, the revenue stream is not a very significant or major part of our overall revenue stream. Most of our bread and butter and jam comes from auctions.

Mr. Ananth: Okay Okay, thanks. That's just another suggestion. Please, could you upload your investor presentation a little earlier? I mean, this time it was a half an hour call.

Mr. Manobendra Ghoshal: We will definitely endeavor to do that. And our apologies for the inconvenience caused. We will certainly you know; this is we'll note, and we'

Il do this in time. So, we will definitely try to do it earlier. Noted, certainly.

Mr. Ananth: Thank you.

Mr. Deep Modi: Hello, Mr. Ananth, your voice is not audible. As the line seems to be disconnected, we will move to the next question. The next question is from the line of Mr. Rajesh, an individual investor, please go ahead.

Mr. Manobendra Ghoshal: Yes, Mr. Rajesh, tell us.

Mr. Rajesh: Good afternoon, sir, am I audible?

Mr. Manobendra Ghoshal: Good afternoon, sir.

Mr. Rajesh: My first question is, the contribution of the private sector in the e-commerce business, Especially the scrap business is only 10% as per the last, you know,

communication that we had. So why is it so low?

Mr. Manobendra Ghoshal: I think as far as the private sector is concerned, the right people to talk about, low contribution would be someone in the private sector. But nevertheless, as far as our, take on it is concerned, is that, most competitors, whether in the private or public

Page | 12 sector, provide the vanilla auction services, basically simply the auction platform itself. We, as MSTC, have been traditionally providing a full array of services, right from helping the seller to create the auction, to create a catalog to determine what should be the lot size, what should be the reserve price, and so on and so forth, and right up to post auction activities that the seller would have to do, including the integration for payments and so on and so forth. So, that is one of the reasons why MSTC is a pioneer and has consistently been having a large market share in this segment.

Mr. Rajesh: Despite whatever you said right now, that you, MSTC, provides an array of services. Again, So the question still remains, why is it that the private sector is not a big contributor in the scrap business?

Mr. Manobendra Ghoshal: So that is not something that, you know, if, a seller, or a buyer essentially gets a higher array of services, I would think that they would basically go for that service provider, isn't it? Right? If I understand your question correctly.

Mr. Rajesh: Yes sir, So my question was that since MSTC provides an array of services, as we just mentioned, why is it that the private sector is still not a big contributor.

Mr. Manobendra Ghoshal: You are talking about private sector as a part of our business, our customer base. Yeah, Okay, no, I was talking in terms of private sector being also a service provider. So as far as the business of the private sector is concerned, most private sector entities have a direct 1 to 1 arrangement, which is what is substantially different from public sector entities or government entities which would normally go through an auction process. Now, what we have been trying to educate people about is that overall revenue realization for the private sector also would be higher to go through a process like this, which is what has been helping us get into the private sector and onboarding more and more clients of that sort.

Mr. Rajesh: Okay, All right. So, my second question would be on the car recycling business. I think Mr. Prakash also had some questions. If we look at the last six years or so, there's hardly been any contribution from MMRPL as far as the revenue is concerned or even as far as the PAT is concerned.

Mr. Manobendra Ghoshal: So here, as far as the details of the business are concerned, I mean, we as MSTC is an investor in MMRPL. I mean, it's a joint venture. So very broadly speaking, yes, there has been a time required for the entire framework of a vehicle. The end of life vehicle recycling to get implemented, first of all, as the overall central framework, and then in the different states where individual enabling framework has to be put in terms of regulations and laws. So that has been taking a time, and that is what has basically led to a situation where the Unorganized sector is more by individual individuals for

end-of-life vehicles recycling. Now, once these enabling provisions and this framework comes in terms of MoRTH guidelines that should reverse. For anything new, it is obviously going to take amount of time for kind of framework to get implemented.

Page | 13 Mr. Rajesh: It's already been six years Sir since MMRPL was formed. So..

Mr. Manobendra Ghoshal: We are also looking forward to the implementation being fast tracked by the different, you know, entities.

Mr. Rajesh: Okay, so last question, any update on the fintech business for which you had, you know, change in MOA?

Mr. Manobendra Ghoshal: So that is another area where we would be examining what are the possibilities and as and when we come across firm possibilities, we will update our investors and our stakeholders.

Mr. Rajesh: Okay, thank you, Thank you sir.

Mr. Deep Modi: Thank you. The next question is from the line of Mr. Vinay Nadkarni from Hathway Investments, please go ahead.

Mr. Vinay: Yes, my question was on the FSNL selloff. Nothing has happened so far, right? No further.

Mr. Manobendra Ghoshal: This is something which is being handled by the DIPAM. So, it would not be appropriate for us to comment on this.

Mr. Vinay: Yes, but if I see the revenues from this company and the margins that contributes to your top line and bottom line, it's pretty significant, isn't it? So, if that gets sold off as MSTC we will have a setback in terms of its earnings.

Mr. Manobendra Ghoshal: I would not like to speculate, you know, because that is as I said, I mean, the entire process is being decided upon and, you know, processed by the DIPAM.

Mr. Vinay: My question was slightly different. My question is knowing that this is going to happen once today or tomorrow or maybe five years later, whenever it happens.

Mr. Manobendra Ghoshal: I would not presume and we should not go there.

Mr. Vinay: Let me frame my question differently. Okay, Okay, let me frame my question differently. I'm saying in terms of there for additional streams of revenue, One is that scrapping that you have, which you are saying is taking its time to develop. The other is the e-com revenue, which is, you know, you are trying other revenue to really grow that. I was told that there was some, some ticketing arrangements were done with Reliance Indus Tower and Tata Power earlier, any anything like that, anything with private sector, which the earlier question was also related to.

Page | 14 Mr. Manobendra Ghoshal: We have reached out to the private sector, and we have onboarded clients in fact more than one client, more than one major client. And we hope that the trend will continue and we will be able to convince the private sector also that auctioning scrap or auctioning assets that they no longer use, much better option for them also. So this is something that our teams have been very consistently working on and we have had some success. We hope to have more success in the future as well.

Mr. Vinay: Okay and your business, is it related only to metal scrapping, or even plastic or other recycling can be..

Mr. Manobendra Ghoshal: We are completely sector agnostic. So we have not only been, you know, auctioning or providing an e-commerce platform for scrap, but also for resources, for even intangible assets like spectrum and so on and so forth. So we are across all kinds of sectors, if anything needs to be sold through a process of an auction or, so that is something that MSTC has an expertise in creating the process and putting it on the digital platform.

Mr. Vinay: Okay, Thank you very much, that's all.

Mr. Deep Modi: Thank you. Ladies and gentlemen. Just a reminder, anyone who wishes to ask a question may press star and one on your touchtone telephone. The next question is on the line of Mr. Saurabh Ginodiya from SMISF Limited, please go ahead.

Mr. Saurabh: Yeah, so thank you for the follo

w up opportunity. This question is basically to Mr.

Sarkar. After our last year's e-commerce vertical, revenue was like 364 crores. So can you just broadly help us give some breakup between scrap sales, coal auction, E-sales and other segments. A very broad breakup would be helpful.

Mr. Subrata Sarkar: Yeah, I think I didn't have that handy. basically, scrap is around 50% of the total revenue, e-commerce revenue, It is a broader. So still it is a main breadwinner for MSTC, So still it is a 50% of that pie that is coming up from the E-auction. It is still happening and still that is being maintained almost simply for the years.

Mr. Saurabh: Okay and what would be the revenue from Coal India contribution last full year?

Mr. Subrata Sarkar: That is exactly the figure is not particularly segmented. But of course, what you can see the drop this year, it is basically attributed to the mainly to the revenue from Coal India because on quarter-to-quarter basis we have lost that particular client. So that is the main drop in that quarter-to-quarter basis.

Mr. Saurabh: Okay So sir, to point here, we as shareholders, we are quite concerned about the Coal business revenue which is going down. And as we had mentioned that we intend to make up for this lost sales from the customer maybe in the next couple of quarters. So just wanted to understand what is the roadmap which we have set, which will take care or compensate for this loss or loss in revenue from Coal India?

Page | 15 Mr. Manobendra Ghoshal: It will basically be, you know, sectors of resources and minerals, which is, as I said, I mean, it is an organic kind of growth of finding more customers or more clients of the kind of work that we are already doing. And we have certain possibilities which are looking good. We will update you further about it as and when we have firm orders.

Mr. Saurabh: Okay, So what I understood is that this will be mainly driven from addition of new customers and new verticals.

Mr. Manobendra Ghoshal: Essentially, yes.

Mr. Saurabh: Okay but, Sir, any color, if you can just broadly help with some understanding, what are these new verticals which we are trying to explore?

Mr. Manobendra Ghoshal: We are looking, as a set of integrated services. So basically, other than auction services, we were looking upstream and downstream at what else we can do to add value to the customer. So we would like to in fact talk about it when we roll out those rather than, you know, at this point of time.

Mr. Saurabh: Okay, So Q2 also may be impacted on the e-commerce vertical side because of the steps we are taking to get these losses from Coal India. Is my understanding correct?

Mr. Manobendra Ghoshal: That may be likely. We are looking at what are the ways we can do to alleviate that in the short term.

Mr. Saurabh: Sir whatever efforts we are doing in that direction, the full benefit can be expected only next year or maybe from Q3, Q4 onwards?

Mr. Manobendra Ghoshal: It should start happening. The revenue stream should start happening from new initiatives in Q3 I mean, things that we are working on at this point of time, So Q3, Q4 onwards, there should be significant.

Mr. Saurabh: When you say significant, it will be like a double digit high, double digit low, double-digit numbers.

Mr. Manobendra Ghoshal: I would not like to speculate on numbers, but yes.

Mr. Saurabh: Okay and sir, also you can just give us some understanding regarding the scrap prices, how they have behaved over the last, let's say one year or so, and any outlook which you can share on this.

Mr. Manobendra Ghoshal: The major indicators over the last year like year on year quarter, there would be probably a decrease in the prices of scrap to the extent of 6 to 8%. But by and large, I mean these are issues which fluctuate over the last quarter they would probably be an increase. And then so these are cyclical in nature. They have been over the last

three years varying between in a range of plus minus 10%.

Page | 16 Mr. Saurabh: Okay and any additional outlook can you share on these prices?

Mr. Manobendra Ghoshal: It's not something that again, this is largely market driven in terms of availability

and in terms of the demand, naturally, with a lot of circularity, being, envisaged in all kinds of sectors, the requirement of scrap has gone up and it will remain up because the amount of scrap that is available is definitely lower than what is required, for the ferrous industries and as well as for just about any major industry which has inputs from scrap as, as, input material, particularly in the ferrous industry, So the demand is always going to be, at least for the foreseeable future, as per industry projections, is definitely more than the availability. I think this is, of course, the long-term picture.

Mr. Saurabh: Understood.

Mr. Deep Modi: Thank you, this was the last question, I would now like to hand the conference over to the management for the closing remarks.

Mr. Manobendra Ghoshal: Great, I would like to thank all the stakeholders who have taken their time out and, you know, every time that you ask us a question, it also makes us introspect and rethink and also look at what we are doing and whether we are doing it. So that guidance is always a very welcome thing and I look forward to your guidance, and I look forward to your input over the next quarters and the financial years, Thank you so much.

Mr. Deep Modi: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines, Thank you.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz. [www. https://www.mstcindia.co.in](https://www.mstcindia.co.in). In case of discrepancy, the audio recordings available at website of the company shall prevail.

This discussion is based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

Call: Nov 2024

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MSTC LIMITED

(A Govt of India Enterprise)

CIN: L27320WB1964GOI026211 e-assuring iNDIA

MSTC/CS/SE/585 14th November, 2024

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 542597)

Dear Sir/Madam, 2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCL TD)

Sub: Transcript of Conference Call with the Investors/ Analyst

The Company had organized a conference call with the Investors/ Analyst on Monday, 11th

November, 2024 at 12:00 P .M. A copy of transcript of conference call held with the

Investors/ Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in | www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area 1 C, New Town, Kolkata-700156 W.B.

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"MSTC Limited

Q2 FY '25 Earnings Conference Call"

November 11, 2024

MANAGEMENT : MS. BHANU KUMAR – DIRECTOR (COMMERCIAL)

M R. SUBRATA SARKAR – DIRECTOR (FINANCE)

M R. AJAY KUMAR RAI – COMPANY SECRETARY

MODERATOR : MR. DEEP MODI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to MSTC Limited Q2 FY '25 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, you may signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deep Modi from Equirus Securities. Thank you, and over to you, sir.

Mr. Deep Modi: Good afternoon, everyone. On behalf of Equirus Securities, I welcome all to Q2 FY '25 Earnings Conference Call of MSTC Limited. From the management, we have with us today, Ms. Bhanu Kumar, Director (Commercial); Mr. Subrata Sarkar, Director (Finance); and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks from the management, and then we will open the line for Q&A.

I now hand over the call to Ms. Bhanu Kumar, Director (Commercial). Over to you, ma'am.

Thank you.

Ms. Bhanu Kumar: Thank you. Good morning to all of you, and I'm really we appreciate that the investors are showing keen interest in the company's activities and you asked very pinpointed questions during these calls. So first of all, I would like to give you the key highlights that happened during the second quarter of this year.

So the main highlights being that the 100% subsidiary of MSTC that is FSNL, it is under sale, you almost have been aware of it. The transfer is supposed to be closed within 60 business days from the date of signing of SPA. The SPA was signed on 24th October 2024. Now as far application Ind AS shown as noncurrent assets held for sale in stand-alone financial and profit shown as income from discontinued operations and consolidated financials.

As far as the operational performance of MSTC is concerned, during the H1 '24-'25, the company crossed INR 476.16 billion in terms of value of goods transacted through its e-commerce and marketing verticals. The financial performance standalone, the PBT stands at INR 111.50 crores in H1 vis-a-vis INR 158.99 crores in H1 of '23-'24.

PAT during this period was INR 83.48 crores in comparison to INR 113.08 crores during '23-'24. The consolidated financial performance is PBT of INR 108.72 crores as against INR 136.40 crores in the last year and PAT of INR 118.29 crores vis-a-vis INR 105.95 crores in the corresponding period last year.

The key highlights for the better important projects that we are undertaking that we continue to undertake since last year are the spectrum auctions. We are managing the e-bidding portal for allocation of the spectrum, then the coal block auctions, of course, various tranches have already been carried out, and it is still under some more events are happening. Mines and mineral block auctions are also happening and various states from various points of time have advertised for sale of these mineral blocks.

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The Exim platform that we have developed is very robust, and it is being actively used by the oil marketing companies, especially Indian Oil and ONGC Group of Companies. Then the Deep portal, which we had started almost 5, 6 years back, it's a very stable portal that is being used by the DISCOM for their PPUs.

The upcoming projects which we have very recently backed are the important one being the FM width radio wavelength allocation that will be done by MSTC. This will happen, and it is expected to happen in the last quarter of this year. Then we also have a contract from the Kendriya Police Kalyan Bhandar. This is actually a project driven by Ministry of Home Affairs for digitization of retail operations of KPKB. This also is likely to start by the end of this year. Then the e-auction of sal

e of timbers from Chhattisgarh Forest Department is also a very promising venture for us. This also the auctions are expected to start in this quarter. The listing portal for the NPA properties, which are not under the public sector banks, that is for the rural bank, private, cooperative banks and other institutes. That also is already almost ready, and it should be operational anytime soon.

We are also now thinking for operating infrastructure as a service. We have been talking about it in the last year also. But now we are seeing that the modules that we developed for our clients, we are offering the infrastructure facility also for that. And these are available in sectors like recycling, mining, e-commerce, etc.

Then we have created an ERP for the mineral sector, where our presence and our activities are quite large. So we are doing a lot of pre-auction activities and post-auction activities and integrating with the databases of our clients. Now we have also bagged a very major scrap sale agreement with BPCL, which was earlier done by some private entities, but now they have given this to MSTC. Now these are certain ventures, which we expect will be giving us good revenue in the coming months. Thank you.

Now for the financials, I'll hand over the call to Mr. Subrata Sarkar, Director (Finance).

Mr. Subrata Sarkar: Yes, very good afternoon to our investors. So let me first narrate the standalone financial highlights. So for the half one of '24-'25 versus half one of '23-'24. The total revenue has been lesser by 18.98% i.e. around 19% from INR 221.29 crores to INR 179.27 crores. And EBITDA

is down by 28.19% from INR162.41 crores to INR116.63 crores.

PBT is down by 29.87% from INR 158.99 crores to INR 111.50 crores, and PAT is down by 26.18% from INR 113.08 crores to INR 83.48 crores. Obviously, with going by that trend, the EPS is also down by 26.18% from 16.06 to 11.86%.

Now in the Consolidated part, Of course, segmental part, the basic cause of the fall of the revenue that we can see is down of the e-commerce revenue like from INR 185.03 crores to INR 168.04 crores and in which the e-auction, e-sale is down from INR 142.6 crores to INR 120.31 crores. E-procurement is, of course, on a flatter trajectory and other incomes are also on a flatter trajectory. And the marketing part is also on the flatter trajectory from INR 11.46 crores to INR 11.20 crores.

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Exceptional item is INR 1.94 crores as already disclosed in the note. This is due to the payment of a provision to a segment of an old arbitration award. And with that, that PBT has gone down from INR158.99 crores to 111.50 crores, and PAT has gone from 113.08 crores to 83.48 crores, down by 26.18%.

And as a whole, in the group performance also, in the group, group comprises of our 100% subsidiary company Ferro Scrap Nigam Limited and our 50-50 joint venture Mahindra MSTC Recycling Pvt Limited. So as this FSNL is on sale, held for sale, it's revenue has not been consolidated, and it is shown as a discontinued operation.

So however, if we take that figure, so like total revenue in the group level has gone down from INR 202.09 crores to INR 179.27 crores and EBITDA has gone down from INR 143.22 crores to INR 116.63 crores. And the share of loss from JV as compared to last year, it is little bit lower, from minus INR 3.40 crores to minus INR 2.78 crores. PBT has gone down from INR 136.40 crores to INR 108.72 crores. And from the continuing operation, PAT is down from INR 90.48 crores to INR 80.70 crores. And from the discontinued operation, that is FSNL, PAT is up from INR 15.47 crores to INR 37.58 crores. Profit after tax from continuing and discontinued operation, INR 105.95 crores in corresponding last period and this year is up to INR 118.29 crores. And EPS is also up from INR 15.05 crores to INR 16.80 crores.

So the basic premises of increase in the group performance i

s the good performance by FSNL.

So that is the overview. And now going to the summary of the P&L, in the revenue from operations in the standalone part is down from INR163.47 crores to 140.96 crores. And other income is down from INR 57.82 crores to INR 38.31 crores, mainly because of non-receipt of dividend from FSNL in this half year as compared to last half year.

Employee benefit is remaining on the flatter side from INR 42.40 crores to INR 44.71 crores.

And total expenses, other expenses before exceptional items is also on the flatter tract from INR 16.47 crores to INR 15.99 crores. Exceptional item is INR 1.94 crores. Total expenses being INR 67.77 crores as compared to INR 62.29 crores last half year.

And PBT is 111.50 crores as compared to 158.99 crores and profit after tax is INR 83.48 crores as compared to INR 113.08 crores. And in the consolidated part, of course, with the continuing operation the profit has gone up from INR 105.95 crores to INR 118.29 crores.

That's all from our side. Thank you, Hand over to the operator.

Moderator: Thank you very much, sir. Thank you, ma'am. Ladies and gentlemen, we will now begin the question and answer session. We have first question from the line of Mr. Rakesh, who is an Individual Investor.

Mr. Rakesh: I have this question regarding competition that MSTC faces from the GeM portal, can you please share some light on this?

Ms. Bhanu Kumar: Yes. As far as GeM is concerned, the government has made it mandatory for the government departments as well as PSUs, to use that portal extensively for all their procurement needs. But

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then we need to see that GeM offers very standard kind of a portal, where things are, the model is very standardized.

So wherever the customer has a requirement of a different kind of procurement methodology, like standard item products may be available in GeM. But there are certain products and services that are not available in GeM as of now. So those clients are the ones that we are targeting.

And we have made some foray. We are earning something. Of course, this has made a dent in our earnings i.e. e-procurement earnings. But then we do have a market. It's not that we have stopped our e-procurement services completely.

Mr. Rakesh: Madam, my question was regarding the auctioning, like I saw a lot of government departments auction on the GeM portal. So isn't the GeM portal directly in competition with MSTC?

Ms. Bhanu Kumar: Yes, it is. But there again, GeM doesn't have all the kinds of features that we have. We are giving an end-to-end kind of a service and GeM is more like a platform service. So for the low-value items, yes, definitely, gem will be more useful. But then when you also sell high-end or high-value items of scrap, which are the PSUs have in a large number.

There, definitely, they are looking for more of advisory role regarding the, then the statutory compliance requirement, the terms and conditions, the payment terms and actually realizing the contract management, everything is still there. So our scrap business has in fact been more or less stable.

In fact, it should have gone up, had the prices of scrap have not gone down since last year, but the volumes are more or less stable. So I wouldn't say that GeM is not a threat, maybe in future, definitely. But as on date, we are still able to hold our forte as far as scrap action are concerned.

Mr. Rakesh: What if tomorrow, there is a mandate from the government like as far as procurement is concerned, the government mandated that all the purchases will have to be done through the GeM only. So if they come out with such a mandate for selling their scrap, that everything has to be done through GeM only, then what happens to MSTC?

Ms. Bhanu Kumar: Yes. So this mandate for procurement through GeM only has been there for more than 2-3 years now. In spite of it, most of the organizations are fin

ding it difficult to procure everything through

GeM. So it is not that the GeM is the only platform that is to be used by these organizations.

Wherever materials or products or standard things cannot be done, definitely, there is a market for it, and we are the solution for that.

We are the platform for that. So we do have a market. We do have a very niche kind of service as far as auction is concerned or even procurement is concerned. So that is something that we wish to enlarge not just to the government clients, but to the private sector also.

Mr. Rakesh: And madam, in this quarter, what portion of the revenues from the scrap business has come from the private sector?

Ms. Bhanu Kumar: See, it has been more or less stable at around 10% to 12% of the total revenue.

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Mr. Rakesh: Okay. Okay. Madam, my second question is, how does the company plan to utilize the sale proceeds of FSNL?

Mr. Subrata Sarkar: Yes, let me response, sir. So like that you people are informed that the deal has to be closed within 60 business days from 24th of October. So we hope around 15th January, it will be done, as it comes to around 15th of Jan. So what we have planned, we will have a kind of internal management meetings and there will be, of course, board meeting to decide on that utilization of the proceeds because one of the parts will be taken by the government as an advanced tax, right!

So net of capital gains, of course, there will be a deliberation how to utilize the thing. So we will come up with that solution on that point of time. Right now, we are more concentrating on the smooth transaction so that the transaction happens in a smooth and steady manner. We are concentrating on that particular thing.

Obviously, it will be known to you. Without giving any kind of intimation being a listed company it will not be done. So the thought process will be shared to you as and when it factored by our management, our board, right, sir!

Mr. Rakesh: Got it, sir. Sir, one last question was regarding the update on the new businesses that the company has just stated in presentation. So it is written that you have signed a contract with BPCL. So now does it mean it's like an exclusive contract for all BPCL activities taking place throughout the country?

Ms. Bhanu Kumar: BPCL scrap material, yes, the marketing division of BPCL, it is exclusive contract. They will not been selling it directly or through any other service provider. It will be only through MSTC portal. And for refineries, we already have an agreement for the past many years. So that business will continue.

Mr. Rakesh: Okay. And so what is the potential of this marketing business madam?

Ms. Bhanu Kumar: Marketing business means you are talking about trading business of MSTC?

Mr. Rakesh: No, the marketing, that you just mentioned, the marketing division of BPCL...

Ms. Bhanu Kumar: Volumes are pretty high. I mean till the time it actually procures, it's a little too early to talk about the volumes that we will be transacting through this portal. Maybe by the end of this year, we will get to know what is the potential. But we thought it is substantial compared to our other clients, small clients. So definitely, it will be in the range of, if not INR 100 crores, it must be somewhere close to that.

Mr. Rakesh: INR100 crores of scrap value?

Ms. Bhanu Kumar: Scrap value, yes.

Mr. Rakesh: Okay. And MSTC will end up earning like a percentage or 2 on the fair value, right?

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Ms. Bhanu Kumar: Only when it is successfully sold, because the scrap prices are going down. So we will have to see the market condition. So we are charging only where the material is successfully sold. So that is why I'm saying it is too early to estimate that what's the exact transaction value will be.

Mr. Rakesh: Okay. The second was regarding the listing portal that you m

entioned for NPAs of cooperative

banks, private banks, etc. What's the potential, madam, can you shed some light?

Ms. Bhanu Kumar: Yes. Actually, we were having a platform for all the NPAs of the public sector banks, but now they have developed something in-house, CSB alliance has developed and there are 2 parts to it.

One is the bidding platform and one is the listing platform. So we were earlier also having only the bidding platform, and the listing platform was maintained by the PSBs themselves.

So now we have developed this listing platform also so that it is one integrated service. So that we are now going to offer to all the private banks, the rural banks and the cooperatives and all, and we have already approached many of them. And this is not going to be exclusively used by these banks. They will have other service providers also.

So this potential is vast, because all the NPAs are not only with the public sector banks, NPA is a problem that is faced by all kinds of banks. And even this may be used by other financial institutions also. So going forward, this has a huge potential. But then first, it is just at a very nascent stage because as on date, the rural banks, the cooperative banks, they don't have a systemic way of disclosing of the NPA.

So we will have to educate all of them and then handhold them to do these transactions in our portal. In future, definitely, it has very good potential.

Mr. Rakesh: So how they are currently doing it Madam, the rural banks or maybe a cooperative banks?

Ms. Bhanu Kumar: It's all through some quotation being taken over phone of buybacks or exchanges or just approaching a few clients and then selling it off. It is not through a standardized procedure, the way public sector banks were doing. So we are creating a market actually.

Mr. Rakesh: Is there any other player, madam?

Ms. Bhanu Kumar: Yes.

Mr. Rakesh: Is there any other player who's doing something similar?

Ms. Bhanu Kumar: See, the public sector banks have developed their own portals. So they are, again, a competition in this area because once they develop something for the public sector banks, then it can be used by any bank, right? So that is threat, but then we are hopeful that as far as bidding platform is concerned, we are very confident that our methodologies and the processes are extremely competent and transparent. So we are convinced that our platform will be superior to any other platform.

Mr. Rakesh: Okay. Even as compared to the PSB Alliance platform?

Ms. Bhanu Kumar: Yes, that has just started. So we'll have to wait and watch how it does.

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Mr. Rakesh: I do have a few more questions, but I'll get back in the line. Thank you so much.

Moderator: We have a question from the line of Mr. Anant from Mount Intra Finance.

Mr. Anant: I just have a question. So we've seen 2 negative quarters of degrowth. And this is mainly in our core verticals, the e-commerce vertical. Now with JV with Mahindra doesn't seem to contribute a lot. Looking at it directionally, like, say, 3 to 4 quarters, what can we expect, especially now that we've lost India as a client, and can you throw some light directionally of how the companies planning appreciate those sales? Or where are we looking at? I think last quarter, there was some talk about data center and recycling. So directionally, ma'am, I just want an idea of where this company is heading in the next 3 to 4 quarters?

Ms. Bhanu Kumar: Yes. Our e-commerce revenues have been more or less flat or probably slightly on the lower side. There's a few contributing factors to that. First, being the market itself, especially for scrap has actually fallen compared to last year. So since we charge a percentage of the value, definitely, that affects our earnings also.

Second thing is the loss of business from the IBAPI portal that we were just talking about, the public sector banks and the Coal In

dia. As far as the Coal India business is concerned, we are in touch with them. And we have also approached other clients who will be selling some

commercial mined coal through our platform. So those are some things that we are doing. And the revenues definitely will take at least another quarter or so to actually come in.

As far as the property portal is concerned, more or less, we are ready with that, and I just explained that we will be first reaching on to all the banks, especially the rural, cooperative and private sector banks, they have large volumes of not just NPAs, even other assets. So that is something we're targeting.

So this is the kind of stage in which we are introspecting and seeing how to take the giant leap forward. So as far as the new business is concerned, one is the infrastructure as a service or the data center that we are talking about. That we are planning to set up in the next financial year because we are already on the job, but then for that to actually be offered as a service, we're still working on the various revenue models and services that we can offer.

So this is actually a transition phase. So maybe it will take another quarter or so to actually see the revenues coming in. So I am very positive that, yes, these areas do have some good potential for future. As of now, maybe it was a little flatter. So maybe we'll have to keep some patience for at least a quarter or so.

Mr. Anant: Okay, thank you, ma'am.

Moderator: We have next question from the line of Mr. Miraj from Arihant Capital.

Mr. Miraj: Just have a couple of questions. Firstly, I wanted to understand the BPCL order that we received. Over here, we have valued exclusive rights for the scrap sales. Now in this will we be charging separately for the marketing and if the scrap is sold as well, right? So there will be 2 different revenue streams over here?

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Mr. Bhanu Kumar: No, no. Marketing division of BPCL. We are not doing any marketing for them. This is the marketing division of BPCL, which has signed a contract with us. Actually, they have large volumes of the cylinders, valves and regulators that are frequently auctioned into the market. Till this time, they were either doing it directly or they were using the services from private player.

But now they have seen that there is some advantage in using the MSTC portal. So after a long time, actually, we were able to convince them and get this order. So the auctions will actually start from this quarter onwards, that is Q3 onwards. So the revenues will probably, we will be able to see from Q4 onwards because auction also has a lead time of about a couple of months. So this has a good potential.

And for BPCL, we were offering other services for their refinery division, we have already been giving the scrap auction services. Apart from that, they are also using our platforms for the various requirements for selection of LPG, dealership, for the petrol pump draws and all those things. So this was just an extension. And the scrap auctions, of course, forms very bulk of their activities, especially in the e-commerce services are concerned.

Mr. Miraj: Understood. So the scrap basically being valves and cylinders over here and other product as well, which you spoke up. The figure ma'am that you quoted earlier of INR100 crores, that would be an annual figure it, annual scrap value, which...

Ms. Bhanu Kumar: It is per annum.

Mr. Miraj: Per annum. Okay. Perfect. Secondly, ma'am, regarding the public sector banks, which you were just talking about that they also have their own portal. And there was some connection issue in my line whatever I heard was that we've added the possibility of bidding over here in our portal now. Is that right?

Ms. Bhanu Kumar: No, no. We are not doing the bidding in our portal now. Earlier, that was the case when the listing portal was with the Indian Bank Associatio

n. Now a comprehensive portal has been developed by PSB Alliance, and they've been mandated to use that. Otherwise, they were very happy with our services. It was just that the IBA and the government decided to shift to that portal because they are interested in offering financial services and valuation services. So they wanted one comprehensive portal, which they have developed in-house.

Mr. Miraj: Understood. So ma'am, what have we changed in our total over here? I think you were explaining something that we've added in our portal as well.

Ms. Bhanu Kumar: Actually, there are 2 parts as far as the NPAs are concerned. One is where you just put up all the properties that are available for sales, what has been declared as NPA. Then somebody can actually look at those properties, have a 360-degree view of that, location search. And there are some access given to the bank officials for doing some transactions, putting up notifications, releasing advertisements and so on and so forth.

Now this data used to come to our platform for the bidding, the actual bidding portion. And then again, the data used to go back to that total for the further processing of these transactions. Now

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this was a listing portal that was managed directly by the banks, and our platform was used only for the bidding.

Now what I was trying to explain was we have developed this listing portal also. So that the small banks like rural banks or some cooperative banks, as they don't have access to the listing portal of the public sector bank. So they used to have advisement and taking quotations offline, and that's the way they were selling their NPAs. Now once we offer a comprehensive solution of a listing portal as well as bidding portal, I see a lot of potential for these banks to come to our foray, use our platform, and it is a win-win situation for both of us.

Mr. Miraj: Perfect. Okay. Understood. The GeM portal that you were talking about in the start, one of the participants had asked, it's owned by the government only, right? Or is it privately owned?

Ms. Bhanu Kumar: It is owned by government. It is under the Ministry of Commerce. And this has been mandated to be used by the government departments and the PSUs.

Mr. Miraj Shah: Okay. Perfect. But there can be talks of improving the offerings on that portal as well, right?

Ms. Bhanu Kumar: Yes, that is quite possible. But see, the idea or the very purpose of creating that was for common goods and services, right? So across various sectors, across various institutions, whatever procurements are common, that will happen through that portal only. But what we specialize in is actually a customized solution, a more of an advisory solution, like as I was explaining regarding the auction services, what we do is my client is supposed to just give me the list of material that is to be auctioned off.

We do all the due diligence. We finalize the terms. We actually do the lotting. We tell them what are the statutory compliances that are to be taken whether it is a hazardous waste, what kind of environmental clearances to be taken, how it is to be done, then we also share the database of what can be the market price for it.

So all these services, we are giving. Moreover, GeM is actually just a platform where the client has to go upload the material, then do the transaction only bidding will happen all the other transactions of collecting the payment and seeing that the delivery is done. All that has to be done by the client himself. So this is the difference between GeM platform and us. So that's just a platform, what we are giving is an end-to-end solution.

Mr. Miraj: Understood. Our offerings are much more wide and convenient for the customers, if I can understand that...

Ms. Bhanu Kumar: And that isn't happening in GeM immediately because they do not have that kind of resources because we have specialized in this

area for the past more than 3 decades. So the buyer base or the kind of experience, especially for selling big plants or high-value scrap is definitely an advantage for us.

And GeM is just a platform, and they do not have the manpower or the kind of exposure experience in selling this kind of material. So maybe over a period of time, they will develop that. But in the immediate future, we don't see that as a big threat.

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Mr. Miraj: Understood. Okay. And any other similar discussions? Or any other players who are in talks with just as you flagged the BPCL contract, ma'am?

Ms. Bhanu Kumar: Yes, that is a very constant thing that is happening. BPCL was actually a slightly big ticket as far as we are concerned regarding scrap sale. Apart from that, we are in touch with many other organizations or sale of a scrap and not just limit ourselves to the government institutions or the organization. We are now reaching out to the private sector also in a big way. So we will expand and definitely, we'll see to it that we add value to the services that we give.

Mr. Miraj: Understood, perfect. Thank you so much, for answering my questions and all the best for the future.

Ms. Bhanu Kumar: Thank you.

Moderator: We have a follow-up question from Mr. Rakesh, an Individual Investor.

Mr. Rakesh: Madam, I wanted to know how the private banks are currently auctioning their NPAs?

Ms. Bhanu Kumar: See, private banks have some private platforms also like HDFC, they have their own portal in association with some private entities. And ICICI Bank also, Axis Bank, they all have tied up with some entity, some back-end technology platform. But then the kind of the buyer base that we have developed in the past 4-5 years with the private sector banks or the methodology or streamlining of operations and the transparency that we have built into the system, that gives us an edge over private sector e-commerce service providers. So that is what we are targeting.

Mr. Rakesh: So are you saying that there is a possibility that one of these large banks like HDFC and ICICI

could come to platform that you've develop?

Ms. Bhanu Kumar: Initially, they may just give trial, some of their properties through our portal. If they feel that they are able to get good value for the NPAs, definitely, they can switch over. But this is all just the vision that we have. We are targeting these people but what will exactly happen whether they will actually give business is not known at this point of time.

Mr. Rakesh: Got it. Madam, my question was regarding an infrastructure as a service, where you mentioned that scalable cloud-ready hardware on a plug-and-play basis for IT requirements of various sectors. So could you please elaborate on this?

Ms. Bhanu Kumar: Actually, if you see a large number of organizations, especially the small and medium companies do not have the kind of resources for having their own server or having access to large to private sector cloud services or data centers. And we are probably associated with them in some form or the other. We are already offering some kind of service to them.

So for them, hosting their data, hosting their transactions, all these things, they don't need to actually go through a whole lot of exercise to do that. What we are targeting is they can just come over to our platform. We will give our infrastructure. We have redundant capacity. We don't need to immediately invest in that area.

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So that is something that we will immediately be able to take from them. Say something like a virtual data room for the small organization. That is something that is immediately a requirement for many organizations and for us, it can be a revenue stream. So this is the way we are thinking. These are low-hanging fruits. And going forward, definitely, we will be probably thinking of having our own big dat

a center where we can offer cloud services. In future, we do have plans for this also.

Mr. Rakesh: So madam, in that case, how does the company plan to compete with the likes of big data center providers, like TCS etc. who have like investments in hundreds of crores, just in infrastructure and who have been in this business decades now, for example.

Ms. Bhanu Kumar: Yes. Actually, TCS is not exactly into infrastructure services. They are more into software services. What I'm trying to tell you here is we are in touch with large number of government organizations, especially medium and small. See, the bigger organizations have their own resources, and they can probably have them in-house data centers also for their requirements. So companies like ONGC, NTPC, they have invested for their requirements.

Now for smaller companies, this is not a solution or which are not especially financially very robust. For these, there is a requirement. And for them to go to a private sector, cloud or a data center is not so easy, given the kind of processes, the way the government or the organization do business, we understand them quite well. So this is a kind of tailor-made solution that we want to give to our clients who are already using or some other service.

Mr. Rakesh: Okay. So are you trying to say that just because the government departments cannot go to a private company offering data center services because of some government rules, therefore, they will come to MSTC?

Ms. Bhanu Kumar: No, no, no. I'm not saying that there are some government rules. The process is very long. Like they may have to go for quotations or tenders or and another thing is the data security. See, the kind of confidence that they have in our operation, the way we have presented ourselves or the creditors are established.

They have more confidence in the kind of infrastructure of the data security services that we can give than to a private big data center or a cloud or a private cloud. So the confidence is what we are trying to capitalize on. And this is something that we have built over 3 decades. So it's easier for us to penetrate that market than any private sector even if it is a very huge big organization.

Mr. Rakesh: And when you say that you will be marketing it to the small departments or the small organization. Can you give me an example of what could these companies be like? Like any names, because as far as I know most of these government companies are so huge as we mentioned, ONGC, NTPC, HPCL, BPCL?

Ms. Bhanu Kumar: These are the large ones. There are a whole lot of medium and small companies, and I'm not targeting only the government companies. Maybe I can offer it to the MSME. I can offer it to the micro companies also. So those are any areas in which I'm already in touch with them, so it will be easier for them to use our services in a more holistic manner.

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Mr. Rakesh: And these MSMEs are in the private sector as far as I can understand.

Ms. Bhanu Kumar: They are in the private sector. And then I'll be giving one solution for all their needs kind of thing.

Mr. Rakesh: So that means in the private domain even though they have the option of going to any other data service providers?

Ms. Bhanu Kumar: They can always go, but I feel that it will be like if they are coming to us for some service, they may as well use our other services also.

Mr. Rakesh: Okay. And madam, the next question was regarding ERP for the mineral sector. Can you shed some light on this?

Ms. Bhanu Kumar: Yes. Actually, as far as the mineral sector is concerned, you are aware that we are auctioning the mineral block. And most of the mine minerals also especially the government companies that are mining, they are also auctioning through our platform. So during this process, we have learned that there are a lot of activities that goes on, pre-auctioning and post auctioning, there

are a lot of activities.

So we need to have a wholesome kind of software, where the mined mineral, like from how much mining is happening to actual delivery, the entire system has to be one comprehensive system. It cannot be just a bidding thing that we are doing. So it is a backward and forward integration for this mined mineral.

That is the target that we have. And many of these organizations are especially state undertaking.

So there also the processes are a little lengthy in terms of acquiring a software and then integrating with ours. So we are also venturing into giving this kind of software to them. We've already done it in the past for one of our clients in Konark Mines. That is just a billing software. But now we want to enlarge it to a large number of or such mining client as also improving upon the solution that we have already given. And that also, we are envisioning that we will house the entire thing in our infrastructure. So our infrastructure is going to be used. That also will add revenue in the years to come.

Mr. Rakesh: Okay. And how will the company make money out of this ERP?

Ms. Bhanu Kumar: It's Software, integrated software. They are using a part of the entire process from us, they might as well use the entire software. So it's customized software that we will be giving and there are various revenue streams whenever we deploy some software and for any client.

Mr. Rakesh: So it will be via sale of the software or just some service charges?

Ms. Bhanu Kumar: There are various models depend on the client. How they want it. There are various models available. We'll have to speak to the clients and see, figure out as to what is most compatible for them.

Mr. Rakesh: Thank you so much, madam, my questions are answered.

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Moderator: Thank you very much. As there are no further questions, I would like to hand the conference over to management for closing comments.

Ms. Bhanu Kumar: So thank you. The investors have clearly shown a lot of interest in the company as has always been the case. And the questions were very targeted regarding the business. I hope we were able to reply to the queries that the investors had. And thanks for the continued patronage. Thank you all.

Moderator: Thank you, ma'am. Thank you, sir. On behalf of Equirus Securities, that concludes this conference call. Thank you all for joining us. You may now disconnect your lines.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., <https://www.mstcindia.co.in/.com>. In case of discrepancy, the audio recordings available at website of the company shall prevail.

This discussion contents are based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and

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the relevance and adequacy of the information and should make such other investigations as they
deem necessary.

Call: Feb 2025

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MSTC LIMITED

(A Govt of India Enterprise)

CIN : L27320WB1964GOI026211 e-assuring iNDIA

MSTC/CS/SE/604 14th February, 2025

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 542597)

Dear Sir/Madam, 2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCL TD)

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/.Analyst on Tuesday, 11th

February, 2025 at 12:00 P .M. A copy of transcript of conference call held with the

Investors/ Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website [www.mstcindia.co. in](http://www.mstcindia.co.in).

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in | www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area IC, New Town, Kolkata-700156 W.B.

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"MSTC Limited

Q3 FY '25 Earnings Conference Call"

February 11, 2025

MANAGEMENT : M S. BHANU KUMAR – DIRECTOR (COMMERCIAL)

M R. SUBRATA SARKAR – DIRECTOR (FINANCE)

M R. AJAY KUMAR RAI – COMPANY SECRETARY

MODERATOR : M R. DEEP MODI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to MST C Limited Q3 FY '25 Earnings Conference

Call hosted by Equirus Securities Private Limited. As a reminder, all participant line will be in

listen only mode and there will be an opportunity f or you to ask questions after the presentation

concludes. Should you need assistance during the co nference call, you may signal an operator by

pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Deep Modi fro m Equirus Securities Private Limited. Thank

you, and over to you, sir.

Deep Modi: Thank you. Good afternoon, everyone. On behalf of E quirus Securities, I welcome you all to Q3

FY '25 Earnings Conference Call of MSTC Limited. From the management, we have with us today Ms. Bhanu Kumar, Director (Commercial); Mr. Subrata Sarkar, Director (Finance); and Mr. Ajay Kumar Rai, Company Secretary.

So we will begin the call with the opening remarks from the management, and then we will open the line for Q&A. I will hand over the call to Ms. Bhanu Kumar, Director (Commercial). Over to you, ma'am. Thank you.

Bhanu Kumar: Yes. Thank you. Good afternoon all, and thank you for keeping interest in our company and following us so closely. So I'm here to talk about the Q3 results. So the key highlights of this, as you all know the management control of 100% subsidiary of our company, that's FSNL has been transferred on 21st of January '25 after receiving the INR320 crores as sale proceeds. Appreciation of value of investment for INR304.19 crores, that is INR320 crores sale proceeds minus INR15.81 crores as value of investment, booked as an exceptional income. Provision of INR30.55 crores on account of an old arbitration award and the execution is appearing as an exceptional expenditure. So net of these two is appearing as an exceptional income of INR273.54 crores.

Now as far as operational performance is concerned, on a stand-alone basis, during the 9 months of the company, we crossed a volume of INR638.80 billion in terms of value of goods transacted through the e-commerce and marketing verticals. Financial performance of PBT before the exceptional item is INR175.29 crores in 9 months '24-'25 vis-a-vis INR216.63 crores in the corresponding period last year.

PBT of INR448.83 crores in 9 months vis-a-vis INR216.63 crores. This is including the exceptional items. PAT is INR335.91 crores in 9 months '24-'25 vis-a-vis INR152.41 crores in 9 months '23-'24. PBT before exceptional item INR170.94 crores in 9 months vis-a-vis this is on a consolidated basis vis-a-vis INR210.95 crores in 9 months '23-'24. PBT stands at INR444.48 crores in 9 months '24-'25 vis-a-vis INR210.95 crores for '23-'24. PAT is INR331.56 crores in 9 months vis-a-vis INR146.73 crores in 9 months of '23-'24.

Now coming to the major business updates during this quarter. We have done a lot many more mineral offshore blocks auction, including the critical minerals. We have also entered into agreements for auctioning the minor mineral blocks with the Government of Union territory of Ladakh, Goa, Arunachal Pradesh etc.

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MSTC has also started the auctioning of minor mineral blocks of M-Sand in Rajasthan, that is manufactured sand. Agreement signed with Ministry of Mines for auction of offshore minerals and tranche 1 of the offshore mineral block auction has been launched. We have also been able to bag the assignment for FM bandwidth auctions from the Ministry of I&B, and these will be done shortly. We are just in the development phase and certification phase. Once that is completed, the first tranche of auctions will be carried out.

Now we have also developed the MSTC Realty portal, as we had already highlighted in the past. We had a dedicated portal for NPAs of all the banks. But since they developed their own

portal,

we have developed something for other banks, which are not in the public sector, like private banks, rural banks, co-operative banks, because they had also been approaching us for this kind of a business. So that portal has been launched very recently on 15th of January.

We have signed a major agreement with Bharat Petroleum Corporation. Till date, they were doing all these assignments on their own. But now we have been entrusted the job of selling their scrap, which we feel is good business for us.

UDAN: Also under UDAN, we have done the latest round of auctions. Coal block auctions and coal auctions is continuing. Coal auctions in the last year, we had mentioned that Coal India had developed its own portal and they will be migrating, but somehow that ran into rough weather. And so now we have again bagged the order for Coal India auctions. So from this quarter onwards, we envisage that there will be some good service income from that portfolio.

Coal block auctions, 11th tranche also we have completed commercial successfully. And we had talked about Chhattisgarh Forest Department, this was a very unique kind of a bidding process that we have done for them. And we have already started transacting business and that in the future -- in the near future, we expect it will give us good revenues.

Now regarding the financials, I'll hand over the phone to Mr. Subrata Sarkar, our Director (Finance). Thank you.

Subrata Sarkar: Very good afternoon. Just now, we have been listening from this snapshot of our performance. Let us go through some more details. Like we have a comparison of 9 months '23-'24 with 9 months '24-'25. Total revenue has gone down from INR316.23 crores to INR275.47 crores mainly because of other income and e-commerce revenue being getting down. So EBITDA down from INR221.76 crores to INR182.41 crores i.e. 17.74%.

Depreciation a little bit higher. I would like to mention that on expenses front, there is hardly any major difference. The major thing is exceptional item income net of expenses is INR273.54 crores. And profit and loss before tax riding on that has come to INR448.83 crores as compared to INR216.63 crores last year. And after tax, PAT has come to INR335.91 crores as compared to INR152.41 crores. And accordingly, EPS has gone up to INR47.71 as compared to INR21.65 last year.

Now in the segment-wise, if you can see total revenue in the e-commerce basically down is in the e-auction or e-sale from INR203.43 crores to INR193.64 crores. And total expenses, I already mentioned, it is hardly any difference. So with that, PBT before exceptional items stands at

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INR175.29 crores as compared to INR216.63 basically because of the other income that we were explaining in the earlier slide. So PBT has overall after exceptional items has gone up to INR448.83 crores as compared to INR216.63 crores and PAT from INR152.41 crores to INR335.91 crores. And now the consolidated financials. Let me mention here that if you can go through our notes, as we have lost control over the FSNL, our sole subsidiary, the consolidated financial statements are now comprising of MSTC as a stand-alone basis and our 50-50 JV MMRPL. So accordingly, the main line item that is coming up in the consolidated financial is the share of loss of JV that is 4.35 crores as compared to INR5.68 crores last year.

So we have gained in that case. So that is the one point loss is reduced by slightly 23.42%. And of course, other factors remaining the same. Profit after tax rising up from INR146.73 crores to INR331.53 crores and EPS from INR20.84 to INR47.10. If we can see the stand-alone and the consolidated thing, there is hardly any difference. But let me read out the stand-alone first. Revenue from operation is down from INR234.32 crores to INR 222.10 crores.

Other income, substantial down, mainly because of net

receipt of dividend that is last year it was

INR25.60 crores. This year, it is still from 81.91 crores to 53.37 crores and employee benefit remaining at the flatter trajectory, finance cost is a little smaller portion. Depreciation a little bit higher from INR5.13 crores to INR6.94 crores. Other expenses, of course, on the flatter trajectory, INR26.19 crores from INR25.69 crores. Total expenses is INR100.18 from INR99.60 crores. Now the exceptional item, INR273.54 crores. And after that, profit before tax has come up to INR448.83 crores from INR216.63 crores. And PAT is INR335.91 from INR152.41 and with slight difference in the consolidated part that is on account of share of profit and loss account of JV. So we are standing at PBT at INR444.48 crores as compared to INR210.95 crores and PAT at INR331.56 crores as compared to INR146.73 crores.

Let me add another thing. The previous year figures have been re-grouped, re-classified because of this change in the control. That's all from management side. Now I hand over for Q&A session.

Moderator: The first is from the line of Saurabh Ginodia from SMIFS Limited.

Saurabh Ginodia: I have basically 2 questions and one suggestion from my side. So first, I'll go with the questions. So if we analyze the results of the company over the last 10 to 12 quarters, we see that the e-commerce revenue has been in a very small band of about INR85 crores to INR90 crores. So I have 3 connected questions with regard to this. When do we expect to come out of this band in the e-commerce vertical?

And what are the efforts or the initiatives which the management is taking for the growth in the e-commerce revenue? And what kind of sustainable growth rate one should expect in the e-commerce vertical? So this is my first question.

Bhanu Kumar: I think this is a question that is often asked probably in every investor call. Yes, you are right that the e-commerce revenue has been more or less static. There are basically a few contributing factors to this. E-commerce as such is actually not having a lot of entry barriers. Anyone having a computer and some kind of software skills can set up an e-commerce company.

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So the way e-commerce and the way especially the area in which we operate, we have to do a lot of efforts, we have to educate our clients as to what makes us different and why we are better or why they should opt for us. What is the value addition we can give. So this is a very long-term process. And once we succeed in onboarding a client, then he remains with us for almost like permanent.

But still, there are some major clients who have to go through because of certain statutory requirements, go through a tender process and they have to, from time to time, keep changing the service provider also. And they also don't want to be dependent on one service provider. So Coal

India is a case that can be set as an example for this. They've always been having 2 service providers. But then there was this talk within the company that they should have their own portal why you have a service provider.

They did this experiment and somehow, I think that's not really happening the way they wanted it to. So they are again migrating back to having an external service provider. So this kind of business fluctuation will keep happening. But since they are major clients, it affects our financials, especially e-commerce revenue in a big way.

But nevertheless, since this is a part of business, we always keep exploring new opportunities. And that is how in the last few quarters, if you see there are a lot of new lines of business and new businesses in the traditional model are also there. And that's how we have been showing a very flat trajectory at least, not going down the line.

So apart from this, there are a few new initiatives as onboarding of startups and having an associate model for

the startups. That is again something that we are looking at and we are practicing now.

And there are other e-commerce potential is there for setting up other platforms, new lines of business, new modals of business. All those things are more or less in a stage in which we are doing the due-diligence and probably will take off shortly.

We have also finalized an internal corporate plan as to what are all the lines that we need to take in the near future so that we have a proper structure of expansion. So since this is a very fluid kind of a situation, you may not be seeing any immediate growth. But these are the blocks on which the e-commerce business will be built for future.

Now coming to the revenue part of it, you have seen an appreciation in if you see the last 5, 6 years overall, it has appreciated by about 10% to 15% on a CAGR basis. So some years, we have grown by 25%. Some years, it has been very low at 10%. And last year, there was a dip also. So this is as I said that this is not something that is going to happen overnight.

As a thumb rule, you can take safely around 8% to 10% as the growth for e-commerce revenue.

That is my estimation. And that's the direction we are looking at. Any kind of exponential growth is not going to happen at least in another 1 year or so. So that's all I wish to say for this.

Saurabh Ginodia: Okay. Just a follow-up on this. We have been hearing the management for some time that you are basically taking a lot of new initiatives in terms of the growth of the e-commerce vertical. So if you can just give some granular understanding for better understanding that what are those
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initiatives which we are currently working on? And how long will it take to finally get those into our revenue numbers?

Bhanu Kumar: I think I've already replied in my earlier this thing. This is in a very fluid stage. We have just been deliberating on the various opportunities available, what is possible, what are the low-hanging fruits, which can fructify immediately? And what is it that we need to do for the other ventures that we are planning. So unless some concrete, like MSTC Realty is one small step towards this. We were doing business for the NPAs of banks. But then for private sector banks and for the rural banks, it is a different game altogether. The requirements are different. The terms and conditions will be quite different. And the entire ecosystem has to be built differently. So that we have done in a small way just now. We have already launched the portal. Now we will be onboarding not just these banks, but we'll also be onboarding certain financial institutions and other government statutory bodies for sale of property.

So property we see is a good area in which we can grow because the auctioning part we have been doing traditionally for very many years. But now we can give some kind of value-added services just like a listing or a different business model, not just doing a bidding, we would also want to have a listing model where people can just go see the property and then probably just place a bid, not exactly going into an auction mode.

So those are models that we are just contemplating. This is a software that needs to be developed, tested and quoted live. It has a time frame in which this can be done. So maybe in this coming year, we will have a few initiatives, which will be live and probably we'll be able to answer this question in a more deeper manner.

Saurabh Ginodia: Okay. My second question is, ma'am, in April of last year, company has taken approval from the shareholders via postal ballot to make alteration in the object clause of the Memorandum of Association of the company. So it has been about 10 months since then. So just wanted to get what is the current progress or update on those approvals, which we have taken?

Bhanu Kumar: Yes. Basically, we had expand

ed our e-commerce portfolio because the earlier one was a little

stringent and we were not able to diversify with many products. So that was the first step that we needed to do for taking new initiatives. As I said earlier, we are working on various initiatives and

opportunities, and that was the first step. Definitely, within this year, something concrete will happen, it will be reported live and you can see the results.

Saurabh Ginodia: Okay. Third was the suggestion which we have been telling to the management for some time now that the quality of the presentation needs to improve. Actually, the presentation which we are giving to the stock exchange is not really very helpful. So we have been suggesting this to the management in our past interaction also that the presentation quality has to improve for better understanding of the company's business.

Because as per this presentation, it's very hard to get the granular understanding of the numbers.

So I would request the management team to please consider this and improve the quality of the earnings presentation.

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Bhanu Kumar: So thank you for that suggestion. If you have any specific inputs, you can definitely mail to us.

We'll see to it that we can present it in a better way, more understandable way. Thanks for the suggestion definitely. But be a little specific as to what exactly you wanted.

Saurabh Ginodia: Basically, out of the e-commerce vertical, if you can just share the split of the revenue into different verticals, that will give us a very better understanding on numbers.

Bhanu Kumar: Okay. You can give this suggestion, we'll see how much can be done because we are not maintaining our books of accounts on those subdomains. So we'll see what is possible. If it is possible, definitely, we'll give all those insights also.

Moderator: The next question is from the line of Anand from Mount Intra Finance.

Anand: Can you please give me a sense of how scrap prices moved this quarter? My understanding is that it has decreased vis-a-vis last quarter. Is my understanding correct metal scrap prices.

Bhanu Kumar: Yes. Scrap sales, the rates have come down, but the volumes have gone up.

Anand: And ma'am, another question. This is based on your segment revenue. You classify it as marketing, e-commerce and others. Now in the others, I can see you post a segment revenue of, say, INR2.99 crores for this quarter. And in the segment profit before tax, you posted INR444.48 crores. I understand this is because of the proceeds from sale of FSNL. But ma'am can you give me a sense of, say, the last quarter where we posted others revenue of around INR4 lakhs and a segment loss of INR36 crores...

Bhanu Kumar: Mr. Sarkar will answer that question.

Subrata Sarkar: Absolutely, your understanding is absolutely correct. So this year, we have put this exceptional part in that other part because it does not come under any typical particular segment because it is a one-off item. Otherwise, as the expenses cannot be segregated as we give a note, so expenses are booked under these common expenses are booked under this other segment and as we do not have any typical revenue.

So generally, it comes a loss for every quarter. You can see that things from the results. So this year, something different. And you are absolutely right that this exceptional income has made the difference. So from the next quarter also similar.

Anand: So if I can say the employee benefit expenses as an example, would you classify that under other as an expense, because from this what I see..

Subrata Sarkar: Yes. Basically, I explained that we have got right now 2 segments, marketing...

Subrata Sarkar: Some background noise is coming up, anyway. There is marketing and there is ecommerce. Right. So as the people, they are common. So they generally look after both the businesses. Our branch region also d

o the same businesses. So we are generally tapering down the marketing. So we might think that in terms of the accounting terms. And coming financial reporting peers also, like if it can be done or not, and it can be segregated and put forward to a particular segment or not. So of

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course, this will be decided on the basis consultation with the stakeholders and the auditors and within the accounting norms. Right, sir.

Moderator: The next question is from the line of Dhruv Jain from Vikabh Securities.

Dhruv Jain: I have a question. I wanted that if you could share some insights on...

Moderator: Sir, we cannot hear you clearly.

Dhruv Jain: If you could just update us on the JV business, what is the status on the JV with the Mahindra regarding the scrap of vehicles and all. So what is the status of that business? How are we doing there?

Subrata Sarkar: Yes. So financial things are already there in the presentation, financial. We have reduced our loss a little bit. But so far, what we can find out from the financial statements and from our side also, it

is doing in the flatter trajectory. Nothing significant gain has been done in particular this quarter, except for reducing a little bit of loss. And as the policy initiatives are there, but it is not sufficient enough to go for right now to have enough profits.

So vehicles are coming, but it is not in a sufficient number to feed the RVSFs. Lot of RVSFs are coming up, but it is not coming up in that particular way. But we have to wait and watch for the government new initiatives so that we are waiting so that if the policy matters are more strengthened and more stringent matters are there for the scrapping of the vehicles. So then hopefully, it will take up.

It has got immense potential. But because of that scarcity of the vehicles in the market, rather vehicles, I mean to say like vehicles for scrapping. So in an organized sector. So vehicles are there in the unorganized sector, but in the organized sector, if it is available, then only we can have a breakeven. So right now, the business is in a flatter way as compared to last quarter and of course, last period.

Moderator: The next question is from the line of Saurabh Ginodia from SMIFS Limited.

Saurabh Ginodia: In the past conference call, we have talked about our entry into the data center business. So just wanted to understand what is the progress on that? When do we expect to see any meaningful revenue on the data center? And what kind of capex do we envisage on specifically on the data center business?

Bhanu Kumar: See, I think we had clarified in the past also, basically, the kind of redundant capacities that we already have, that is what we wanted to monetize as a first step. And thereafter, probably augment the capacities and then go full-fledged as data center service. So as far as our the new business initiatives are concerned, we are hosting most of the applications that we develop for our clients in our own infrastructure.

So we are taking whatever revenues are coming, it is actually co-mingled with the development and the maintenance cost. We are not putting it as a data center cost or data center revenue.

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Now going forward, as we had told earlier also, we are setting up a new data center at our Delhi office, which we have acquired very recently. The work is going on. And it is expected that a new data center will be ready in another 6 months' time. So once that is also commissioned, we will have sufficient capacity to go full-fledged on this business line. So till that time, just the process is going on. We are just in the acquisition stage.

Saurabh Ginodia: Okay. Any rough estimate of revenue and what we can expect from this business maybe in the next 3 to 4 years?

Bhanu Kumar: It will be too early to say this. Maybe after a

year, we will be in a better position to talk about this.

Lot's of opportunities with the existing clients. So that is why we ventured out into this. But if we have to scale it up and then get new clients onboarded, that depends on what is the market at that point of time, what is the kind of competition that we have and what is the requirement. Based on that, probably we can talk about it.

Saurabh Ginodia: Okay. And ma'am, what would be the size of the Delhi data center, if you can just help us understand?

Bhanu Kumar: Actually, see, the data center that we talk of is not about just storing it's not a storage device that it's not equivalent to the data centers that other companies have. What we have is actually more of storage processing and other kinds of facilities also. So we cannot assign a number regarding the data center size or capacities or the functionalities of it. So as and when it is developed, we'll definitely put it in public domain, so you all can see.

Saurabh Ginodia: And sorry for the repetition. But in the opening commentary, you mentioned something about Coal India. I missed that part. Can you just repeat?

Bhanu Kumar: Yes. Actually, Coal India, what had happened was Coal India auctions we were conducting since about 2004. And a couple of years back, they had decided that they will set up their own portal for doing the coal auctions. So they had worked on those lines and they got some service provider and they did develop and they did deploy it and some of the auctions had been conducted, but somehow there were some issues with the portal.

And because of that, they decided to go for another open tender and onboard the service provider.

So again, we have bagged that order. 40% of all the coal auctions that will be done by them will be done by MSTC. That is a good revenue stream for us.

So in the last year, if you see almost 9, 10 months, almost a year, calendar year, we lost a good sizable revenue because we were not carrying out the coal auctions. But now we have bagged that order, and we have already started doing the coal auctions. So from now on, coal auctions, we are sure that will be contributing majorly to our e-commerce revenue.

Saurabh Ginodia: Okay. And what is the kind of potential revenue one can expect from this?

Bhanu Kumar: See, this is on event basis. It depends how many events are carried out by Coal India. So I cannot

comment on what kind of revenue. But if the number of auctions increases or the mining activity
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of Coal India is constantly increasing, then the revenue streams are good. A few of crores, it is in crores only, and I don't want to assign any number to it.

Saurabh Ginodia: Any rough band also would be quite helpful.

Bhanu Kumar: No, no, because this will be a guessing game then. I cannot say how many auctions they will be carrying out, right?

Saurabh Ginodia: Understood.

Moderator: The next question is from the line of Neha Jain from SKS Capital.

Neha Jain: Except for the data centers and the Coal India that you were talking about, any other triggers for growth that you're looking at? And any targets for like bandwidth of 2 to 3 years that you're looking at?

Bhanu Kumar: See, I did reply in one of the queries that we are working on 3, 4 new business opportunities as well as business models. Some due diligence work is going on. And we expect that by the end of this financial, that is FY '26, we'll have most of those portals live. So as on date, it will be too early to talk about the revenues that will be coming up from these new ventures. But we are working on something new. It's not going to be just a traditional auction building platform that we have been doing for so many years.

So the first in this is the listing platform that we have put up for properties. So now probably we will be expanding it to include other commodities. There will be so

me value-added services, all

the contract-invoicing, everything will be built in to the system. So it will be a value-added kind of ecosystem that we are creating. But assigning any number on revenues will be too early to predict right now.

Moderator: The next question is from the line of Dhruv Jain from Vikabh Securities.

Dhruv Jain: I'm colleague of Dhruv. So ma'am, on the point of Coal India, when you said you bagged the order, these orders are valid for 1 year? Or is it going to be a long-term contract with Coal India? How does it work?

Bhanu Kumar: 2 years. This contract, existing contract is for 2 years.

Dhruv Jain: For 2 years.

Bhanu Kumar: Yes, for 2 years, and it is extendable by another year or so. But for 2 years, it is a valid contract.

Dhruv Jain: Okay. Great.

Moderator: Does that answer your question?

Dhruv Jain: Yes.

Moderator: The next question is from the line of Shrinivas Aggarwal an Individual Investor.

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Shrinivas Aggarwal: So just one question in relation to Coal India again. So ma'am, the revenue which we have lost last year, so can we envisage that we will be able to compensate those revenue in the current year?

Bhanu Kumar: See, there were 2 factors that was contributing to the loss in revenue. One was the Coal India and the other one was the NPA auctions for the banks. So we have got back the Coal India order. But as far as NPA or property auctions are concerned, it's still not with us. We have just launched a portal that will cater to the private sector banks and the rural banks and cooperative banks, but it's definitely not going to be as big as the NPAs of public sector banks, right?

So the loss in that segment is yet to be compensated by new business. Of course, we have signed a lot many new businesses. It will be compensated, offset to some extent in the coming quarters.

Moderator: The next question is from the line of Vishal an individual investor.

Vishal: I would like to understand about the competitor. Do we have any competitor in the auction business? And did we lose any business in the last couple of years to them?

Bhanu Kumar: I think the initial query itself, I said the entry barriers to e-commerce business is very, very low. So anyone having a computer and some software skills can set up an e-commerce business venture.

So I have competition from almost on a daily basis from anyone, fly-by-night operators to established players like M Junction Services and C1 India. So these are big companies who have been in this business for a pretty long time. They are our biggest competitors. What was the next query that you had?

Vishal: Did we lose any business in the last couple of years to the competitors?

Bhanu Kumar: Yes. But not to the competitors. As I said, the NPA property business, we had lost to a software development team. Actually, the public sector banks, on their own, they had set up a portal with some technology partner, and they are operating it themselves. So whenever any organization

decides to have its own portal, then that is definitely it takes away a lot of our revenue. But I wouldn't say we have lost a competitor.

So we have been able to hold most of the clients, but unless they decide to go on their own, develop something in-house or have a different kind of service, like even for the public sector bank NPA auction, it was different things that they wanted to be integrated in the bidding platform, something like financing modules and then marketing of the properties and then commission agents, onboarding of commission agents and all those things.

So that is something that is not available in our portal as of now and because of which they decided that they need one big ecosystem for doing their sale of their NPAs. So when the clients have a different requirement, then they and especially when the volumes are large, they do think of setting up their

own portals. That is probably the biggest competition that we have.

Vishal: Perfect. And one more thing I want to understand, ma'am, is about Coal India. as Coal India tried to develop their own portal, right? So what is the main reason? Is it the commission or like is it the charges higher?

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Bhanu Kumar: No, no. See, Coal India is more or less dependent on the service provider for selling their coal. A lot of the mined coal goes through the linkage or as per the government's policies to various sectors. But whatever is available for public auction, they do need a service provider. And this is their main core business, right? Their complete financials and their entire operations depend on sale of coal. So they decided that they should have an absolute control on the sale of coal also. And since the revenues are also substantial and they do have 2 service providers for this, they thought if they have something on their own, it will be probably better. But then there were some technical issues or I'm not really aware of what issues they faced. But then they decided that it is better to have a third-party service provider.

Moderator: The next question is from the line of Pooja Sanghvi from InCred Asset Management.

Pooja Sanghvi: Actually recently started tracking this company. So I would just like to understand the segment-wise breakup, like what goes into marketing, what goes into e-commerce and what goes into others?

Bhanu Kumar: Mr. Sarkar, will reply to that.

Subrata Sarkar: Yes. Ma'am, what exactly you want to understand? Basically, let me give you a brief introduction. Like we have basically 2 primary segments like marketing and e-commerce. E-commerce, of course, is a mega segment and the main bread earner. But the marketing, we have got now limited to our basically trade, which is safe and secure that is backed by the BG Bank guarantee. So it is there only. So we are getting a very steady but very small chunk of business, but a secure business. And just to mitigate the things with the terms and conditions are a little bit based on that security oriented. So that's why the business has got some certain limitations. That's why it is growing at a very, it is steady, but it is not that much of growing. And so far as the segment is concerned, that is the e-commerce, it is mega segment, and it is the main bread earner. And what you can see from the figures also, the major revenue is coming out of that.

So as far as the Others one. So as expenses cannot be segregated properly, common expenses like salary and overhead, so that we put into that other's part. And actually, we replied to some other questions in earlier this session that we will have certain review of this segmental revenue and under the accounting guidelines. If that permits us, then we can do some kind of further disclosure if required by the accounting standards.

Pooja Sanghvi: Okay. So the revenue from the scrap business would go in e-commerce?

Bhanu Kumar: Yes. the scrap business, E-commerce, we are actually selling scrap and a lot of prime material like minerals, mineral blocks, forest produced, properties, fly ash, a lot of these products are there. So that is classified, subclassified into general auctions, scrap auctions, properties, then forest produced, fly ash, iron ore, coal and things like that. So all this contribute to our e-commerce revenue.

Pooja Sanghvi: Okay. And one more question. So what comprises the working capital part of the business?

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Subrata Sarkar: Ma'am, working capital, it is a very, very low capital intensity our salaries and overheads and server maintenance and some amount of capex. So hardly anything is required. And of course, capex is a long-term investment. But the working capital part, we generally require the server maintenance expenses and w

high is part of the overhead and the salaries of our people because manpower, HR resources is according to our business. So that it is hovering around INR100 crores and INR110 crores.

So that much of capital we get from the revenue generation and internal accruals. We don't have to depend upon the other sources. So that is the main one. Again one part of that amount is invested in this trading business also under cash and carry modal under this 110% BG is there. So that is the point that we deployed.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Bhanu Kumar: Thank you for organizing this investor call, and we are really happy that the investors have kept their faith and have been asking us good questions during these calls. So thanks for the support.

Thank you all. Good day.

Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., www.mstcindia.co.in. In case of discrepancy, the audio recordings available at website of the company shall prevail.

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Call: Jun 2025

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CIN : L27320WB1964G01026211

MSTC/CS/SE/643 5 June, 2025

1. The Dy. Manager (Listing) 2. The Manager, Listing Department

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(Scrip Code: MSTCLTD)

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/Analyst on Friday, 30"

May, 2025 at 12:00 Noon IST to discuss the Financial performance of the Company for the quarter and year ended 31° March, 2025. A copy of transcript of conference call held with the Investors/Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area 1C, New Town, Kolkata-700156 W.B.

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"MSTC Limited

Q4 FY '25 Earnings Conference Call"

May 30, 202 5

MANAGEMENT : MR. MANOBENDRA GHOSHAL – CHAIRMAN AND

MANAGING DIRECTOR – MSTC LIMITED

MS. BHANU KUMAR – DIRECTOR (COMMERCIAL) –

MSTC LIMITED

MR. SUBRATA SARKAR – DIRECTOR (FINANCE) –

MSTC LIMITED

MR. AJAY KUMAR RAI – COMPANY SECRETARY –

MSTC LIMITED

MODERATOR : MR. DEEP MODI – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good afternoon, and welcome to the MSTC Limited Q4 FY '25 Earnings Conference Call hosted by Equir us Securities Private Limited.

As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, you may signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I would now like to hand the call over to Mr. Deep Modi from Equirus Securities Private Limited for opening remarks. Thank you, and over to you.

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Deep Modi: Thank you. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to Q4 FY '25 earnings conference call of MSTC Limited.

From the management, we have with us today Mr. Manobendra Ghoshal, Chairman and Managing Director; Ms. Bhanu Kumar, Director, Commercial;

Mr. Subrata Sarkar, Director of Finance; and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks from the management, and then we will open the line for question and answers. I now hand over the call to Mr. Manobendra Ghoshal. Over to you, sir.

Manobendra Ghoshal: Thank you. Good morning to everybody. Let me begin by welcoming all our esteemed investors for today's investor call. MSTC has been through an eventful FY '25, which has seen not only a lot of uncertainty in the global and national business environment, but has been a time for us to introspect and realign our core business.

FSNL, a 100% owned subsidiary of MSTC, which has been under a strategic disinvestment as per the decision of the Government of India was fully and finally transferred to new management on the 21st of January 2025. MMRPL, which is a 50-50 joint venture with M/s. Mahindra Auto, also has gone through a phase of consolidation and a lot of thought about the way forward. I'll dwell on that shortly in a while.

As far as revenue from operations of MSTC is concerned, it showed a largely flat trend compared year-on-year. This was despite the loss of 2 large parts of the business that is coal auctions for Coal India Limited and NPAs of public sector banks for a large part of the year. The bright side was that by the last quarter, MSTC managed to get back the coal auction business as a service provider for Coal India through a competitive bidding process.

And we hope for a steady revenue stream from here on from this. Similarly, we've launched our MSTC realty portal and are trying to leverage this and the buyer base developed for NPA auctions for the PSBs by reaching out to cooperative banks, other smaller private entities, aggregate their NPA disposal and auction requirements and drive greater volumes from this part of the business.

On the other hand, our traditional business of scrap disposal, revenues grew about 10% year-on-year. And there was a healthy increase in revenues from iron ore auctions as well. For mineral block auctions, MSTC provided services to almost all states as well as those auctioned through the Ministry of Mines. New initiative has been the launch of Tranche 1 of offshore mineral blocks. Ministry of Information and Broadcasting selected MSTC for e-auction of 730 FM channels across 234 cities, which will begin shortly.

The Ministry of Civil Aviation has launched the version 5.5 of the UDAN scheme, for which MSTC will conduct the process in this coming year. For the state of Chhattisgarh, we developed an extremely responsive forest timber

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auction portal, which has helped the state to maximize revenues from the sale of timber and make the process extremely transparent.

We have also conducted the third tranche of the 5G spectrum auction for the Department of Telecommunications in FY '25. Another area that MSTC has forayed in, in FY '25 has been development of portals and dashboards. This is leveraging our core strength of software application development. We are working with the MHA for developing a portal for KPKB and developed a comprehensive Steel Import Management System, SIMS 2.0 for the Ministry of Steel, website for the Ministry of Steel, SRTMI and so on.

This is a promising area as far as we visualize that our expertise would be used to quickly develop and customize these kind of applications and portals, dashboards, etcetera for multiple clients. MSTC has also taken up the work of coal gasification project e-commerce solution.

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And we are looking to increase our footprint in e-auctions of all other natural resources as well as for MDOs subsequently, facilitating the utilization of these resources for development. As far as MMRPL is concerned, with the EPR policy now under implementation, the sourcing of vehicles, which was a primary constraint till now should get alleviated over the next 2 to 3 years as these will subsequently and progressively be more OEM driven. And this venture should be able to show a healthy growth in numbers from here on again.

With this, I would like to request Director Commercial, Ms. Bhanu Kumar to supplement us regarding MSTC's business scenario, followed by Mr. Subrata

Sarkar, our Director Finance, to give us a financial snapshot.

Bhanu Kumar: Thank you, sir. Good afternoon, everybody. Before I start on the business update, most of which has already been touched upon by our CMD, I would like to highlight the key aspects of what went in Q4 of last year and also talk about the business update thereafter.

So the first item in the highlights is the exceptional item of the management control of FSNL being transferred, and we received a sum of about INR320 crores as sale proceeds. Now appreciation of value of this investment was INR301.69 crores, and this has been booked as an exceptional income. There was some old litigation for which settlement was there at INR38.50 crores, which has also been taken under the exceptional expenditure. Net off is appearing as the INR263.19 crores exceptional income.

Operational performance, the company crossed INR898.23 billion in terms of value of goods transacted through e-commerce and marketing verticals.

Financial performance, profit before exceptional item was INR240.71 crores in '24-'25, which was INR284.44 crores in '23-'24. PBT of INR503.90 crores in '24-'25 vis-a-vis INR284.44 crores in '23-'24. This of course includes the exceptional item.

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PAT was INR402.98 crores vis-a-vis INR171.92 crores in '23-'24. The consolidated PBT before exceptional item was INR244.81 crores in '24-'25 vis-a-vis INR277.57 crores in '23-'24. PBT was INR507.99 crores vis-a-vis INR277.57 crores, and PAT was INR407.08 crores vis-a-vis INR165.05 crores.

Now coming to the business updates. Some of the business projects that we had undertaken in '24-'25, and which is continuing in this current year also is the minor mineral block auctions for the Government of Goa, Arunachal Pradesh, and Ladakh. Then we have signed the agreement with Ministry of Mines for offshore minerals. Tranche 1 of these options has been launched and it is underway.

Ministry of I&B has selected MSTC for the 730 FM channels across 234 cities. I think most of the other things has already been covered by our CMD's address except that, yes, Selling Agency Agreement with BPCL, which is a little significant as far as scrap auctions are concerned, that has been done in the last year, last quarter. And the coal block auctions, the 11th tranche is happening as of now.

Chhattisgarh Forest Department auction is slightly tricky kind of a new software which was introduced in the current financial year. It is extremely responsive and it was a major challenge as far as the technology and the software part is concerned. Then we have conducted the 5G spectrum auction on behalf of DoT. And we have developed a portal for the Kendriya Police Kalyan Bhandar. This is basically for the canteen stores for all their personnel across the country.

This is first of its kind, and this can be replicated for other organizations as well in the future. Then we had continued with our services for the Online Draw System for selection of LPG and petrol pump dealerships. Apart from that critical mineral, coal gasification, all these have already been touched upon. Now I'll hand over to Mr. Subrata Sarkar, our Director Finance for the financial part of it.

Subrata Sarkar: Yes. Very good afternoon to all. Just to start with, this was a very tough year for MSTC as already narrated by our earlier speakers. So in spite of that, I will call it a very robust performance. We maintained that revenue stream. We maintained that profit stream and company did well in my opinion. The company did pretty well while withstanding the challenges available in the market, posed by the market.

Coming to the numbers. So total revenue is INR387.50 crores as compared to INR416.59 crores. E-commerce has a flatter performance, INR278.29 crores as compared to INR280.28 crores. And others is INR107.36 crores as compared to INR134.27 crores. This comprises of other operating revenue and other income part of this financial year.

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And we want to remind our esteemed stakeholders that this year the management and control of FSNL was transferred as a result MSTC has not received any dividend from FSNL. Last year, it was INR25.60 crores. So that gap was there and is evident from the financials that. In the expenses, we have tried to maintain the expenses at the same level in spite of hike and inflationary pressure on us.

It is INR127.46 crores as compared to INR124.42 crores, a mere increase of 2.44% only. Depreciation has gone up from INR7.32 crores to INR9.09 crores on account of certain capital asset addition.

Interest, very bare minimum. And here a new line item, impairment losses of INR10.06 crores has come up. Though it is an accounting exercise necessitated as per the accounting standards that has to be followed while preparation of the account. The management is hopeful that this recovery will be made very soon. Exceptional item comprises of basically 2 things.

One, net proceeds from FSNL sale, and second, payment of some old arbitration award / settlement of old arbitration award. So with that profit before tax stands at INR503.90 crores as compared to INR284.44 crores. That is up by 77%.

Taxes almost remaining the same because the rates have come down. So from INR112.52 crores it comes to INR100.92 crores. So here we would like to say that the taxes have been calculated on sale of FSNL on long term basis which is at the lower taxation slab. And profit after tax has come up from INR171.92 crores to INR402.98 crores. Earnings per share has come up from INR24.42 to INR57.24.

Now the segmental reporting that we can see that the volumes is INR898.23 billion as compared to INR1,415.86 billion last year. Total revenue is INR387.50 crores as compared to INR416.59 crores. And revenue from e-commerce is INR278.29 crores as compared to INR280.28 crores, in which that e-auction/e-sale is INR272.86 crores as compared to INR274.44 crores. E-procurement remaining almost the same at INR5.43 crores as compared to INR5.84 crores. Other income just earlier mentioned, it is down from INR134.27 crores to INR107.36 crores. Contributing factor was the non-receipt of dividend from FSNL of INR25.6 crores, which was there in the earlier year, that is FY '23-'24.

Marketing revenue remained the flatter in a same trajectory and expenses all already narrated. So with that, adding to the impairment losses, profit, and loss before exceptional item is INR240.71 crores as compared to INR284.44 crores last year, that is down, but mainly contributing factor is that dividend one.

Otherwise, so far on the operational front, it is on the same trajectory. And with the effect of exceptional income INR263.19 crores, PBT stands at INR503.90 crores as compared to INR284.44 crores. And profit after tax, comes to INR402.98 crores as compared to INR171.92 crores.

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Now coming to the consolidated part. So here we want to mention like that this year the consolidation has been done only taken into effect of our share and profit

and loss from joint venture because FSNL is no longer the subsidiary of our company. And on 21st January, 2025 that management has been handed over to the new incumbent.

So with that the total revenues remains as it is of the standalone part, and with the share of profit and loss of joint venture, its profit and loss before extensional item comes to INR244.81 crores as compared to INR277.57 crores.

Previous year figures have been regrouped eliminating the figures of FSNL. Exceptional item is INR263.19 crores. PBT before tax on consolidated basis is INR508 crores as compared to INR277.57 crores, and profit after tax comes to INR407.08 crores as compared to INR165.05 crores. And earnings per share is INR57.82 as compared to INR23.44 last year.

And if you look at the summary of the P&L statement, so we can see that

revenue from operation remains flatter, INR310.96 crores as compared to INR316.25 crores. Other income, as earlier mentioned also, it is INR76.54 crores as compared to INR100.34 crores, mainly because of no receipt of dividend from FSNL.

And the employee benefit expense stands almost on the flatter trajectory, increase of mere 3.76% to INR91.32 crores as compared to INR88.01 crores. Finance cost remaining a very near minimum and depreciation also at a very lower level of INR9.09 crores as compared to INR7.32 crores. As you know that is the asset-light company.

And there is a slight minor provision, so it is a negligible amount, INR0.52 crores as compared to our revenue from operation of INR310.96 crores, not even a percentage we can calculate. Other expenses also gone down from INR36.41 crores to INR35.62 crores. With impairment losses, total expenses stands at INR146.79 crores as compared to INR132.15 crores.

So with that, this profit and loss for the period stands at INR402.98 crores as compared to INR171.90 crores. So far in the consolidated front, the expenses are INR136.73 crores as compared to INR132.15 crores, and the profit stands at INR407.08 crores as compared to INR165.05 crores.

And that is all from management side, so we can have question and answer from our team.

Moderator: Thank you. The first question comes from the line of Kamlesh Bagmar from Lotus Asset Managers. Please go ahead.

Kamlesh Bagmar: Yes. Sir, just one question like we have received approval from Coal India to conduct their e-auction for next 2-odd years. So how do we see the revenue growth panning out in the next couple of years?

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Bhanu Kumar: So basically, for Coal India, it is on event basis. So as we see Coal India's mining operations have expanded and multiplied over the years. The volume of coal that's going to be sold through this e-auction is also going to increase in the coming years. Based on that we can have a fair assumption that the number of events will increase and the revenue should be on the upward trajectory only.

Kamlesh Bagmar: But on an overall business basis like what revenue growth we are forecasting over next 2, 3 years, ma'am?

Bhanu Kumar: You're talking of...

Kamlesh Bagmar: Overall, overall.

Bhanu Kumar: If you have been seeing in the past, the couple of years, it has been a little flat but we are optimistic that we may have growth. In the past, we had witnessed a growth of about 10%, 12%. So we are ambitious and we want to have that kind of growth year-on-year.

Kamlesh Bagmar: Okay. But what, like what would drive this growth? Because over the years, sometimes we had some issues on the Coal India side, then this financial, like on the banking side, like banks started their own portal, then what are the drivers for this growth in the coming years?

Bhanu Kumar: This is actually a business that is dependent on the client. So there will always be a couple of orders that will not be with us and a couple of new orders. So all the time we are striving to retain

our existing business and go for expansion

or roping in more clients. So this is a challenge that we have to constantly face.

Apart from this, we do have certain ideas that we will be launching our own products, which we will be sharing with you probably in the next investor call. We do have certain products like equipment leasing portals and some ERP small solutions and all. Of course, they are in the development stage and we are just roping in the stakeholders.

So we are actually cushioning ourselves against the loss of major clients, if at all that happens at any point of time. Our endeavor is to retain all the clients all the time. But then these up and down kind of business movements will always be there. So with these products, ready to offer products kind of thing we envision to cushion ourselves against these kind of changes.

Manobendra Ghoshal: One more thing I would like to supplement here is that by the very nature of e-commerce business, which is sector-agnostic. There would, over a period of evolving time, there would be a situation when certain areas of business would

go down but then multiple other areas including new areas would come up. That has been the trend over the past few years. And we also foresee that, that is the kind of growth, that is the kind of thing which will drive growth over the next few years.

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Kamlesh Bagmar: Lastly, what is the status of that real estate offering which we had initiated in last couple of quarters? So what is the traction there?

Bhanu Kumar: So actually, there are 2 business models there. One is an end-to-end kind of a solution, where all the operations are done by MSTC, and one is the platform services, which is similar to the services that we were offering for the PSB banks earlier. So this is a portal that's a platform service, there the traction is a little on the lower side, but many of those banks want end-to-end kind of solution, where we have advisory role also.

So the e-sale segment of it is getting a little more traction than the realty portal, though the asset is the same, but because of the different business models we are classifying it under e-sale rather than the realty portal. I hope I'm able to clear this.

Kamlesh Bagmar: Yes. Yes. And the margins would be in the range of 60%, 65% that we are hopeful to maintain?

Bhanu Kumar: That is a little too early to talk.

Kamlesh Bagmar: No, I'm alluding to the overall income.

Bhanu Kumar: Overall...

Subrata Sarkar: The overall, you see the last couple of years if you can see our EBITDA margins, I believe, I take that you are talking about the EBITDA margin, right sir?

Kamlesh Bagmar: Yes. Yes. Yes. Without other income?

Subrata Sarkar: Without other income, I think we will be able to maintain beyond that.

Kamlesh Bagmar: At similar levels.

Subrata Sarkar: At similar levels. So that margins you can see if you can analyze our operating EBITDA margins. So we have maintained, although not, there is a growth in the revenue but the margins are still being maintained.

Moderator: We take the next question from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni: Yes. Just wanted to check out what is this impairment loss of INR10.06 crores that you have taken.

Subrata Sarkar: Sir, this is for our investment in the MMRPL. So this is as per Ind AS. As it was incurring losses, so we have to do the fair valuation of the investment and for that we have to book that much of loss as impairment loss in our books for that investment impairment. This is one part. I would like to add one thing for you, sir, like though it is an accounting exercise, we are hopeful that in the

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coming stages. I think our CMD would like to add something on this particular front.

Manobendra Ghoshal: Right. So as I was also mentioni

ng that MMRPL has been in operation over the last 5 to 6 years. And even at right from the beginning it was very clear that this is a market which will take time to evolve because the ecosystem for vehicle recycling has been also in a state of simultaneous development over the country. MoRTH issued some guidelines.

Now it was up to the states who have also been implementing those guidelines in a phased manner. Simultaneously, an EPR policy was also in the works for the OEMs, which have now been under implementation. So overall, the scenario was such that as far as sourcing of vehicles is concerned, that had always been a constraint for registered vehicle scrapping facilities, not only ours, to all the major players in this sector.

At this point of time, the ecosystem is going to change in the sense that since customers, the final customers are now going to get significant benefits from recycling their vehicles through RVSFs. And the other fact is because of EPR,

OEMs would be also driving the acquisition of end-of-life vehicles. So these are 2 factors which should drive the numbers up, which is why we have a positive outlook over the next 3 to 4 years of this business now coming into a steady state and growing.

Vinay Nadkarni: So could you look at profits coming in next year or would it take another year or 2 more?

Bhanu Kumar: At least a couple of years.

Subrata Sarkar: So at least a couple of years that we'll be able to take till that EPR policy matures and gives us a proper impetus to drive a profit there, sir? At least a couple of years.

Vinay Nadkarni: Yes. And secondly on this tax rate, what would be a steady state tax rate that we should consider for MSTC?

Subrata Sarkar: Pardon?

Vinay Nadkarni: Tax rate.

Subrata Sarkar: Tax rate, here I mentioned during my concall that here you can see that we have to take 2 tax rates. One for that sale of that investment we have taken, that on long-term capital gain effective rate is around 14% something, 14 point something. And for other thing, we have gone to lower tax regime where effective rate is around 25%. So we had a mixed rate this year. So when the annual balance sheet comes up, you will get a total breakup how the tax calculation has been come up. But in nutshell I, I would say that there are 2 rates, sir.

Vinay Nadkarni: So going forward, will it be 25% would be a steady state rate that we could...

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Subrata Sarkar: Yes, yes. Because as per that taxation laws, once we have opted for lower regime, so it will have to be at the lower regime because we cannot change that option. We have opted that and we feel that it is a right option for MSTC looking at all requirement.

Moderator: The next question comes from the line of Ronak Raichura from Vikabh Securities.

Ronak Raichura: Yes. Sir, so I was more keen on understanding whether MSTC has been able to bag any projects from private companies, while we get a lot of business from the PSUs primarily. So I was reading your previous con calls and I happened to read some statements where we said that we are doing something for Reliance Industries or we're doing for some private companies. So any update on this? I mean have we been able to crack the private company, sorry, the publicly listed companies but which is non-PSUs?

Bhanu Kumar: Yes. Actually, our scrap business, we are having almost all the major players, like Indus Towers is probably our primary customer as far as scrap sale is concerned, Bharti Airtel and Indus Towers. We are also catering to the Tata Group, Tata Power, especially, then the Reliance Industries for their refinery units, scrap sales.

Of course, we are just one of the service providers, the Vedanta Group, the JSW. Then we are also catering to them for their iron ore sale, JSW, ArcelorMittal, Jindal. They are all selling part of their iron ore through our portal. L&

T is another major customer, which is actually looking for our services in the scrap area.

Apart from this, they are also looking at a different business model for their processed scrap, which is the scrap that gets generated during the manufacturing or processing of their materials. So that is another new model that we will be coming up shortly. So L&T is another big client. So what happens is they first come to us for a pilot project and then slowly expand their operations. Then there are smaller, almost all the CFS units in the country. They are selling their scrap through us. Then all the small and medium segments in various pockets of the country, the Industrial Development Corporation. OIDC is something that we had already mentioned in the past couple of years. So those business models are already in place. Once they are comfortable with the scrap disposal, they do approach us for their other requirement also. So that is how we expand in the private sector.

Ronak Raichura: Excellent. Excellent, madam. So ma'am, how is the competitive landscape there? I mean, can we expect additional traction? I mean, if our services are

good, what is the general competitive landscape like? I mean, do they have 2, 3 other service providers giving similar services? Or once they are comfortable, they will give you the contract for the entire scrap sale? How does it work?

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Bhanu Kumar: Actually, it depends on the client. Say, somebody like Indus Towers or Bharti Airtel, they are totally dependent on us. They have just one agreement. But then some groups like Tata's and Reliance and all, they do have multiple service providers. So based on the business requirement or the comfort level or if they have been having an association with somebody in the past or if they have their own systems, like SAP also has some kind of methodology for recording the bids. So if they are comfortable with that, then they don't want to change. They don't want to shift to our platform.

But once they see that there is some benefit, especially see the kind of services that makes our biggest advantage is the buyer base. That is how we are able to get the best offer for their material. So once they see that advantage, slowly, they shift to our platform. So it is a combined kind of a thing as of now. It is totally depend on the client.

Ronak Raichura: Okay. Okay. So buyer base is ? Sorry. Can I ask one more question?

Bhanu Kumar: Yes, sure.

Ronak Raichura: Yes. So buyer base being a very important pull factor. So can we expect that the traction from this segment even for these large listed players will actually increase because of the increasing buyer base? Or I wanted to know which are the biggest competitors in this segment? I mean, which other companies are having very huge buyer bases and therefore, are able to attract customers there? Are we ?

Manobendra Ghoshal: Eventually, the competition here is more with our private sector clients having a one-on-one arrangement for disposal. Rather so the competition is more in the sense of convincing the client that it is going to lead to better revenue realization for him if he goes to our portal rather than have a 1:1. So it's more of a question of that rather than as to how many other major players are there in our portal services.

Bhanu Kumar: And I'll just add to that. See, we are probably having the biggest buyer base as far as scrap sale is concerned, and there's no one matching that kind of numbers.

Moderator: The next question comes from the line of Anant from Mount Intra Finance.

Anant: I just have a couple of questions. So in your audited financial statement, the consol revenue for FY '24 was INR520 crores. In your presentation, it is stated at INR416 crores. Am I reading this correct? Is there any discrepancy? Or how should I just go about it?

Manobendra Ghoshal: Pardon?

Anant: In your audited financial statement, the PDF you brought out yesterday, FY '24 revenue was at INR520 crores. And in your presentation, it is stated as INR416 crores. So why is there a difference.

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Subrata Sarkar: Yes. Actually, in the earlier years, just let me check out. Audited financials, you are talking about the audited consolidated financial, right?

Anant: Yes, consol financial for FY '24. I think you recorded revenue on marketing activity. This is my understanding.

Subrata Sarkar: Just a minute. In '24, FSNL was included. So right now, what we have done, we have recasted the figure and eliminated the FSNL. So almost that's it, then the stand-alone will be the same, right, sir?

Anant: Okay. Got it. So this INR104 crores is, I think, you did for FSNL, correct?

Subrata Sarkar: Right. Right. Right.

Anant: Okay. Got it. And another question, is it possible for you to give me a split between how much revenue comes from private sector and how much revenue comes from government as of now as of, say, FY '25?

Bhanu Kumar: It is very difficult because we do not have any such kind of segmentation like

that. But more or less, it is in the range of 90:10.

Anant: Okay. Okay. That's it ma'am.

Bhanu Kumar: Yes, 10% is from government.

Moderator: The next question comes from the line of Rakesh, an investor.

Rakesh: My first question is regarding the news item that MSTC had bagged a contract from the Government of Telangana for e-procurement. Now as I understand, wasn't it compulsory for all government departments or the central government, state government, PSUs, et cetera, to make their procurement from the GeM portal?

Bhanu Kumar: Actually, we have signed an agreement with Government of Telangana, not just for e-procurement. It is for all e-commerce services that is including e-auctions, e-sale of their raw material and e-procurement. The state of Government of Telangana has chosen us as a service provider.

There is a general advisory for the central government organizations and departments to use GeM, but the state governments are still having their own portals or using other portals also. In fact, many of the states have their own portals for procurement. But here, the Government of Telangana has decided to go with our portal.

Rakesh: Okay. So what will be the revenue impact just from the e-procurement activities? I understand that MSTC has been doing a lot of work for the Telangana government as far as e-sale is concerned, land parcels, et cetera. But as far as e-procurement is concerned, what is the revenue potential?

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Bhanu Kumar: Potential is vast, but it will be very difficult to put a number to it right now because we have just very recently signed this agreement, and we'll have to see how to onboard all these things, have a mature model for uniform practices. So that's an ongoing process. We may probably give you something at the end of the year only. But right now, it's too early to say anything as far as the procurement portfolio is concerned.

Rakesh: Okay. My second question was regarding the data center business that you were very confident about starting. It's been a year since you had made the changes in the MoA and AoA. Any update on that?

Bhanu Kumar: Actually, we are now setting up a new office here in New Delhi and we'll be shifting shortly. So we are setting our second DR site here. So once that is done, probably we'll be in a position to answer to your query as to how this will, by when this new data center or what is our plan for the new data center. This is an ongoing process. So we are just wanting to first have a DR site in place and thereafter, take up this.

Rakesh: So by when is the DR site going to be ready, madam?

Bhanu Kumar: Another couple of months.

Rakesh: Okay. So that means revenue

will start flowing only from the second half or maybe next?

Bhanu Kumar: This DR site is going to cater to our existing requirements only, the services that we are already offering, it's going to be a disaster recovery site for it. Going forward, we will be adding capacities and using the redundant capacities, if at all any, and monetizing it. So as of now, first, let us set it up and then consolidate our requirements of those applications already hosted, then we will probably be able to give a fair assessment of them.

Rakesh: Okay. And any other businesses that MSTC is looking at?

Bhanu Kumar: Yes. As I said earlier, we are thinking of ready to market kind of products like leasing portal for equipment and ERP, small ERP solutions for mining operations, because a lot of these customers, bidders who have been successful in coal block and mineral blocks, they are looking for small enterprise solutions for their requirements.

So this is off-the-shelf kind of products that we are looking at. It is still in the development stage, and we will be able to market it within this financial year. The leasing portal is more or less ready. It should be rolled out in a couple of months. And based on the initial pilot project, we will be able to roll it out in a bigger way.

Moderator: We take the next question from the line of Kamlesh Bagmar from Lotus Asset Managers.

Kamlesh Bagmar: Yes. Ma'am, one question on the part of your revenue. Like say, we have been saying that we have grown at 10 -odd percent rate over the last couple of years. But if I see your revenues, they are almost flat compared like, say, 2022, 2023, we have not grown. There may be some, let's say, revenue miss on the part of your marketing mix or there. But on an absolute revenue basis, we have literally not grown over the last 3 years.

Bhanu Kumar: No, I had not said that we have grown year -on-year at 10%. The last 2 years have been flat. Before that, it was in the range of 10% to 12%.

Manobendra Ghoshal: If I may supplement, I think you misunderstood, I was talking about the segmental revenues from sale of scrap. That is something which had grown and helped us to offset that had happened in coal and so on.

Kamlesh Bagmar: So if we see for FY '22 revenue, it was INR471 crores. And on March 2021, it was INR428 crores, while in this year, we have done INR311 crores ?

Manobendra Ghoshal: This is not an apple -to-apple comparison. At that point of time, it was including the FSNL revenues also.

Kamlesh Bagmar: No, no, I'm talking just about the stand -alone numbers.

Subrata Sarkar: Just a minute. Just a minute, sir. Like if we can look at in the year '21 -'22. We left our traditional business. Our traditional revenue was weeded out so far marketing is concerned. So in the year '22 -'23, we grew up, right? So we're up in e-commerce segment. But from there on, your statement is okay, we are on a flatter trajectory.

But there was a growth in the e -commerce segment from 2018 -19 to 2022 -23 and leaving aside one corona year where the growth was not happening. But if I look at the numbers, sir, so it will be a bit confusing because that time also the legacy marketing, though we left that in the year 2019 -20, that turnover kept on adding in our balance sheet in the revenue from operation till 20-2021 and '21 -'22. So that was a little bit confusing. But in the overall perspective, we grew in that particular year. Afterwards , we become stagnant after '22 -'23.

Bhanu Kumar: I'll just add to that. See, basically, you will have to see only the growth of e -commerce segment because we are now only doing e -commerce business. Marketing is very, very miniscule. In the earlier years, we had several models of trading, which was getting added to the revenue from operations. So if you actually go through the e -commerce growth story, up to '22 -'23,

we have

witnessed an average growth rate of about 10% to 12%.

In one particular year, it was to the tune of more than 15% also. So I was referring to that. Last 2 years have been a little challenging, and there has not been much growth. But going forward, because of these plans that we have talked about just now, we are hopeful that we will be able to , we are ambitious that we should be able to , target that kind of a growth.

Kamlesh Bagmar: Okay. Okay. And lastly, ma'am, over the year, like say, last couple of quarters, we had given some suggestions that on the presentation side, because in presentation, it really doesn't add any value in terms of information because it's just say, like say, the facts are put up from the P&L.

So if we can list out some key factors like say, from the mineral auction, how much contribution was there or like from the scrap sales or any other like say, financial asset side. So if we can give those inputs or data points or operating metrics, then it would be much more helpful to make our view as well and to have a better insight into the company's operations.

Bhanu Kumar: Yes. We do have some small subsegments under the e -commerce portfolio like scrap sale, e -sale, e -procurement, iron ore, coal. So that probably that kind of thing we can include in our presentation. But we'll not be able to tell you as to how much is coming from coal, from forest or from properties or from each of those subsegments. We have broadly 5 subsegments under the e -commerce portfolio. So that we will probably be able to incorporate in our presentation.

Subrata Sarkar: Yes. I would like to add what madam told, actually, what is happening over

here. So we are depending upon, as earlier also told on the holistic solution, overall solution because you see the trends cannot be get out of that particular thing. So sometimes that basically, it's a client-driven, it is not a product-driven. So generally, in the trading industry, in the e-commerce industry, it is a product-driven. But here, it is a client-driven. If I have got a client, if he has the coal, we will do the coal e-auction. If he has got other minerals, we will do that. So that way the trends is very difficult.

And what we can see like that we lost that coal business of Coal India, coal e-auction, but still able to maintain a flatter trajectory. So that is the, I mean, trend, that is the kind of business that MSTC is in. We are in a platform services, not on basically a commodity type thing. For our own analysis purpose, we do it, but it is very difficult to find out a trend analysis out of that. So that way it's a very critical type of thing. Anyway, whatever is available with us and is available as per in the financial statement, we will try to make it more elaborate as suggested, sir. We feel that we have just got the filler. We will try to get more information for your analysis.

Kamlesh Bagmar: But whatever ma'am is telling, at least if you can provide that, something is better than nothing.

Bhanu Kumar: Yes, sure. We will.

Subrata Sarkar: We will try.

Manobendra Ghoshal: We will try on that.

Moderator: We have a follow-up question from the line of Vinay Nadkarni from Hathway Investment.

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Vinay Nadkarni: Yes. Just wanted to know what was it because this year, there was nothing coming in from coal auctions, I presume, the revenues. So what was the contribution of coal auctions in the previous year? And therefore, can we just forecast what would be the income coming from coal auctions in the FY '26?

Bhanu Kumar: Not that, that we didn't do coal auctions at all because in the last quarter, we did get back the business from Coal India. And apart from that, we are also doing coal auctions for Meghalaya Government and also for some of the other utilities in the c

ountry like Orissa Power and Coal Company. And we are also doing for Singareni Collieries.

So those are, of course, very small in comparison to the Coal India auctions. We have got back that. So it should be in the range of about, maybe I can't put a number to it because it is totally depending on the number of events that will be carried out in a month. So...

Vinay Nadkarni: Can you tell me what was the contribution of Coal India auctions in, say, FY '24 last year, if I can get a fair idea?

Subrata Sarkar: Hardly any percentage because we have got a total revenue of around INR270 crores plus from this e-commerce. And as we have got the business back in the last quarter, so it can be in the range of 4% to 5%.

Vinay Nadkarni: I'm asking for FY '24, the previous year.

Subrata Sarkar: Last year, it may be around maximum 10%.

Bhanu Kumar: About 10%. 10%.

Manobendra Ghoshal: 10% to 12%.

Bhanu Kumar: 10% is the coal segment contribution to the overall e-commerce revenue.

Vinay Nadkarni: Of Coal India specifically?

Bhanu Kumar: Not Coal India, total coal which include other clients also.

Moderator: We take the next question from the line of Rakesh, an investor.

Rakesh: Sir, this is a buildup on a question that was just asked by another person. So regarding Coal India, if I remember it right, Coal India has allowed MSTC to auction around 40% of the coal that it produces.

Bhanu Kumar: So actually, this is a policy-driven thing. See, they do have to allocate a lot of their coal mines on the long linkage policy, right? So whatever is not there, whatever is allowed as per the policy for commercial sale, that is only auctioned through the MSTC's platform. So that keeps changing. Earlier, it was just 10%, then it was increased to 15% to 20%. So it changes from time to time depending on the production of Coal India.

Rakesh: Okay. So which are the other organizations that auction coal for Coal India?

Bhanu Kumar: Mjunction is the other service provider. There are only 2 service providers for

Rakesh: Okay. So whatever coal is auctioned by Coal India is either through MSTC or through mjunction?

Bhanu Kumar: Absolutely. And most of it is given on long -term linkage policies.

Rakesh: Yes, ma'am. That's I understand.

Bhanu Kumar: And those are sector -specific.

Moderator: As there are no further questions, I will now hand the conference over to the management for their closing comments.

Manobendra Ghoshal: At the end, I would like to thank all our esteemed investors who have taken the time out to give us the feedback. When you ask these questions, it also helps us to rethink as to what we are doing right and what we are doing wrong. So please do keep reminding us of how to improve our performance and that is always act as a guidance to run your company better. Thank you very much.

Subrata Sarkar: Thank you.

Bhanu Kumar: Thank you, all.

Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., [www.https://www.mstcindia.co.in/](https://www.mstcindia.co.in/).com. In case of discrepancy, the audio recordings available at website of the company shall prevail.

This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable

and can may include forward -looking statements.

Forward -looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward -looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

Call: Aug 2025

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MSTC LIMITED

(A Govt of India Enterprise)

CIN : L27320WB1964GOI026211 e-assuring iNDIA

MSTC/CS/SE/664 21st August, 2025

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 542597)

Dear Sir/Madam, 2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCL TD)

Sub: Transcript of Conference Call with the Investors/ Analyst

The Company had organized a conference call with the Investors/ Analyst on Thursday, 14th

August, 2025 at 11 :30 AM. A copy of transcript of conference call held with the

Investors/ Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website [www .mstcindia.co. in](http://www.mstcindia.co.in).

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary ft Compliance Officer

Encl: as above

www.mstcindia.co.in | www.mstcecommerce.com

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Regd. Office: Plot No. CF18/2, Street No. 175, Action Area IC, New Town, Kolkata-700156 W.B.

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"MSTC Limited

Q1 FY26 Earnings Conference Call"

August 14, 2025

MANAGEMENT : MR. MANOBENDRA GHOSHAL – CHAIRMAN AND

MANAGING DIRECTOR – MSTC LIMITED

M S. BHANU KUMAR – DIRECTOR (COMMERCIAL) –

MSTC LIMITED

M R. SUBRATA SARKAR – DIRECTOR (FINANCE) –

MSTC LIMITED

M R. AJAY KUMAR RAI – COMPANY SECRETARY –

MSTC LIMITED

MODERATOR : MR. DEEP MODI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the MSTC Limited Q1 FY '26 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by

pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Deep Modi from Equirus Securities. Thank you, and over to you.

Deep Modi: Thank you. Good morning everyone. On behalf of Equirus Securities, I welcome you all to Q1 FY '26 Earnings Conference Call of MSTC Limited. From the management, we have with us today Mr. Manobendra Ghoshal, Chairman and Managing Director; Ms. Bhanu Kumar, Director (Commercial); Mr. Subrata Sarkar, Director (Finance) and Mr. Ajay Kumar Rai, Company Secretary.

We will begin the call with the opening remarks from the management, and then we will open the line for question and answers. Now, I hand over the call to Mr. Manobendra Ghoshal. Over to you, sir.

Manobendra Ghoshal: Thank you. Good morning, everybody. Thank you for joining us today. Let me begin by welcoming all our esteemed investors for today's call. After a largely flat FY '25, which also had quite a bit of ups and downs in both the external environment in general as well as some challenges specifically for MSTC, we had a good start to FY '26.

We have also, in this period, had an opportunity to reassess our core business strengths and look hard at new areas where we can leverage our strengths for driving growth. As I had already briefed you in our last call, some part of our traditional business, such as the coal auctions from Coal India, which had not been there in FY '25 in a large part is now back with us.

And this should supplement and drive our revenue streams further in FY '26. MMRPL, our 50-50 joint venture with M/s. Mahindra Auto has also performed as expected in Q1. Even though there is a loss at present in this venture, the outlook is positive over the long and medium term due to the expectation of higher volumes to be driven by OEMs after cutting of the EPR policy. We are looking forward for that.

MSTC's revenue increased about 12% year-on-year in this quarter, in Q1, primarily due to strong performance in the e-commerce segment, while expenses have remained largely on the same level with only marginal increases. PAT and PBT were higher year-on-year basis by about 10%. This growth was largely driven by our e-commerce segment with major contributions from e-auctions, which is our bread and butter, mineral block auctions, property auctions, FM spectrum auctions, which we conducted in this quarter, and also coal and iron ore auctions, which are steady revenue streams.

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Regarding major business highlights of Q1, our Director (Commercial), shall be briefing you in detail. For a brief snapshot of the way forward, I would like to inform you that we have identified development of software applications as an area that can be used to leverage our strengths. We have not only been doing this on our own, but have also developed a good, strong collaborative model of partnering with such entities so that we can pool resources and expertise. Our work for Kendriya Police Kalyan Bhandar (KPKB) and various portal developments are basically proof-of-concept developments of this model.

Apart from this, we have a major trust in FY '26 to obtain business from private players. I'll now request Director (Commercial) to elaborate on these aspects, followed by Mr. Subrata Sarkar, our Director (Finance), to provide an update on the Q1 financials.

Bhanu Kumar: Thank you, sir. Good afternoon, everybody. The key highlights of the first quarter for this current

financial year is we have transacted a business of about INR140.88 billion in terms of rupees for the goods that were transacted through our portal. The PBT is promising with INR 59.63 crores vis-a-vis INR 54.48 crores last Q1. PAT is INR 44.32 crores in comparison to INR 40.46% of the same period last year.

Financial performance consolidated stands at PBT of INR57.65 crores and PAT of INR 42.34 crores. Now as far as the business is concerned, we have shown an increase, if we compare with the Q1 of last year, about 12% increase, that is about INR 8.5 crores or so, mainly due to our regular businesses like auction of scrap, coal, iron ore, etcetera.

But here, what I would like to emphasize is in spite of the fact that the scrap rates have fallen during this quarter, and in fact, it's continuing to fall. We have been able to show a good steady growth because of the increasing volumes in those transactions. As our CMD had already said, the major highlight of this quarter has been the FM channel allotment. This again was a very customized portal similar to what we had done in spectrum auctions.

Our another product that we have launched this time is Upkaran portal. This is actually envisaged to bring all the OEMs and the major dealers of equipment, especially that is used by the industry at one platform. So we expect that this will give an impetus to the industry in going digital for the transactions in leasing of equipment or procurement of equipment.

We had showcased this in the India Steel Summit that was held in Mumbai in April, and the response that we got was quite promising, and that actually had given us the confidence to build it further. The portal has just been launched, and we are just in the process of onboarding OEMs and other stakeholders, which is likely to stabilize in a couple of months' time. So that is a product as such that has been launched, and we are looking forward to similar products for the industry.

Another major highlight that has happened recently is the renewal of the defence agreement. We have been doing the defence scrap disposals since 1982. So that has been a very long association and the confidence that is reposed by the Ministry of Defence has once again been upheld and the transactions we envisage will be a little more than what we had done in the past.

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As far as the future of what we are planning, we have identified certain areas and one of the main areas is establishing exchange platforms. We see some potential in coals, minerals, EPR exchange, some credit and all, where there are not much players and even the policy framework is not ready as yet. So that is an area that gives us a good opportunity and definitely, we would like to be a part of that and drive the growth there.

Apart from that, we have done some small projects for our own Administrative Ministry, which has given us the confidence to do such projects for other ministries and government departments where they need to digitize a lot of their transactions and have API integrations with various stakeholders platforms. So that is another project that we have done in a very small scale, and there is scope for improvement in that area.

Then we also want to enlarge our transaction portfolio to cover reverse auctions, private e-procurement, bulk asset monetization, industry-specific bidding formats. Basically, these models that we have been doing for years is more focused towards the government sector, the central government, state government and the PSUs.

But in order to drive growth in the private sector, which is going to be the focus in the near future, we have to probably build some new business models because the requirements of the sector are quite different from what is required by the government sector. So that is a focus area, trust area for us. And as far as other financials are concerned regarding Q1, I will h

and over to

Mr. Subrata Sarkar, our Director (Finance). Thank you.

Subrata Sarkar: Yes. Very good afternoon to all. So with that, revenue growth has been 8.91% from INR86 crores to INR93.66 crores. And expenses have also gone up like that only, including that mild increase of 9.13% from INR29.12 crores to INR31.78 crores reflecting growth in the EBITDA also from INR56.88 crores to INR61.88 crores, a growth of 8.79% and PBT growth is from INR54.48 crores to INR59.63 crores that is 9.45%.

Accordingly, PAT has also grown from INR40.46 crores to INR44.32 crores, a growth of 9.54% and EPS consequently has grown up from INR5.75 crores to INR6.30 crores, 9.54% growth. Looking at this financial analysis, So basically, this growth is propelled by the growth in the revenue from e-commerce that has come up from INR61.55 crores to INR70.03 crores, a growth of 13.78% and other income almost remaining stagnant and marketing revenue almost remaining stagnant.

Expenses is little bit increased. So PBT has gone up from INR54.48 crores to INR59.63 crores and PAT from INR40.46 crores to INR44.32 crores. This is on the standalone front. If you look at the consolidated financial, the only thing that is being added is the share of our profit and loss from joint venture, so it is a miniscule loss INR1.98 crores.

So with that, the PBT stands at INR57.65 crores as compared to INR53.28 crores of the same period, a growth of 8.20%. And PAT at INR42.34 crores from INR39.26 crores, growth of 7.85%. So EPS is growing obviously at the same rate from INR5.58 to INR6.01. So if you look at the summary of our P&L Statement, that revenue from operation and other income is INR77.43 crores and INR16.23 crores respectively.

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Last year, it was INR69.04 crores and INR16.96 crores. And total revenue comes to INR93.66 crores as compared to last year INR86 crores. Employee benefits rising slightly from INR21.72 crores to INR23.25 crores and Finance cost this year is nil. Depreciation is almost at the same level from INR2.31 crores to INR2.25 crores and other expenses rose slightly from INR7.40 crores to INR8.53 crores. PBT is from INR54.48 crores to INR59.63 and PAT is from INR40.46 crores to INR44.32 crores.

In the consolidated front also, just share of JV has been added on minus INR1.98 crores but consolidated profit of INR57.65 crores for PBT basis as compared to INR53.28 crores and PAT from INR39.26 crores to INR42.34 crores. So far financials are concerned, that's all from our side.

I think we can now go for Q&A. Management outlook is there from our side. That's all from our side.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Saurabh Ginodia from SMIFS Limited.

Saurabh Ginodia: Sir, in the opening comments, you had mentioned that we are doing some work to develop certain software applications. So can you just elaborate what is the scope of opportunity? And what exactly are we trying to do over here?

Bhanu Kumar: Actually, we have seen some opportunity when we were developing software for the various ministries and the industry. We saw that there are some ready-made products that can be used by the industry like some small ERP applications and integration posters and gap analysis, then dashboards.

These are small, small applications. And these can be done in a very quick time and maybe in a collaborative way with our association with some SaaS vendors, which we have embarked upon about a couple of years ago. So this gives us a good opportunity, but to estimate as to what kind of software or what will be the potential of that entire segment is a little too early to comment upon.

Saurabh Ginodia: Okay. And second thing, you had mentioned that we're trying to increase the share of this private business in the overall revenue. So what are the steps are we taking to increase the share

of the

private business?

Bhanu Kumar: Yes. So as I had mentioned, see, the way the government or the public sector functions is not the way the private sector functions. They want very quick response and they are probably not interested in bidding modules and all. They just want the best price. So it is going to be more of a listing kind of a platform that we will have where they'll just list their products and then they'll fix up the price and the material is taken off in a very quick time.

So the model itself will be different, the revenue streams will be different. So that is something that we are taking inputs from the private sector building upon. And the focus is going to be more for smaller and medium private sector organizations because the large ones, especially the scrap generating ones, are already with us.

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So apart from expanding the scope for them, we are also focusing on the small business units so that our human effort is also reduced to a great extent and there is quick disposal. So that is the idea behind this entire venture.

Saurabh Ginodia: And another thing is that over the last four, five quarters, we have spoken about various new initiatives which the company is trying to develop. But actually some of these initiatives may actually take some time to get reflected into our revenues. But if you see the e-commerce vertical in totality over the last eight to nine quarters, the revenue has been in the range of INR85 crores to INR90 crores. So when one can expect a significant growth in the e-commerce revenue from these new initiatives?

Bhanu Kumar: It will always be a very steady growth only. It's not going to happen overnight. There cannot be any exponential growth. So as you can see, some things are trickling in, and that is why the Q1 results are much better than what it was last year. So this way, we anticipate a very steady growth, whatever we have witnessed in the Q1, it is likely to grow in the same way in the near future. If there is not going to be a very exponential growth, there is no opportunity that will drive that kind of a growth.

Saurabh Ginodia: And what would be our annual capex requirement? And if you can also share some light on the future capital allocation policy for the company?

Subrata Sarkar: Yes. So far capex is concerned, basically being an asset-light company, our main focus is on upgradation of the software and procurement of better hardware for our data centers and peripherals. So still we are focusing on that. So that will be our main focus area so far capex is concerned. We are trying to allocate maximum of our profit part right now to that part only. So after the assessment in the second or third quarter, we will take a call on that.

Saurabh Ginodia: Okay. But will it be possible for you to roughly give any range for the capex because annually, given the kind of run rate we have done in Q1, we would expect the cash flow to be around INR160 crores, INR170-odd crores for the full year?

Subrata Sarkar: As far as cash flow is concerned and the capex is concerned as told in the outlook, we are at the midst of certain new projects. So certain projects that may require certain hardware and software requirement. So we are collecting that and some part of tendering process etcetera are also going

on.

Once that price comes up and it is finalized, then only we can come to a conclusion to that particular figure. But that much we can assure our investors that there will be no dearth of capex so far this growth is concerned. There will be, as you can see from our cash flow. So we will obviously allocate maximum part of our cash flows to our growth in the form of capex. But typically in our hardware, software and other peripherals, networking equipment.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni: Just wanted to check out, you said

FM channel auctions, what was the amount that we realized out of that?

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Bhanu Kumar: Actually, for these auctions, the revenue part is not much. It's quite miniscule. We get per license allocation. So as and when the orders are placed, we get a very small sum, probably in thousands only. But what is important here is such complex and complicated kind of platforms when we establish, it gives us an opportunity to capitalize on that and prove our credentials for complex solutions to the industry's requirements. So we haven't actually earned much from the FM Radiowave auction.

Manobendra Ghoshal: But we have auctioned, say 63 licenses across 15 cities for 15 years across 43-odd cities. So there's been a large spread. But as Director (Commercial) mentioned that the financials are not commensurate with and this basically is showcasing our capability of developing very complex simultaneously moving platforms.

Vinay Nadkarni: Okay. And what about Coal India auctions? What would be the revenue earned out of that in this quarter as compared to the last quarter?

Bhanu Kumar: Actually, I think the first quarter only the operations have started full fledged. So we had earned about INR 4 crores from Coal India auctions.

Vinay Nadkarni: This is the revenues?

Bhanu Kumar: Yes, this is the revenue.

Vinay Nadkarni: Just two more questions. One is, what is the current cash and cash equivalent that you're holding?

Subrata Sarkar: Sir we have not published the balance sheet, but so far cash profit is concerned, you can well imagine it is in the PBT EBITDA, so like INR40 crores plus is the cash profit. So that much you can imagine. So far, cash and cash equivalents, we will come up in the month of September after minimizing all the capex, etcetera. So cash flow will come up with the September quarter.

Vinay Nadkarni: And what is the total amount of business that we have done in this Mahindra JV, which you said has started picking up now?

Subrata Sarkar: There has been a loss, not significant revenue from this JV company.

Manobendra Ghoshal: It is the business has started picking up in the sense that the outlook for EPR is now in place, the outlook of business picking up in the future. At this point of time, it is still not making a profit.

And we expect that over the next two to three quarters after the EPR policy gets implemented through the OEMs that it should start coming back to a level. As I had mentioned, in fact, in the last investor call that the time for the entire process to stabilize would be in the next 2 to 3 years.

Vinay Nadkarni: Just wanted a little more detail on the Upkaran portal. And how are you going to monetize that?

Bhanu Kumar: See, as of now, we have just showcased the portal itself, and we are just onboarding all the equipment manufacturers and dealers. So as and when the transaction actually happens, obviously, there will be a fee for the transaction. We have not yet finalized the revenue model or finalized the transaction that envisaged any transaction as of now, at least in the another 2 to 3 months. So we are still working on it. Maybe after the next quarter, we will be able to give you a better view on that.

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Vinay Nadkarni: And you see a good potential for that there?

Bhanu Kumar: Yes, yes. Because now what is happening is everything is happening through a phone call or through offline modes. And that is probably not giving enough opportunity or enough variety to the person who wants to procure such equipments or lease such equipments. And even the terms and conditions are quite vague. So once we have all these things in a digital format, the customer will definitely have better options and he will be able to get the best value for his money.

Vinay Nadkarni: Can I ask one last question, if you don't mind?

Bhanu Kumar: Yes, please.

Vinay Nadkarni: I just wanted to know,

are we in any way under pricing ourselves because we have such a robust platform and do such a good auction business. By any chance are we under pricing ourselves?
Bhanu Kumar: See, as far as the government sector or the special projects are concerned, yes, because that gives us the credibility and the standing in the industry. So maybe there, we are not looking at profits when we have to do complex projects for the government of India. But as far as others are concerned, not really. I think we are a commercial organization based on the industry requirement and the competitors' charges and the scope of work or the kind of services that they give, we are pricing it accordingly. We are not really undercharging.

Vinay Nadkarni: But government would be 90% or more of our business? ...Hello.

Moderator: Yes, we can hear you.

Bhanu Kumar: So I was responding to the query as to whether we are under-pricing ourselves. So just for a couple of projects for the government of India, maybe we are under-pricing. But otherwise, we are at par with our competitors or slightly in a better position because of our better credentials.

Vinay Nadkarni: And just one question, what percentage of revenues are driven from the government today?

Bhanu Kumar: See government as such is giving a lot of business, almost about 85% to 90% of it. But as I said, only for certain projects, maybe the revenue is not at par with the effort that is put in. For all others, we are pricing ourselves as per industry standards.

Moderator: The next question is from the line of Raman, an Individual Investor.

Raman: My first question is with respect to the carbon trading platform. I just want to understand the TAM of this particular platform and what will be the potential revenue or volume with respect to this, the company aims? And is there any competitor?

Manobendra Ghoshal: May I take that one. Now when we talked about platforms, we listed out possibilities that these are the possible products in which we can possibly develop platforms. It is not that we have identified X or Y or Z as specific commodities or specific resources for which we have started developing platforms. What we mean that we are in the process of bidding for and developing certain platforms, which we would not like to detail at this stage.

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And during that exercise, we've found, that we have the capability because of our background in developing e-auction platforms, so exchange platforms is just a further step, which leverages our existing capabilities. And while doing that exercise, obviously, we would be identifying the kind of resources for which these platforms can be developed. So it is at a nascent stage, So numbers cannot be given.

Raman: Sir, my second question is with respect to coal auction. How much incremental revenue can we expect from this Coal India's auction? Because in FY '25, as you mentioned, there was no revenue from this particular coal auction. So how much incremental revenue are we expecting in the current year?

Bhanu Kumar: See, as I think I had just replied to the other gentlemen, we earned about INR4 crores from coal auctions in the first quarter. So that should be the average, not just from Coal India, we are doing coal auctions for many other entities like Meghalaya government, for PDCL, for Jharkhand state and others. So roughly about INR3 crores to INR4 crores per quarter is the revenue from coal auctions.

Raman: And my last question is with respect to the JV. I just want to understand, I don't know whether you answered this question earlier or not, but I just want to know what was the current revenue in the Q1? And at what quarterly run rate will this JV be at breakeven?

Subrata Sarkar: I think our CMD has already replied. Basically that breakeven is now we are hoping basically as a JV income, we are hoping basically on the success of this idea. So once that is already there in

the vehicle from 1425, which has already been mandated, so still it is yet to pick up. And the total mathematics of breakeven is now depending upon the EPR because that will drive the sufficient number of vehicles that we are expecting to generate the revenue to have managing our fixed cost.

So that still what we feel not before, of course, the last quarter with the current estimates as of now that we feel not before the fourth quarter of this year, not before, if this trend goes on because EPR is still to pick up and the policy is yet to be tested in the market.

Manobendra Ghoshal: And there are, in fact, a lot of clarifications required in the EPR policies for which the automobile manufacturers and the automobile manufacturers associations are already in talks with the government. So a lot of it will flow from the result of those clarifications.

Moderator: The next question is from the line of Vishwajit Kumar, an Individual Investor.

Vishwajit Kumar: I have one question related to the JV. How many scrappage we have done till now? As per the government portal, I can see from January till today, we have done almost 80,000 government vehicles, so how much revenue we have generated from this 80,000.

Manobendra Ghoshal: I'll take that, Vishwajit. I think we need to clarify that there are 2 parts of this. What you have looked at is basically the e-auction portal developed by MSTC through which end-of-life

vehicles are auctioned. And apart from this, MSTC has a joint venture with M/s. Mahindra Auto, which is a separate entity totally, which basically operates registered vehicle scrapping facilities. So, these are two different parts of the business. The part that you're talking about is essentially MSTC Limited
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the auction platform through which vehicles are auctioned and MSTC directly derives revenue, so it's a part of our MSTC e-commerce business.

Vishwajit Kumar: So my question is related to the first part of that. So how much revenue we have generated for the first part of the business? I'm not talking about the scrapping because government has authorized MSTC to do all the scrapping for the government vehicles?

Bhanu Kumar: We cannot put a number to it because it gets into the normal scrap business. So total figures we have already given. It's a part of the scrap disposal auction revenues. So we have not segmented it as separately from ELV auctions or from some industrial unit or things like that. So it just is a drop in the total revenue of scrap auction.

Subrata Sarkar: Part of that INR68 crores.

Bhanu Kumar: INR68 crores is the total revenue from scrap auctions of which ELV auction is also a part. There is a common portal for all these products.

Vishwajit Kumar: I have one more question related to the data center, new data center in the Delhi. So what is the status of that? And do we have any update on that?

Bhanu Kumar: The new data center is yet to be set up. In fact, we will be getting the premises only during this month, though we have started certain operational functions out of that office. So data center is likely to take another at least 4 to 5 months.

Manobendra Ghoshal: At the very minimum.

Bhanu Kumar: At the very minimum, yes. But our operations have not stopped because we already have a robust data center at Kolkata with a DR site at Mumbai. So this is just going to be an additional DR site upon our infrastructure.

Vishwajit Kumar: So we are not doing any new business from the new data center or this is just like a DR surplus?

Manobendra Ghoshal: When it comes up, we will basically take a call on what would be the available extra capacity and therefore, how to monetize that.

Vishwajit Kumar: Thanks. I will go into the queue. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

Manobendra Ghoshal: First of all

, let me thank all the investors who have taken their time out and interacted with us.

As I have said earlier also, these interactions also give us quite a bit of guidance to us as to what we are doing wrong, what we are doing right and, therefore, are a major part of, also guiding us in the way forward to keep giving us our comments offline, online so that we are able to take your company forward and increase revenue streams to the expectations of the market. Thank you so much.

Bhanu Kumar: Thank you.

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Subrata Sarkar: Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Equirus Securities and MSTC Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz. <https://www.mstcindia.co.in>. In case of discrepancy, the audio recordings available at website of the company shall prevail.

This discussion is based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the

Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

Call: Nov 2025

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MSTC LIMITED

(A Govt of India Enterprise)

CIN : L27320WB1964GOI026211 e-assuring iNDIA

MSTC/CS/SE/695 19th November, 2025

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001.

(Scrip Code: 542597)

Dear Sir/Madam, 2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCL TD)

Sub: Transcript of Conference Call with the Investors/ Analyst

The Company had organized a conference call with the Investors/ Analyst on Thursday, 13th

November, 2025 at 12:00 Noon. A copy of transcript of conference call held with the

Investors/ Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office : Plot No. CF18/2, Street No. 175, Action Area IC, New Town, Kolkata-700156 W.B.

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"MSTC Limited Q2 FY26 Earnings Conference Call"

November 13, 2025

MANAGEMENT : MR. MANOBENDRA GHOSHAL – CHAIRMAN AND
MANAGING DIRECTOR

MS. BHANU KUMAR – DIRECTOR (COMMERCIAL)

MR. SUBRATA SARKAR – DIRECTOR (FINANCE)

MR. AJAY KUMAR RAI – COMPANY SECRETARY ,

MODERATOR : MR. DEEP MODI – EQUIRUS SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to MSTC Limited Q2 FY26 Earnings Conference Call hosted by Equirus Securities Private Limited.

As a reminder, all participant lines will be in the listen-only mode, and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch-tone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Deep Modi from Equirus Securities. Thank you and over to you, sir.

Deep Modi: Good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to Q2 FY26 Earnings Conference Call of MSTC Limited. From the Management, we have with us today Mr. Manobendra Ghoshal – Chairman and Managing Director, Ms. Bhanu Kumar – Director (Commercial), Mr. Subrata Sarkar – Director (Finance), and Mr. Ajay Kumar Rai – Company Secretary.

We will begin the call with the opening remarks from the management, and then we will open the line for Q&A. I now hand over the call to Mr. Manobendra Ghoshal. Over to you, sir. Thank you.

Manobendra Ghoshal: Thank you. Good morning Deep, and good morning and a warm welcome to all our stakeholders for today's conference. Building upon a good start of Q1 of FY26, we have sustained a good revenue trend both on year-on-year as well as on sequential basis for the quarter.

With expenses being on basically predictable and flat trend, the PBT and PAT have also been higher both sequentially and on year-on-year basis. Now despite the fact that there has been a softening of prices in scrap, that trend has continued over quite a few quarters now. The revenue growth has still been led primarily by our flagship e-commerce segment. We have continued the process of consolidation of our business areas and defined our primary thrust areas as e-commerce and the growing area of development of software applications and platforms. In this, we have made some appreciable progress about which our Director Commercial shall update you in greater detail later on.

Now apart from the electronic trading platform for EPR certificates which is now under development, I am also glad to share that MSTC has been selected by the DGFT to establish an online platform for allocation of tariff rate quotas for gold bullion import. We are working on that. We have also been selected by the Government of Chhattisgarh for e-auction of sand mining blocks, the Government of Karnataka for auction of liquor shop licenses etc. Now all of these are testimonials to the robustness and transparency that your company enables for the e-auction process itself. We have signed an MoU with the Syama Prasad Mookerjee Port, Kolkata for providing e-commerce services for the leasing of port property for a period of 30 years.

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As I had informed our stakeholders during the last conference, we have been developing the software application for the KPKB, the Kendriya Police Kalyan Bhandar which is now in its final delivery stage. Similarly, we have identified a few other specific opportunities which we believe shall drive our growth over the next 2 to 3 fiscals and this shall strengthen and diversify our revenue streams also going forward.

On the part of our joint venture with M/s Mahindra Auto, i.e., MMRPL, the performance has been as per expectations in Q2 while the venture has not yet become profitable. There has been a sequential improvement in the numbers, and we are closely monitoring the operational aspects of the company. As I have mentioned earlier, the EPR regulations do give us a reason to have a positive outlook for MMRPL but albeit in the long term. And maintaining business operations at incrementally increasing levels is what we are looking at in the short and medium term and while

the effect of EPR on increased vehicle sourcing through OEMs builds up. Needless to say, we are watching this closely.

I would now like to request our Director Commercial to give us a drill down on the way forward as it is panning out now followed by Director Finance to provide a snapshot of the financials.

Bhanu Kumar: Good afternoon, Bhanu Kumar – Director Commercial here. Before talking about what we plan for future, I would like to point out the key highlights of the performance for the H1 of this year.

So, operational performance during 2025-2026, the company has crossed about 301.67 billion in terms of value of goods transacted. The marketing vertical has tapered down significantly, and it is facing closure as of now. As far as the financial performance is concerned, PBT of 125.79 crores is what has been earned in H1 of 2025-2026 vis-à-vis 111.50 crores in 2024-2025 H1. PAT is 93.47 crores vis-à-vis 83.48 crores during 2024-2025 H1. PBT of 122.16 crores vis-à-vis 108.72 crores in the consolidated financial performance, and PAT has been 89.84 crores vis-à-vis 80.70 crores. So, there is just a marginal increase but in the times to come we are expecting that it will be a little more robust.

Now, as far as the highlights of this half year is concerned, the first major thing which is going to have significant revenue inflows in the years to come is the award of the contract by Central Pollution Control Board to develop an electronic trading platform for the EPR certificate. So, this is going to be quite a game changer and in establishing exchanges by MSTC. Also, as our CMD had already stated in his opening remarks, DGFT, the Director General of Foreign Trade has nominated MSTC for establishing a platform for online administration of allocation of tariffs for import of gold bullion. We expect that this will pave way for other commodities in future.

MSTC has signed an agreement with the Excise Department of Government of Karnataka. You all may be aware that we had done this exercise for Rajasthan government earlier. So, with that confidence now we had approached other state governments and Karnataka has finalized this agreement as of now.

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Now, as far as the other highlights are concerned, MSTC has carried out the major mineral block auctions. About 86 numbers have been auctioned in this H1 belonging to various states like Chhattisgarh, Uttar Pradesh, Assam, Madhya Pradesh etc.

We have also signed an agreement with Chhattisgarh for sand blocks auction. Sand blocks auction we have done in various states, Uttar Pradesh being very significant in the past. Now, we are replicating that in Chhattisgarh.

The Greenfield Certification Portal. Now, these are some small assignments that we have done for the Ministry of Steel. One being the Green Steel Certification Portal. Now, similar such small assignments from various ministries and our own Ministry of Steel are also on the anvil and we are having small development of software in the SAAS model which we had introduced a couple of years ago. So, that we feel now is going to drive the revenue growth in the years to come. MSTC had auctioned the property portal that we had launched earlier. Now, it is playing a significant role in the sense that most of the state government's assets are auctioned through this portal. And the Telangana State Industrial Infrastructure Corporation witnessed a very good price and competition, and they could sell some land parcels at 2900 crores much beyond their expectations.

MSTC has signed a 30-year agreement with Syama Prasad Mookerjee Port, Kolkata. Why we are highlighting this is we are going in for long-term agreements like this with our other clients also. That will be one of the focus areas in future.

Commercial coal block mining as usual is continuing and 41 mines have been auctioned at the hedge fund of this year. As our CMD stated, the KPKB portal which

is going to be a path-

breaking kind of a thing in the government sector as far as retail business operations is concerned, this will again pave way for similar portals for not just the military but there are other entities who may use this kind of a platform.

We are also planning to have more products on the lines of Upkaran. Upkaran we had launched in the last quarter which is going to be a digital platform for leasing of equipment. Now, similarly we are also planning to have our own travel portal which will initially be for the government sector, focus will be on the government sector B2B transactions but definitely it is going to be enlarged to accommodate B2C, the private sector and all other stakeholders. Now, this is a plan that is on the anvil, and we expect that by FY27 Q1, we should be making it operational.

Now, regarding the financials, I will hand over the call to our Director (Finance) Mr. Sarkar.

Subrata Sarkar: A very good afternoon. So, so far financials are concerned, revenue growth was 9.31% from 179.27 crore to 195.96. Riding primarily over our e-commerce income which grew from 123.47 to 146.28 crore, 18.47% increase. And expenses accordingly grew from 60.70 to 65.25 only, that is 7.50% increase. With that EBITDA stood at 130.71 crore as compared to 118.57 crore of corresponding period last year. So, the growth of 10.24%. Depreciation remaining flatter and with that PBT. And there is no exceptional item for this half year. So, PBT stood at 125.79 crore

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as compared to 111.50, that is 12.81% increase. Profit and loss after tax stood at 93.47 crore as compared to 83.48 crore, that is up by 11.96. Accordingly, EPS has also gone up from 11.86 to 13.28 per share, growth of 11.96%.

So far as segmental reporting are concerned, total value of goods which was traded through our ecosystem, it is 301.67 bn and revenue has increased from 179.27 crores to 195.96 crores mainly on the e-commerce growth, and expenses of course has gone up from 65.83 to 70.17. So, exceptional item expenses are not there. So, profit and loss before tax has gone up from 111.50 to 125.79 crores and PAT from 83.48 crores has gone up to 93.47 crores, i.e. growth of 11.96%. This is from the standalone part.

So far as the consolidated part is concerned, right now, with hiving off of FSNL, so we have got only the share of loss from joint venture. For this half year it is 3.63 crore as compared to 2.78 crores last year. With that revenue remaining the same and there is no exceptional item. So, PBT stood at 122.16 crores as compared to 108.72 crores last year. And tax increased from 28.02 to 32.32 crores, and PAT stood at 89.84 crores as compared to 80.70 crores and as a group basis the EPS stood at 12.76 as compared to 11.46.

So far as summary of the PL is concerned, there we can see that revenue from operation grew

from 140.97 to 162.43 crores and other income was little bit lesser from 38.30 to 33.53 crores. With that total revenue grew from 179.27 to 195.96 crores. Employee benefit has gone up a little just as a routine increase from 44.71 to 46.34 crores. Finance cost is nil in this half year and depreciation remaining the flatter and other expenses of course not a big jump from 15.99 to 18.91 crores. So, with that we have got PBT at 125.79 crores as compared to 111.50 crores last year and PAT at 83.48 to 93.47 crores.

So far consolidate is concerned because we don't have any line item to consolidate except only the share of profit and loss account of joint venture, this year it is 3.63 crores of loss as compared to 2.78 crores last year. With that PBT stood at 122.16 crores as compared to 108.72 crores and PAT stood at 89.84 crores as compared to 80.70 crores.

So, that is all so far financials are concerned. Now handover the call to team for further Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question

comes from the line of Prathamesh from Orbit Exports Family Office.

Prathamesh: I have questions regarding the three segments. First is the vehicle scrapping business. In the vehicle scrapping business trading platform that we have, if I am not wrong, there are around 10 lakh vehicles in India of the government which are about to get scrapped. Can you tell me in value terms how much can be the value of this and how much take rate can we take out of this?

Bhanu Kumar: You are going by the reports that about 10 lakh vehicles are to be scrapped. But then for scrapping this, lot of background work and institutional framework is required. First being that these 10 lakh vehicles, the details should be available in the Vahan Portal. A lot of the historical

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data of many of these vehicles are not available in the Vahan Portal. And at that point of time, lot of vehicles were done manually, the registration process and everything was done and it was available in segregated form. Secondly, for the vehicles to be scrapped, you need to have a good incentive scheme. There may be vehicles, but then people will have to come out and say that I want to scrap this vehicle. So, unless there is some incentive, there is some push, this is not going to happen. There have been lot of incentives given by state government, this is a state subject. There have been lot of incentives that have been formulated in the recent past. But that has not entirely translated to scrapping of the vehicles. And this again is in a very fragmented basis based on the state's owned policies and initiatives. So, these are two different things. Yes, of course, all the 10 lakh vehicles will have to be scrapped sooner or later. But this is turning out to be a slightly slow process.

Manobendra Ghoshal: The 10 lakh vehicles would also, basically the large part of it would be privately owned vehicles. And there is a substantial number of unorganized players in the market who are also into vehicle scrapping. So, a large part of those 10 lakhs would also tend to get diverted to the unorganized sectors which would basically need to be brought online. So, that is what Ma'am was talking about.

Prathamesh: My second question is regarding the EPR trading platform that we are making. What sort of opportunity we are looking at in this segment? Has there been any active regulations that have been brought by the government for the EPR norms by which it will create more volumes on our platform in coming time?

Bhanu Kumar: As far as the EPR is concerned, there have been policy guidelines as far as 5 categories of material is concerned, hazardous waste is concerned and there are at least another 5 to 10 more categories which are likely to be included in the policy framework. These have been announced very recently just in the last year and there have been some trading going on offline, there is no digital platform, and all these things are happening on one-to-one basis or there are some small players who are actually doing any trading. So, in order to regulate the entire setup since the volume definitely is going to increase in the coming years, CPCB had decided to establish an exchange and through an open tender process we got this contract from CPCB. This is going to be quite a game changer as far as MSTC is concerned because this is the first of its kind of an exchange because the policy framework is also new, the categories are new, the players are new. So, it is like starting from scratch. So, the credibility, credentials and our own experience will play a big part. MSTC as you may be aware has been disposing of hazardous waste for various government entities for the past more than 20 years in a very seamless and transparent manner. So, similarly we want to have this kind of credential established for the EPR trading also. So, with the kind of volumes that we have already seen in the

past for the five categories and what

is in store in the other new categories that will be added up, this holds good potential for revenue growth as far as the exchange is concerned. Of course, time will only tell and initially for the first one or two years, yes, there is lot of cost associated with it in developing and establishing this platform. There may be a positive revenue input from the end of FY27 or the beginning of

2028. But in future definitely we are seeing this as one of the game changing kind of a contract as far as MSTC is concerned.

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Prathamesh: What I understood there is a huge tailwind in this sector, but for a few, let's say 2 to 3 years, we are not seeing significant contribution in our top line from this segment.

Bhanu Kumar: There will be something that will be because five of the categories are already established. So, there will be transactions, but it may not be very significant. It may be something like a routine thing, but as and when the new categories are introduced, definitely the volumes will be going up.

Prathamesh: Recently we have done a MoU with Kolkata Port Trust, which is I think around 5000 crores. So, are we expecting the revenue to start coming gradually? So, for 30 years, so let's say I think around 200 crores should come year-on-year or is it going to be partly?

Bhanu Kumar: No, 5000 crores is what Kolkata Port Trust, Syama Prasad Mookerjee Port Trust is envisaging over a period of 30 years by leasing its port land and they are using our portal for auctioning of those leases. So, what we get is a minuscule percentage of those events. It's nothing, you cannot relate it to 5000 crores. And that too this is going to happen over a 30-year period. Why we have highlighted it here is the kind of association that we are envisaging from the Port Trust entities on long term basis. These associations earlier were on one or two-years contract. But now we are going in for long term contracts. So, the strategies, the platforms can be developed in a more comprehensive manner.

Manobendra Ghoshal: Sustainable long-term business.

Prathamesh: A last question, what sort of revenue mix does vehicle scrapping business and other key sub-segments in the e-commerce platform, if you can give that highlight. Secondly, what sort of revenue growth are you looking for next three years? That's it from us.

Bhanu Kumar: See, as far as the sub-segments of e-commerce is concerned, some of our revenue is based on percentage basis and some of it is on event basis. So, it is a mixed map. As far as the scrap business is concerned, it is on percentage basis. But as you already are aware, the scrap prices are showing a downward trend. It has been stable in the last one year. So, there is not much growth in that segment, and it contributes to almost about 50% of our revenue as on date. As far as the other events are concerned, it is more or less on event basis, especially the coal and the e-sale and e-procurement kind of events. That's on event. So, the number of events goes up, we get good revenue. If the number of events is much less, like we had highlighted about the Telangana State infrastructure land parcel sale. They might have got about 2,900 or 3,000 crores odd, but what we get is for the event only. So, it has got no relation with the value. So, it is a mixed map actually.

Manobendra Ghoshal: Which we are trying to optimize.

Bhanu Kumar: Yes. And in the years to come, for another 2-3 years, definitely incremental growth will always be there as and when we expand our business. And with the new ventures that we are talking of, we do feel that the growth can be a little more supplemented with the new ventures.

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Prathamesh: Can I consider there can be incremental, I think, 100-200 basis points of improvement in top line growth as compared to the previous years that we are

delivering.

Manobendra Ghoshal: We would not like to put really numbers onto it. That would not be fair.

Moderator: The next question comes from the line of Prashant Kothari, who is an Individual Investor.

Prashant Kothari: My first question is regarding the Telangana government e-procurement mandate. You sent a notice to the stock exchange in March 2025. I wanted to understand if there has been any progress as far as the e-procurement is concerned because I checked the investor presentation, and under the e-procurement sub-segment there is hardly any revenue that is being shown there. So, please shed some light on this. Second question is regarding the eUpkaran portal. Can you please provide an update and any revenue guidelines?

Bhanu Kumar: The first question is regarding the Telangana government order for not just e-procurement, it is for e-auction, e-procurement, and e-sale of the raw materials. In this, as far as the auction process is concerned, yes, definitely it is trickling in. Some new additions are there from the government side. E-procurement, they do have a NIC portal also which they have been using. So, many of the events that are already listed there, it is continuing there. But the new entities that are coming up, our people are approaching them, and they are acclimatizing them as to how the usage of the portal, the features and everything. So, the revenues, I expect, will trickle in probably from the next year only. But yes, definitely, the number of events will go up with the times to come.

Manobendra Ghoshal: It is just subsumed into a normal revenue stream.

Bhanu Kumar: It is a normal growth and see, the e-procurement activity as such is not a very big revenue earner as far as MSTC is concerned. It is more of a facilitation for the government sector with whom we do other businesses also.

Prashant Kothari: Second question was regarding the eUpkaran portal.

Bhanu Kumar: Upkaran portal, as you know was launched very recently and it is basically a leasing or a purchase kind of a platform for most of the equipment for leasing as well as purchase. Now, we had not thought of any revenue in the first one or two quarters because this is a new area where people were dealing with these things only on one-to-one basis. So, first we will have to onboard them, acclimatize them to the portal and its usages. That process is going on as of now. Once we have inputs also from the stakeholders as to how we can improve upon the portal and its features, functionalities, then we will be building up a business model into this and probably you can see some kind of revenue from this segment.

Prashant Kothari: What will be the revenue model here? So, it is advertising revenue?

Bhanu Kumar: We are still in the process of gauging as to what should be the business model and what should be the revenue streaming. Right now, it is just onboarding of various stakeholders, acclimatizing

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them to a digital platform for usage for leasing and purchasing of equipment. So, it is a little too early to talk about revenue or the business model as such.

Prashant Kothari: Can you also shed some light on the NPA portal that you had developed for private and cooperative banks?

Bhanu Kumar: Basically, we were operating the IBAPI portal for about 3-4 years and thereafter the public sector banks had set up their own infrastructure. So, this portal is now open for not just the NPA of the banks, the rural, cooperative, private banks, they are also using it. Apart from that, lot of government organizations they are also selling or monetizing their assets, basically primarily the properties. So, that database features that is being used by lot of organizations, that again is one of the small sub-segment of our e-commerce business itself. So, you cannot actually attribute any number to what is the income or revenue from the property portal.

Moderator: The n

ext question comes from the line of Saurabh from SMIFS Ltd.

Saurabh Ginodia: My first question will be, what would be our annual CAPEX requirement for this year? And if you also can share some thoughts regarding how do you plan to utilize your future cash flow and what could be the dividend policies?

Subrata Sarkar: Let me answer the last question first. As already published in our portal and as per the Government of India guidelines, it is in the public domain. The dividend policy is very clear.

Minimum dividend a PSU has to declare is 30% of the PAT or 4% of the net worth whichever is higher. So, like this is a very clear policy. And until and unless there is a specific dispensation from the Government of India, generally Government of India and the Ministry of Finance, it already decides through a meeting with the PSUs how much the dividend should be given and they are, of course, within the framework of this policy and the extend guidelines that is available in the public domain. Number two. Number two is a very important thing that you have sought about the CAPEX requirement. You know, we are in a phase of multiple developments as the call was going on. A CPCB platform is going on, and other ventures are also going on. The main thing that is coming up is we are still in the process of developing the same and in certain things, this exact requirement of CAPEX is going on. But still, I think as of now it seems not to be that much of capital intensity, that much of capital intensity. And so far cash is concerned like earlier years also and every year also, last year we had acquired a good office space to have a corporate office at New Delhi and that is where the capital, the cash was utilized. Similarly, we will have a mixed kind of judgment depending upon the situation. First priority will be, of course, the current server maintenance and the equipment. Second priority, of course, will be on the new business ventures like CPCB and that travel portal that we had called about. It will be a mixed bag of CAPEX and initial revenue expenditure. And the third part will be, of course, the distribution of dividend and acquisition of any office space it can be.

Saurabh Ginodia: My second part is a suggestion to the management which I have been highlighting since multiple calls that the disclosure level from the presentation needs to improve. If you see the presentation, it is just like a statement of facts. There is no information provided regarding the movement in

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the earnings. Like if you see in the current quarter, the e-commerce sales have increased from about 89 crores to almost 98 crores. But what has led to this kind of jump in the e-commerce revenue has not been explained. So, in the last 4-5 quarters the management has been...

Subrata Sarkar: I got your concern. Couple of things that I will tell you regarding our business model that our

Director Commercial and CMD was also telling. There is a bunch of revenue that we are reporting. It comprises of bits and pieces. Somewhere it is 50 lakhs, somewhere it is 10 lakhs, 5 lakhs. So, it will be very difficult. You have to think from a big service organization to an e-auctions service provider. There is a model of earnings is pretty different. So, it keeps on like happening of the event and primarily depends upon the... Like still we are dependent upon the 89% to 90% is the government revenue. It depends upon the government disposal of scrap, government disposal of their natural resources like coal block, iron block. And of course, the iron ore mining scenario in the country. So, it keeps on fluctuating. Overall, basically it will be very difficult to tell how this has happened and what will be the trend. Because we are dependent upon some external events which is not in our control, unlike a manufacturing organization and like a big service organization where the service bunches are ve

ry very clear. Though our

services are clear, but the events are not very much well defined, predefined. So, it will be very difficult to have this. Still as gathered from our earlier experiences and valuable suggestions of the investors, this time we have already tried to put a single pager which gives a very overview of what we are planning to do in future and per se what has led to this type of thing. So that page is very clear. Page number 4 is very clear to our activity in brief. Otherwise, it's very scattered type of activities. So, it will run into pages and pages.

Manobendra Ghoshal: It's an agglomeration of multiple sources of revenue. So, it is difficult to put a specific sector because those keep varying from time to time.

Saurabh Ginodia: At least a breakup of revenue between scrap and non-scrap to begin will be also quite helpful. And a paragraph on the latest quarterly performance with some comments from the senior management, MD and CFO will also help.

Subrata Sarkar: We have noted. Let us see how we can make it out within the legal framework and the exact guidelines.

Moderator: Our next question comes from the line of Prashant Kothari, who is an Individual Investor.

Prashant Kothari: My question is regarding the notice that was recently sent regarding e-auction of Gold Tariff status quota. Could you explain what this is? How was is business currently done and what is the revenue potential? Because you have clearly mentioned that the management of the company expects fair volume of business from the aforesaid business. Secondly, regarding the travel portal, can you share some more details as to what you actually plan to do? Because currently you already have so many portals like MakeMyTrip, Yatra, etc. So, how does MSTC plan to start this business?

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Bhanu Kumar: The first question regarding the bullion allocation quota. The Director General of Foreign Trade allows import of gold bullion into the country, and it is given to MSMEs and non-MSMEs small scale sector. And there is a rebate in the price of the gold itself. So, for allocating that a very transparent kind of a mechanism was required by DGFT. All along it was done more in a manual fashion. But right now, they have asked us to develop a platform through which in a transparent manner the allocation can be done. Since there is a subsidy kind of a thing involved in this, so obviously the person, the entity which will be asking for the least subsidy will be the preferred bidder. Now, this is in terms of kgs and there are limits that are applicable to various entities. So, this is a complex kind of allocation methodology algorithm that is being developed. Now, as far as the revenue is concerned, we are expecting lot of entities who are operating in this sector, the stakeholders to register on our platform and carry out the transactions. So, there will be some small transaction charges associated with taking part in such events. As of now since we have not started doing any transaction, it will be a little too premature to talk about what kind of revenue stream we can envisage. But right now, for just the development and all it is not much, it is not significant. But going forward because this is an area which is new to us as well as to DGFT, we expect that this kind of events will be extended to other commodities, precious metals also.

Now, regarding the travel portal, that was the second question. There are lot of travel portals, I totally agree with you, they are all mainly in the B2C segment. But as far as the government work is concerned, there are just about 3-4 portals that the government has mandated for use by the government organizations, especially in the central government, the ministries as well as the PSUs, which actually transact a lot of business in the travel arena. So, Balmer Lawrie is one and then apart from that, of course, IRCTC and there are a

couple of more organizations which have

established travel portals. And the government organizations can use it only when there is an empanelment with the DGCA. Now, towards this end, we saw that there is an ample opportunity, we being in the e-commerce space for quite some time, our expertise, our exposure to newer technologies, they have given us the confidence that we can probably enter this area with newer

technologies as well as a better interface for the users. So, with that ambitious plan we are embarking upon establishing a travel portal which will be focusing initially for the government sector, but later on definitely it will be opened up to the private sector as well as the B2C segment, individuals also. As of now, the revenue may not be significant, but there is enough potential in the government sector, so that is why we are venturing to establish. And the cost associated with this; we saw that wasn't much because we already have established data centers and redundant capacities. We don't need to add on or invest upon any infrastructure cost for establishing a travel portal.

Manobendra Ghoshal: Leverages our existing capacities.

Bhanu Kumar: Redundant capacities.

Manobendra Ghoshal: Capacities and expertise.

Bhanu Kumar: Basically, there is not much cost involved and definitely the revenues are always welcome.

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Prashant Kothari: If I understand right, this is being developed currently only for the central government?

Bhanu Kumar: No, the focus is on the government sector initially because we will see lot of traction, a lot of travel being undertaken by the various officials, but definitely it is going to be opened up for the private sector as well as the B2C clients or individuals also. So, initial focus is only for the government sector because there are certain guidelines and rules, regulations, all those things are applicable. So, the development will be tuned to the government sector, but later on it will be enlarged to open up for private sector and individuals.

Prashant Kothari: Currently, government sector employees cannot use the private sector portals like MakeMyTrip or Yatra? Please let me know.

Bhanu Kumar: Not for official use.

Prashant Kothari: How do they go about making their bookings, through Balmer Lawrie?

Bhanu Kumar: Balmer Lawrie is there, IRCTC is there or they can have direct agreements with certain airlines and all, if at all they conclude. But then, most of the central government as of now is using Balmer Lawrie.

Prashant Kothari: Balmer Lawrie would be our prime competitor here?

Bhanu Kumar: Yes. They are already established here. So, we are actually trying to compete with them.

Prashant Kothari: You also mentioned regarding the data center business. Somewhere in May also, you had mentioned that MSTC is opening a center, a disaster recovery site in Delhi. And then you had made some changes in the Memorandum of Association regarding getting into the data center business. So, any update regarding that?

Manobendra Ghoshal: All of these are essentially operational requirements. Even at that point of time, I had mentioned that putting up a DR site in Delhi or expanding our data server base is an operational requirement primarily. And we would then also evaluate as to what would be the additional capacities that would be available so that with a view of monetizing it. So, that is a process which is ongoing and we are working towards it. I mean, primarily of course, it is for strengthening our data infrastructure which is available.

Prashant Kothari: Have you started monetizing the data center business?

Manobendra Ghoshal: Not yet. We are working on it. Since we are working on multiple streams so this is one of the things that we are following up.

Prashant Kothari: You mentioned in this investor presentation that MSTC has developed Kendraya Police Kalyan Bhandar Portal. What does that mean, sir?

Manobendra Ghoshal: Yes, sir.

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Manobendra Ghoshal: The Kendraya Police Kalyan Bhandar is a kind of canteen facility for the Central Police Forces. We are developing a software application covering the entire gamut of operations of those Bhandars for them. This is something which is now in the final stages.

Prashant Kothari: It's not like a portal, like a kind of an Amazon for KTKB.

Manobendra Ghoshal: No, it's basically we are developing the backbone for them, the software application backbone for them.

Moderator: The next question comes from the line of Prathamesh from Orbit Exports Family Office.

Prathamesh: A follow-up question for the previous participant. Actually, I am new to the business. The data center that we are setting up, is it for the captive use or are we going to rent it out?

Manobendra Ghoshal: As I mentioned Prathamesh, the primary requirement of a data center is for our own use. Basically, it is for expanding our own capacity as well as developing a robust DR backbone.

And then we will be able to evaluate as to if there is additional capacity then available with us, obviously, we would look at monetizing it. So, we are in the process of doing that now. As and when that time where we will be able to take a firm call on what is the monetization possible,

we will update all the stakeholders regarding that.

Moderator: As there are no further questions from the line of participants, I now hand the conference over to the management for closing comments.

Manobendra Ghoshal: Once again, I would like to express my gratitude to all the stakeholders who have taken the time to ask these questions. Because when you ask these questions, it also makes us rethink. At some points of time, we would be going in a stream of thought where a question of a kind that is asked at these interactions also leads to a lot of other possibilities opening up. So, I am really grateful and please keep those questions coming. Please keep that advice coming so that we can make your company bigger, better, and more profitable enterprise at all times. Thank you so much.

Moderator: On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015. For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., <https://www.mstcindia.co.in> . In case of discrepancy, the audio recordings available at website of the company shall prevail.

This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and may include forward-looking statements. Forward-looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward-looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

Call: Feb 2026

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MSTC LIMITED

(A Govt of India Enterprise)

CIN : L27320WB1964GOI026211 e-assuring iNDIA

MSTC/CS/SE/713 17th February, 2026

1. The Dy. Manager (Listing)

BSE Limited

PhirozeJeejeebhoy Towers,

Dalal Street, Mumbai 400 001 .

(Scrip Code: 542597)

Dear Sir/Madam, 2. The Manager, Listing Department

National Stock Exchange of India Limited

Exchange Plaza, BandraKurla Complex

Bandra (E), Mumbai 400 051

(Scrip Code: MSTCL TD)

Sub: Transcript of Conference Call with the Investors/Analyst

The Company had organized a conference call with the Investors/ Analyst on Thursday, 12th

February, 2026 at 11 :30 A.M. A copy of transcript of conference call held with the

Investors/ Analysts is enclosed herewith for your information and records.

Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.

Thanking you,

Yours faithfully,

For MSTC Limited

(Ajay Kumar Rai)

Company Secretary & Compliance Officer

Encl: as above

www.mstcindia.co.in / www.mstcecommerce.com

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Regd. Office: Plot No. CF18/2, Street No. 175, Action Area IC, New Town, Kolkata-700156 W.B.

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"MSTC Limited Q3 FY '26 Earnings Conference Call"

February 12, 2026

MANAGEMENT : MR. MANOBENDRA GHOSHAL – CHAIRMAN AND

MANAGING DIRECTOR , MSTC LIMITED

MS. BHANU KUMAR – DIRECTOR COMMERCIAL ,

MSTC LIMITED

MR. SUBRATA SARKAR – DIRECTOR OF FINANCE ,

MSTC LIMITED

MR. AJAY KUMAR RAI – COMPANY SECRETARY ,

MSTC LIMITED

MODERATOR : MR. DEEP MODI – EQUIRUS SECURITIES

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Moderator : Ladies and gentlemen, good day and welcome to MSTC Limited Q3 FY '26 Earnings Call.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Deep Modi. Thank you and over to you.

Deep Modi : Good morning, everyone. On behalf of Equirus Securities, I welcome you all to Q3 FY '26 Earnings Conference Call of MSTC Limited.

From the management, we have with us today , Mr. Manobendra Ghoshal - Chairman and Managing Director ; Ms. Bhanu Kumar - Director Commercial ; Mr. Subrata Sarkar - Director of Finance, and Mr. Ajay Kumar Rai - Company Secretary.

We will begin the call with the opening remarks from the Management and then we will open the line for Q&A. I now hand over to Mr. Manobendra Ghoshal. Over to you, sir. Thank you.

Manobendra Ghoshal : Good morning. Good morning to all our esteemed stakeholders. It is my pleasure to be able to tell you that your company has been able to maintain the momentum of the last 2 quarters and achieved a nearly double -digit growth on total revenue as well as EBITDA year -on-year as compared to the same period last year on 9 -month basis.

Now, leaving aside the recurring exceptional item of income from the strategic disinvestment of FSNL that happened last year, the PAT has also shown an increase of nearly 10 %-11%. What heartening is that the growth of revenue from operations has primarily been driven by the e -commerce segment, which is a result of the consolidation that we have been undergoing over the last year. We have also been able to clearly define our blue-sky areas as basically that of software platform development, particularly in areas that are contiguous to our e -commerce operations.

As we have mentioned during our last investor interaction, MST C has been awarded the work of developing and operating the country's first exchange for trading EPR certificates. This project, on behalf of CPCB, is now in a fairly advanced stage with the lifestyles already operational and trading expected to begin in the coming fiscal year. This should also open the door for MST C not only for inclusion of more commodities to be covered under the EPR framework on this exchange , but also give us the expertise and bolster our credentials to develop and operate more such Electronic Exchange Platforms in the future.

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We had also informed our stakeholders earlier that MST C has been selected by DGFT for developing an electronic platform for transparent allocation of tariff rate quotas for gold bullion imports. I am happy to inform you that the first tranche of gold bullion allocation has successfully been completed on our platform and further events have now been scheduled by DGFT.

Another major initiative that we have been working on is the travel business which we intend to introduce also in the new financial year. We intend to keep the travel booking experience seamless and responsive as a key differentiator. Now , with respect to major business highlights during the quarter and the future outlook, I will request our Director Commercial to brief you followed by Director Finance to briefly summarize the financials so far .

Before I hand over, let me also update you about our joint venture , MMRPL. As you are aware, over the last few quarters , there has been a slew of measures taken by MMRPL's management to rationalize costs and simultaneously try to drive revenue growth. As a part of this augmentation , unit at Noida, which was incurring a very high running cost has been closed. A new one is

being started at Kalyan, Maharashtra . Apart from this, slight inventory controls and OEM driven rise in volumes of feedstock are now visible, which is on the positive side. Needless to say, we are monitoring the trend very closely and are glad to report that the net loss has been reducing sequentially over the last few quarters.

With that, I would like to hand over to Ms. Bhanu Kumar for further updates.

Bhanu Kumar : Thank you. Good afternoon , everyone.

So, the key highlight for the key operational performance on a standalone business is 525.55 billion INR during the 9 months of this current FY. The EBITDA translates to about almost Rs. 200 crores in the 9 months vis-a-vis Rs. 182.41 crores in the previous year for the same period. And profit before exceptional items, also there is an increase by about Rs. 17 crores. The consolidated accounts also more or less gives the same kind of picture. After accounting for the loss from the MMRPL, so the profit stands at 170.94 compared to 187.61.

Now , the data business highlights has already been highlighted by our CMD in the inaugural address. But some of the other developments are that we have signed the key agreement with the Mata Vaishno Devi Shrine Board for sale of precious metals. This is of course a very regular auctioning kind of a portfolio that we have been doing for years. But the new addition definitely builds more such temples and shrines to come into our portfolio. Apart from that, the ELV sales

have also picked up. Now , with the ecosystem generally improving, the number of vehicles coming through scraping is also going up.
We have also signed an agreement with the Ministry of AYUSH and Information Commission. These are our regular business . Apart from this, we have sold about 3.5 million tons of iron ore
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for NM DC. And we have also allocated about 22 coal blocks in the 13th and 14th round of Commercial Coal Block Auctions. Earlier , the participation was a little limited, but this time it has been successfully done. Now , as already highlighted, for DGFT, we have done the Tariff Rate Quota allocation for gold bullion. We expect that this will be encouraging and it will be paving the way for future commodities like silver and others.
Now , sand blocks also, for Chhattisgarh, for the first time sand block allocation has been done. This is through a different methodology from what we had done in U P. Out of the 21 mines put up for critical minerals so far, the technical bids have been received for 17 mines . We have also auctioned some prime properties for Hyderabad Metropolitan Development Authority and the outcome is very favorable and HMDA is quite impressed with these performance. MST C has also done about 13 events of major mineral block on behalf of Govt. of Tamil Nadu, mainly limestone blocks and 12 limestone blocks are put up for composite license .
Now as already highlighted, one major project that we are very buoyant about for the next fiscal is CPCB Electronic Trading Exchange. As of now, five categories of materials have been identified and for which the EPR framework is already operating. But in the coming years, in another one or two years, we expect that the other three to four categories will be added. So that will be a very robust framework. And the electronic exchange, we expect that will perform well in terms of not just revenue but in terms of profit and in terms of our credibility in such exchanges, establishing exchanges.
We have in fact developed a platform for travel. Basically, what was happening is the government had a different kind of ecosystem, and the private sector had a different ecosystem for travel bookings. So, we want to offer a unified platform where, whether it's the government sector or the private individuals , either for business or for individuals, both B2B and B2C, we are developing this platform

. And as already highlighted, the key differentiator here we want is, we want a very robust kind of interactive and responsive platform.
So, we will be able to launch it by April or so. And after that, definitely, there will be improvement on that platform. So, the revenues also will start coming in from the next year. Apart from this, more or less the regular business is going on. Scrap sale this year has been a little better than what it was in previous two, three years, and nothing more to add to the business highlights as of now.

Thank you. So, I will hand over to Mr. Sarkar for the financial highlights.

Subrata Sarkar: Yes. Good morning, everybody. Operational details has already been described by our CMD and Director Commercial, growth is basically on a flatter trajectory , but we had a revenue increase of 9.87%, up from Rs. 275.47 crores to Rs. 302.67 crores. Mainly growth can be seen in the e-commerce, where we have similar growth of 9.26% from Rs. 197.91 crores to Rs. 216.23 crores. And of course, expenses also grew by 10.38% and others also grew by 11.38%.

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EBITDA, as a result of these plus and minuses, has grown up from Rs. 182.41 crores to Rs. 199.95 crores, that is growth of 9.61%. And depreciation almost remaining on the same, flat, that is Rs. 7.66 crores as compared to Rs. 6.94 crores in the comparative year.
Profit and loss before exceptional item and taxes stands at Rs. 192.29 crores as compared to Rs. 175.29 crores, a growth of 9.70%. This is the main indicator where we need to concentrate for comparison, because PBT before taxes in the previous year, there was an exceptional item, majority in the form of sale proceeds of our investment in FSNL which is Rs. 273.5 crores, majority comprises of that. That shows that earlier period PBT was Rs. 448.83 crores and this year it is Rs. 192.29 crores. So, if you have to compare the two period, we have to take PBT before exceptional items.
Then after tax, profit loss after tax is Rs. 145.89 crores , earlier period was Rs. 335.91 crores. So, again, we have to eliminate this factor. So, if eliminate the averages of taxation, here also we have growth of around Rs. 131.2 crores to Rs. 145.89 crores. Almost a growth of around 10% in the PAT , if we eliminate that FSNL factor.
And if we move to segmental wise, so again that e-commerce has taken a front seat because it is the prime business that we are doing , a growth of 9.26% from Rs. 197.91 crores to Rs. 216.23 crores. Other income also shown a similar growth of around 11.34% from Rs. 76.30 crores to

Rs. 84.95 crores. Marketing remaining stagnant and expenses only grew by 10%. And that too, the notes if can refer our books and accounts, there was a single point around 6.39% due to some change in that statutory rules. It is not that significant growth and matching with that around inflationary part that we can say.

And with PAT, again, stood at Rs. 145.89 crores as compared to Rs. 335.91 crores, but if you have to eliminate the exceptional item, again there is a growth of 10% that was earlier stated. If we go to the consolidated part, and right now as our subsidiary has been disposed of, we have divested it fully. We have only one line item comprising of our year-end profit and loss from our joint venture, single joint venture that is Mahindra MSTC Recycling Private Limited, slightly on the flatter trajectory. Last year our loss was Rs. 4.65 crores, this year our share of loss is only Rs. 4.68 crores, so no major changes. But we are expecting, as CMD informed the stakeholders, that there was a positive growth in the form of net loss has reduced on quarter-to-quarter basis. So, it has come down each quarter, as compared to last quarter. So, with that per se, our consolidated profit after tax stood at Rs. 141.21 crores as compared to Rs. 331.56 crores last year.

And with that

if we can go to the standalone summary P&L statement, because stand-alone consolidated are almost same except for that share of loss.

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Here we can see that revenue from operation has grown 12.95% from Rs. 222.10 crores to Rs. 250.86 crores, growth of around 13%. Other income, slightly better chemistry, Rs. 51.81 crores from Rs. 53.37 crores. Employee benefit, salary and wages grew by 9.04% from Rs. 66.87 crores to Rs. 72.91 crores. There was no finance cost this year, and depreciation almost, though growth was around 10%, can be taken as a flat one, from Rs. 6.94 crores to Rs. 7.66 crores.

There was no provisions, consequently, the good news for the deals are getting released in the earlier calls also, that with resuming of this trading business there will be less probability in our Books of account. And other expense stood at Rs. 29.81 crores as compared to Rs. 26.19 crores, a growth of 13.82%. Of course, this is because of our growing operations that is going on and with that profit and loss stood at Rs. 145.89 crores. So, as already stated, it's a growth of around 3% if we just we just eliminate the exceptional items part.

So, thank you very much for that. So let me now hand over the call for Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session, anyone who wishes to ask a question may press '*', '1' on their touchtone telephone, if you wish to remove your cellphone from the question queue you may press '*', '2' participants are requested to use headset while asking the question, ladies and gentlemen we will wait a moment while the question queue assembles. The first question is from the line of Saurabh Ginodia from SMIFS Limited. Please go ahead.

Saurabh Ginodia: Good morning, senior management. Thank you for giving me the opportunity. Sir, my question is on the e-commerce vertical. If you see the growth rate in the last three quarters, in Q1, we have grown by roughly 13% Y-o-Y for the e-commerce vertical; and in Q2 the growth is about 10%. But in Quarter 3, the growth momentum has slowed down to 4% Y-o-Y growth and further, there is a decline of 5% sequentially. So, sir, my question will be, why the growth rate has moderated in Quarter 3? And when do we expect the e-commerce vertical to grow in double digits? And what will be the key growth driver for the same? This will be my first question.

Bhanu Kumar: See, actually in the first quarter, if I can recollect, the main contribution to e-commerce, there was some spillover of sales that happened in the last quarter of last year because of which the growth was much more than what we had anticipated. See, I do not think we should be analyzing it quarter-to-quarter as far as e-commerce revenue is concerned. What happens is a lot of factors come into play when we offer our services for auctions. So, the state government and policy matters and all those things. So, I do not think there is any cause of worry as we are not a production company that will start worrying if one quarter goes down. So if you see in an overall level, year-on-year, I am sure that I will be able to contain that 10% growth that we have seen in the nine month comparison. So, I do not think it's the right way to interpret on a quarter-to-quarter basis.

Saurabh Ginodia: But do we expect growth rate to be in high double digit going forward anytime soon?

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Bhanu Kumar: Yes. Actually, as we pointed out in the inaugural address itself, the new exchange that we are developing for CPCB, the EPR trading exchange, we are expecting that it will contribute quite significantly in the next financial year. There again, Q1, Q2, we will have to wait and watch how much contribution is coming up. Then probably we will be able to estimate as to what can be

the contri

bution towards the overall e-commerce revenue in the next financial year. So, we are very optimistic about this exchange, and definitely, we are hoping that there will be good double-digit growth.

Saurabh Ginodia: Okay. So next year, FY 2027, can we expect growth rate to accelerate over FY 2026?

Bhanu Kumar: Probably Q1, Q2, we will be able to give you a clear answer. By Q2, exchange will be stabilized to some extent. See, any software, any new thing, it always has a gestation period. So, the initial five to six months, people have to get accustomed to the portal, people have to start actually actively trading and all those things will happen. There will be probably some policy refinements. So, those things will be there. So, by Q2, we expect that the exchange will be stabilized and we will be having very good revenue from the exchange.

Saurabh Ginodia: Okay. Ma'am, my second question will be, in the recent budget there is an announcement of 20-year tax holiday for foreign companies utilizing the Indian data center to serve the global customers. So, how do we see this opportunity going forward?

Manobendra Ghoshal: At this point of time, our data center and our data center capacity is being primarily used for our own internal requirements. Now that plus with some of the initiatives that we have been working on, there would be a requirement of increase in our own data center capacity. So, the issue of using that capacity as monetizing our capacity for external customers is not something that we are considering right now in the short term.

Saurabh Ginodia: Okay. And what will be the estimated CAPEX for this year and next year? And anything you can share on the dividend payout?

Subrata Sarkar: So let me answer your second question first. Dividend payout is clearly spelt out in our policy that is 30% of the PAT or 4% of the net worth whichever is higher, which is as per DIPAM guideline, right? So, this will be at least the minimum dividend that company will pay. Balance will depend upon the scenario and, of course, the decision of the Board in this regard. But the minimum is clearly spelt out, that is very much transparent so far as the government company is concerned and there in the public domain also. So that is one part.

Second part, in the CAPEX part, we had our corporate building constructed this year in Delhi and we are in the process of augmenting our resources like systems, servers, et cetera. So, there will be some amount of CAPEX that is depending upon the situation time to time, and of course that we will let you know. And it's the starting of the year, so we are trying to figure out what is the requirement. And as just given by our CMD and Director Commercial that CPCB exchange MSTC Limited

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is coming up and other similar things might happen. So, with that there will be obviously requirement of CAPEX. CAPEX and certain amount of OPEX also. So with that, obviously, we will keep on making certain CAPEX. And for that, we have our cash flow available.

Manobendra Ghoshal: Here, I would just like to add another aspect that traditionally, MSTC has been asset-light company. And most of the CAPEX that is needed, apart from exceptional items like this new building, which happened in the last fiscal is on end-of-life replacement cost, basically hardware and software of our electronics, of our backbone. So, that is something which is a fairly recurring expenditure and is not very high since we are not a manufacturing or a production entity.

Saurabh Ginodia: Okay. Any thoughts of utilizing the surplus cash because we will be generating a lot of free cash flow going forward. So, is there any plan, specific plan? Are we considering for any stock buyback or any other plan which you can share for utilizing this extra cash?

Subrata Sarkar: Yes. Anything what we told about buyback etc. is decided as per the norms

by the Government

of India and as far as other inflation parameters are concerned, as I mentioned earlier, there will be a larger amount of OPEX also that we are expecting and so far guidelines are concerned, I think Government of India Department of Investment and Public Asset Management DIPAM and DPE guidelines, they will guide us. And so far that is the main lagging factor, and time to time, board obviously will decide about distribution of cash, but the main thing would be just to wait and there will be some kind of process that is coming up that will require some amount of time also.

Saurabh Ginodia: Okay. And sir, my last will be one request. As shareholders, we have been requesting the senior management for a corporate presentation since last one year. So, if you can just consider putting up one corporate presentation where we can have a complete description about the company that will help shareholders to have better understanding of the business of the company.

Manobendra Ghoshal: Your point is taken that, yes, we will try to implement this in this quarter because if you see apart from the normal operation, over the last one year, the company has also been going through a stage of consolidation of tapering down certain elements of business of the disinvestment of our 100% subsidiary was going on. So, at this point of time, we are quite clear about the way forward, and we will put in our presentation, putting in the broad outline of that so that, as you

said, it would be useful for first-time stakeholders as well as existing stakeholders.

Saurabh Ginodia: Yes. A five year vision maybe from the senior management, if you can put up in the presentation and can be uploaded on the stock exchange as well as on the company website will be quite useful to everybody.

Manobendra Ghoshal: Your point is well taken. We will work on this.

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Moderator: Thank you. The next question comes from the line of Prashant, an individual investor. Please go ahead.

Prashant: Sir, I just have one small question. As on 31st of March 2025, the assets, property, plant and equipment stood at around Rs. 53 crores, which increased to Rs. 196 crores as on 30th of September 2025. So, the increase is around Rs. 150 crores. If I understand it right, it was the disaster recovery site at Delhi. Will it fetch any additional revenue?

Subrata Sarkar: Actually you are little bit correct but not fully correct. It is basically we have had this corporate office constructed at World Trade Center New Delhi. So that is the main investment there. That's why it has increased. And answering to your second question, so my answer is yes. So, living in Delhi and having within higher -service center at Delhi will fetch more and more business. Of course, the results will be little bit later on will be reflect in our financial statement.

But sitting at Delhi in a capital hub it certainly gives a positive advantage to a company like MSTC to fetch more and more business by liaising with the stakeholder. So, my answer in that way is yes. But like you say correlate with this and this, like plant and machinery, so it is not that way. It is like a business hub that we are creating over here. Secondly, we also have a big team over here to look after the ongoing projects. So, obviously, we are looking forward to fetch more and more revenue and more good projects in future.

Prashant: Okay, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Anant from Mount Intra Finance. Please go ahead.

Anant: I just had one small question. Your employee expenses have increased 20% year-on-year. It's probably the highest. So, is this going to be steady state? Or should we consider more increases?

Subrata Sarkar: From actually, just let me interpret, on a nine month basis, increase is 9% only.

Anant: No, no, no. I am comparing Q3 2025

to Q3 2026, I mean, there's no problem.

Subrata Sarkar: If you compare on quarter-to-quarter basis, it's quite big. But I think you have also read a note in our financial statement, it is stated that, there was a one-time fixed cost for employee benefit expenses which includes Rs 238.17 lakh pertaining to increase in gratuity limit of employee's from Rs. 20 lakh to Rs. 25 lakh. So, that is main cause of increase. If you eliminate that increase, growth is moderately in that way.

Anant: I have got it. Thank you so much. No other questions.

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Moderator: Thank you. The next question comes from the line of Yash Naik from KamayaKya Wealth Management. Please go ahead.

Yash Naik: Thank you for the opportunity. Sir, I just want to understand, regarding the new product we are planning to launch, which is the travel booking for the government employees. If you could make me understand how is the revenue model? So, are we charging on the transaction fee or it's a onetime implementation cost plus AMC type of model?

Bhanu Kumar: Actually this Travel booking, as I mentioned is for government as well as for the private businesses and individuals. Obviously, the revenue model from both will be slightly different. It will be built into the system. And based on the services that is opted for, this revenue stream, there will be multiple revenue streams. So, it can be built into the system in the ticketing cost itself or as a platform fee or it can also be through other means like advertisement and revenue sharing with other stakeholders. So, there are multiple options available to us. We are still mulling over all the options available. It's not concretized.

Now, as far as government business is concerned, this has to be through an entitlement process with the Ministry of Expenditure, Department of Expenditure. So that is a slightly long process. We expect that it will take about four to five months for us to get it done. We are already on the job. So, government business may come only after about one or two quarters, but the individual, the private business, we are expecting right from the next fiscal year, beginning of next fiscal year.

Yash Naik: Okay. And like I just want to understand our growth driver going ahead. So, if you could underline any top three e-commerce platform of ours, which can able to drive the growth for, let's say, the next 24 months. So, if you could able to make me understand what are our growth

drivers?

Subrata Sarkar: We are actually very optimistic about the exchange that we were talking about right from the beginning of this concall. So this CPCB exchange that we will be having for EPR trading is something that we are very optimistic about, and we expect that to contribute quite significantly from the next year onward.

Yash Naik: So can we expect it from the second half of FY 2027 or we can expect from H1 itself?

Subrata Sarkar: See, revenue start flowing right from the Q1 of next financial year, if everything goes as per our plan. But the actual growth will happen after it stabilizes over a period of two quarters.

Manobendra Ghoshal: Meanwhile, as far as the e-commerce segment is concerned, iron ore and coal have always been the main drivers of our e-commerce revenue stream. And that is something that we expect will continue for the next two years at least.

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Yash Naik: okay, thank you so much.

Moderator: Thank you. The next question comes from the line of Sid du from Wealth Aggregator. Please go ahead.

Siddu: My first question is, how will the AI platform implementation support the e-commerce business in terms of improving operational efficiency and revenue growth? How do you expect this AI -

-

Bhanu Kumar: Can you be louder and repeat the question?

Siddu: How will the AI platform implementation support the overall e

-commerce business in terms of improving operational efficiency and revenue growth?

Bhanu Kumar: You are talking of AI?

Siddu: AI platform implementation in the e-commerce business.

Manobendra Ghoshal: You are talking of artificial intelligence?

Siddu: It means, if we implement AI in the e-commerce business, could we improve our operational efficiency and revenue growth?

Bhanu Kumar: It is already there. Of course, the newer tools will augment the business. It will lead to more automation and lesser human intervention. So, definitely, operational efficiency will improve.

The user experience will be better. Customer will be happier, obviously. So that we expect will drive to better growth in the future. We are already using certain tools and definitely more analytics and AI is welcome, and we are exploring various options available for us.

Siddu: Okay. And my second question regarding MSTC and Mahindra joint venture. What is the expected contribution to revenues right now and in the future too?

Subrata Sarkar: As you can see our consolidated financial statement, we generally consolidate the loss position.

So profit or loss that is, currently it is a loss. So, it is around Rs. 4 crores. But again, what I mentioned earlier also, the loss quarter-to-quarter basis is going down. So, with that, we are hopeful that that will be very much in a positive side that we can see that is in the quarter two, the share of loss was Rs. 1.65 crores. In this quarter, it is share of loss is Rs. 1.05 crores. And the corresponding period of last year, it was Rs. 1.57 crores share of loss. So, it is a positive step and we hope that it will be converted into a positive one in the coming days.

Manobendra Ghoshal: Regarding guidelines, I would also mention a few other things. One, despite competition from the unorganized sector, volumes of feedstock have started going up, which has basically been driven by the OEMs under the EPR framework. So that is a positive. Apart from that, internally

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in the company, very much tighter inventory controls have been implemented and rationalization of fixed costs. So, large units which were not so profitable have been closed, smaller units, more profitable, more agile unit opened. So, these basically optimize the volumes that are available at different geographical locations. And all of this have already started showing as Mr. Sarkar pointed out that there has been a reduction in the net loss going forward, which we are optimistic that will continue and bring the company on to a much more healthy footing.

Siddu: okay, thank you that's all.

Moderator: Thank you, Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to management for closing remarks.

Manobendra Ghoshal: So, at the end of this investor conference, I would like to convey our thank you to all our stakeholders for being with us today, asking us these questions. I always say, I mean these are the questions which force us to introspect, find out what we are doing right, what we are doing wrong and course correct wherever necessary. So once again, please keep those questions coming. Thank you very much.

Moderator: On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for

joining us . And you may now disconnect your lines.

Safe Harbour: The transcript for the Investors' Call has been made for purposes of compliances under SEBI (Listing and Disclosure Requirements) Regulations, 2015 For the transcript, best efforts have been made, while editing translated version of voice file for grammatical, punctuation formatting, others etc., that it should not result any edit to the content or discussion. The audio recording of transcript is available at website of the company, viz., [www. https://www.mstcindia.co.in/.com](https://www.mstcindia.co.in/.com). In case of discrepancy, t

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audio recordings available at website of the company shall prevail.

This discussion contains based on the currently held beliefs and assumptions of the management of the Company, which are expressed in good faith and, in their opinion, are reasonable and can may include forward -looking statements. Forward -looking statements involve known and unknown risks, contingencies, uncertainties, market conditions and other factors, which may cause the actual results, financial condition, performance, or achievements of the Company or industry results, to differ materially from the results, financial condition, performance, or achievements expressed or implied by such forward -looking statements. The Company disclaims any obligation or liability to any person for any loss or damage caused by errors or omissions, whether arising from negligence, accident, or any other cause. Readers of this document should each make their own evaluation and assessment of the Company and of the relevance and adequacy of the information and should make such other investigations as they deem necessary.

Call: Jun 2026

MSTC/CS/SE/739
4th June, 2026

1. The Dy. Manager (Listing)
BSE Limited Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001.
(Scrip Code: 542597)
2. The Manager, Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai 400 051
(Scrip Code: MSTCLTD)

Dear Sir/Madam,

Sub: Transcript of Conference Call with the Investors/Analyst
The Company had organized a conference call with the Investors/Analyst on Saturday, 30th May, 2026 at 11:30 AM IST to discuss the Financial performance of the Company for the quarter and year ended 31st March, 2026. A copy of transcript of conference call held with the Investors/Analysts is enclosed herewith for your information and records.
Copy of aforesaid transcript is also hosted on company's website www.mstcindia.co.in.
Thanking you,

Yours faithfully,
For MSTC Limited

(Ajay Kumar Rai)
Company Secretary & Compliance Officer

Encl: as above

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"MSTC Limited
Q4 FY '26 Earnings Conference Call"
May 30, 2026

MANAGEMENT : M R. MANOBENDRA GHOSHAL – CHAIRMAN AND
MANAGING DIRECTOR – MSTC LIMITED
M R. SUBRATA SARKAR – DIRECTOR (FINANCE) –
MSTC LIMITED
M R. AJAY KUMAR RAI – COMPANY SECRETARY –
MSTC LIMITED

MODERATOR : M R. DEEP MODI – EQUIRUS SECURITIES

MSTC Limited
May 30, 2026
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Moderator: Ladies and gentlemen, good day, and welcome to the MSTC Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Deep Modi from Equirus Securities. Thank you, and over to you, sir.

Deep Modi: Good morning, everyone. On behalf of Equirus Securities, I welcome you all to Q4 FY '26 earnings conference call of MSTC Limited. From the management side, we have with us today Mr. Manobendra Ghoshal, Chairman and Managing Director; Mr. Subrata Sarkar, Director (Finance); and Mr. Ajay Kumar Rai, Company Secretary. We will begin the call with the opening remarks from management, and then we will open the line for Q&A. I now hand over the call to Mr. Manobendra Ghoshal. Over to you, sir.

Manobendra Ghoshal: Thank you. Good morning, Deep. So, good morning to all our esteemed stakeholders and a warm welcome to this morning's investor conference. So despite a considerable amount of global macroeconomic uncertainty, it's my pleasure to be able to report that MSTC has been able to end the year with good numbers. We have achieved a figure of almost INR370 crores from revenue from operations, which is the highest in the last four years.

Your company has been in the process of consolidation over the last two years and over this period has identified and taken positive action as to which segments of business activity we needed to grow out of and where we needed to increase our footprint. And also to identify areas which we believe are organically related to our core strengths and build upon them.

So as a part of this, we are now in the final stages of exiting from the marketing and trading business, and coupled with the strategic disinvestment of FSNL at the end of last fiscal, we are moving forward to being primarily an e-commerce company foraying further into areas of creating electronic platforms. The two major such platforms that we are working on, the EPR, that is ETP, which we have already developed, and the next part of our digital project pipeline is a travel portal which is also in the final developmental stages and which we expect to launch shortly.

Now apart from this, we are working on some further possibilities on similar lines about which we'll be able to update you as they come to a firmer stage of projection or completion. With respect to the financials, we have been able to maintain EBITDA percentage at a similar level year-on-year. Despite competition and with the overall global macroeconomic uncertainty looming over the last two quarters and the challenges of scaling up, we have still managed to maintain it at the same level. Apart from this, there has been a financial impact on account of statutory obligations, about which our Director (Finance) will touch upon later.

What I would like to emphasize is that these constraints notwithstanding, your company has been able to increase PAT levels year-on-year by about 23%, taking out the contribution of the one exceptional item of FY '26, that is the proceeds of FSNL strategic disinvestment. Now on MSTC Limited

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the business outlook front, the ETP for EPR certificates has been developed and tested, with all necessary integrations also in place. The portal is ready and is now awaiting formal approval and launch for operations. As I have said earlier during other conferences, once the platform is operationalized, it would open the door for further commodities to be similarly onboarded for EPR certificate trading on the portal itself, and also accord an opportunity for u

s to bid for

developing and operating more such portals and exchange platforms in the future. This would open up the vista of an entirely new business vertical for the company.

On the same lines, we have been looking at what we think is a very promising opportunity of creating a seamless mainly B2B portal for travel and logistics, covering the entire value chain of travel, accommodation, and associated services. This portal is also in its final stages of testing, and we expect to operationalize it shortly in the B2B space to begin with, and then extend segmental reach as we gain traction. We have named this offering as MSTC Smart Travel.

Apart from this, we are working on some other areas such as end-to-end transaction advisory for asset value realization for PSUs, government departments, and private entities. For this, we have tied up with SBI CAPS to mutually work for providing such end-to-end solutions, leveraging each other's domain expertise. Our business development teams are also working on other major possibilities which leverage our domain expertise and supplement the same with technology, including possibilities of AI wherever feasible and appropriate.

In the context of our 50-50 joint venture with Mahindra, MMRPL, I am glad to inform you that the efforts put in by the management to streamline operations and optimize flows in terms of geographical feed patterns have delivered results. The financials for the last three quarters have been consistent and encouraging. Even though the net loss has been progressively reducing sequentially, we are still monitoring the operational financial parameters very closely, but we are hopeful that the positive trend will continue.

Coming to the operational highlights for FY '25-'26, 10 coal mine blocks, over 200 major mineral

blocks, significantly higher scrap including quite a few plant sales, as well as coal linkage auctions, the order for which MSTC obtained from Coal India Limited through competitive bidding. As well as mineral sales, that is principally iron ore, pellets, slimes, chrome ore, and so on. All of these have driven our higher e-commerce earnings for FY '26. Now I will request our Director (Finance), Shri Subrata Sarkar, to brief us on the financial numbers for 25-26.

Subrata Sarkar: A very good morning to all of our esteemed investors who have reposed faith on this company from the time it has been listed to the stock exchange. So as our CMD explained to you, that '25-'26 is a very nice year and a positive year for MSTC. So I am jumping to the operational performance during '25-'26, company has dealt with INR797.37 billion in terms of gross percentile value that was transacted through our portal.

Some of the broad highlights of the financial performance is like revenue from operations has achieved at INR359.33 crores, which is highest in the last four years. EBITDA stands at INR307.49 crores in '25-'26 vis-a-vis INR260.04 cr ores '24-'25, around an increase of 18.2% on a year-to-year basis.

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Percentage almost maintained the same in spite of stiff competition. PBT before exceptional items is INR295.69 crores in '25-'26 vis-a-vis INR240.71 crores in '24-'25. An appreciable increase. PAT without exceptional items is INR221.69 crores in '25-'26, as compared to INR180.13 crores in '24-'25. Reduction in impairment loss in investment in JV MMRPL is INR1.44 crores, previous year it was INR10.06 crores.

On a consolidated basis also the same figure has been repeated, except that PBT is also on the rise, rise in terms of reduction of loss in MMRPL from INR244.80 to INR292.43. And PAT before exceptional items from INR183.19 crores to INR218.43 crores. So now there are some business highlights.

Business highlights like, as already CMD sir explained, it has completed the coal mine auctions, and mineral block auctions, and the basic impetus and the basis from where we g

ot the revenue

is that e-auction of the scrap which has driven our e-commerce platform income. And this year we have developed a specialized portal for DGFT for quota allocation of gold bullion and other commodities. And recently we have got an order through competitive bidding for coal linkage auction for Coal India Limited, through open tender. Mineral sales are also a high contributor like iron ore, pellet, slime, and chrome ore through our portal.

And the base component as CMD explained, it will be our future bread earner which will add to our current revenue and propel the growth, is the EPR trading platform. And MSTC has also partnered with SBI CAPS for advisory solutions including e-auction services to various clients. And plus we are also developing new digital products that is travel and upkaran portals. These portals are in the advanced stage of development and are expected to be launched shortly.

And there is a thing, that the positive part that we are now even exiting from the 110% BG that was fully secured but still choose to have a focused approach towards e-commerce domain. So we have decided to exit, and by the first quarter of this year it will be out of our business basket. Already out, but income will be out of our business basket.

So now let us go through the standalone financials. So total revenue is INR453.04 crores as compared to INR387.50 crores, comprising of marketing INR1.49 crores, e-commerce definitely is INR329.72 crores, and others INR121.83 crores. With expenses just nominally increased from INR127.46 crores to INR145.55 crores. EBITDA stands at INR307.49 crores as compared to INR260.04 crores.

So far overhead expenses are concerned, so you might have seen from our detailed financials, there is not much increase in the employee expenses, employee cost expenses, but there are some increases in the overheads because this year we have opened a corporate office at New Delhi.

There are some shifting, some things were there, and because of that only we are getting a lot of focus and a lot of business that can translate into the actual revenue in the near future. We are hopeful for that. And depreciation almost remaining the same. And impairment loss is an appreciable decrease from INR10.06 crores to INR1.44 crores.

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This year there is no exceptional income or expenditure. And with that, PAT stands at INR221.69 crores as compared to INR402.98 crores, though before exceptional items PBT has shown a great increase from INR240.71 crores to INR295.69 crores, that is an increase of 22.84%.

And in the segmental part, already explained, so we have got e-commerce set up that is e-auction INR321.29 crores, e-procurement INR8.43 crores, other income INR121.83 crores, and marketing almost just getting out of our kitty, it's INR1.49 crores. So this is the position as far

as segmental reporting is concerned.

And so what in the consolidated part, the main thing that we want to highlight is that last year we had a share of loss of INR5.97 crores, this year it has reduced to INR4.70 crores. I would like to tell investors that if you will see the quarter-to-quarter figure, it has reduced significantly in the fourth quarter. We have almost maintained the loss figure of nine months of this fiscal year to the whole fiscal year. So, that is the effort given by the management to contain the losses. So, with that consolidated profit stands at INR218.43 crores as compared to INR407.07 crores and EPS stands at 31.03 as compared to 57.82 last year.

Now, coming to the detail P&L statement of the standalone business where I was explaining that employee benefit expenses has not increased much, it is 8.1%, whereas other overhead has shown an increase, but it will happen because we have now big corporate office at Delhi and accordingly we will see that appreciable increase in the revenue also. So, with that we have got a very

robust figure of PBT before exceptional item INR295.69 crores, that is an increase of around 23%.

With that, I hand over the call for the Q&A and analysis.

Moderator: The first question is from the line of Vedant, an individual investor. Please go ahead.

Vedant: Good morning, sir. Congratulations on the great set of numbers. Sir, I am talking about the consolidated numbers and e-commerce in precision. So, from the past couple of years, the e-commerce revenue has more or less been flat. I mean, in 2023 it was INR350 crores and from there for a couple of years it has been around INR350 crores only. So, it is only for this quarter that we have grown significantly. So, do we see this growth in the e-commerce continuing in the coming year, FY '27, and how I mean what percentage we are looking in the growth in FY '27 in e-commerce specifically?

Manobendra Ghoshal: Right, Vedant. First of all, e-commerce, yes, you are right, we have been on a flatter for some time. Of course, the growth as you pointed out has been in this year. Now, we have always been looking at e-commerce in terms of incremental growth because it is not something which will lead to a very high growth, which is one of the reasons why we have been trying to consolidate and also look for areas where we can organically grow while developing other verticals. So, as far as e-commerce is concerned, year-on-year we shall definitely be looking at growth. It would not be fair to put a number to it, but the attempt shall be to maintain a double-digit growth if possible.

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Vedant: Okay. Okay. Sir, secondly, the other revenue streams which you are streamlining have been working from the past couple of years. So, there is this stream EPR trading platform where, you know, electronic trading platform for EPR certificates.

Manobendra Ghoshal: Correct.

Vedant: So, EPR trading platform plus other avenues which we are planning to develop, do we see the revenues from, you know, these streams coming in the FY '27 onwards and if you can be precise, how much or more or less what amount of revenue shall these streams generate in totality?

Manobendra Ghoshal: Again, as I said, it would not be appropriate to give numbers at this stage. Let us wait for the platform to get operationalized. As I said, it is complete, it is ready, it is integrated, it is waiting for the go-ahead to operationalize. And over the first five or six months, we should be able to then be able to assess what would be the revenue streams from these platforms. But as I said, we are very positive about the fact that it should contribute significantly to our revenue, maybe to start with in the year itself as we go ahead.

Vedant: Okay. Okay. So, if I may, how significant is the electronic trading platform, the EPR certificates trading in India as per se? I mean, this is very new for me, I have no clue about it. I tried reading about it too, but is it significant? The revenues would mean something to our top line, sir?

Subrata Sarkar: Absolutely. Obviously, this will generate revenue in the form of the fees and the charges that MSTC will earn. It will add to our top line as well as the bottom line. So, that CMD sir was explaining. So, with the digital things being very, very emphasized in the government initiatives, so we are naturally we are very much hopeful that we will have a very nice impact on our revenue stream.

Manobendra Ghoshal: May I supplement that also. Now, there has been a complete thrust on transparency and fair price discovery in all kinds of sectors. So, this is something that basically enables that trend. So, this is something that will be definitely bound to grow.

Vedant: Okay. Okay. One last question, sir. Actually, when I see the segmented revenues and the results in consolidated, so there is this third stream, so I have literally started to track your company and my question might sound naive

, but I still nevertheless would carry on.

So, there is this third head called others unallocated. So, there have been losses in this stream

from the past couple of years and the losses have been significant. What is our plan of action to mitigate these losses or probably get done with them? How do we go about it and what are these actually?
Subrata Sarkar: Yes, see, it is basically if you see, it is not a loss at all. What happens, though we had our two segments, primary segments right now as per accounting standards stipulated in India, which is trading and e-commerce, but some of our expenses and overheads are unallocated expenses and overheads are not directly correlated to each of the particular segment because this office does all the jobs of either equally for the trading and the e-commerce.

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So, that is why the unallocated portion is where there is no revenue, but there are only expenses. That is why it is a loss. And ultimately you have to see in totality how the company is doing, how it is faring. So, this accounting thing will also come to an end if the accounting standard permits because we are going to close as we have already decided to close down our trading vertical and the revenue stream will also come to an end with the first quarter this year. So, there will be only e-commerce segment. So, here the allocation will be proper and you will get a correct, I mean, this kind of what you are feeling, this allocation will be properly directly allocated to a single segment and we can then arrive at the segmental profit or loss whatever may be.

Vedant: Okay. So, if I am understanding you correctly, so right now whatever the losses are will certainly reduce in the coming future as the accounting standards set in line?

Subrata Sarkar: Yes, Yes, just to sorry to interrupt you, sir. These are typically not the losses, these are the unallocated expenditures that cannot be allocated to any particular segment. So when there is a single segment that is coming up, so there is some type of unallocated thing will not be there

and we can have that single segment profit and loss. It is an expenditure and not a loss actually.

Vedant: Okay. Okay. Okay. Thanks so much, sir. Best of luck for future and I will be looking forward for the next concalls. Thank you so much.

Subrata Sarkar: Thank you. Thank you, Vedant.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for the closing remarks.

Manobendra Ghoshal: Thank you, Deep. So, as to sum up, I would really like to express my gratitude to my team as well as to all stakeholders. We are all going through a difficult time as I said globally, macroeconomically, a lot of uncertainty looms.

But despite that, the numbers have shown a very good growth this year. And we are working on a lot of new areas, which we hope that over the coming fiscals will certainly lead to good, strong growth for MSTC, consolidation of areas and organic growth, leveraging the areas that we have seen. So once again, please do keep asking us, that helps us to improve. Thank you very much.

Moderator: Hi, sir. Sir, there are two people joined in the queue. Would you like to take them?

Manobendra Ghoshal: Certainly. Certainly.

Moderator: Okay, sir. The next question is from the line of Harish, an Individual Investor. Please go ahead.

Harish: Hello. Hello, am I audible?

Moderator: Yes, sir. You are. Please go ahead, sir.

Harish: Yes, Yes. I just wanted some clarity on the EPR trading, right? Could you give us the number, what was the total amount of EPR traded last year? So that would give us an idea of the market.

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Because the numbers floating around, I mean, I was doing some research and the numbers are, they seem way too high. So I just wanted some understanding?
Manobendra Ghos

hal: So Harish, that is basically why the government I think wanted a transparent e-trading platform to be put in place because whatever are the numbers are not collated or compiled at any particular place. So an accurate assessment of what are actually the numbers is not possible at this stage.

But once this platform gets underway, over a space of 6 months or 8 months, it should be possible for everyone to know and for that information to be then clearly available in the public domain as to what are the actual numbers and what would be the, of course the values would then get discovered.

Harish: Okay, and our revenue from this.

Manobendra Ghoshal: It is just that they are significant.

Harish: Okay so significant are we talking in hundreds of crores or the total market or in thousands?

Manobendra Ghoshal: It's not safe to put numbers, so that's a very leading question, Harish. So which is why I think we should wait, have a look at what is the traffic to the portal for the first 6 months to 8 months and that question will then automatically get answered.

Harish: Okay. And would our revenue be a function of the total transaction value or would it be even?

Subrata Sarkar: No, it will be based on the fee basis. We will have some front kind of fee on the transaction. So that will be part of our top line and of course that will be our revenue.

Harish: Fee. Okay per transaction fee, basically like exchanges essentially?

Subrata Sarkar: Right. Yes, absolutely right.

Harish: Sure, okay, thank you.

Moderator: Thank you. The next question is from the line of Saket Jain, an Individual Investor. Please go ahead.

Saket Jain: Hello, sir. Thanks for the opportunity. Am I audible?

Manobendra Ghoshal: Yes, absolutely Saket, please go ahead.

Saket Jain: So I just want to know, as per the Vahan portal, the scrappage for the year was around 2 lakh volumes. And the opportunity which was highlighted in the NITI Aayog portal published in January '26, they were appreciating that it will be around 1 crores volume for the year. So it's almost only 2% of the total scrappage potential. So can you brief how we are able to tap that market and what are the roadblocks? And is that, will we be able to remove the roadblock by the ELV policy which is already in place?

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Manobendra Ghoshal: Right Saket, so first I think you need to be clear about that MSTC is a small part of the major ecosystem of ELV scrappage in India. Major stakeholders in this case happen to be the states, who have to put in place certain regulations, regulatory framework, as well as facilities to be able to tap the market of ELVs for ethical and controlled scrappage.

Now that is something which is an evolving landscape. It is happening across states, but obviously it has happened at a rate slower than what was originally visualized. Now as far as, when that ecosystem is in place across, now MS TC's portal is the one which is mandated for auctioning those end of life vehicles.

And those are then taken up for, purchased by different RVSFs who then go forward with the process of scrappage. So as far as the arising and feed of vehicles is concerned, this would be dependent on the policy framework and the incentives that are put into place by the government

in a federal structure through various states and so on, based on the guidelines that have been issued by MoRTH. And once those are available, those are available to people, the flow of vehicles through the MSTC portal would also increase. So we would develop as a part of the overall ecosystem developing and would not really be able to be the primary driver.

Saket Jain: Because, the follow up on that, are we seeing traction because in the last year in '24-'25 it was only 70,000 vehicles which were scrapped over the year. And the current year is almost more than 2 lakhs. So are we seeing a traction given the very early stage?

Manobendra Gh

oshal: Yes, so one of the factors which is driving this is basically the EPR policy coming into place for manufacturers. So a bit of the traction which is happening for the increase is being driven by the OEMs. And we expect that to naturally substantially increase, which would help to basically formalize the scrapping which is happening mainly today through the grey market. After all, vehicles do get scrapped, right?

Saket Jain: Okay. Fair enough. Just one more question to ask, if time permits.

Manobendra Ghoshal: Please, Saket.

Saket Jain: Hello. So I have just read in one of the article, news article, where SBI CAPS is the financial advisor for the Kolar gold fields auctions. KGF gold mining the 30-33 tailings dumps. So will MSTC will be also being a participant to that?

Manobendra Ghoshal: We have been working with the Ministry of Mines as well as with SBI CAPS for multiple such opportunities. And at the appropriate stage it would be notified by the Ministry.

Saket Jain: Okay. Fine. Thank you. Thank you so much. Thanks for the opportunity.

Manobendra Ghoshal: This is an area we do working on.

Moderator: Thank you. The next question is from the line of Harish, an Individual Investor. Please go ahead.

Harish: Yes, so I have some follow-up questions. So we are hearing about a new coal exchange coming up. So will it, how will that impact our coal auction revenues?

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Manobendra Ghoshal: So this is something at the very, very initial stages and we shall be watching these developments closely to see how they impact our revenue stream going on. Coal does form a significant part of our revenue stream. So this is something that we would be obviously watching closely and also taking appropriate decisions to try to be a part of that ecosystem as it happens. It is at a very initial stage and obviously the evolution would happen with all the stakeholders being taken into confidence.

Harish: So but essentially we'll be competing for the same volume in the spot market?

Manobendra Ghoshal: So, we are still nobody is at this point of time certain about how the entire ecosystem is going to evolve. Stakeholder consultations are on.

Subrata Sarkar : So once that comes into reality, and if they are actual things are going to happen, there are a lot of points are being delivered on that particular ecosystem. Then only we can come to know when and where it is going to impact us . So as of now it is very difficult to assess how it will work and where it will affect us.

Harish: Okay, and so if I look at the business, the organic business minus the EPR vertical which will come up from this year, how do you look, two, three years ahead, how do you look at the organic business growing?

Manobendra Ghoshal: So, as I said earlier, this would be, this is an area where we have been looking at flat, plateaued growth over the last some time. And our attempt will definitely be for a double-digit growth on the way forward. It will not be a very, very high growth, it will be incremental growth, and we shall be aiming at double digit growth on the way forward.

Harish: So double digit growth on the current organic business, or does it include the new vertical sticking it?

Manobendra Ghoshal: We are talking about organic business, that is obviously the e-commerce business. And putting a number forward would be speculative, so I would not like to do that at this point.

Harish: Okay, so essentially double-digit growth for the current business, then whatever new business we win will be on top of that.

Manobendra Ghoshal: Yes, that is what would be our idea.

Harish: Okay, sure, thank you.

Moderator: Thank you. A reminder to all participants that you may press star and one to ask questions. The next question is from the line of Urvish Kothari, an Individual Investor. Please go ahead.

Urvish Kothari: Hello sir. Thanks for the opportunity. Sir, my quest

ion is on the EPR portal, and the portal that

we are developing for travel, which we are competing with Balmer Lawrie, right? So, what is the current state of the, sorry I joined late, so you might have covered this question.

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But what is the expected timeline to go live for the travel portal and right now I think Balmer Lawrie is clocking around INR250 crores of revenue yearly. And what we are targeting, and what are our plans to penetrate this market?

Manobendra Ghoshal: So obviously, our offering is what we should be, we are looking at, to be able to make a significant dent in this market. Our portal, as a travel portal, is in our final stages of testing, and we should be able to launch it for the B2B segment in a very short time. As far as revenue is concerned, that is something which we would not like to speculate about at this place, but we are definitely, we see it as a good business opportunity, which is the reason that we have decided to develop.

Urvish Kothari: Okay, so sir, we are planning to live this in quarter one or quarter two? The travel portal?

Manobendra Ghoshal: We are already in quarter one and as I said, we are in the stages of testing it, we will be rolling it out as quickly as possibly naturally.

Urvish Kothari: Yes. And sir, for ERP portal, EPR portal, are we planning quarter one or quarter two, go live?

Manobendra Ghoshal: That is, as far as the portal is concerned, it is ready, it is integrated, and we are waiting for a go ahead for it to get operationalized.

Urvish Kothari: Yes, I can see that, they are showing EPR portal, as trading will be shortly started. So, I just wanted a confirmation from you, on live portal I can see.

Manobendra Ghoshal: I am not in a position to give that confirmation because it is not MSTC's decision.

Urvish Kothari: Okay, I think, this is all from my end. Thanks a lot.

Manobendra Ghoshal: Thank you.

Moderator: As there are no further questions from the participants, I now hand the call to the management for closing comments.

Manobendra Ghoshal: Thank you Deep. And as I said, I really appreciate the questions, because this basically makes us question ourselves, and look for what we are doing right, and what we are doing wrong. So please keep them coming, and we hope to do better for you and your company in the coming quarters and the coming fiscal year. Thank you very much.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Manobendra Ghoshal: Thank you. Good day.

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